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TITLE 3—THE PRESIDENT

PROCLAMATION 2995

ESTABLISHMENT OF THE CORONADO NATIONAL MEMORIAL

ARIZONA

BY THE PRESIDENT OF THE UNITED STATES OF AMERICA

A PROCLAMATION

WHEREAS section 1 of the act of August 18, 1941, 55 Stat. 630 (16 U. S. C. 450y), as amended by Public Law 478, 82nd Congress, approved July 9, 1952, provides that for the purpose of permanently commemorating the explorations of Francisco Vasquez de Coronado the President of the United States may declare, by proclamation, any lands within the area therein described to be established as the Coronado National Memorial; and

WHEREAS it appears that the public interest would be promoted by the establishment of the said Memorial on certain of the said lands as hereinafter provided:

NOW, THEREFORE, I, HARRY S. TRUMAN, President of the United States of America, under and by virtue of the authority vested in me by section 1 of the said act of August 18, 1941, as amended, do proclaim and declare that, subject to all valid existing rights, the following-described public lands in the State of Arizona are hereby established as the Coronado National Memorial:

GILA AND SALT RIVER MERIDIAN

T. 24 S., R. 20 E.,
Sec. 10, S½SW¼, S½SE¼;
Sec. 11, S½SW¼;
Sec. 13, SW¼NW¼, S½;
Sec. 14, NW¼, S½, NW¼NE¼, S½NE¼;
Sec. 15, all;
Sec. 22, all;
Sec. 23, all;
Sec. 24, all;
T. 24 S., R. 21 E.,
Sec. 17, lots 5 and 6;
Sec. 18, lots 3, 4, 8, 9, 10 and SE¼SW¼;
Sec. 19, all;
Sec. 20, lots 3 and 4.

The areas described aggregate approximately 2,745.33 acres.

Warning is hereby expressly given to all unauthorized persons not to appropriate, injure, destroy, deface, or remove any feature of this Memorial or to settle upon any of the lands thereof as hereby established.

Subject to the provisions of the said act of August 18, 1941, the Director of the National Park Service, under the direction of the Secretary of the Interior, shall have the supervision, management, and control of the lands constituting the Coronado National Memorial in accordance with the act entitled "An Act to establish a National Park Service, and for other purposes", approved August 25, 1916 (39 Stat. 535; 16 U. S. C. 1–3), and acts supplementary thereto or amendatory thereof so far as the provisions of such acts may be applicable.

IN WITNESS WHEREOF, I have hereunto set my hand and caused the Seal of the United States of America to be affixed.

DONE at the City of Washington this fifth day of November in the year of our Lord nineteen hundred and [SEAL] fifty-two, and of the Independence of the United States of America the one hundred and seventy-seventh.

HARRY S. TRUMAN

By the President:

DAVID BRUCE,
Acting Secretary of State.

[F. R. Doc. 52-12094; Filed, Nov. 7, 1952; 2:17 p. m.]

TITLE 6—AGRICULTURAL CREDIT

Chapter III—Farmers Home Administration, Department of Agriculture

Subchapter A—Farm Housing Loans and Grants

[FHA Instruction 451.7]

PART 307—FARM AND HOME MANAGEMENT; YEAR-END SERVICING

SUBPART A—ANNUAL CHECKOUT FOR SECTION 503 BORROWERS

CONTRIBUTIONS ON FARM HOUSING LOANS

Subpart A, Part 307, Subchapter A, Chapter III, Title 6, Code of Federal Regulations (16 F. R. 11795), is revised to read as follows:

Sec.
307.1 General.
307.2 Use of income.

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FEDERAL REGISTER

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Sec.
307.3 Determining amount of contribution.
307.4 Preparation and distribution of Form FHA–449.

AUTHORITY: §§ 307.1 to 307.4 issued under sec. 510 (g), 63 Stat. 438; 42 U. S. C. 1480 (g). Interpret or apply sec. 503, 63 Stat. 434; 42 U. S. C. 1473.

§ 307.1 *General.* The County Supervisor is responsible for determining the amount of contribution, if any, to which each section 503 borrower may be entitled. This determination will be made at the time of the analysis of the annual farm and home business of the borrower and will be based on the facts recorded on Form FHA–14, "Farm and Home Plan," for each loan closed before December 16 of the payment year.

(a) The term "payment year" as used in this subpart means the 12-month period ending the December 31 on which the payment is due.

(b) Each section 503 borrower whose loan was closed prior to December 16 of the payment year must submit a statement of his income and expenses on Form FHA–14, which will be prepared with the assistance of the County Supervisor. For each section 503 loan closed during the period from December 16 of the payment year to January 1 of the succeeding year, the borrower need not prepare Form FHA–14. Such a borrower will remit, at the time of loan closing, the amount of the first installment or as much thereof as he is able to pay. If the County Supervisor determines that such a borrower is unable to pay his first installment in full at the time of loan closing, he will credit the borrower with a contribution equal to that portion of the first installment which he is unable to pay.

(c) For each section 503 borrower whose loan was closed prior to December 16 of the payment year and who has not paid in full before that date the amount due as of December 31, the County Supervisor will determine whether the borrower is, in fact, unable to pay all or part of the installment due and, therefore, is entitled to a contribution, or whether the borrower had income sufficient to pay but failed to do so. This determination will be based on an analysis of the information on Form FHA–14. The borrower is entitled to contribution credit on his installment only to the extent that he is actually unable to pay. Any part of the indebtedness due which it is determined he can pay or could have paid but which remains unpaid as of December 31 of the payment year will constitute a delinquency.

(d) A contribution will not be made if a borrower whose loan was closed prior to December 16 does not complete Form FHA–14 and execute Form FHA–449, "Declaration of Borrower and Contribution Determination," or if Form FHA–14 shows that he had income sufficient to pay the installment in full if the income had been used in accordance with the policies established in § 307.2. Any amount due that is unpaid and is not covered by a contribution will be considered as a delinquency.

(e) The record book year for section 503 borrowers will end as of November 30. The analysis on Form FHA–14 will be prepared on the basis of the borrower's records for the year ending November 30. For section 503 borrowers who do not have record books for all of the first payment year, contributions will be determined on the basis of the best information available.

§ 307.2 *Use of income.* During the first five years a section 503 Farm Housing borrower's cash income should be used as follows to determine whether or not he is entitled to a contribution.

(a) First, to pay farm operating and family living expenses, including debts incurred for these purposes and all interest charges for the year payable by the borrower except interest on the Farm Housing loan. These should be kept in reasonable control by conformance to approved farm and home plans.

(b) Second, the next priority for the use of cash income is for the following purposes in the order listed:

(1) To pay on chattel debts an amount equal to the scheduled installment for the year as shown on the chattel notes. If the Farm Housing mortgage is subject to a prior lien on which there are amounts overdue or soon to become due and the borrower's cash income is insufficient to make payments with respect to chattels as specified in the preceding sentence and also to pay in full the amounts overdue or soon to become due on the prior lien, the prior lienholder's consent to letting delinquencies remain or occur should be obtained in order to avoid foreclosure.

(2) To pay principal amounts due on prior real estate liens.

(3) To pay an amount equivalent to 50 percent of the principal due on the scheduled annual installment for the year on the Farm Housing loan.

(4) To pay the balance of the scheduled annual installment on his note and other charges on his Farm Housing debt.

(5) To pay additional amounts on chattel debts to the extent necessary to remove delinquencies.

(c) Third, the remaining income should be used for the following pur-

poses, depending on the circumstances of the individual case:

(1) To get the borrower ahead of schedule on his Farm Housing loan and other real estate debts.

(2) To speed up retirement of the chattel debts and to pay unsecured debts.

(3) To build up cash-operating capital so that less money will have to be borrowed for this purpose.

(4) To make capital investments that will result in sound and justifiable expansion of operations and improve living conditions.

§ 307.3 *Determining amount of contribution*—(a) *Borrowers with first installment due December 31 of the payment year.* Included in this group are all section 503 borrowers whose loan checks (notes) are dated within the period January 1 and December 31 of the first payment year. Since the first installment is equal to the interest on the loan from the date of the note to the first succeeding December 31, a borrower may qualify for a contribution up to the full amount of the first installment on the note.

(1) A contribution equal to the full amount of the first installment will be made only in those cases where Form FHA–14 for a borrower whose loan is closed prior to December 16 of the first payment year indicates that the income for his first payment year, when used in accordance with the policies established in § 307.2, was actually insufficient to pay any part of his first installment and no part of the installment has been paid. A contribution equal to the full amount of the first installment also may be made to a borrower whose loan is closed after December 15 of his first payment year and before January 1 of the succeeding year, and who is unable at the time of loan closing to pay any part of his first installment.

(2) A contribution equal to a part of the first installment may be made in those cases where Form FHA–14 indicates that the borrower's income for his first payment year, when used in accordance with the policies established in § 307.2, was actually insufficient to pay the first installment in full, but was adequate to pay a part of the first installment, except that no contribution will be made to cover any amount the borrower has actually paid on the first installment. In such cases, a contribution may be made equal to the portion of the first installment that the borrower is unable to pay. A contribution equal to a part of the first installment also may be made to a borrower whose loan was closed after December 15 of the first payment year and before January 1 of the succeeding year, provided at the time of loan closing he was able to pay a part but not all of his first installment.

(b) *Borrowers with second installment due December 31 of payment year.* This group is composed of all section 503 borrowers whose second installment (first regular amortized installment) is due December 31 of the payment year. The maximum contribution authorized for this group is an amount equal to all of the interest and one half of the principal of the scheduled annual installment due for the second payment year. The maximum contribution to any borrower in this group is 86.3 percent of the scheduled annual installment due December 31 of his second payment year. Thus, each borrower in this group must pay at least 13.7 percent of a scheduled annual installment, since this is equal to 50 percent of the principal of the installment due for his second payment year.

(1) A contribution equal to 86.3 percent of the scheduled annual installment due may be made only in those cases where:

(i) Form FHA–14 indicates that the borrower's income for the payment year, when used in accordance with the policies established in § 307.2, was actually insufficient to pay more than 13.7 percent of the scheduled annual installment due December 31 of his second payment year.

(ii) Any amount the borrower has actually paid on his scheduled annual installment due December 31 of his second payment year plus any amount he was ahead of schedule on his loan as of December 31 of the preceding payment year does not exceed 13.7 percent of the scheduled annual installment.

(2) A contribution equal to less than 86.3 percent of the scheduled annual installment may be made in those cases where:

(i) Form FHA–14 indicates that the borrower's income, when used in accordance with the policies established in § 307.2, was actually insufficient to pay in full the scheduled annual installment due December 31 of his second payment year, but was adequate to pay more than 13.7 percent of such installment.

(ii) The borrower has not actually paid the full amount due December 31 of his second payment year.

(iii) The borrower was not ahead of schedule as of December 31 of the preceding payment year in an amount equal to or greater than the amount he is actually unable to pay on his installment due December 31 of his second payment year. If the borrower was ahead of schedule as of December 31 of the preceding payment year in an amount equal to or greater than the amount he is unable to pay for his second payment year, he would not be entitled to a contribution.

(c) *Borrowers with third installment due December 31 of payment year.* This group is composed of all section 503 borrowers whose third installment (second regular amortized installment) is due December 31 of the third payment year. The contributions for this group of borrowers will be determined in accordance with paragraph (b) of this section, except that the maximum contribution to any borrower is 85.75 percent of the scheduled annual installment due, and the minimum payment required of each borrower is 14.25 percent of such installment.

(d) *Borrowers with fourth installment due December 31 of payment year.* This group is composed of all section 503 borrowers whose fourth installment (third regular amortized installment) is due December 31 of the fourth payment year. The contributions for this group of borrowers will be determined in accordance with paragraph (b) of this section, except that the maximum contribution to any borrower is 85.19 percent of the scheduled annual installment due, and the minimum payment required of each borrower is 14.81 percent of such installment.

(e) *Borrowers with fifth installment due December 31 of payment year.* This group is composed of all section 503 borrowers whose fifth installment (fourth regular amortized installment) is due December 31 of the payment year. The contribution for this group of borrowers will be determined in accordance with paragraph (b) of this section, except that the maximum contribution to any borrower is 84.59 percent of the scheduled annual installment due, and the minimum payment required of each borrower is 15.41 percent of such installment.

(1) In determining the amount of any contribution to which a borrower may be entitled on his fifth installment, the County Supervisor will analyze the borrower's records for the record book year ending November 30 and also will consider his estimated income and expenses for the following month of December.

(2) For those cases in which a contribution is made on the fifth installment, the County Supervisor, within 30 days after December 31, will review with the borrower his actual income and expenses for the month of December. If the County Supervisor determines that the borrower's income actually was sufficient to pay all or a part of the contribution he received on his fifth installment, the County Supervisor will:

(i) Collect the additional amount he determines that the borrower can pay on his Farm Housing loan, and

(ii) Advise the Area Finance Office by memorandum to reduce the amount of the contribution made on the fifth installment by the additional amount that the borrower is able to pay.

§ 307.4 *Preparation and distribution of Form FHA–449.* Form FHA–449 will be prepared for each section 503 Farm Housing borrower to whom a contribution will be made.

(a) The borrower will be required to sign the "Declaration of Borrower," section of Form FHA–449. No contribution will be made to any borrower unless he signs this statement.

(b) The County Supervisor will, after he has determined the amount of contribution to which a section 503 borrower is entitled, complete the "Contribution Determination" section of Form FHA–449 and give one copy to the borrower. The contribution will be applied the same as a regular payment namely; first to any accrued and unpaid interest shown on Form FHA–473, "Area Guide Card," and any remainder will be applied to principal.

[SEAL] DILLARD B. LASSETER,
Administrator,
Farmers Home Administration.

OCTOBER 30, 1952.

Approved: November 6, 1952.

CHARLES F. BRANNAN,
Secretary of Agriculture.

[F. R. Doc. 52-12040; Filed, Nov. 10, 1952; 8:50 a. m.]

Subchapter B—Farm Ownership Loans

PART 311—BASIC REGULATIONS

REMOVAL OF TEMPORARY CREDIT RESTRICTIONS

With the approval of the Housing and Home Finance Administrator given pursuant to Executive Order 10161 of September 9, 1950 (3 C. F. R., 1950 Supp. p. 123), § 311.8, Title 6, Code of Federal Regulations (16 F. R. 10305, 17 F. R. 5852), is hereby revoked, effective as of September 16, 1952.

[SEAL] DILLARD B. LASSETER,
Administrator,
Farmers Home Administration.

OCTOBER 31, 1952.

Approved: November 6, 1952.

CHARLES F. BRANNAN,
Secretary of Agriculture.

[F. R. Doc. 52-12041; Filed, Nov. 10, 1952; 8:50 a. m.]

TITLE 45—PUBLIC WELFARE

Chapter V—War Claims Commission

REPUBLICATION OF REGULATIONS

The regulations of the War Claims Commission are hereby republished in their entirety and contain all amendments to date including the amendment of October 8, 1952, 17 F. R. 8979. In this republication, paragraph (a) of § 508.2 has been corrected to read as set forth herein.

DANIEL F. CLEARY,
Chairman.

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AUTHORITY: §§ 501.1 to 501.30 issued under sec. 2, 62 Stat. 1240; 50 U. S. C. App. Sup., 2001.

§ 501.1 *Appearance.* Any person may appear in proceedings relating to a claim before the Commission in his own behalf or through his authorized representative.

§ 501.2 *Authorized representatives.* The Commission will recognize three categories of authorized representatives: (a) An attorney at law authorized to practice before the Commission, (b) an agent authorized to practice before the Commission, or (c) an accredited organization. The Office of the General Counsel shall be the custodian of the records relating to authorized representatives.

§ 501.3 *Attorneys at law.* An attorney at law shall be deemed authorized to practice before the Commission, who after first filing a petition (WCC Form 1002, Petition For Admission To Practice As Attorney Practitioner) requesting enrollment shall be approved and placed upon the approved attorneys' roll by the Commission. The petition for enrollment shall state, among other things, the name and address of the petitioner, the place or places and dates of admission to practice law, a statement that the petitioner is in good standing as a member of the bar, a statement of employment if any by the government and dates; that he is familiar with section 10 of the War Claims Act of 1948, as amended, and the regulations of the Commission fixing fees thereunder and stating that he will comply with such rules of the Commission. Such petition should be supported by a certificate of court of record in the state, territory, or District of Columbia, in which such attorney practices that he is a person of good moral character and a member of the bar in good standing. After examination of such petition and supporting evidence and such investigation as the Commission deems necessary the Commission in its discretion will allow or deny the petition for enrollment.

§ 501.4 *Agents.* An agent shall be deemed authorized to practice before the Commission who after first filing a petion. (WCC Form 1003, Petition For Admission To Practice As Agent Practitioner) requesting enrollment shall be approved and placed upon the approved agents' roll by the Commission. The petition of enrollment shall state the name and address of petitioner, his usual business, experience in representing persons before the government, employment by the government if any with dates; said petition shall also contain a statement that the agent is familiar with section 10 of the act and the fees fixed by the Commission thereunder and that the agent intends to comply with such scheduled fees and other regulations of the Commission. Corporations may be recognized as agent representatives in appropriate cases. Any such corporate agent must present in its petition facts with reference to its organization, charter, purposes and business and also state its intention to observe the regulations of the Commission and the act with reference to fees. After examination of such petition and supporting evidence and such investigation as the Commission deems necessary, the Commission in its discretion will allow or deny the petition for enrollment.

§ 501.5 *Accredited organizations.* (a) Persons designated by veterans', service, and other organizations to appear before the Commission in a representative capacity on behalf of claimants shall be deemed duly authorized to practice before the Commission when the designating organization shall have been issued a letter of accreditation by the Commission.

(b) Petitions for accreditation shall be in writing, executed by duly authorized officer or officers, addressed to the War Claims Commission, Washington 25, D. C.

(c) Upon receipt of a petition setting forth pertinent facts as to the organization's history, purpose, number of posts or chapters and their locations, approximate number of paid-up membership, statements that the organization will not charge any fee for services rendered by its designates in behalf of claimants and that it will not refuse on the grounds of non-membership to represent any claimant who applies for such representation if he has an apparently valid claim; accompanied by a copy of the organization's constitution or charter, by-laws, and its latest financial statement, the Commission in its discretion will consider and in appropriate cases issue or deny letters of accreditation.

§ 501.6 *Rules governing representatives and cancellation of authorization.* No attorney or agent authorized to practice before the Commission shall either directly or indirectly charge or accept any fee or other remuneration in excess of the amount of such fee fixed by the Commission in each class of cases. No person shall attempt to represent any claimant or person acting in behalf of the claimant until a power of attorney in the form prescribed by the Commission or substantially similar to such form has been duly executed and filed with the Commission. Any violation of this part or other rules of the Commission by attorneys, agents, or organizations shall constitute cause for revocation of authority to practice before the Commission. In the event there is brought to the attention of the Commission information that any person authorized to practice before the Commission has been disbarred, indicted, or found guilty of acts which in the judgment of the Commission renders such person unsuitable to represent claimants before it, the Commission may revoke the authority of such person to practice before it. Whenever the Commission is informed that fees in excess of those fixed by it are being charged, collected, received or paid directly or indirectly, the Commission shall initiate appropriate procedures to invoke penal provisions of the act.

§ 501.7 *Schedule of fees.* The schedule of fees is set forth as follows:

For assisting internees or evaders in the preparation and filing of an application for detention benefits * * * not in excess of 1 percent of the total amount awarded.

For assisting prisoners of war in the preparation and filing of an application for compensation * * * not in excess of 1 percent of the total amount awarded.

For assisting survivors of internees, evaders, or prisoners of war in the preparation and filing of an application for either detention benefits or compensation * * * not in excess of 2 percent of the total amount awarded.

For securing additional oral or written testimony, or in the preparation and presentation of an appeal under sections 5 and 6 of the act the Commission may authorize an additional fee, but said additional fee plus the fee previously allowed will not exceed 10 percent of the total amount awarded.

For assisting religious organizations or the personnel of religious organizations in the preparation and filing of an application for reimbursement under section 7 (a) of the act, not in excess of:

10 percent on the first $1,000 awarded.
7½ percent on the next $9,000 awarded.
5 percent on the next $40,000 awarded.
1 percent on all over $50,000 awarded.

For services rendered to religious organizations or the personnel of religious organizations in presenting a claim for compensation under section 7 (b) through (g) of the act, a fee agreed upon by the parties, but not in excess of:

10 percent on the first $100,000 awarded.
6 percent on the next $400,000 awarded.
4 percent on all over $500,000 awarded.

§ 501.8 *Suspension of attorneys.* The Commission may censure, suspend or revoke the right of any attorney to appear before the Commission in any claim proceeding if it finds that such attorney has concealed any material facts with reference to his legal qualifications, professional standing, character or integrity, has failed to conform to recognized standards of professional conduct, has conducted himself in a contumacious, contemptuous or unethical manner before the Commission, or any board or unit thereof, or has violated the provisions of section 10 of the act.

§ 501.9 *Rules of procedure.* The Commission may, where it has cause to believe that any attorney has violated any provision of the law or of § 501.6, § 501.7, or § 501.8, institute proceedings to censure, suspend or revoke the right of such attorney, hereinafter called the respondent, to appear before the War Claims Commission. Such proceedings shall be governed by the rules in this part, Part 502 of this subchapter, and Part 516 of this chapter.

§ 501.10 *Negotiations.* At any time prior to hearing the Commission may, in its discretion, informally review submissions made by the respondent for the purpose of determining the propriety of continuing the authorization of the respondent to practice. The parties may at any time prior to or during the hearing limit the issues by stipulation. Such stipulations if any shall be entered in the record.

§ 501.11 *Statement of charges.* The statement of charges shall contain a plain and concise statement of the facts which it has claimed constitute grounds for censure, suspension or revocation of the right of the respondent to appear before the Commission. A statement of charges which fairly informs the respondent of the charges against him so that he is able to prepare his defense shall be deemed sufficient.

§ 501.12 *Bill of particulars.* If, in order to prepare for defense, the respondent desires additional information as to the time and place of the alleged misconduct, or the means by which it was committed, or any other more specific information concerning the alleged misconduct, he may present a motion in writing to the Commission asking that the statement of charges be made more specific, stating further in such motion in specific manner in which respect the statement of charges leaves him in doubt and describing the particular language of the statement of charges as to which additional information is required. If in the opinion of the Commission such information is reasonably necessary to enable the respondent to prepare his defense, the Commission shall furnish the respondent with a bill of particulars.

§ 501.13 *Answer.* The respondent's answer shall be filed in writing within the time specified in the original notice unless on application the time is extended pursuant to § 502.7 (b) of this subchapter. The answer shall be made under oath before an officer authorized to administer oaths and shall be filed in duplicate with the Commission.

§ 501.14 *Content of answer.* In his answer the respondent should specifically admit or deny every material allegation in the statement of charges. Every allegation in the statement of charges not denied shall be deemed admitted, unless the respondent shall state in his answer that he has no knowledge thereof sufficient to form a belief, which statement shall be considered a denial. In answer to a statement of charges, the respondent shall not deny a material allegation of fact which he knows to be true, or state in such answer that he is without sufficient information to form a belief when in fact he possesses such information.

§ 501.15 *Affirmative defense.* In his answer the respondent may also state affirmatively special matters of defense, and shall not give in evidence any matters in avoidance or of defense, consistent with the truth of the allegation of the statement of charges, unless in his answer he states such matters specifically.

§ 501.16 *Complaining witness.* The Commission may, in its discretion, furnish a complaining witness with a copy of the answer if in its opinion such action will aid in ascertaining the truth or falsity of the charges. The term "complaining witness" for the purposes of this provision shall include any officer or employee of the Commission or any attorney who may have reported the alleged misconduct to the Commission or any other person upon whose information the Commission has instituted the proceedings.

§ 501.17 *Reply to answer.* If the answer contains affirmative matter in avoidance, consistent with the truth of the material allegations in the statement of charges, a reply by the Commission admitting or denying the new matter set forth in the answer shall be served upon the respondent.

§ 501.18 *Supplemental charges.* If it appears that a denial of a material allegation of fact in the statement of charges, or a statement that the respondent has no knowledge sufficient to form a belief; was made in bad faith in the answer; or that the respondent has knowingly introduced false testimony during proceedings against him pursuant to the provisions of this part the Commission may thereupon file supplemental charges which charges may be tried with the other charges in the case, provided the respondent shall be given due notice thereof and afforded an opportunity for preparing a defense.

§ 501.19 *Sufficiency of the pleadings.* The Commission shall have authority to pass upon the sufficiency of the statement of charges, the answer, and all other pleadings. The parties may be heard upon the sufficiency of any pleadings whenever, in the opinion of the Commission, a hearing thereon is necessary or desirable.

§ 501.20 *Immaterial mistakes.* The Commission need not observe strict rules as to pleadings and may disregard immaterial misnomers of third persons, immaterial mistakes in description of any person, thing or place or the ownership of any property, a failure to prove immaterial allegations in the description of the respondent's conduct, or any other immaterial matters occurring at any point in the proceedings.

§ 501.21 *Hearings.* All evidence shall be presented before the Commission, decisions on procedure and final determinations may be taken by majority vote. Subject to its regulations in these respects the Commission may determine the time, place, and manner in which hearings shall be conducted; the form in which evidence shall be received, and may adopt rules of procedure and modify the same from time to time as occasion requires for the orderly disposition of disciplinary cases. Written notice of the time and place of all hearings shall be given the respondent in the manner provided in Part 502 of this subchapter for the service of papers. No hearing shall be held without reasonable notice thereof to the respondent, except that the Commission may postpone or adjourn hearings when necessary or desirable, on notice to the parties.

§ 501.22 *Testimony.* Unless the Commission shall otherwise direct, the testimony of witnesses at all hearings will be taken under oath and stenographically recorded and transcribed.

§ 501.23 *Documents.* Whenever any book, document or paper is introduced as an exhibit in a proceeding the Commission may authorize, upon such conditions as it may be deemed proper, the withdrawal of such exhibit upon the request of such party.

§ 501.24 *Proof; partial.* If the Commission finds that a part of the charges in the statement of charges is not sufficiently proved but that the residue

thereof is so proved, it may base its determination on such charges as are so proved.

§ 501.25 *Proof; variance.* In the case of variance between the allegations in the statement of charges and the evidence, the Commission shall have power to base its findings on any facts established by the evidence which are grounds for censure, suspension of revocation and to order the amendment to the statement of charges to conform to the evidence: *Provided*, That the respondent has had or is given reasonable opportunity to present his defense to such amended charges, with such postponements of the hearings as may be reasonably necessary to permit the respondent to present such defense.

§ 501.26 *Decision.* After the parties rest, the Commission shall make its decision which decision may include (a) findings and conclusions, as well as the reasons or basis therefor, upon all the material issues of fact, and law, presented on the record and (b) an order to censure, suspend or revoke the right of the respondent to appear before the Commission or order to dismiss the charges as the case may require. If at any hearing upon issue of fact raised by the record in the case the respondent fails to put in any evidence the Commission may base its findings upon the record before it.

§ 501.27 *Decision.* The decision of the Commission, in the absence of a request for reconsideration pursuant to § 501.32, shall without further proceedings become the final decision of the agency.

§ 501.28 *Notice of decisions.* Each decision shall promptly be filed in the record, and the Commission shall thereupon give notice thereof to the parties in the manner prescribed for the service of papers.

§ 501.29 *Effect of censure, suspension or revocation of right to practice.* After the right of an attorney to appear before the Commission has been suspended or revoked, such person will not thereafter be recognized during the period of suspension or revocation as an attorney in any matter before the Commission.

§ 501.30 *Reconsideration.* An attorney who has been censured, suspended, or whose right to appear has been revoked may make written application to the Commission to have the order of suspension vacated or modified upon the ground (a) of newly discovered evidence or (b) that important evidence is now available which the applicant was unable to produce at the original hearing by the exercise of due diligence. Every application for reinstatement shall be filed with the Commission in duplicate. Such application must set forth specifically the precise character of the evidence to be relied upon in its support and shall state the reasons why the applicant was unable to produce it when the original charges were heard. If the Commission after due consideration of the application shall deem it sufficiently meritorious to warrant reopening, the Commission shall set a time and place for a hearing on the application and give due notice thereof to the applicant. Upon the conclusion of the hearing in the event that the Commission shall issue an order vacating or revoking the prior order to censure, suspend or revoke the right of an attorney to appear before the Commission, notice thereof shall be given by the Commission to all those to whom the original order of censure, suspension, or revocation of the right to appear before the Commission was sent.

PART 502—SUBPOENAS, DEPOSITIONS AND OATHS

Sec.
502.1 Extent of authority.
502.2 Subpoenas.
502.3 Service.
502.4 Witnesses.
502.5 Depositions.
502.6 Documentary evidence.
502.7 Time.

AUTHORITY: §§ 502.1 to 502.7 issued under sec. 2, 62 Stat. 1240, as amended; 50 U. S. C., App. Sup. 2001.

§ 502.1 *Extent of authority—(a) Subpoenas, oaths and affirmations.* The Commission or any member thereof may issue subpoenas, administer oaths and affirmations, take affidavits, conduct investigations, and examine witnesses in connection with any hearing, examination, or investigation within its jurisdiction.

(b) *Certification.* The Commission or any member thereof may, for the purpose of any such hearing, examination, or investigation, certify the correctness of any papers, documents, and other matters pertaining to the administration of any laws relating to the functions of the Commission.

§ 502.2 *Subpoenas—(a) Issuance.* A member of the Commission or a designated employee may, on his own volition or upon written application by any party and upon a showing of general relevance and reasonable scope of the evidence sought, issue subpoenas requiring persons to appear and testify or to appear and produce documents. Applications for the issuance of subpoenas duces tecum shall specify the books, records, correspondence, or other documents sought. The subpeona shall show on its face the name and address of the party at whose request the subpoena was issued.

(b) *Deposit for costs.* The Commission or designated employee, before issuing any subpoena in response to any application by an interested party, may require a deposit in an amount adequate to cover the fees and mileage involved.

(c) *Motion to quash.* If any person subpoenaed does not intend to comply with the subpoena, he shall, within 15 days after the date of service of the subpoena upon him, petition in writing to quash the subpoena. The basis for the motion must be stated in detail. Any party desiring to file an answer to a motion to quash must file such answer not later than 15 days after the filing of the motion. The Commission shall rule on the motion to quash, duly recognizing any answer thereto filed. The motion, answer, and any ruling thereon shall become part of the official record.

(d) *Appeal from interlocutory order.* An appeal may be taken to the Commission by the interested parties from the denial of a motion to quash or from the refusal to issue a subpoena for the production of documentary evidence.

(e) *Order of court upon failure to comply.* Upon the failure or refusal of any person to comply with a subpoena, the Commission may invoke the aid of the United States District Court within the jurisdiction of which the hearing, examination, or investigation is being conducted, or wherein such person resides or transacts business. Such court, pursuant to the provisions of Public Law 696, 81st Congress, approved August 16, 1950, 50 U. S. C. App. Sup., 2001 (d), may issue an order requiring such person to appear at the designated place of hearing, examination, or investigation, then and there to give or produce testimony or documentary evidence concerning the matter in question. Any failure to obey such an order may be punished by the court as a contempt thereof. All processes in any such case may be served in the judicial district wherein such person resides or transacts business or wherever such person may be found.

§ 502.3 *Service—(a) Service by registered mail.* Subpoenas, orders, rulings, and other processes of the Commission, may be served by delivering in person or by registered mail addressed to the person, partnership, or corporation to be served at his or its residence, principal office or place of business, except when service by another method shall be specifically ordered by the Commission.

(b) *Personal service.* Service by delivering in person may be accomplished by:

(1) Delivering a copy of the document to the person to be served, to a member of the partnership to be served, to an executive officer, or a director of the corporation to be served, or to a person competent to accept service; or

(2) By leaving a copy thereof at the residence, principal office or place of business of such person, partnership, or corporation.

(c) *Proof of service.* The return post office registered receipt for said order, other process or supporting papers, or the verification by the person serving, setting forth the manner of said service, shall be proof of the service of the document.

(d) *Service upon attorney or agent.* When any party has appeared by an authorized attorney or agent, service upon such attorney or agent shall be deemed service upon the party.

(e) *Date of service.* The date of service shall be the day upon which the document is deposited in the United States mail or delivered in person, as the case may be.

§ 502.4 *Witnesses—(a) Examination of witnesses.* Witnesses shall appear in person and be examined orally under oath, except that for good cause shown, testimony may be taken by deposition.

(b) *Witness fees and mileage.* Witnesses summoned by the Commission on its own behalf or on behalf of a claimant or interested party shall be paid the same fees and mileage that are allowed and paid witnesses in the District Courts of the United States. Witness fees and mileage shall be paid by the Commission

or by the party at whose request the witness appears.

(c) *Transcript of testimony.* Every person required to attend and testify or to submit documents or other evidence shall be entitled to retain or, on payment of prescribed costs, procure a copy or transcript of his testimony or the documents produced.

§ 502.5 *Depositions*—(a) *Application to take.* An application to take a deposition shall be in writing setting forth the reason why such deposition should be taken, the name and address of the witness, the matters concerning which it is expected the witness will testify, and the time and place proposed for the taking of the deposition, together with the name and address of the person before whom it is desired that the deposition be taken. If such deposition is being offered in connection with a hearing or examination, the application for deposition shall be made to the Commission at least 15 days prior to the proposed date of such hearing or examination.

Application to take a deposition may be made during a hearing or examination, or, subsequent to a hearing or examination only where it is shown for good cause that such testimony is essential and that the facts as set forth in the application to take the deposition were not within the knowledge of the person signing the application prior to the time of the hearing or examination.

The Commission or its representative shall, upon receipt of the application and a showing of good cause, make and cause to be served upon the parties an order which will specify the name of the witness whose deposition is to be taken, the time, the place, and where practicable the designation of the officer before whom the witness is to testify. Such officer may or may not be the one specified in the application. The order shall be served upon all parties at least 10 days prior to the date of the taking of the deposition.

(b) *Who may take.* Such deposition may be taken before the designated officer or, if none is designated, before any officer authorized to administer oaths by the laws of the United States. If the examination is held in a foreign country, it may be taken before a secretary of an embassy or legation, consul general, consul, vice consul, or consular agent of the United States.

(c) *Examination and certification of testimony.* At the time and place specified in said order the officer taking such deposition shall permit the witness to be examined and cross-examined under oath by all parties appearing, and his testimony shall be reduced to writing by, or under the direction of, the presiding officer. All objections to questions or evidence shall be deemed waived unless made in accordance with paragraph (d) of this section. The officer shall not have power to rule upon any objections but he shall note them upon the deposition. The testimony shall be subscribed by the witness in the presence of the officer who shall attach his certificate stating that the witness was duly sworn by him, that the deposition is a true record of the testimony and exhibits given by the witness, and that said officer is not counsel or attorney to any of the interested parties. The officer shall immediately seal and deliver an original and two copies of said transcript, together with his certificate, by registered mail to the War Claims Commission, Washington 25, D. C., or the field office designated.

(d) *Admissibility in evidence.* The deposition shall be admissible in evidence, subject to such objections to the questions and answers as were noted at the time of taking the deposition, or within ten (10) days after the return thereof, and would be valid were the witness personally present at the hearing.

(e) *Errors and irregularities.* All errors or irregularities occurring shall be deemed waived unless a motion to suppress the deposition or some part thereof is made with reasonable promptness after such defect is, or with due diligence might have been, ascertained.

(f) *Scope of use.* The deposition of a witness, if relevant, may be used if the Commission finds: (1) That the witness has died since the deposition was taken; or (2) that the witness is beyond a distance greater than 100 mile radius of Washington, D. C., the designated field office or the designated place of the hearing; or (3) that the witness is unable to attend because of other good cause shown.

(g) *Interrogatories and cross-interrogatories.* Depositions may also be taken and submitted on written interrogatories in substantially the same manner as depositions taken by oral examinations. When a deposition is taken upon interrogatories and cross-interrogatories, none of the parties shall be present or represented, and no person, other than the witness, and his representative or attorney, a stenographic reporter and the presiding officer, shall be present at the examination of the witness, which fact shall be certified by such officer, who shall propound the interrogatories and cross-interrogatories to the witness in their order and reduce the testimony to writing in the witness' own words.

(h) *Fees.* A witness whose deposition is taken pursuant to the regulations in this part and the officer taking the deposition, shall be entitled to the same fees and mileage allowed and paid for like service in the United States District Court for the district in which the deposition is taken. Such fees shall be paid by the Commission or by the party at whose request the deposition is being taken.

§ 502.6 *Documentary evidence.* Documentary evidence may consist of books, records, correspondence or other documents pertinent to any hearing, examination, or investigation within the jurisdiction of the Commission. The application for the issuance of subpoenas duces tecum shall specify the books, records, correspondence or other documents sought. The production of documentary evidence shall not be required at any place other than the witness' place of business. The production of such documents shall not be required at any place if, prior to the return date specified in the subpoena, such person either has furnished the issuer of the subpoena with a properly certified copy of such documents or has entered into a stipulation as to the information contained in such documents.

§ 502.7 *Time*—(a) *Computation.* In computing any period of time prescribed or allowed by the regulations in this part, by order of the Commission, or by any applicable statute, the day of the act, event, or default after which the designated period of time begins to run is not to be included. The last day of the period so computed is to be included, unless it is a Sunday or a legal holiday, in which event the period runs until the end of the next day which is neither a Sunday nor a holiday. When the period of time prescribed or allowed is less than 7 days, Sundays and holidays shall be excluded in the computation. A half holiday shall be considered as other days and not as a holiday.

(b) *Enlargement.* When by the regulations in this part or by a notice given thereunder or by order of the Commission an act is required or allowed to be done at or within a specified time, the Commission for cause shown may, at any time in its discretion (1) with or without motion or notice, previous order or (2) upon motion permit the act to be done after the expiration of the specified period where the failure to act was the result of excusable neglect.

Subchapter B—Receipt, Adjudication and Payment of Claims

PART 505—FILING OF CLAIMS AND PROCEDURES THEREFOR

Sec.

505.1 Claim defined.
505.2 Time within which claims may be filed.
505.3 Official forms.
505.4 Official certificate of dependency.
505.5 Place of filing claims.
505.6 Documents to accompany forms.
505.7 Language for forms and documents.
505.8 Receipt of claims.
505.9 Failure to note change of address.

AUTHORITY: §§ 505.1 to 505.9 issued under sec. 2, 62 Stat. 1240; 50 U. S. C., App. Sup. 2001.

§ 505.1 *Claim defined.* (a) A properly completed and executed application made on an official form provided by the Commission for such purpose constitutes a claim and will be adjudicated under laws administered by the Commission.

(b) Any communication, letter, note or memorandum from a claimant, or his duly authorized representative, or a person acting as next friend of a claimant who is not sui juris, setting forth sufficient facts to apprise the Commission of an intent to apply under the provisions of sections 5 (a) through (e), 6 and 7 (a) of the act shall be deemed to be an informal claim. When an informal claim is received and an official form is forwarded for completion and execution by the applicant, such official form shall be considered as evidence necessary to complete the initial claim, and unless such official form is received within six months from the date it was transmitted for execution, the claim will be disallowed.

(c) Any communication, letter, note or memorandum from a claimant, or his duly authorized representative setting forth sufficient facts to apprise the Commission of an intent to apply under the provisions of section 7 (b) and (c) of the act shall be deemed to be an informal claim. When an informal claim is received and an official form is forwarded for completion and execution by the applicant, such official form shall be considered as evidence necessary to complete the initial claim, and unless such official form is received within two months from the date it was transmitted for execution, the claim will be disallowed.

§ 505.2 *Time within which claims may be filed.* (a) Claims made under sections 5 (a) through (e) of the act will be received by the Commission during the period from January 3, 1950, to March 31, 1952, inclusive, in accordance with notice given pursuant to the provisions of section 2 (d) of the act, as amended. Claims to be accepted must be postmarked before midnight March 31, 1952, or delivered to the Office of the War Claims Commission at Washington, D. C., to any field office thereof, or to any person or agency authorized by the Commission to receive claims on its behalf, before midnight March 31, 1952.

(b) Claims made under sections 6 (a) through (c) of the act will be received by the Commission during the period from January 3, 1950, to March 31, 1952, inclusive, in accordance with notice given pursuant to the provisions of section 2 (d) of the act, as amended. Claims to be accepted must be postmarked before midnight March 31, 1952, or delivered to the Office of the War Claims Commission at Washington, D. C., to any field office thereof, or to any person or agency authorized by the Commission to receive claims on its behalf, before midnight March 31, 1952.

(c) Claims made under section 6 (d) of the act will be received by the Commission during the period from April 9, 1952, to midnight April 9, 1953, in accordance with the notice given pursuant to the provisions of section 2 (d) of the act, as amended, and section 3 of Pub. Law 303, 82d Cong., approved April 9, 1952. Claims to be accepted must be postmarked before midnight April 9, 1953, or delivered to the Office of the War Claims Commission at Washington, D. C., to any field office thereof, or to any person or agency authorized by the Commission to receive claims on its behalf, before midnight April 9, 1953.

(d) Claims made under section 7 (a) of the act will be received by the Commission during the period from January 3, 1950, to March 31, 1952, inclusive, in accordance with notice given pursuant to the provisions of section 2 (d) of the act, as amended. Claims to be accepted must be postmarked before midnight March 31, 1952, or delivered to the Office of the War Claims Commission at Washington, D. C., to any field office thereof, or to any person or agency authorized by the Commission to receive claims on its behalf, before midnight March 31, 1952.

(e) Claims made under section 7 (b) and (c) of the act will be received by the Commission during the period from April 9, 1952, to October 1, 1952, inclusive, in accordance with notice given pursuant to the provisions of section 2 (d) of the act, as amended, and section 2 (f) of Pub. Law 303, 82d Cong., approved April 9, 1952. Claims to be accepted must be postmarked before midnight October 1, 1952, or delivered to the Office of the War Claims Commission at Washington, D. C., to any field office thereof, or to any person or agency authorized by the Commission to receive claims on its behalf, before midnight October 1, 1952.

§ 505.3 *Official forms.* Official forms are provided for use in the preparation of claims for submission to the Commission for adjudication and such forms are available as prescribed in section 7 of the description of organization (14 F. R. 7819). An official form is provided for each type of claim that may be made under the provisions of sections 5 (a) through (e), 6 (a) through (c), 6 (d), as added by Public Law 303, 82d Congress, 7 (a), or 7 (b), or (c) of the act, as amended, and each such official form is accompanied by printed instructions which explain its proper use, preparation, and execution. The official forms provided for use with respect to each type of claim adjudicable under said sections 5(a) through (e), 6 (a) through (c), 6 (d) as added by Public Law 303, 82d Congress, 7 (a) or 7 (b) or (c) of the act, are designated and identified as follows:

(a) For compensation by living prisoners of war, WCC Form 601—Application for Living Ex-Prisoner of War Benefits.

(b) For compensation by living Philippine prisoners of war, or their survivors, WCC Form 602—Application for Ex-Prisoner of War Allowance.

(c) For compensation by living prisoners of war, arising out of inhumane treatment or forced labor, WCC Form 611—Application for Living Ex-Prisoner of War Compensation for Compulsory Labor and/or Inhumane Treatment.

(d) For compensation by living Philippine prisoners of war, arising out of inhumane treatment or forced labor, WCC Form 612—Application for Living Ex-Prisoner of War Compensation for Compulsory Labor and/or Inhumane Treatment.

(e) For compensation by survivors of deceased prisoners of war, WCC Form 650—Application for Prisoner of War Benefits by Survivors of Deceased Prisoners of War.

(f) For compensation by survivors of deceased prisoners of war, for inhumane treatment and forced labor, WCC Form 660—Application for Survivors of Deceased Ex-Prisoners of War for Compensation for Compulsory Labor and/or Inhumane Treatment.

(g) For detention benefits by living civilian American citizens, WCC Form 501—Application for Living Civilian Detention Benefits.

(h) For detention benefits by survivors of deceased civilian American citizens, WCC Form 550—Application for Detention Benefits by Survivors of Deceased Civilian Prisoners, Internees, Etc.

(i) For reimbursement by a religious organization or the personnel of a religious organization, WCC Form 701—Application for Reimbursement by Religious Organizations or Religious Personnel.

(j) For compensation to any religious organizations or personnel of a religious organization for loss or damage sustained to facilities as a consequence of the war, WCC Form 711—Application by Religious Organization for Compensation for Loss and Damage to Property as a Consequence of World War II.

§ 505.4 *Official certificate of dependency.* Claims submitted to the Commission for adjudication by a dependent husband as a survivor of a deceased prisoner of war or as a survivor of a deceased civilian American citizen (as defined in section 5 of the act) shall be accompanied by a certificate of dependency prepared on an official form designated and identified as WCC Form 551—Husband's Certificate of Dependency.

§ 505.5 *Place of filing claims.* Claims submitted to the Commission for adjudication under the provisions of section 5 (a) through (e), 6 or 7 of the act, shall be filed at the offices of the Commission at Washington, D. C., at any field office thereof, or with any person or agency authorized by the Commission to receive claims on its behalf.

§ 505.6 *Documents to accompany forms.* (a) All claims filed pursuant to the provisions of sections 5 (a) through (e), 6 and 7 (a) of the act shall be accompanied by all the evidentiary documents, instruments and records prescribed in the instructions which accompany each type of official form (see § 505.3). If such evidentiary documents, instruments, and records do not accompany the claim and are not furnished within six months following the date of request, the claim may be deemed to have been abandoned and be disallowed.

(b) All claims filed pursuant to the provisions of sections 7 (b) and (c) of the act shall be accompanied by all the evidentiary documents, instruments and records prescribed in the instructions which accompany the official form (see § 505.3). If such evidentiary documents, instruments, and records do not accompany the claim and are not furnished within one month following the date of request, the claim may be deemed to have been abandoned and be disallowed.

§ 505.7 *Language for forms and documents.* Official forms shall be prepared in accordance with the instructions which accompany each type of official form and in the English language, but evidentiary documents, instruments or records, or authenticated copies thereof, shall be submitted in the language in which originally written.

§ 505.8 *Receipt of claims*—(a) *Claims deemed received.* A claim shall be deemed to have been received by the Commission on the date postmarked, if mailed, or if delivery is made in person, on the date when delivered, either at the office of the Commission in Washington, D. C., at any field office thereof, or with any person or agency authorized

by the Commission to receive claims on its behalf.

(b) *Claims developed.* In the event that a claim has been so prepared as to preclude adjudication thereof, the Commission may request the claimant to furnish whatever supplemental evidence, including the completion and execution of an official form, as may be essential to the adjudication thereof. If the evidence or official form requested is not received within the time limitations set forth in §§ 505.1 and 505.6 the claim may be deemed to have been abandoned and be disallowed.

§ 505.9 *Failure to note change of address.* If any communication mailed to the claimant at the last address furnished to the Commission is returned unclaimed, the claim may be disallowed for failure of the claimant to keep the Commission informed of current address. Such claims shall thereupon be sent to the closed files.

PART 506—PROVISIONS OF GENERAL APPLICATION

Sec.
506.1 Persons eligible to file claims.
506.2 Persons under legal disability.
506.3 Definitions.

AUTHORITY: §§ 506.1 to 506.3 issued under sec. 2, 62 Stat. 1240; 50 U. S. C. App. Sup., 2001.

§ 506.1 *Persons eligible to file claims.* Persons eligible to submit claims to the Commission for adjudication under the provisions of sections 5, 6, or 7 of the act, are:

(a) Prisoners of war or the survivors of deceased prisoners of war under the provisions of section 6 of the act,

(b) Civilian American citizens or the survivors of deceased civilian American citizens for detention benefits under the provisions of section 5 of the act,

(c) Religious organizations or the personnel of religious organizations for reimbursement under the provisions of section 7 of the act.

§ 506.2 *Persons under legal disability.* (a) Claims may be submitted for adjudication on behalf of persons who, being otherwise eligible to make claims under the provisions of sections 5 (a) through (e), and 6 of the act, are incompetent or otherwise under any legal disability, by the natural or legal guardian, committee, conservator, curator, or any other person including the spouse of such claimant, whom the Commission may determine is vested with the care of the claimant or his estate.

(b) In the event the Commission has before it satisfactory evidence that a member of the armed forces of the United States on active duty in Korea or captured by the forces of aggression fighting in Korea or elsewhere or reported missing in action, interned or beleaguered may be eligible to file a claim for compensation under Pub. Law 303, 82d Cong., and is unable to file a claim because of inaccessibility to forms and mailing facilities, the Commission may file an informal claim in behalf of such person.

§ 506.3 *Definitions*—(a) *Widow.* A "widow" is the surviving female spouse of a deceased prisoner of war or a deceased civilian American citizen who was married to the deceased at the time of his death by a marriage valid under the applicable law of the place where entered into.

(b) *Dependent husband.* A "dependent husband" is the surviving male spouse of a deceased prisoner of war or of a deceased civilian American citizen who was married to the deceased at the time of her death by a marriage valid under the applicable law of the place where entered into, and who was then dependent upon the deceased.

(c) *Child.* (1) A "child" is a natural or adopted son or daughter of a deceased prisoner of war or a deceased civilian American citizen, including any posthumous son or daughter of such deceased person.

(2) Any son or daughter of such deceased person born out of wedlock will be deemed to be a child of such deceased for the purposes of this act if, (i) legitimated by a subsequent marriage of the parents, (ii) recognized as a child of the deceased by his or her admission, or (iii) so declared by an order or decree of any court of competent jurisdiction.

(d) *Parent.* (1) A "parent" is the natural or adoptive father or mother of a deceased prisoner of war, or any person standing in loco parentis to a deceased prisoner of war for a period of not less than one year immediately preceding the date of his entry into active service and during at least one year of his minority. Not more than one mother and/or father as defined shall be recognized in any case. A person will not be recognized as standing in loco parentis if the natural parents or adoptive parents are living, unless there is affirmative evidence of abandonment and renunciation of parental duties and obligations by the natural or adoptive parent or parents prior to entry into active service by the deceased prisoner of war.

An award in the full amount allowable had the deceased prisoner of war survived may be made to only one parent when it is shown that the other parent has died or if there is affirmative evidence of abandonment and renunciation of parental duties and obligations by the other parent.

(2) The father of an illegitimate child will not be recognized as such for purposes of the act unless evidence establishes that (i) he has legitimated the child by subsequent marriage with the mother; (ii) recognized the child as his by written admission prior to enlistment of the deceased in the armed forces; (iii) or prior to death of the child he has been declared by decree of a court of competent jurisdiction to be the father.

(e) *Dependent.* A husband of a deceased prisoner of war or of a deceased civilian American citizen will be deemed to be dependent if, at the time of the capture or the death of the prisoner of war or of the civilian American citizen, the deceased contributed substantially to the support of such husband.

(f) *Natural guardian.* The father and mother shall be deemed to be the natural guardians of the person of their minor children. If either dies or is incapable of acting, the natural guardianship of the person shall devolve upon the other. In the event of death or incapacity of both parents then such blood relative, paternal or maternal, standing in loco parentis to the minor shall be deemed the natural guardian.

PART 507—ENTITLEMENT TO AWARD

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SUBPART A—PRISONER OF WAR COMPENSATION

AUTHORITY: §§ 507.1 to 507.12 issued under sec. 2, 62 Stat. 1240; 50 U. S. C. App. Sup., 2001.

§ 507.1 *Persons entitled to award of compensation.* Any regularly appointed, enrolled, enlisted, or inducted member of the military or naval forces of the United States who was held as a prisoner of war for any period of time subsequent to December 7, 1941, by a government of any nation with which the United States has been at war subsequent to December 7, 1941, and, with respect to whom the enemy government by which he was held as a prisoner of war (a) violated its obligation to furnish him the quantity and quality of food to which he was entitled as a prisoner of war under the terms of the Geneva Convention of July 27, 1929; or (b) violated its obligation relating to the treatment to be accorded a prisoner of war and the rules governing labor of prisoners of war, who makes claim is a person entitled to an award of compensation as a prisoner of war.

§ 507.2 *Rate of and basis for award of compensation.* (a) Compensation allowed a prisoner of war under sections 6 (a) through (c) of the act will be paid at the rate of $1 per each day that he was held as a prisoner of war on which the enemy government failed to furnish him such quantity or quality of food required to be furnished prisoners of war under the terms of the Geneva Convention of July 27, 1929.

(b) Compensation allowed a prisoner of war under the terms of section 6 (d) of the act, as added by Pub. Law 303, 82d Cong., will be paid at the rate of not to exceed $1.50 for each day that he was held as a prisoner of war on which the enemy government subjected him to inhumane treatment and/or compelled him to engage in labor contrary to the provisions of the Geneva Convention of July 27, 1929.

§ 507.3 *Membership in the military or naval forces of the United States.* Regular appointment, enrollment, enlistment or induction in the military or naval forces of the United States shall be established by certification of the Department of Defense.

§ 507.4 *Military or naval forces of the United States.* "Military or naval forces of the United States" means the United States Army, Navy, Marine Corps and Coast Guard; commissioned officers of the United States Public Health Service who were detailed for active duty with the Army, Navy, Marine Corps or Coast Guard; commissioned officers of the United States Coast and Geodetic Survey who were assigned to duty during World War II on projects of the War and Navy departments outside the continental United States; members of the organized Philippine Army of the government of the Commonwealth of the Philippines and other units who were called or ordered into service of the armed forces of the United States in valid orders by the General, United States Army, designated by the Secretary of War, pursuant to and in compliance with the Military Order of the President of the United States, dated July 26, 1941 (6 F. R. 3825; 3 CFR, 1943 Cum. Supp.).

§ 507.5 *Enemy government.* "Enemy government" means any government of any nation with which the United States has been at war subsequent to December 7, 1941; and, "any government of any nation with which the United States has been at war" means any government which declared war on the United States on or after December 7, 1941, or with which, as respects the United States, a state of war existed subsequent to that date.

§ 507.6 *Subsequent to December 7, 1941.* "Subsequent to December 7, 1941," means any time following 12:00 o'clock midnight, December 7, 1941.

§ 507.7 *The Geneva Convention.* The Geneva Convention is the "Convention of July 27, 1929, Relative To The Treatment Of Prisoners Of War" entered into between the United States and other powers at Geneva, Switzerland, on July 27, 1929, to the observance of which, among other signatory powers, the United States, Germany, Italy, Hungary, Bulgaria, Thailand, and Japan subsequently became bound.

§ 507.8 *Obligation of the Geneva Convention.* For the purposes of this part, the obligation of the Geneva Convention is the responsibility assumed by the contracting parties thereto, with respect to prisoners of war within the meaning of the Convention, to comply with and to fully observe the provisions of the Convention, and particularly those articles relating to food ration of prisoners of war, humane treatment, protection, and labor of prisoners of war.

§ 507.9 *Equal in quantity and quality.* "Equal in quantity and quality" means food that is equal in amount and volume, and in edibility, palatability, and nutritional value to a standard ration prescribed by the detaining power for issue to its own military or naval personnel at its own base camps.

§ 507.10 *Base camp.* "Base camp" means a permanent military establishment used by the detaining power to provide quarters for components of its own regularly established military or naval forces, and for the purposes of this part, shall be deemed to include only camps at which a standard ration or standard quarters were prescribed by the detaining power for issue or allotment to its own regularly established military or naval forces.

§ 507.11 *Violation of the obligation of the Geneva Convention.* For the purposes of this part, the obligation of the Geneva Convention shall be deemed to have been violated by the enemy government each day:

(a) That it did not furnish prisoners of war within the meaning of this act and the Geneva Convention with food of like quantity or quality as that prescribed by the detaining power as a standard ration for issue to its own regularly established military or naval forces at its own base camps.

(b) That it compelled prisoners of war to perform labor and failed to comply with the standards prescribed in the labor provisions of the Geneva Convention of July 27, 1929, including those listed in subparagraphs (1) to (13) of this paragraph but not excluding any provision which may be appropriately applied.

(1) The labor of able prisoners of war, if utilized, should have been utilized by the detaining power only in accordance with their rank and aptitude, officers and persons of equivalent status excepted.

(2) Non-commissioned officers should have been required to do only supervisory work, unless they expressly requested remunerative work.

(3) Prisoners of war who were victims of accidents in connection with their work were entitled to the provisions applicable to laborers of the same class according to the legislation of the detaining power, and if no such legislation existed, all proper measures to equitably indemnify the victims should have been taken.

(4) The detaining power had full responsibility for the maintenance, care, treatment and payment of wages of prisoners of war working for private persons.

(5) No prisoner of war should have been employed at labor for which he was physically unfit.

(6) The length of a day's work of prisoners of war, including the trip going and returning, should not have been excessive and should not, in any case, have exceeded that customary for civilian workers in the region employed at the same work.

(7) Every prisoner of war should have been allowed a rest period of 24 consecutive hours every week.

(8) Labor furnished by prisoners of war should not have had any direct relation with war operations, especially in manufacturing or transporting arms or munitions of any kind, or in transporting material intended for combat units.

(9) Prisoners of war should not have been employed at unhealthful or dangerous work; the conditions of labor should not have been aggravated by disciplinary measures.

(10) Labor detachments should have worked only under conditions similar to the standards fixed for prisoner of war camps, particularly with respect to sanitary conditions, food, attention in case of accident or sickness, correspondence and the receipt of packages.

(11) Prisoners of war were not entitled to receive wages for work connected with the administration, management and maintenance of prisoners of war camps.

(12) Prisoners of war utilized for other work were entitled to wages in amounts prescribed through agreement between belligerents.

(i) Such agreements should have specified the portion which was to be retained by the camp administration, the amount

which was to be paid to the prisoner of war, and the manner in which that amount was to be put at his disposal during the period of his captivity.

(ii) In the absence of such agreement, work done for the detaining power should have been paid for in accordance with the rates in force for soldiers of the national army doing the same work, or if none existed, according to a rate in harmony with the work performed.

(iii) Work performed for the account of other public administrations or for private persons, should have been paid for as regulated by agreement with the military authority.

(13) The proceeds of wages remaining to the credit of a prisoner of war should have been delivered to him at the end of his captivity, and in the event of his death, should have been forwarded through diplomatic channels to his heirs.

(c) That it failed to accord to prisoners of war humane treatment as required by the standards prescribed in the provisions of the Geneva Convention of July 27, 1929, including those listed in subparagraphs (1) to (14) of this paragraph but not excluding any provisions relating to humane treatment which may be appropriately applied.

(1) Prisoners of war should at all times have been humanely treated and protected, particularly against acts of violence, insults and public curiosity. Measures of reprisal against them should have been prohibited.

(2) Prisoners of war should have had their person and their honor respected. Women should have been treated with all the regard due to their sex. Prisoners were entitled to retain their full civil status.

(3) Prisoners of war should have been evacuated within the shortest possible period after their capture, to depots located in regions far enough from the zone of combat for them to be out of danger.

(i) Only those prisoners who, because of wounds or sickness, would have been exposed to greater risks by such evacuation than by remaining may have been temporarily kept in a dangerous zone.

(ii) Prisoners of war should not have been needlessly exposed to danger while awaiting their evacuation from a combat zone.

(iii) Evacuation of prisoners on foot should normally have been effected only in stages of 20 kilometers per day, unless the necessity for reaching water and food depots required longer stages.

(4) Prisoners of war should have been lodged in buildings or in barracks affording all possible guarantees of hygiene and healthfulness.

(i) The quarters of prisoners of war should have been fully protected from dampness, sufficiently heated and lighted. All precautions should have been taken against fire hazards.

(ii) If dormitories were used, the total surface minimum cubic amount of air, arrangement, material of bedding, and other conditions, should have met the standards established for troops at base camps of the detaining power.

(5) Clothing, linens and footwear should have been furnished to prisoners of war by the detaining power. Replacement and repair of such effects should have been accomplished regularly. In addition, laborers should have received work clothes wherever required by the nature of the work.

(6) Canteens should have been installed in all camps where prisoners of war could obtain, at the local market price, food products and ordinary objects. Profits made by such canteens for camp administrations should have been used for the benefit of prisoners.

(7) The detaining powers should have taken all sanitary measures necessary to insure the cleanliness and healthfulness of the camps and to prevent epidemics.

(i) Prisoners of war were entitled to have at their disposal, day and night, installations conforming to sanitary rules and constantly maintained in a state of cleanliness.

(ii) Without prejudice to baths and showers, with which the camp should have been as well provided as possible, prisoners should have been furnished sufficient quantity of water for the care of their own bodily cleanliness.

(iii) Provisions should have been made for prisoners of war to take physical exercise and to enjoy the open air.

(8) Officers and persons of equivalent status as prisoners of war should have been treated with due regard to their rank and age.

(9) In order to insure service in officers camps, soldiers of the same army who were prisoners of war and, wherever possible, who spoke the same language, should have been assigned thereto, in sufficient numbers, considering the rank of the officers and persons equivalent in status.

(10) With respect to arrest of a prisoner of war for disciplinary punishment the duration of a single punishment should not have exceeded 30 days.

(i) The maximum of 30 days should not have been exceeded in the case of several acts for which the prisoner was required to undergo discipline at the time when it was ordered for him whether or not such acts were connected.

(ii) When, during, or after the end of the period of arrest, the prisoner had a new disciplinary punishment imposed on him, a space of at least 3 days should have separated each of the periods of arrest, if any one of them was for a period of 10 days or more.

(11) In no case should prisoners of war have been transferred to penitentiary establishments for the purpose of disciplinary punishment.

(12) The quarters in which prisoners of war were subjected to disciplinary punishment should have conformed to sanitary requirements set out in the Convention.

(13) Prisoners subjected to disciplinary punishment should have been afforded the opportunity to keep themselves clean and should have been allowed to exercise or stay in the open air for a period of at least two hours during each day under such punishment.

(14) Prisoners of war subjected to disciplinary punishment should have been allowed to read and write as well as to send and receive letters. Packages and money for prisoners of war subjected to disciplinary punishment may have been withheld until the expiration of such punishment.

§ 507.12 *Survivors entitled to award of compensation.* In the case of the death of a prisoner of war who would have been entitled to an award of compensation under section 6 of the act, such compensation shall be awarded to, and if claim is made only to, the following persons: (a) Widow or dependent husband if there is no child or children of the deceased; (b) widow or dependent husband and child or children of the deceased, one-half to the widow or dependent husband and the other half to the child or children of the deceased in equal shares; (c) child or children of the deceased (in equal shares) if there is no widow or dependent husband; and (d) parents (in equal shares) if there is no widow, dependent husband, or child.

SUBPART B—INTERNED CIVILIAN AMERICAN CITIZENS DETENTION BENEFITS

AUTHORITY: §§ 507.20 to 507.38 issued under sec. 2, 62 Stat. 1240; 50 U. S. C. App. Sup., 2001.

§ 507.20 *Persons entitled to award of detention benefits.* Any civilian American citizen who, being then a citizen of the United States, was captured by the Imperial Japanese government on or after December 7, 1941, at Midway, Guam, Wake Island, the Philippine Islands, or any Territory or possession of the United States attacked or invaded by such government, or while in transit to or from any such place (referred to in this subpart as "internee") or who went into hiding at any such place in order to avoid capture or internment (referred to in this subpart as an "evader"), by such government and who makes claim is a person entitled to an award of detention benefits.

§ 507.21 *Term "being then" defined.* "Being then" as used in the phrase "being then a citizen of the United States" means (a) in the case of an internee, the date upon which he was captured by the Imperial Japanese government (b) in the case of an evader, the date upon which he initiated a course of conduct intended to effect an evasion of capture or internment by such government, or (c) in the case of a child born of an evader or internee on or after December 7, 1941, the date of birth of such child.

§ 507.22 *Citizen of the United States.* "Citizen of the United States" means a person who under applicable law acquired citizenship of the United States by birth, by naturalization, or by derivation.

§ 507.23 *Captured by the Imperial Japanese government.* A civilian American citizen shall be deemed to have been captured by the Imperial Japanese government at the time when, by reason of any act of such government or any agent thereof, he was taken into actual or constructive custody by such government, whether by forceable seizure and detention or by his compliance with any order of such government, however published, directing him to restrict his freedom of movement.

§ 507.24 *On or after December 7, 1941.* "On or after December 7, 1941," means any time subsequent to 12:00 o'clock midnight of December 6, 1941.

§ 507.25 *Any such place.* "Any such place" means Midway, Guam, Wake Island, the Philippine Islands, Alaska, or any other Territory or possession of the United States attacked or invaded by such government.

§ 507.26 *In transit to or from.* A civilian American citizen shall be deemed to have been in transit to or from any such place when he was travelling by sea or by air aboard a public, private, or government carrier in any capacity, the destination of which carrier was, or the itinerary of which included calls at Midway, Guam, Wake Island, the Philippine Islands, Alaska, or any other Territory or possession of the United States attacked or invaded by such government, or which had taken a departure from any such place.

§ 507.27 *Went into hiding.* A civilian American citizen shall be deemed to have entered into hiding to avoid capture or internment by the Imperial Japanese government when he initiated a course of conduct consistent with an intention to evade such capture or detention.

§ 507.28 *Subsequent to December 6, 1941.* "Subsequent to December 6, 1941" means any time subsequent to 12:00 o'clock midnight of December 6, 1941.

§ 507.29 *Rate of detention benefits.* Detention benefits awarded a civilian American citizen will be paid at the rate of $60.00 for each calendar month of internment during which such person was at least eighteen years of age and at the rate of $25.00 for each calendar month of internment during which such person was less than eighteen years of age. Awards shall take account of fractional parts of a calendar month.

§ 507.30 *Calendar month.* "Calendar month" means the period of time between a designated day of any given month and the date preceding a similarly designated day of the following month.

§ 507.31 *Less than eighteen years of age.* A civilian American citizen shall be deemed to have been less than eighteen years of age at any time prior to 12:01 a. m. of the date on which such person would have attained his eighteenth birthday.

§ 507.32 *Survivors entitled to award of detention benefits.* In the case of the death of a civilian American citizen who would have been entitled to detention benefits under the act, such benefits shall be awarded if claim is made only to the following persons: (a) Widow or dependent husband if there is no child or children of the deceased; (b) widow or dependent husband and child or children of the deceased, one half to the widow or dependent husband and the other half to the child or children in equal shares; and (c) child or children of the deceased (in equal shares) if there is no widow or dependent husband.

§ 507.33 *Persons not entitled to award of detention benefits.* Certain persons are disqualified for an award of detention benefits as follows:

(a) A person who at any time voluntarily gave aid to, collaborated with, or in any manner served the Imperial Japanese government, or

(b) A person who at the time of capture or entrance into hiding was:

(1) A person within the purview of the act entitled "An act to provide compensation for employees of the United States suffering injuries while in the performance of their duties, and for other purposes," approved September 7, 1916, as amended and extended, (39 Stat. 742, as amended; 5 U. S. C. 751 et seq.), or

(2) A person within the purview of the act entitled "An act to provide benefits for the injury, disability, death, or enemy detention of employees of contractors with the United States, and for other purposes," approved December 2, 1942, as amended, (56 Stat. 1028, as amended; 42 U. S. C. and Sup., 1701 et seq.), or

(3) A person within the purview of the Missing Persons Act of March 7, 1942, as amended (56 Stat. 143; 50 U. S. C. App. Sup., 1001 et seq.), or

(4) A regularly appointed, enrolled, enlisted, or inducted member of any military or naval force.

§ 507.34 *Such government.* "Such government" means the Imperial Japanese government or any agent or employee thereof who, in the Philippine Islands or other such place subsequent to December 7, 1941, engaged in any military or civil activities designed to further the prosecution of its war against the United States.

§ 507.35 *Voluntarily.* "Voluntarily" means to have acted freely and willingly, without coercion, duress or constraint and without imminent peril of substantial punitive action against the person.

§ 507.36 *Collaborated with.* A civilian American citizen shall be deemed to have collaborated with such government when he so acted as to give aid or assistance to such government whether military, political, intellectual or economic in nature, with or without adherence to such government, and when such acts were not such as to be within the duty of obedience which inhabitants of occupied territory owe the military occupant, under recognized international law.

§ 507.37 *Gave aid to.* A civilian American citizen shall be deemed to have given aid to such government when by an overt act on his part he furthered the hostile designs of such government or strengthened or tended to strengthen such government in the prosecution of its war against the United States.

§ 507.38 *In any manner served.* A civilian American citizen shall be deemed to have in some manner served such government when he performed any service for such government which aided or tended to aid it, or which anticipated its desires, or which furthered or implemented its ends and purposes, and which was beyond services to which such government was entitled to demand or require as transactions in the ordinary course of civil society as a military occupant.

SUBPART C—REIMBURSEMENT TO RELIGIOUS ORGANIZATIONS AND PERSONNEL THEREOF

AUTHORITY: §§ 507.50 to 507.70 issued under sec. 2, 62 Stat. 1240, as amended; 50 U. S. C. App. Sup., 2001.

§ 507.50 *Religious organization functioning in the Philippine Islands.* (a) A "religious organization functioning in the Philippine Islands" for purposes of section 7 (a) of the act, means any church, sect, denomination, religious order or congregation, or any group, body, corporation, association or other entity formed for religious purposes, professing and adhering to the tenets of some particular religious faith or form of worship and which maintained under its auspices in the Philippine Islands, on or after December 7, 1941, a church, chapel, or other place of divine worship or a religious house, community, mission, convent or facilities for divine worship, or operated a school, dormitory, hospital, dispensary, orphanage or other like institutions under religious auspices; or any part, division or association of such churches, sects, denominations, religious orders, congregations, groups, bodies, corporations or entities.

(b) Within the contemplation of section 7 (b) of the act the term "such religious organization" shall be deemed to include a religious organization as defined in paragraph (a) of this section, but restricted to the religious organization which owned and operated the schools, colleges, universities, scientific observatories, hospitals, dispensaries, orphanages, and other property or facilities connected with their educational, medical, or welfare work at the time loss or damage was sustained.

(c) Within the contemplation of section 7 (c) of the act the term "such [affiliated] organization"[1] shall be deemed to mean a religious organization as defined in paragraph (a) of this section.

§ 507.51 *Affiliated with a religious organization in the United States.* A religious organization functioning in the Philippine Islands will be deemed to have been affiliated with a religious organization in the United States when (a) by its charter or articles of association, incorporation or its rules, regulations or constitution it was a branch, part or division of a religious organization operating in the United States; or (b) by its rules, regulations or customs was subject to the control or directions of the duly constituted authorities of a church, sect, or religious order operating in the United States; or (c) it was directly supported financially, in whole or in part, by a church, sect, or religious organization operating in the United States; or, furnished or exchanged personnel with such organizations under conditions determined by the Commission to be consistent with the intent and purpose of section 7 (a), (b), and (c) of the act.

§ 507.52 *Personnel*—(a) *Personnel of any such Philippine organization within the meaning of section 7 (a) of the act.* The personnel of such Philippine organization for purposes of section 7 (a) shall

[1] Bracket supplied.

be deemed to include any person who held office therein by reason of appointment, ordination, consecration, profession, religious vows or other form of ceremonial admission to ministerial religious status, and any duly authorized representative, agent or employee of such organization.

(b) *Personnel of any such religious organization within the meaning of section 7 (b) of the act.* The term personnel of a religious organization for purposes of section 7 (b) of the act shall include only a person, group of persons (e. g. trustees, vestrymen or deacons, etc.), or any other individual or legal entity in whom legal title to that portion of the property for which claim is made is vested pursuant to the customs, practices, or usages of a religious organization as defined in § 507.50, for the beneficial use of such organization.

§ 507.53 *Reimbursement.* Reimbursement or repayment of expenditures incurred shall be made whenever possible in dollars, the amount of the award to be computed on the basis of the rate of exchange applicable at the date such expenditures were incurred.

§ 507.54 *Expenditures incurred.* An expenditure shall be deemed to have been incurred by such Philippine organization or the personnel thereof, when money or any other article of calculable value which was the property of, or for which such organization or personnel was obliged to make repayment or restitution, was voluntarily spent, paid over, donated, contributed, used or consumed, or which, after being designated for use in accordance with the terms of section 7 of the War Claims Act of 1948, was lost, confiscated, or destroyed, while held for delivery or during delivery, to, or in behalf of the persons described in §§ 507.57 and 507.58: *Provided,* That the aforesaid expenditures were not incurred in accordance with an agreement with the Japanese authorities which provided for compensation.

§ 507.55 *Fair value of supplies used.* The fair value of supplies used means the original cost of such supplies or the present replacement value, whichever is greater. In the event the supplies have already been replaced at a cost in excess of either the original cost or the present replacement price, the actual amount thus expended shall constitute the fair value. If such amount expended for replacement is less than the present replacement price then the original cost or the actual amount expended in replacing such supplies, whichever is greater, shall constitute the fair value. The fair value of services furnished in accordance with the provisions of section 7 means either the fee, price or rental charge prevailing in the Philippine Islands at the time such services were furnished or such fixed or standard valuation as the Commission shall establish. In computing the fair value of supplies used or services furnished any compensation received by the claimant, in pursuance thereof, whether at the time of the delivery or use of the supplies, at the time of performance of the service, or subsequent thereto, shall be deducted. Whenever the claimant is unable to adduce relevant, reliable and probative evidence which tends to establish fair value, the Commission will establish as the fair value of the supplies used or the services performed, an amount which, being consistent with the intent and purpose of section 7 of the act, it deems equitable and reasonable.

§ 507.56 *Furnishing shelter, food, clothing, hospitalization, medicines, and medical services and other relief.* A religious organization functioning in the Philippines will be deemed to have furnished shelter, food, clothing, hospitalization, medicines and medical aid in the Philippines when such organzation or its personnel voluntarily, either directly or indirectly, provided refuge for, fed, clothed, provided hospital, medical, and nursing services to, or supplied medicines, drugs, religious articles and the like, or furnished such other services and supplies determined by the Commission to be consistent with the intent and purpose of section 7 of the act, or provided funds or other means whereby such things were provided, or where items of supply after being designated for such use were confiscated, or destroyed while held for delivery or during delivery, to or in behalf of the persons described in §§ 507 57 and 507.58: *Provided,* That such shelter, food, clothing, hospitalization, medicines, and medical aid, and the like were not furnished in accordance with an agreement with Japanese authorities which provided for compensation.

§ 507.57 *Members of the armed forces of the United States.* Members of the armed forces of the United States shall mean any regularly appointed, enrolled, enlisted, or inducted member of the military or naval forces of the United States Army, Navy, Marine Corps and Coast Guard; commissioned officers of the United States Public Health Service who were detailed for active duty with the Army, Navy, Marine Corps or Coast Guard; commissioned officers of the United States Coast and Geodetic Survey who were assigned to duty during World War II on projects of the War and Navy departments outside the continental United States; members of the organized Philippine Army of the government of the Commonwealth of the Philippines and other units who were called or ordered into service of the armed forces of the United States in valid orders by the General, United States Army, designated by the Secretary of War, pursuant to and in compliance with the Military Order of the President of the United States, dated July 26, 1941 (3 CFR, 1943 Cum. Supp.).

§ 507.58 *Civilian American citizen (as defined in section 5 of the act).* The term "civilian American citizen" means any person who, being then a citizen of the United States, was captured by the Imperial Japanese Government on or after December 7, 1941, at Midway, Guam, Wake Island, the Philippine Islands, or any Territory or possession of the United States attacked or invaded by such government, or while in transit to or from any such place, or who went into hiding at any such place in order to avoid capture or internment by such government.

§ 507.59 *Definitions of "compensated".*—(a) *Compensated.* (1) The word "compensated" as employed in section 7 (b) of the act shall be deemed to include a computation of the loss or damage sustained, deducting therefrom any amounts which such religious organization or its personnel, as defined in §§ 507.50 (b) and 507.52 (b) or any person or entity, has heretofore received from, or which have been expended by, the Philippine War Damage Commission or any other agency of the United States on account of the same loss or damage.

(2) In any case in which a claim may properly be filed under section 7 (c) of the act, no compensation for the same loss or damage may be authorized under section 7 (b).

(b) *"Compensated" within the meaning of section 7 (c) of the act.* Within the contemplation of section 7 (c) of the act, the term "compensated" shall be deemed to include a computation of the loss or damage sustained deducting therefrom any amounts which the Philippine War Damage Commission or any other agency of the United States has heretofore awarded and paid or expended on account of the same loss or damage.

§ 507.60 *Loss or damage sustained as a consequence of the war.* (a) Within the contemplation of section 7 (b) of the act, "loss or damage sustained as a consequence of the war" shall be deemed to include any such loss or damage which resulted directly from one or more of the following perils subsequent to December 6, 1941, and prior to August 15, 1945:

(1) Enemy attack;

(2) Action taken by or at the request of the military, naval, or air forces of the United States to prevent such property from coming into the possession of the enemy;

(3) Action taken by enemy representatives, civil or military, or by the representatives of any government cooperating with the enemy;

(4) Action by the Armed Forces of the United States in opposing, resisting, or expelling the enemy from the Philippines;

(5) Looting, pillage, or other lawlessness or disorder accompanying the collapse of civil authority determined by the Commission to have resulted from any of the other perils enumerated in this section or from control by enemy forces.

(b) Any award made pursuant to the provisions of section 7 (c) of the act shall be authorized only for loss or damage sustained as a consequence of the war as defined in paragraph (a) of this section.

§ 507.61 *"Other property or facilities connected with" within the meaning of section 7 (b) of the act.* The term "other property or facilities connected with" within the meaning of section 7 (b) of the act shall be deemed to include any property, both real and personal, owned by such religious organization or its personnel, as defined in §§ 507.50 (b) and 507.52 (b), which was substantially

used and necessarily maintained in the operation of its schools, colleges, universities, scientific observatories, hospitals, dispensaries, and orphanages in the furtherance of its work in the fields of education, medicine and welfare.

§ 507.62 *Educational, medical and welfare work within the meaning of section 7 (b) of the act.* Educational, medical and welfare work shall be deemed to include those programs, curricula and other duly constituted procedures and services essential to the functioning of educational, medical and welfare institutions, and which were regularly offered by such schools, colleges, universities, scientific observatories, hospitals, dispensaries and orphanages.

§ 507.63 *Any interest in.* The term "any interest in" as used in section 7 (c) of the act shall mean less than a freehold ownership but shall include substantial participation in the management and operation of a hospital by furnishing the equipment, teachers, nurses, or personnel by which such institutions were operated.

§ 507.64 *American citizens substantially composed the administrative staff.* The administrative staff of any hospital described in section 7 (c) of the act will be deemed to be substantially composed of American citizens where it is determined that persons, who are citizens of the United States, mainly, and for the most part, comprised or made up the personnel engaged in the management, conduct, direction or superintendence of the application of things, or functions of persons, in connection with and directly related to the operation of such hospital. Where a hospital within the purview of section 7 (c) has ceased operations, qualifications relating to the composition of the administrative staff will be determined as of December 7, 1941.

§ 507.65 *At the time of the outbreak of the war.* The phrase "at the time of the outbreak of the war" as used in section 7 (c) of the act, means December 7, 1941.

§ 507.66 *Postwar*—(a) *Real property.* (1) "Postwar" as used in the term "postwar cost of replacement" for purposes of section 7 (d) of the act is defined to mean, in cases where buildings, structures, installations, etc., have not been replaced or restored, the twelve-month period extending from October 1, 1951, to October 1, 1952.

(2) In cases where real property has been fully replaced or restored at the expense of an eligible claimant, "postwar" as used in the term "postwar cost of replacement" for purposes of section 7 (d) of the act is defined to mean the actual date on which the obligation was incurred or the calendar year during which the obligation was incurred.

(3) In cases where real property has been partially replaced or restored, "postwar" as used in the term "postwar cost of replacement" for purposes of section 7 (d) of the act, for that portion which has been replaced or restored shall be determined in accordance with subparagraph (2) of this paragraph, and as to that portion which has not been replaced or restored in accordance with subparagraph (1) of this paragraph.

(b) *Personal property.* "Postwar" as used in the term "postwar cost of replacement" for purposes of section 7 (d) of the act is defined to mean, in relation to personal property lost or damaged as a consequence of the war, the twelve-month period extending from October 1, 1951, to October 1, 1952.

§ 507.67 *Cost of replacement.* The term "cost of replacement" as used in the phrase "postwar cost of replacement" for purposes of section 7 (d) of the act shall be the amount determined to be fair and equitable within the limitations set forth in § 507.66, required to restore the property lost or damaged as defined in § 507.60 to the same actual functional capacity or degree of usefulness as existed immediately prior to the loss or damage.

§ 507.68 *In an amount sufficient to enable such organization to replace.* The term "in an amount sufficient to enable such organization to replace" as used in section 7 (c) of the act shall be construed in relation to both real and personal property in accordance with the formulae and limitations set forth in §§ 507.66 and 507.67: *Provided, however,* That the date to be used in determining the actual functional capacity or degree of usefulness shall be December 7, 1941.

§ 507.69 *The hospital's facilities and capacity.* The term "the hospital's facilities and capacity" as used in section 7 (c) of the act shall be deemed to be restricted to property, both real and personal, which was substantially used and necessarily maintained in the operation of such hospital as of December 7, 1941.

§ 507.70 *Equal to.* The term "equal to" as used in section 7 (c) of the act means the same actual functional capacity and degree of usefulness as existed on December 7, 1941.

PART 508—PAYMENT

Sec.
508.1 The War Claims Fund.
508.2 Payments under the War Claims Act.
508.3 Payment of awards to certain members of religious organizations.
508.4 Payment of fees.

AUTHORITY: §§ 508.1 to 508.4 issued under sec. 2, 62 Stat. 1240; 50 U. S. C. App. Sup., 2001.

§ 508.1 *The War Claims Fund.* There is created on the books of the Treasury of the United States, a trust fund known as the War Claims Fund, which consists of all sums covered into the Treasury pursuant to the provisions of section 39 of the Trading With the Enemy Act of October 6, 1917 (40 Stat. 411), as amended, the monies of which fund are available for expenditure as provided in other sections of the War Claims Act.

§ 508.2 *Payments under the War Claims Act*—(a) *Living prisoners of war or living civilian American citizens.* Any award made to a living prisoner of war for compensation, or to a living civilian American citizen for detention benefits will be certified to the Secretary of the Treasury for payment to the person entitled thereto, except that as to persons under legal disability payment will be made as specified in paragraph (c) of this section.

(b) *Survivors of deceased prisoners of war or deceased civilian American citizens.* Awards made to the survivors of deceased prisoners of war, or to the survivors of deceased civilian American citizens, will be certified to the Secretary of the Treasury for payment to the individual members of the class or classes of survivors entitled thereto in the full amount of the share to which each survivor is entitled, except that as to persons under any legal disability payment will be made as specified in paragraph (c) of this section.

(c) *Payments to persons under legal disability.* Any award or any part of an award payable pursuant to sections 5 (a) through (e), or 6 of the act to any person under legal disability may, in the discretion of the Commission, be paid for the use of the claimant to the natural or legal guardian, committee, conservator, or curator, or if there is no such natural or legal guardian, committee, conservator or curator then, in the discretion of the Commission, to any person, including the spouse of such person, or the Chief Officer of the hospital in which the claimant may be a patient, whom the Commission may determine is vested with the care of the claimant or of his estate. In the case of a minor, any part of the amount payable may, in the discretion of the Commission, be paid to such minor.

(d) *Religious organizations.* (1) Any award made to a religious organization under the provisions of section 7 (a) of the act will be certified to the Secretary of the Treasury for payment in the full amount to such organization in its corporate name, or to such officer or officers thereof as are properly and lawfully designated by the organization.

(2) Any award made to a religious organization under the provision of section 7 (b) or (c) of the act will be certified to the Secretary of the Treasury in accordance with subparagraph (1) of this paragraph, or upon request of such religious organization will be authorized to be paid to its properly designated affiliate in the United States: *Provided,* That such affiliate certifies to the War Claims Commission that all money paid on said claim and received by the named affiliate will be used for the purpose of restoring the educational, medical and welfare facilities described in the claim and located in the Philippines.

§ 508.3 *Payment of awards to certain members of religious organizations.* Pursuant to the provisions contained in section 14 of the act, when an award is made to any person who is prevented from accepting such money by the rules, regulations or customs of the church, religious order or organization of which he is a member, certification for the payment of such award to such church, religious order or organization will be made by the Commission to the Secretary of the Treasury upon the written request of such person.

§ 508.4 *Payment of fees.* Fees of attorneys or agents will not be deducted in whole or in part from the amount awarded to any claimant. The Commis-

sion reserves the right to withhold certification for payment of any award to any claimant represented by an attorney or agent until it is satisfied that the provisions of the act, relative to fees for services rendered, or any rule or regulation adopted by the Commission have been or will be complied with.

Subchapter C—Appeals and Hearings

PART 515—APPEALS

SUBPART A—FILING OF, AND COMMISSION ACTION ON APPEALS

Sec.
515.1 Basis for appeal.
515.2 Form of request.
515.3 Appeal proceedings.
515.4 Appeals calendar.
515.5 Action by Commission on Appeals.
515.6 Appeals Boards.

SUBPART B—HEARING PROCEDURES

515.20 Pre-hearing conference.
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515.22 Motions.
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SUBPART C—FINDINGS AND CONCLUSIONS

515.30 Decisions of Appeals Board.
515.31 Notice of findings.
515.32 Rehearing and reargument.

AUTHORITY: §§ 515.1 to 515.32 issued under sec. 2, 62 Stat. 1240; 50 U. S. C. App. Sup., 2001.

SUBPART A—FILING OF, AND COMMISSION ACTION ON APPEALS

§ 515.1 *Basis for appeal.* Any claimant whose claim is denied or is approved for less than the full allowable amount may appeal to the Commission from such determination.

§ 515.2 *Form of request.* (a) An appeal shall be made in writing on WCC Form 1105. Such form, to be acceptable, must be filed with the Commission within six months from the date of the award or disallowance letter informing the claimant of the original determination.

(b) Upon failure to file such an appeal within six months, the claimant will be deemed to have waived his right to appeal and the decision of the Commission shall constitute a full and final disposition of the case.

(c) Upon proper cause shown, the Commission may, in its discretion, extend the time within which an appeal may be filed.

§ 515.3 *Appeal proceedings.* Appeal proceedings may consist of:

(a) A review of the original determination and the material in support thereof, plus any additional supporting evidence or briefs which the claimant or his authorized representative may submit.

(b) A hearing before an Appeals Board for the purpose of considering the original determination and the material in support thereof, plus any additional supporting evidence or briefs which the claimant or his authorized representative may submit. The claimant will be permitted to appear personally, or through an authorized representative before the Commission, and to present the testimony of other witnesses.

(c) The Commission may, in its discretion, require a hearing in any proceeding and shall give to the parties to the proceeding at least thirty (30) days notice of the time and place of such hearing.

§ 515.4 *Appeals calendar.* Upon receipt of WCC Form 1105 the case shall be entered on the Appeals and Hearings Docket. Each appealed claim shall be assigned an appeal number in the order of its receipt. This number shall govern the order in which appealed claims are considered.

§ 515.5 *Action by Commission on Appeals.* (a) If the claimant has specified on WCC Form 1105 that he does not wish to make a personal appearance, his claim, when reached on the appeals calendar, will be reviewed by an Appellate Attorney. The Appellate Attorney will present the claim and a summary of the evidence to an Appeal Board, with his recommendation as to whether the Commission's original determination should be affirmed, modified or reversed.

(b) If the claimant in executing WCC Form 1105 has requested a personal appearance, the claim will be assigned to an Appellate Attorney who will set the case for hearing. He will notify the claimant, his authorized representative, and all witnesses of the time and place of the hearing thirty (30) days in advance. The Appellate Attorney will then review the claim preparatory to presenting it to the Appeals Board.

(c) Personal appearance may be waived by the interested parties at any time and the case submitted to an Appeals Board on briefs.

§ 515.6 *Appeals Boards.* An Appeals Board shall consist of three members. One of the Commissioners shall act as Chairman of the Board; the other two members of the Board shall consist of such officers or employees as the Commission may designate.

SUBPART B—HEARING PROCEDURES

§ 515.20 *Pre-hearing conference.* At the request of the claimant or by an order of an Appeals Board, at any time prior to the hearing, the Chairman of the Appeals Board, or the Appellate Attorney assigned to the claim may arrange for a conference at a designated time and place to consider, among other things, simplification of the issues and any other matter which would tend to expedite the disposition of the proceedings.

§ 515.21 *Conduct of hearings.* (a) Unless otherwise ordered by the Commission, hearings on appeals shall be closed. The hearing shall be stenographically reported and the transcript shall be a part of the record.

(b) The Chairman of an Appeals Board, or any employee of the Commission designated by him, may administer oaths and examine witnesses. The Chairman of an Appeals Board may, in accordance with Part 502, Subchapter A of the Commission's regulations, require by subpoena the attendance and testimony of witnesses, as well as the production of all necessary books, papers, documents, records, correspondence, and other evidence.

(c) The claimant shall have the burden of proof on all issues involved in the claim proceeding.

(d) The claimant, his authorized representative, or the Appellate Attorney, shall have the right and power to call, examine and cross-examine witnesses and to introduce for the record documentary or other evidence.

(e) The rules of evidence prevailing in courts of law and equity shall not be controlling. Any testimony or other evidence having probative value shall be received. However, it shall be the policy to exclude irrelevant, incompetent, immaterial or unduly repetitious evidence.

(f) In the discretion of the Chairman of an Appeals Board the hearing or prehearing may be adjourned from day to day, postponed to a later date, or to a different place by announcement thereof at the hearing, or by reasonable notice to the interested parties.

§ 515.22 *Motions.* (a) A motion by the Appellate Attorney to dismiss a hearing may be granted by the Appeals Board when the claim on its face is not allowable or when it appears that the appeal has been abandoned. Such a motion shall be made in writing and shall state the reasons in support thereof. The motion shall be filed with the Appeals Board, and a copy shall be served upon all interested parties by the Appellate Attorney.

(b) Hearing on the motion shall be held at a time and place as ordered by the Chairman of the Appeals Board.

(c) Briefs may be submitted before the hearing, at the hearing, or within a time fixed by the Chairman of the Appeals Board after the close of the hearing.

(d) The decision of the Appeals Board upon the motion shall be final and shall be the decision of the Commission. The rehearing and reargument provisions of § 515.32 shall apply to decisions of the Appeals Board upon such a motion.

§ 515.23 *Oral argument at close of hearing.* Any party shall be entitled upon request, at the close of the hearing, to such time as may be fixed by the Chairman of the Appeals Board for oral argument. Oral argument made with the consent of the Appeals Board shall be included in the stenographic report of the hearing.

§ 515.24 *Proposed findings and conclusions.* At the close of the reception of evidence, or within a reasonable time thereafter, to be fixed by the Appeals Board, any party may submit proposed findings and conclusions, together with a brief in support thereof. Such proposal shall be in writing and shall contain appropriate references to the record. Copies thereof shall be furnished to all parties. Reply briefs may be filed with the permission of and within a reasonable time to be fixed by the Appeals Board.

SUBPART C—FINDINGS AND CONCLUSIONS

§ 515.30 *Decisions of Appeals Board.* The Appeals Board, as soon as practicable after receipt of the complete tran-

script and all exhibits, shall render a decision which shall become a part of the record and shall include a statement of the reasons and grounds therefor. Each decision by the Appeals Board, when concurred in by two or more of the Commissioners, shall constitute a full and final disposition of the case.

§ 515.31 *Notice of findings.* Notice of the final decision of the Appeals Board shall be delivered in person to all interested parties, or shall be sent by regular mail to such parties.

§ 515.32 *Rehearing and reargument.* Any party desiring a rehearing, reargument or any relief not specifically covered by this Part may file a petition with the Commission within ten (10) days after notice of the decision of the Appeals Board, stating the relief sought and the reasons in support thereof. The Commission may allow the petition, in whole or in part, as it deems proper.

PART 516—INVESTIGATIONAL HEARINGS

Sec.
516.1 Type of hearings.
516.2 Purpose of hearings.
516.3 Conduct of hearings.

AUTHORITY: §§ 516.1 to 516.3 issued under sec. 2, 62 Stat. 1240; 50 U. S. C. App. Sup., 2001.

§ 516.1 *Type of hearings.* Investigational hearings, as distinguished from appeals, shall be held only as ordered by the Commission, and shall be held before the Commission, one or more of its members, or a duly authorized and designated representative.

§ 516.2 *Purpose of hearings.* Such hearings shall be conducted for the purpose of receiving the testimony of witnesses, documents and other data relating to subjects within the jurisdiction of the Commission.

§ 516.3 *Conduct of hearings.* (a) Unless otherwise ordered by the Commission, such hearings shall be public. Hearings shall be stenographically reported and a transcript thereof shall be a part of the record of the study, investigation, or claim.

(b) The rules of evidence prevailing in courts of law and equity shall not be controlling. Any testimony or other evidence having probative value shall be received. However, it shall be the policy to exclude irrelevant, incompetent, immaterial or unduly repetitious evidence.

Subchapter D—Report for the Congress Regarding War Claims Arising Out of World War II

PART 520—PREPARATION AND SUBMISSION OF THE REPORT TO THE CONGRESS

Sec.
520.1 General provisions.
520.2 Inquire into.
520.3 War claims.
520.4 National of the United States.
520.5 Arising out of.
520.6 World War II.
520.7 Claims which may be received and adjudicated under the preceding sections of this act.
520.8 International agreements.
520.9 Domestic or foreign laws.
520.10 The report of the Commission.
520.11 Who may submit information.
520.12 How information is to be submitted.
520.13 Where to send information.
520.14 Time information must be received.

AUTHORITY: §§ 520.1 to 520.14 issued under sec. 2, 62 Stat. 1240; 50 U. S. C. App. Sup., 2001. Interpret or apply sec. 8, 62 Stat. 1245; 50 U. S. C. App. Sup., 2007.

§ 520.1 *General provisions.* Pursuant to the provisions of section 8 of the War Claims Act of 1948, as amended, the War Claims Commission initiated an inquiry and prepared and submitted an initial report to the President and the Congress on March 31, 1950, with respect to war claims arising out of World War II other than claims which may be received and adjudicated under the act. The preliminary report of the Commission presented initial estimates of the numbers, types, categories, and amounts of such claims and suggested certain priorities and limitations for consideration in connection with its initial recommendations as to the recognition and payment of such claims. The War Claims Commission is now required to complete its inquiry and to report further under the terms applicable to its preliminary report.

§ 520.2 *Inquire into.* "Inquire into" means that the Commission shall accept information voluntarily submitted and shall, in its discretion, request information concerning war claims arising out of World War II from any person, firm, or organization, or from any agency or department of the Government of the United States, or of any foreign nation, by means of requests for information, interviews, investigations, correspondence, public or closed hearings, or by use of appropriate official questionnaire forms.

§ 520.3 *War claims.* Shall include any loss, injury, or damage suffered or sustained by a person or business entity or organization, who, at the time of such loss, injury, or damage was:

(a) A national of the United States, as hereafter defined, who did not give aid or comfort to, or collaborate with any enemy or ally of enemy of the United States; or a branch or agency of the United States Government; or a regularly appointed, enrolled, enlisted or inducted member of the military or naval forces of the United States; or an alien to whom the United States owes protection, such as an alien seaman signed on a United States vessel. Such loss, injury, or damage must be the result of action by a branch or agency, civil or military, of any sovereign power who, by declaration of war or by military activity of its regular forces, was at war during World War II, such loss, injury, or damage being one which would not have occurred, but for the existence of a state of war; or

(b) Not a national of the United States and not an enemy, or ally of enemy, as defined in section 2 of the Trading With the Enemy Act of 1917 (50 U. S. C. Appendix, sec. 2): *Provided*, That such definition shall not apply to a person who, after September 1, 1939, being resident within enemy or ally of enemy territory, or being a citizen or subject of such enemy or ally of enemy nation, was deprived of liberty, or did not enjoy full rights of citizenship under the laws of such enemy or ally of enemy nation, as a consequence of any law, decree or regulation, of the nation within which he resided, or of which he was a citizen or subject, discriminating against political, racial, or religious groups. Such loss, injury, or damage must be the result of an action by the Government of the United States or one of its civil or military agencies. Such action must arise out of World War II and the loss, injury, or damage must be one which would not have occurred but for the existence of a state of war.

§ 520.4 *National of the United States.* (a) In the case of an individual, the provisions of the Nationality Act of 1940 (8 U. S. C. 501 et seq.) shall apply;

(b) In the case of a business entity or organization, incorporated or unincorporated, such entity or business organization must be organized under the applicable laws of the United States or one or more of the States of the United States, its territories or possessions; and its owners, participants, members or shareholders representing at least 50 percent of the ownership or control of such business entity or organization, must be nationals of the United States; or in the case of a business entity or organization, incorporated or unincorporated, not organized under the applicable laws of the United States or one or more of the States of the United States, its territories or possessions, its owners, participants, members or shareholders representing at least that percentage of control necessary under the laws of that State or territory, where such business entity or organization is organized, to effect the liquidation of such business entity or organization, must be nationals of the United States.

§ 520.5 *Arising out of.* "Arising out of" means originating from, or springing out of, the activities of a branch or agency, civil or military, of any sovereign power which, by declaration of war or by military action of its regular forces, was at war during World War II, which activities are directly related to such power's preparation for, and participation in World War II.

§ 520.6 *World War II.* World War II shall be deemed to have commenced September 1, 1939, and ending:

(a) In the case of actions taking place within the United States, its territories and possessions, or on the high seas, on the date to be proclaimed by the President of the United States as the date of termination of World War II;

(b) In the case of actions taking place in enemy territory or in territory of an ally of an enemy of the United States, on the effective date of a treaty of peace between the United States or its allies and the former enemy;

(c) In the case of actions taking place in territories formerly occupied by enemy forces and subsequently occupied by forces of the United States or its allies, on the date of the withdrawal of United States or allied occupation forces, or on the date of the return of the territory to the control of a sovereign power, other than a former enemy, or to a trustee, or to a controlling power deriving its au-

thority from an act of the United Nations, whichever date is earlier; or

(d) In the case of actions taking place in the territories of allies of the United States, on the date proclaimed or determined by the executive or legislative branches of the sovereign power to be the date of termination of World War II.

§ 520.7 *Claims which may be received and adjudicated under the preceding sections of this act.* Claims which may be received and adjudicated under the preceding sections of this act include claims by prisoners of war or their survivors; civilian American citizens or their survivors; religious organizations or the personnel of such organizations, which claims are paid or payable under the provisions of sections 5, 6, or 7 of the act, as amended.

§ 520.8 *International agreements.* An "international agreement" is any treaty, convention, executive agreement, agreement on a military level, agreement resulting from action by the United Nations and its agencies, and an agreement arising from a diplomatic exchange of notes.

§ 520.9 *Domestic or foreign laws.* (a) "Domestic laws" means any statute, act, or resolution of the Congress of the United States, any executive order or proclamation of the President of the United States, and any statute, act, or resolution of the Legislature of a State of the United States, or of its territories or possessions, and any proclamation or order of the Governor of a State of the United States or its territories or possessions;

(b) "Foreign laws" means any act, having the force of law, of the executive or legislative branches of a sovereign power or any of its subdivisions or territories other than the United States, its individual States, territories or possessions.

§ 520.10 *The report of the Commission.* The report of the Commission to the President, for submission to the Congress, shall include:

(a) A statement of results of research—presented in narrative form, together with such supporting evidence as the Commission deems applicable;

(b) A recital of the types and categories of claims—including all claims considered reportable by the Commission on the basis of information obtained and facts found by the Commission with respect to such claims;

(c) The estimated number and amount of claims—to be shown in tabular form;

(d) A statement, when ascertainable, outlining the extent of satisfaction available under international agreements and foreign and domestic laws;

(e) Recommendations for recognition and allowance of claims in order of priority;

(f) A discussion of the legal or equitable bases of claims recommended to be received and considered;

(g) The recommended administrative method by which claims should be received and considered;

(h) Recommendations concerning limitations as to payment of fees for assistance in filing and prosecuting claims in the recommended categories and suggested limitations as to the time in which claims may be accepted after the passage of any proposed legislation;

(i) Other miscellaneous recommendations which the Commission may deem appropriate; and

(j) Such proposals for legislation as the Commission deems appropriate to carry out the recommendations made in the report.

§ 520.11 *Who may submit information.* Any person, business entity, organization, or any agency or department of the Government of the United States or of any foreign nation, as well as any authorized representative or agent of such person, firm, organization, or governmental department may file a statement of information concerning a war claim arising out of World War II.

§ 520.12 *How information is to be submitted*—(a) *Questionnaires.* For the purpose of uniformity in submitting statements of loss, injury, or damage, official questionnaires of the Commission should be used. Such questionnaires are:

(1) WCC Form-801—Report of Loss or Damage to Real or Personal Property Arising out of World War II.

(2) WCC Form-802—Report of Personal Injury, Detention, Death, etc., Arising out of World War II.

(b) *Letters.* If an official questionnaire is not available, the statement of loss, injury, or damage may be submitted by letter. This statement should be carefully checked to include all data and information necessary for full consideration of the case and should include:

(1) Name and address of claimant.

(2) Nationality of claimant at time claim arose.

(3) Type of loss, injury, or damage.

(4) Estimate of damage, including the date as of when the estimate is made and the monetary basis.

(5) Government against which claim lies.

(6) Date and place of injury or loss on which claim is based.

(7) Statement as to whether claimant was a member of the military or naval forces of the United States, dates, branch of service, and serial or service number.

(8) Statement as to dates and places of government employment, if any.

(9) Brief account of the circumstances surrounding the loss, injury, or damage.

(10) Name of any agency of any government to which such loss or injury has been reported previous to submission of this information to the War Claims Commission.

(11) Results of any such prior submission showing allowance, disallowance, or compensation in whole or in part.

(12) Statement concerning any tax deduction taken as a result of such loss or injury or any other form of relief granted, such as compensation, insurance, etc.

(c) *Availability of questionnaires and general information.* Questionnaires and general information concerning potential claims to be considered in the report of the Commission are available at the Washington Office of the Commission. Questionnaires will be forwarded upon request and will also be distributed through such governmental, public, and private agencies as the Commission shall designate.

§ 520.13 *Where to send information.* All questionnaires and statements of loss, injury, or damage must be sent to the War Claims Commission, Attention: Legislation and Opinions Service, Washington 25, D. C.

§ 520.14 *Time information must be received.* All questionnaires and statements of loss, injury, or damage must be received by the Commission on or before June 30, 1951. Consideration cannot be given to any questionnaires or statements received after that date.

[F. R. Doc. 52-12103; Filed, Nov. 10, 1952; 8:54 a. m.]

TITLE 19—CUSTOMS DUTIES

Chapter I—Bureau of Customs, Department of the Treasury

[T. D. 53136]

PART 10—ARTICLES CONDITIONALLY FREE, SUBJECT TO A REDUCED RATE, ETC.

EFFECTS AND TOOLS OF TRADE

It has been concluded that customs clearance without requirement of an entry may be extended, in the discretion of the collectors of customs, to certain non-commercial shipments in addition to those for which such clearance is now provided for in the customs regulations (see § 10.20).

1. Since an entry may not be required for certain shipments of household effects, § 10.11 (a), Customs Regulations of 1943 (19 CFR 10.11), is hereby amended by deleting "in connection with the entry" and substituting therefor "to support the claim for free entry".

(Sec. 201 (par. 1632), 46 Stat. 675, sec. 624, 46 Stat. 759; 19 U. S. C. 1201 (par. 1632), 1624)

2. To eliminate an implication that an individual entitled to the privilege provided for in the second proviso to paragraph 1798, Tariff Act of 1930, as amended, must be the actual owner of the articles to which the privilege applies, and since an entry may not be required for certain shipments of such articles, § 10.15, Customs Regulations of 1943 (19 CFR 10.15), is amended to read as follows:

§ 10.15 *Tools of Trade.* When professional books, implements, instruments, or tools of trade, occupation, or employment are claimed to be free of duty under the first clause of paragraph 1747, Tariff Act of 1930,[34] or under the second proviso to paragraph 1798, Tariff Act of 1930, as amended,[35] a declaration of the emigrant or returning individual shall be required to support the claim for free entry. The declaration shall be on customs Form 3299 if the declarant is an emigrant or nonresident returning from abroad, and on customs Form 3297 if the declarant is a returning resident of the United States, except that, as to any such articles claimed to be free of duty under the said second proviso to paragraph 1798, an oral declaration of the returning individual may be accepted in lieu of a written declaration.

(Sec. 201 (par. 1747, 1798), 46 Stat. 680, 683, as amended, sec. 624, 46 Stat. 759; 19 U. S. C. 1201 (pars. 1747, 1798), 1624)

3. Footnotes 17 and 19 appended to § 10.15 are amended by deleting the reference numbers, so that each such note will become a second paragraph of the immediately preceding footnote.

4. To broaden the provision for clearance of certain duty-free noncommercial shipments without requiring that an entry be filed, § 10.20, Customs Regulations of 1943 (19 CFR 10.20), as amended, is further amended as follows:

a. Paragraph (a) is amended to read:

(a) *Effects and tools of trade.* When effects claimed to be free of duty under the first clause of paragraph 1798 or the second proviso to paragraph 1798, Tariff Act of 1930, as amended, do not accompany the importer on his arrival in the United States or are forwarded in bond, a declaration of the importer on customs Form 3299 in the case of a nonresident, or on customs Form 3297 in the case of a returning resident, shall be required to support the claim for free entry, except that as to effects which are free of duty under the said second proviso to paragraph 1798, an oral declaration of the importer may be accepted in lieu of a written declaration on Form 3297. If the collector is satisfied that an entry would serve no good purpose, none need be required, but evidence of ownership for customs purposes, such as a carrier's certificate or properly endorsed bill of lading, shall be required in connection with the declaration. Such exemption from entry may also be applied with respect to household effects or tools of trade entitled to free entry (see §§ 10.11 and 10.15 respectively) which are unaccompanied or forwarded in bond.

b. Paragraph (b) is deleted and paragraphs (c) and (d) are redesignated as paragraphs (b) and (c).

(Secs. 498, 624, 46 Stat. 728, 759; 19 U. S. C. 1498, 1624)

[SEAL] FRANK DOW,
Commissioner of Customs.

Approved: October 28, 1952.

JOHN S. GRAHAM,
Acting Secretary of the Treasury.

[F. R. Doc. 52-12052; Filed, Nov. 10, 1952; 8:51 a. m.]

TITLE 46—SHIPPING

Chapter II—Federal Maritime Board, Maritime Administration, Department of Commerce

[General Order 76]

PART 236—STEAMSHIP CONFERENCES USING CONTRACT/NON-CONTRACT RATES

Whereas, the Federal Maritime Board published in the FEDERAL REGISTER on July 31, 1952 (17 F. R. 7020) a notice of proposed rule of procedure pertaining to the use of contract/non-contract rates by steamship conferences to become effective as of a date to be specified in such rule if adopted by the Board; and

Whereas, the Board granted interested parties an opportunity to submit written statements and comments on said rule within 30 days of the publication of said notice, and thereafter at the request of interested parties extended the time therefor until September 19, 1952; and

Whereas, the Board granted interested parties, at their request, an opportunity to be heard at an oral argument before the Board on October 16, 1952; and

Whereas, after consideration of the written statements and comments submitted and oral argument as aforesaid, and in the light thereof, the Board has adopted the rule of procedure hereinafter set forth; and

Whereas, in view of the time and opportunity to be heard afforded all interested parties, and the necessity for prompt and uniform treatment of steamship conferences using contract/non-contract rates, the Board finds that it is in the public interest to make said rule effective upon the publication thereof.

Now, therefore, it is hereby ordered, that pursuant to section 15 of the Shipping Act, 1916 (46 U. S. C. 814), section 204 of the Merchant Marine Act, 1936, as amended (46 U. S. C. 1114), and sections 3 and 4 of the Administrative Procedure Act (5 U. S. C. 1002, 1003), the following rule of procedure shall be effective as of the date of publication in the FEDERAL REGISTER:

1. Steamship freight conferences having in effect contract/non-contract rates on the effective date of this rule shall file with the Federal Maritime Board within 90 days after the effective date of this rule a statement containing:

(a) The date when contract/non-contract rates were first established by the conference;

(b) The amount of the spread or differential between current contract/non-contract rates stated in terms of percentages or dollars and cents;

(c) The reasons for the use of the current contract/non-contract rates in the particular trade involved, and the basis for the current spread or differential between such rates; and

(d) Copies of the form of all contracts pertaining to such current rates.

2. Steamship freight conferences now or hereafter having in effect contract/non-contract rates shall file with the Federal Maritime Board at least 30 days prior to initiating any increase in the spread or differential between such rates, a statement containing:

(a) The amount of increase in the spread or differential and the total proposed spread or differential in terms of percentages or dollars and cents;

(b) The effective date;

(c) The reasons for the increase in the spread or differential; and

(d) Copies of the form of any changed contract provisions relating to such increase in spread or differential.

As used in this paragraph 2, an "increase in the spread or differential" shall be deemed only to mean an increase in the percentage of a spread or differential between rates if such spread or differential has been established in terms of percentages, or an increase in the dollars and cents amount of the spread or differential if such spread or differential has been established in terms of dollars and cents.

3. Steamship freight conferences proposing to establish contract/non-contract rates to become effective after the effective date of this rule shall file with the Federal Maritime Board at least 30 days prior to the initiation of such rates, a statement containing:

(a) The amount of the spread or differential in terms of percentages or dollars and cents;

(b) The effective date;

(c) The reasons for the use of contract/non-contract rates in the particular trade involved, and the basis for the spread or differential between such rates; and

(d) Copies of the form of all contracts pertaining thereto.

Contract/non-contract rates for a commodity as to which such rates have previously been in effect and discontinued shall not be deemed to be newly established contract/non-contract rates within the meaning of this paragraph 3 if such contract/non-contract rates are again made effective by the conference without increase in spread or differential and within 12 months after discontinuance.

4. Upon a showing of good and sufficient cause, the time within which to file the foregoing statements may be shortened or extended, or such other action taken with respect thereto, as the Board may consider to be in the public interest and not detrimental to the commerce of the United States.

5. The information referred to in the above paragraphs shall be submitted to the Federal Maritime Board in the form of a verified original statement duly executed by an authorized official of the conference, together with 15 conformed copies thereof. Conferences complying with this rule may from time to time amend or amplify statements submitted pursuant thereto in a manner not inconsistent with prior compliance therewith.

6. All information filed pursuant to this rule shall be available for inspection by interested parties at the Regulation Office of the Board. A notice of the filing of the statement required under paragraphs 2 and 3 above will be published in the FEDERAL REGISTER as soon as practicable. Except as may be otherwise provided in cases arising under paragraph 4 above, interested parties shall have twenty (20) days after the date of such publication within which to submit written comments relating to the information filed with the Board pursuant to this rule. Said comments may include a statement of position with respect to approval, disapproval or modification, together with a request for hearing, should such hearing be desired.

(Sec. 204, 49 Stat. 1987, as amended; 46 U. S. C. 1114. Interprets or applies sec. 15, 39 Stat. 733, as amended; 46 U. S. C. 814)

Dated: November 10, 1952.

By the Federal Maritime Board.

[SEAL] A. J. WILLIAMS
Secretary.

[F. R. Doc. 52-12137; Filed, Nov. 10, 1952; 12:04 p. m.]

TITLE 49—TRANSPORTATION

Chapter I—Interstate Commerce Commission

PART 10—UNIFORM SYSTEM OF ACCOUNTS FOR RAILROAD COMPANIES

REVISION OF REGULATIONS

At a session of the Interstate Commerce Commission, Division 1, held at its office in Washington, D. C., on the 15th day of August A. D. 1952.

The matter of accounting regulations for carriers by railroad, which are not independently operated as electric lines, being under consideration pursuant to provisions of section 20 of the Interstate Commerce Act, as amended (24 Stat. 386, 41 Stat. 493, 54 Stat. 916, 49 U. S. C. 20 (3)); and,

It appearing, that by orders dated May 19, 1914, the "Classification of Investment in Road and Equipment of Steam Roads, Issue of 1914," the "Classification of Operating Revenues and Operating Expenses of Steam Roads, Issue of 1914," the "Classification of Income, Profit and Loss, and General Balance Sheet Accounts for Steam Roads, Issue of 1914," and the "Classification of Train-miles, Locomotive-miles, and Car-miles for Steam Roads, Issue of 1914," were all and severally prescribed, certain provisions of all of which orders having been modified subsequently by supplemental orders and the regulations prescribed by those orders subsequently reissued in revised form, and good cause appearing:

It is ordered, That the four orders dated May 19, 1914, as above referred to and as subsequently modified, be and they are hereby vacated and set aside effective October 1, 1952, and that the accounting rules and regulations of permanent effect which were promulgated by those orders as modified, be and they are hereby, reissued in the codified form which is attached hereto and made a part hereof to be known as the "Uniform System of Accounts for Railroad Companies, Issue of 1952;" and,

It is further ordered, That effective October 1, 1952, all carriers by railroad subject to provisions of Part I of the Act and not independently operated as electric lines, shall comply with the said "Uniform System of Accounts for Railroad Companies, Issue of 1952;" and,

It is further ordered, That a copy of this order with the attached regulations shall be served on all railroad companies subject to its provisions, and on every receiver, trustee, executor, administrator, or assignee of any such railroad company, and that notice shall be given to the general public by depositing a copy of the order with attached regulations in the office of the Secretary of the Commission at Washington, D. C., and by filing it with the Director of the Division of the Federal Register.

By the Commission, Division 1.

[SEAL] W. P. BARTEL, *Secretary.*

PART 10—UNIFORM SYSTEM OF ACCOUNTS FOR STEAM ROADS

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10.01-2 Items to be charged.
10.01-3 Basis of charges.
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10.01-5 Excavated material.
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10.5 Tunnels and subways.
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10.18 Water stations.
10.19 Fuel stations.
10.20 Shops and enginehouses.
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10.221 Fences, snowsheds, and signs.
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AUTHORITY: §§ 10.01 to 10.825 issued under sec. 12, 24 Stat. 383, as amended; 49 U. S. C. 12. Interpret or apply sec. 20, 24 Stat. 386, as amended; 49 U. S. C. 20.

NOTE: In this part the numbers assigned to sections thereof include as a whole number, following the decimal point, the number of the prescribed account. Where references throughout the regulations are to an account, as such, only the account number portion of the section number is used. For example: Account 101, "Freight," may be mentioned in the instructions or in the text of another account, and will be found as § 10.101 under operating revenues. Sections devoted to instructions, as distinguished from the texts of the prescribed accounts, are numbered serially § 10.01 to § 10.08, inclusive, with appropriate sub-numbers following a dash.

INVESTMENT IN ROAD AND EQUIPMENT

§ 10.01 *General instructions.* The carrier's records shall be kept with sufficient particularity to show fully the facts pertaining to all entries made in the accounts provided in this part for investment in road and equipment. Where the full information is not recorded in the general books, the entries therein shall be supported by other records in which the full details shall be shown. Such general book entries shall contain sufficient reference to the detail records to permit ready identification, and the detail records shall be filed in such manner as to be readily accessible for examination by representatives of the Interstate Commerce Commission.

§ 10.01–1 *Accounts for investment in road and equipment.* The accounts prescribed in this classification, except in connection with the acquisition of transportation property as provided in accounts 702½A, "Acquisition adjustment," and 702½B, "Donations and grants," are designed to show the investment of the carrier in property devoted to transportation service. The carrier's investment in physical property other than transportation property is provided for in balance-sheet account 705, "Miscellaneous physical property." "The carrier" means the accounting carrier, except when otherwise specifically indicated. The carrier's records shall be kept in such form that expenditures for additions and betterments may be reported separately from those for original road, original equipment, and road extensions, and shall show separately the expenditures under each authorized addition and betterment project. (See balance-sheet account 701, "Road and equipment property," and 702, "Improvements on leased property.") When a building or structure is used primarily for transportation purposes it is not contemplated that parts of such buildings or structures rented to others will be carried in account 705; nor is it contemplated that irregular parcels of land acquired in connection with acquisition of right-of-way which have no value as commercial property shall be transferred to account 705, either for the purpose of making right-of-way boundaries run more or less regular or for the purpose of eliminating from account 701 the cost of unoccupied lands between tracks in yards and terminals.

§ 10.01–2 *Items to be charged.* To these accounts shall be charged the cost of original road, original equipment, road extensions, additions, and betterments; also the estimated values at time of acquisition of right of way and other road and equipment property donated to the carrier, except that unless authorized by

the Commission no charges shall be made to these accounts after July 1, 1914, for donations received previously to that date. Applications to the Commission for including such items in the road and equipment accounts shall contain full information concerning the source and character of the donations.

(a) When the property change involves: (1) the acquisition of units and minor items of road property (other than land or tracks) such as defined in paragraphs (e) and (c) of § 10.01–7 *Road property retired* the cost of which is less than $500.00; (2) the betterment of road property (see "Betterments" under paragraph (c) of this section), the betterment cost of which is less than $500.00, the cost of the units and minor items of road property acquired under (1) and betterment costs under (2) shall be charged to operating expenses.

The retirement of units and minor items of road property shall be accounted for in accordance with § 10.01–7 *Road property retired.*

(b) The carrier shall not parcel expenditures or retirements under a general plan for the purpose of bringing the accounting therefor within this rule, neither shall it combine unrelated items of property for the purpose of excluding the accounting therefor from the rule.

(c) The carrier is permitted to adopt for the purpose of its accounting a limit of less than the aforesaid amounts provided it first files with the Commission the maximum amount which it proposes to adopt and makes no subsequent change in this amount except by authority of the Commission, except that when the carrier adopts a limit of less than $500 in reporting property changes to the Bureau of Valuation for valuation purposes it shall adopt a like minimum for accounting purposes in order to coordinate the original cost with the physical property included in the inventory.

"Construction" includes all processes connected with the acquisition and construction of original road and equipment, road extensions, additions, and betterments.

"Original road" means the land and road property provided and arranged for in the original plan for the construction of a new road. When the acquisition of any road property under the original plan is deferred, such property when acquired, shall be considered an addition. Original road shall not include road property which, under the original plans for the road, it is proposed to substitute at some time subsequent to the beginning of commercial operations, for the property originally installed and used for transportation operations, such as steel bridges substituted for trestles.

"Original equipment" means equipment provided and arranged for under the original plan for the construction of a new road. When the acquisition of such equipment under the original plan is deferred, such equipment, when acquired, shall be considered as additions.

"Road extensions" means the land and road property provided and arranged for in the original plan for the construction of extensions of existing main lines, additional branch lines, and extensions of existing branch lines. When the acquisition of any road property under the original plan is deferred, such property, when acquired, shall be treated as an addition. Road extensions shall not include road property which, under the original plan for the extensions, it is proposed to substitute, at some time subsequent to the beginning of commercial operations for the property originally installed and used for transportation in connection with the commercial operations, such as steel bridges substituted for trestles.

"Equipment" means the rolling stock, boats, highway vehicles, horses, and harness devoted to transportation service, the cost of which is includible in the equipment accounts.

"Road property" means transportation property other than equipment.

"Additions" are additional facilities, such as additional equipment, tracks (including timber and mine tracks), buildings, bridges, and other structures; additions to such facilities, such as extensions to tracks, buildings, and other structures; additional ties laid in existing tracks; and additional devices applied to facilities, such as air brakes applied to cars not previously thus equipped. When a unit of property is retired from service and replaced with property of like purpose, the newly acquired property shall, for the purpose of this classification, be considered as an addition, and the cost thereof accounted for accordingly. (See § 10.01–7 *Road property retired.*)

"Betterments" are improvements of parts (minor items) of existing facilities through the substitution of superior parts for inferior parts replaced. The cost chargeable to the accounts of this classification is the excess cost of new parts over the cost at current prices of new parts of the kind replaced.

"Cost" shall be actual money costs to the carrier. Where a portion of the funds expended by or for the carrier has been obtained by grants from governmental agencies, or by donations from individuals or others, the accounting shall be in accordance with paragraphs (1), (2), or (3) of this section as may be applicable.

(1) *Donations from individuals or others.* The entire cost of constructing transportation property to which the carrier acquires exclusive title and exclusive right of use shall be included in these accounts without deduction on account of contributions received from others. The money value of donations shall be credited to account 702½B, "Donations and grants."

NOTE: Amounts billed against a lessee company for a proportion of the cost of constructing facilities under a contract which covers the joint use of such facilities but does not transfer title, shall be credited by the owning company to account 508, "Joint facility rent income," and charged by the lessee to account 541, "Joint facility rents." The entire cost of the facilities shall be charged by the owning company to the appropriate accounts of this classification.

(2) *Joint projects.* Contributions by governmental agencies, or individuals toward construction of projects involving joint use of facilities by the carrier and others after completion of the project shall not be considered donations and only the cost borne by the carrier in connection with the construction of these projects shall be included in these accounts. In accounting for the cost to the carrier of projects involving joint use of facilities by the carrier and others, such costs shall be first applied to the cost of construction of railway facilities includible in accounts other than 2½, "Other right-of-way expenditures," or 39, "Public improvements—Construction," any remaining balance to be included in account 2½, or account 39, as appropriate.

Illustrations of joint projects referred to are:

(i) Jointly owned tracks, interlockers, etc.;

(ii) Construction or widening of highways, spillways, drainage canals, farm and other private passes, pipe lines, drains, and other facilities across the carrier's right of way;

(iii) Construction of overhead or undergrade crossings;

(iv) Installation of warning signals to protect highway traffic.

(3) *Public improvement projects other than joint projects.* In connection with public improvement projects which do not involve joint use by the carrier and others of the facilities after completion of the projects such as reconstruction and relocation of tracks and appurtenant facilities at the expense of governmental agencies, the ledger value of the property retired shall be credited and the cost of constructing the new property shall be charged to the appropriate accounts of this classification. The sum contributed by the governmental agencies unless contract specifies otherwise shall be applied first to reduce or cancel the amount that otherwise would be charged to operating expenses or depreciation reserve in accounting for the retirements, and the remainder, if any, representing cost of railroad property only, shall be credited to account 702½B, "Donations and grants." The projects here referred to are those such as occur in connection with the carrying out of flood control, reclamation and other public projects where it becomes necessary to abandon a part of the line of road and relocate it.

§ 10.01–3 *Basis of charges.* The charges to the accounts of this classification shall be based upon the cost of the property acquired. When the consideration given for the purchase or the improvement of property the cost of which is chargeable to the accounts of this classification is other than money, the money value of the consideration at the time of the transaction shall be charged to these accounts, and the actual consideration shall be described in the record in sufficient detail to identify it. The carrier shall be prepared to furnish the Commission, upon demand, the particulars of its determination of the actual cash value of the consideration, if other than money.

§ 10.01–4 *Cost of construction.* It is intended that the accounts for road property and equipment shall include the cost of construction of such property. The cost of construction shall include the cost of labor, materials and supplies, work-train service, special machine service, transportation, contract work, pro-

tection from casualties, injuries and damages, privileges, and other analogous elements in connection with such work. The several items of cost here referred to are defined as follows:

(a) "Cost of labor" includes the amount paid for labor expended by the carrier's own employees, including the cost of labor expended for preliminary work, such as sinking test holes or making soundings for tunnels, grading, buildings, and other structures; and cost of labor expended in laying and taking up tracks for temporary use in construction, except the cost of labor expended on tracks provided for the protection of traffic during the progress of addition and betterment work. Office expenses and traveling and other personal expenses of employees, when borne by the carrier, shall be considered a part of the cost of the labor, as shall also the cost of fidelity bonds and employers' liability insurance premiums. When officers or employees are specially assigned to construction work, their pay and their traveling and incidental expenses while thus engaged shall be included in the cost of the work. No charge shall be made against road and equipment accounts for the pay of officers and employees who merely render services incidentally in connection with extensions, additions, or betterments, although traveling and incidental expenses incurred by such officers and employees solely on account of such work shall be included in the account to which the cost of the work is chargeable.

(b) "Cost of materials and supplies" includes the purchase price of materials and supplies, including small tools, at the point of free delivery, plus the cost of inspection and loading assumed by the carrier; also a suitable proportion of store expenses. (See § 10.04–16 *Material store expenses* and § 10.04–17 *Stationery store expenses.*) In calculating the cost of materials used, proper allowance shall be made for the value of unused portions and of cuttings, turnings, borings, etc.; for the value of the material recovered from temporary tracks, scaffolding, cofferdams, and other temporary structures used in construction; and for the value of small tools recovered and used for other purposes.

(c) "Cost of work-train service" includes amounts paid to others for rent and maintenance of equipment used; cost of labor of enginemen, trainmen, and enginehousemen, including wages of engine crews and train crews held in readiness for such service; and cost of fuel and other supplies consumed in connection with the operation of work trains. It shall also include the cost of maintaining the carrier's own equipment used in construction service. However, no rent or return upon the investment in such equipment shall be included as a part of the cost of work-train service.

(d) "Cost of special machine service" includes the cost of labor expended and of materials and supplies consumed in maintaining and operating steam shovels, scrapers, rail unloaders, ballast unloaders, pile drivers, dredges, ditchers, weed burners, and other labor-saving machines; also rents paid for use of such machines. (See Note A under account 37, "Roadway machines," and tenth paragraph of general account 50, "Equipment.")

(e) "Cost of transportation" includes the amounts paid to other companies or individuals for the transportation of men, materials and supplies, special machine outfits, appliances, and tools in connection with construction. Freight charges paid foreign lines for the transportation of construction material to the carrier's line shall be included, so far as practicable, as a part of the cost of the material.

(f) "Cost of contract work" includes amounts paid for work performed under contract by other companies, firms, or individuals, and costs incident to the award of the contract.

(g) "Cost of protection from casualties" includes expenditures for protection against fire, such as payments for discovery or extinguishment of fires, cost of detecting and prosecuting incendiaries, witness fees in relation thereto, amounts paid to municipal corporations and others for fire protection, and other analogous items of expenditure in connection with construction work.

(h) "Cost of injuries and damages" includes expenditures on account of injuries to persons or damage to property when incident to construction projects, and shall be included in the cost of the work in connection with which the injury or damage occurs. It also includes that portion of premiums paid for insuring property applicable to the period prior to the completion or coming into service of the property insured. Insurance recovered on account of compensation paid for injuries to persons incident to construction shall be credited to the accounts to which such compensation is charged, and insurance recovered on account of damages to property incident to construction shall be credited to the accounts chargeable with the expenditures necessary for restoring the damaged property. The cost of injuries and damages incident to the removal of old structures, or parts thereof, shall be charged to operating expenses, except that such costs in connection with the removal of old structures which are incumbrances on newly acquired lands shall be included in account 2, "Land for transportation purposes," or 3, "Grading," as may be appropriate. (See § 10.01–7 *Road property retired.*)

(i) "Cost of privileges" includes compensation for temporary privileges, such as the use of public property or streets, in connection with the construction of the property of the carrier.

§ 10.01–5 *Excavated material.* The cost of disposing of material excavated in connection with construction shall be considered as a part of the cost of the work, except that when such material is used for filling, the cost of removal and dumping shall be equitably apportioned between the work in connection with which the removal occurs and the work in connection with which the material is used.

§ 10.01–6 *Items to be credited.* To these accounts shall be credited the ledger value of property retired.

"Ledger value of property" is the value at which the property is carried in the property investment account in the general ledger of the carrier. In case the value of any item of property is not shown separately in the ledger the ledger value of that item shall be its proportionate share of the value of the entire group in which the particular property is included.

"Property retired" means a unit of property whether replaced or not and a minor item not replaced, which is sold, abandoned, demolished, dismantled, or otherwise withdrawn from transportation service.

§ 10.01–7 *Road property retired.* (a) When a unit of road property, other than land, is retired from service, or a minor item is retired and not replaced, the ledger value of the unit or minor item shall be credited to the appropriate road accounts of this classification at the time of retirement from service. The amount of this credit shall be charged concurrently as follows:

(1) *For depreciable property.* The service value (ledger value less value of salvage) shall be charged, and insurance recovered, if any, shall be credited to account 702½C, "Accrued depreciation—Road." The charge for the salvage shall be in accordance with the disposition of the material recovered. The cost of dismantling or demolishing the property, if borne by the carrier, shall be charged to account 270, "Dismantling retired road property," or account 306, "Dismantling retired shop and power plant machinery," as may be appropriate.

NOTE: When property included in the depreciable accounts but excluded from the depreciation base is retired, the service value (including engineering expenditures assignable to the retired property but not included in the depreciation base) shall be charged to operating expenses.

(2) *For nondepreciable property.* The service value (ledger value less value of salvage) shall be charged to account 267, "Retirements; Road." The cost of dismantling or demolishing the property, if borne by the carrier, shall be charged to account 270, "Dismantling retired road property." The charge for the salvage shall be in accordance with the disposition of the material recovered.

An equitable proportion of any balances carried in accounts 72 to 77, inclusive, applicable to the road property retired, shall be credited thereto concurrently and charged to account 267, "Retirements; Road."

NOTE: For parts (minor items) of road property retired and replaced for both depreciable and nondepreciable accounts the cost of replacement including cost of removal, shall be charged to the accounts in operating expenses appropriate for the cost of repairing such property.

(b) The term "service value" as applied to road property means the ledger value thereof less the value of the salvage recovered therefrom.

(c) The term "minor item" as applied to road property means the associated parts of which units of road property are composed.

(d) The term "value of salvage" means the amount received for property retired, or for the material salvaged therefrom

if sold; or if retained, the value at which the property or the material salvaged therefrom is chargeable to account 716, "Material and supplies," or other accounts of this system of accounts. When such material is retained and again used by the carrier, the value shall be determined by deducting a fair allowance for depreciation from current prices of the material as new. If the retired property is held without being torn down the estimated value of the salvage therefrom shall be included in account 722, "Other deferred assets," until the salvage is recovered.

(e) The term "unit of road property" means any structure or item of property that is physically distinct or separate, or any substantial part of a composite or continuous structure (except tracks) such as a bridge, a trestle, a snowshed, or right-of-way fence, the original cost of which can be readily ascertained with reasonable accuracy. With respect to buildings it means the entire structure including component parts. The foregoing is intended as a guide in determining what is a unit of road property and should be regarded as representative only.

(f) *Leased property.* When a unit of road property used but not owned, other than land, the rent for which is includible in account 542, "Rent for leased roads and equipment," is retired from service, or a minor item is retired and not replaced, the service value of nondepreciable property shall be charged to account 267, "Retirements; Road," by the lessee and the service value of depreciable property shall be charged to the depreciation reserve account by either the lessee or lessor, as appropriate. If under terms of the lease the lessor is obligated to reimburse the lessee for additions and betterments and is credited with the ledger value of retired property, the lessor shall credit the ledger value of the retired property to account 701, "Road and equipment property." If under terms of the lease the lessee bears the cost of additions and betterments without reimbursement and is not obligated to reimburse the lessor for the ledger value of retired property, the lessee shall credit the ledger value to account 702, "Improvements on leased property." The salvage shall be accounted for by the company that has title thereto and charged in accordance with the disposition of the material recovered.

When the lessee makes settlement with the lessor currently for retirements of property leased, the lessee shall credit to account 706, "Investments in affiliated companies," or 707, "Other investments," as applicable, the service value of nondepreciable property charged to account 267, "Retirements; Road," and the lessor shall make corresponding charge to account 757, "Amounts payable to affiliated companies," or other liability accounts, as may be appropriate.

The lessee shall furnish the lessor such information as is required to perform the necessary accounting.

§ 10.01–9 *Equipment retired.* The instructions for accounting for equipment retired are contained in the text of general account 50, "Equipment."

§ 10.01–10 *Land retired.* When any land, the cost of which is included in the accounts of this classification, is retired, the ledger value shall be credited to account 2, "Land for transportation purposes." If the land is retained by the carrier, its estimated value shall be charged to balance-sheet account 705, "Miscellaneous physical property," the necessary adjustment of the difference between the ledger value and the estimated value on acount of the loss in the property due to its retirement from transportation service shall be made through account 621, "Miscellaneous debits". If sold, the difference between the ledger value credited to account 2 and the amount received for the land shall be adjusted through accounts 607, "Miscellaneous credits," or 621, "Miscellaneous debits," as appropriate.

§ 10.01–11 *Adjustment for converted property.* If a unit of equipment by its transfer from one class of service to another, with or without physical conversion, becomes includible in a primary investment account other than that in which it has been carried, it shall be accounted for as retired. (See the text of general account 50, "Equipment.")

In accounting for the retirement of such a unit the retirement accounting should be on a basis consistent with the accounting which would be proper if the carrier were to make no further use of it, as in the case of demolition or sale. Following this principle, the salvage value to be used in arriving at the service value shall be the ledger value of the unit less an allowance to reflect consumed, expired or lost usefulness and in no case shall it be less than the estimated value of the scrap and reusable parts which would be recovered if the unit were dismantled. In arriving at this salvage value, the amount which would have been paid, had the old unit in its second-hand condition been purchased from another company, and the further use which it is contemplated will be made of the unit after conversion, are factors to be given consideration.

In accounting for the unit as converted, its ledger value shall be the estimated salvage value used in the retirement accounting less any salvage recovered and not used in the conversion process plus all expenditures for labor and material necessary to fit the unit for its future use, but not in excess of the cost (at current market prices of labor and material) of a new unit of equal capacity and equal expectation of life in service, less a suitable allowance on account of the second-hand portions remaining therein.

NOTE: The procedure outlined in the foregoing with regard to the transfer of equipment from one class of service to another shall be followed in accounting for fixed property when by its transfer from one class of service to another it becomes includible in a primary investment account other than that in which it has been carried.

§ 10.01–12 *Expenses in connection with additions and betterments.* The cost of removing old material from equipment and from buildings, bridges, wharves, tracks, and other fixed improvements, shall be charged to the appropriate operating expense accounts. Such charges shall include the cost of removing old foundations and filling old excavations, and restoring condition of grounds after addition and betterment work; and maintaining or protecting traffic during the progress of addition and betterment work, including the cost of constructing, maintaining, and removing temporary tracks required for maintaining traffic during the progress of the work.

§ 10.01–13 *Interpretation of item lists.* Lists of "items," "details," etc., have been given as a part of this classification for the purpose of clearly indicating the application of the accounting rules in specific cases. The lists in every case are to be considered as merely representative, and not as excluding from any account analogous items which happen to be omitted from the list appended. On the other hand, the appearance of an item in a list warrants the inclusion of the item in the account concerned only when the text of the account also indicates inclusion, inasmuch as the same item frequently appears in more than one list. The item of boilers, for example, will be found under accounts 18, 27, 37, 44, and 45, and the proper charge in any one instance must be determined by the text of the account.

§ 10.01–14 *Submission of questions.* To the end that uniformity of accounting may be maintained from year to year, carriers shall submit all questions of doubtful interpretation of the accounting rules to the Commission for consideration and decision.

PROPERTY ACCOUNTS

ROAD

§ 10.0 *Road.* The several primary accounts included in this general account are designed to show the cost of land and road property owned by the carrier and devoted to transportation service.

§ 10.1 *Engineering.* This account shall include the pay and expenses of engineers, assistants, and clerks engaged in the survey and construction of new lines and extensions, or in making additions to and betterments of the carrier's road, including wharves and docks.

LIST OF OFFICERS AND EMPLOYEES

Chief engineer.
Assistant engineers.
Bridge engineer.
Signal engineer.
Architects.
Chief clerk.
Draftsmen.
Clerks.
Transitmen.
Levelmen.
Rodmen.
Chainmen.
Axmen.
Messengers.
Cooks on business cars.
Porters on business cars.

ITEMS OF EXPENSE AND SUPPLIES

Atlases and maps.
Axes.
Barometers.
Books for office use.
Boxes for materials and instruments.
Business car service.
Cameras.
Camp equipage.
Chains for surveyors.
Compasses.
Curves.
Drawing boards.
Drawing instruments.
Field glasses.
Field notebooks.
Furniture repairs and renewals.
Hatchets.
Heating and lighting.
Levels.
Magnets.
Magnifiers.
Marking chalk.
Official train service.
Oilstones.
Paper, blue-print.
Parallel rules.
Periodicals and newspapers.

Photographic supplies.
Plane tables.
Planimeters.
Plummets.
Printing and stationery.
Protractors.
Provisions for business cars.
Ranging poles.
Reading glasses.
Rent of offices.
Repairs of rented offices.
Rods for surveyors.
Scales.
Section liners.
Sextants.
Slide rules.
Stakes.
Straightedges.
Tally registers.
Tape lines.
Tee-squares.
Telegraph service.
Telephone service.
Telescopes.
Thermometers.
Thumb tacks.
Tracing linen.
Transits.
Traveling expenses.
Traverse tables.
Triangles.
Tripods.
Verniers.
Water and ice.

NOTE A: When employers designated above are engaged in the maintenance of the road, their pay and expenses while thus employed shall be charged to operating expenses.

NOTE B: Expenditures for tentative or preliminary surveys shall be carried in a suspense account until it is determined whether or not to continue the work. If the project is continued, expenditures for all surveys in connection therewith shall then be transferred to this account, and, if abandoned, to operating expenses, income, or profit and loss, as may be appropriate.

NOTE C: The cost of designing, making plans and specifications, and supervising the construction of equipment shall be included in the cost of the equipment.

NOTE D: The cost of stationery and printing supplies used for accounting purposes in connection with engineering work shall be included in account 74, "Stationery and printing," when not directly assignable to specific road or equipment accounts.

NOTE E: Fees and expenses of architects specially employed for designing or supervising the construction of buildings shall be included in the accounts appropriate for the cost of the buildings constructed.

§ 10.2 *Land for transportation purposes.* This account shall include the cost of land of necessary width acquired for roadway; the cost of land for station, office, shop, and other grounds; for ingress to or egress from such grounds; for borrow pits, waste banks, snow fences, sand fences, and other railway appurtenances; and for storage of material adjoining the right of way; the cost of land for wharves and docks and the cost of riparian or water rights necessary therefor; the cost of removing from the right of way and locating elsewhere the property of others, and the cost of the necessary land for relocation of the property, when such costs are assumed by the accounting carrier.

The carrier's records shall be kept in such manner as to show separately the cost of land purchased by it and the estimated values at time of acquisition of lands donated.

Proceeds from the sale of timber or of improvements purchased with right of way, less any cost of removal, shall be credited to this account.

ITEMS OF EXPENSE

Abstracts.
Appraisals.
Arbitrators in condemnation cases.
Commissions paid to others.
Condemnation expenses, including court costs and special counsel fees.
Damages to property of others.
Deferred payments for right of way.
Ditches for waterways when part of consideration.
Judgments and decreed costs to clear or defend titles.
Notarial fees.
Plats.
Premiums on condemnation bonds.
Recording deeds.
Payments for relinquishment of cattle passes and other rights.
Removal and relocation of buildings and other structures not purchased.
Rent of land when part of consideration for purchase.
Right-of-way agents' compensation (engaged solely in acquiring right of way).
Taxes accrued and assumed at time of purchase.

NOTE: The cost of land acquired in excess of that necessary for transportation operations shall be included in balance-sheet account 705, "Miscellaneous physical property." When the purchase of land acquired for transportation operation involves the purchase of land not used for such purposes the charges to this account shall be based upon the estimated cost of only that portion which is used for such purposes, and the cost of the remaining land shall be included in account 705, "Miscellaneous physical property." Only the actual cost borne by the carrier for right of way and other lands acquired through vacation of streets and highways shall be included in this account. No donations should be considered as involved in the acquisition of such property.

§ 10.2½ *Other right-of-way expenditures.* This account shall include the cost (in excess of cost of railway facilities installed, if any) actually borne by the carrier of improvement projects (other than public improvement projects), such as the construction of canals, farm and other private passes, pipe lines, drains, and other facilities across the carrier's right of way.

§ 10.3 *Grading.* This account shall include the cost of clearing and grading the roadway, and of constructing protection for the roadway, tracks, embankments, and cuts.

When a part of a bridge or trestle, or the entire structure, is converted by filling into an earth embankment, and the bridge is used in lieu of a temporary trestle for the purpose of filling, the estimated cost of such temporary trestle shall be included in the cost of the filling, and charged to this account. (See Note A, under account 6, "Bridges, trestles, and culverts.")

When a tunnel is converted into an open cut, the cost of clearing, grubbing, and excavating shall be included in this account.

DETAILS OF ROADBED AND ITEMS OF EXPENSE

Advertising for contractors' bids.
Berm ditches.
Blasting.
Breakwaters.
Bulkheading.
Clearing land.
Cribbing.
Dikes (including those of earthern construction which are intended to function indefinitely).
Ditches (not required by right-of-way agreement).
Dressing slopes.
Excavation for conversion of tunnels into open cuts.
Filling bridges, trestles, and culverts.
Grading outfits.
Grubbing land.
Material taken from borrow pits.
New channels for streams.
Operation of steam shovels.
Payments for privilege of wasting material on the property of others.
Payments for waste banks off the right-of-way.
Retaining walls.
Revetments.
Riprap.
Spoil banks.
Temporary trestling for fills.
Tools for grading.
Wing dams.

§ 10.5 *Tunnels and subways.* This account shall include the cost of tunnels and subways for the passage of trains, including apparatus for ventilating and lighting, and safety devices therein, other than signals.

NOTE A: The cost of tracks, including guard rails, in tunnels shall not be charged to this account.

NOTE B: Station subways not highway crossings are includible in account 16, "Station and office buildings."

NOTE C: If a tunnel be converted into an open cut the accounting shall be in accordance with § 10.01–11 *Adjustment for converted property.*

§ 10.6 *Bridges, trestles, and culverts.* This account shall include the cost of the substructure and superstructure of bridges, trestles, and culverts which carry the tracks of the carrier over watercourses, ravines, public and private highways, and other railways.

DETAILS OF BRIDGE STRUCTURES

Abutments.
Bridge signs.
Cofferdams.
Concrete and masonry ends for culverts.
Cribs.
Decking, including gravel for fire protection.
Dike protection.
Drainage systems.
Draw protection.
Drawbridge engines and machinery.
False work.
Guard timbers.
Ice breakers.
Painting (except repainting).
Pier protection.
Piers and foundations.
Pipe culverts.
Retaining walls.
Riprap around abutments.
Riprap at culvert ends.
Supports.
Water channels.
Waterproofing.
Wing dams.
Wing walls.

NOTE A: When a part of the entire structure of a bridge or trestle is converted, by filling, into an earth embankment, the ledger value of the structure, or of the portion thereof filled, shall be credited to this account. In case the bridge or trestle is used in lieu of a temporary trestle for the purpose of filling, the estimated cost of such temporary trestle shall be charged to account 3, "Grading." The ledger value of the structure or portion thereof, filled, less the value of the salvage and the estimated cost of trestle charged to account 3, shall be charged to account 702½C.

NOTE B: The cost of bridges to carry the carrier's tracks over undergrade crossings, including the necessary piers and abutments to sustain them shall be included in this account. (See *"Cost"* in paragraph (c) of § 10.01–2 *Items to be charged.*)

§ 10.7 *Elevated structures.* This account shall include the cost of elevated structures and foundations of elevated railway systems.

This account is applicable to structures other than earthwork, which are for the purpose of elevating tracks above the grade of streets, and which are not properly classable as bridges or trestles.

NOTE: The cost of stations and other structures built on elevated structures shall be accounted for according to the class of the structure thus superimposed and not in this account.

§ 10.8 *Ties.* This account shall include the cost of cross, switch, bridge, and other track ties used in the construction of tracks for the movement or storage of locomotives and cars (including tracks in shops, fuel stations, supply yards, etc.), and the cost of additional ties subsequently laid in such tracks; also the excess cost of metal ties used in repairs of track over the cost to replace in kind wooden ties removed.

The cost of handling ties in general supply and storage yards shall be included as store expenses apportioned to this account when the ties are used for construction purposes.

NOTE A: The cost of labor for unloading, distributing, and placing the ties in tracks, and the cost of train service in connection with the distribution of ties laid shall be charged to account 12, "Track laying and surfacing."

NOTE B: The cost of ties used in the construction of car floats shall be included in the cost of such floating equipment, and the cost of ties used in the construction of temporary tracks, such as gravel-pit and quarry tracks, shall be included in the appropriate clearing accounts.

§ 10.9 *Rails.* This account shall include the cost of rails used in the construction of tracks for the movement or storage of locomotives and cars (including tracks in shops, fuel stations, supply yards, etc.), and the cost of the excess in weight of heavier rails laid in replacement of lighter rails.

The cost of handling rails in general supply and storage yards shall be included as store expenses apportioned to this account when the rails are used for construction purposes.

To this account shall be credited the cost (at current prices at time of removal) of the excess weight of heavier rails replaced with lighter rails.

NOTE A: The cost of labor for unloading, distributing, and placing the rails in tracks, and of train service in connection with the distribution of the rails, shall be charged to account 12, "Track laying and surfacing."

NOTE C: The cost of rails used in the construction of car floats shall be included in the cost of such floating equipment, and the cost of rails used in the construction of temporary tracks, such as gravel-pit and quarry tracks, shall be included in the appropriate clearing accounts.

§ 10.10 *Other track material.* This account shall include the cost of material used in the construction of tracks for the movement or storage of locomotives and cars (including tracks in shops, fuel stations, supply yards, etc.), except ballast and material chargeable to foregoing accounts; also the excess cost of heavier or improved "other track material" used in repairs of tracks over the cost of replacing in kind such material removed.

The cost of handling "other track material" in general supply and storage yards shall be included as store expenses apportioned to this account when such material is used in the construction of new tracks.

ITEMS OF OTHER TRACK MATERIAL

Angle bars.
Anticreepers.
Bumping posts.
Compromise joints.
Connecting rods.
Crossings for steam and electric railways, including foundations or bases.
Derails.
Frog blocking.
Frogs.
Guard-rail blocking.
Guard-rail clamps.
Guard-rail fasteners.
Guard rails, switch and other.
Main rods.
Nut locks.
Nuts.
Offset bars.
Rail braces.
Rail chairs.
Rail clips.
Rail joints.
Rail rests.
Rail shims.
Rail splices.
Splice bars.
Step chairs.
Switch chairs.
Switch crossings.
Switch lamps.
Switch locks and keys.
Switch points.
Switch stands.
Switch targets.
Switches.
Tie plates.
Tie plugs.
Tie rods.
Track bolts.
Track insulators.
Track spikes.

NOTE A: The cost of labor and train service for distributing, unloading, and applying "other track material" shall be charged to account 12, "Track laying and surfacing."

NOTE B: No entry is required in this account with respect to improved "other track material" unless installed under a definite plan of changing standards, such as increasing the weight of rail.

NOTE C: The cost of "other track material" used in the construction of car floats shall be included in the cost of such floating equipment, and the cost of such track material used in the construction of temporary tracks, such as gravel-pit and quarry tracks, shall be included in the appropriate clearing accounts.

§ 10.11 *Ballast.* This account shall include the cost of gravel, stone, slag, cinders, sand, and like material used in ballasting tracks (including tracks in shops, fuel stations, supply yards, etc.) not previously ballasted, including cost of work-train service and of unloading; cost of ballast applied in excess of ballast required to restore to its maximum height and width the ballast previously put on the roadbed; and the excess cost of improved ballast used in renewals over the cost to replace in kind to the original height and width the ballast removed. Charges to this account shall not exceed the cost of ballast applied to a depth of 24 inches beneath the tie, unless otherwise authorized by the Commission. (§ 10.04–11 *Gravel and sand pits and quarries* applies to the accounting for pits from which ballast material is obtained either for construction work or for maintenance, or for both.)

NOTE A: The cost of ballast used in the construction of temporary tracks, such as gravel-pit and quarry tracks, shall be included in the appropriate clearing accounts.

NOTE B: Earth placed to form a crown in the middle of the track is not to be considered as ballast.

NOTE C: The cost of ballast material placed on the decking of bridges solely for fire-protection purposes shall be included in account 6, "Bridges, trestles, and culverts."

NOTE D: No charge shall be made to the accounts of this classification representing the value of cinders accumulated by the carrier.

§ 10.12 *Track laying and surfacing.* This account shall include the cost of distributing (including train service), laying, and adjusting ties, rails, and other track material used in the construction of tracks for the movement or storage of locomotives or cars, including repair tracks, but not tracks on car floats or temporary tracks the cost of which is chargeable to clearing accounts. It shall also include the cost of the labor expended in placing ballast in tracks not previously ballasted.

NOTE A: The cost of distributing and adjusting ties, rails, ballast, and other track material for repairs shall be charged to operating expenses, both when such materials are replaced in kind and when replaced with improved and heavier material.

NOTE B: The cost of work-train service in delivering ballast and of unloading such material is provided for in account 11, "Ballast."

§ 10.13 *Fences, snowsheds, and signs.* This account shall include:

(a) *Fences.* The cost of right-of-way fences and snow and sand fences, farm gates, cattle guards, wing fences, aprons, and hedges, on property not previously fenced, excluding those around stockyards, fuel stations, station and shop grounds, and building sites.

(b) *Snowsheds.* The cost of snowsheds, including initial cost of planting trees for protecting tracks from snow.

(c) *Signs.* The initial cost of signs other than those for identification of bridges, signals, stations, and other structures.

SIGN ITEMS

Boundary signs.
Bridge-caution signs.
Crossing signs.
Curve and elevation markers.
Division-limit signs.
Mileposts.
Monuments.
Safety-first signs at crossings.
Section-limit signs.
Slow or stop signs.
Tunnel-caution signs.
Water-station signs.
Water-trough signs.
Whistle signs.
Yard-limit signs.

NOTE A: The cost of fences (other than right-of-way boundary fences) around stock yards, fuel and water stations, and other building sites, shall be charged to the accounts appropriate for the cost of the structures.

NOTE B: The cost of signs for identifying bridges, signals, stations, and other structures shall be included in the account appropriate for the cost of the structures.

NOTE C: The cost of crossing signals, including crossing gates, shall be included in account 27, "Signals and interlockers."

NOTE D: It shall also include the cost of replacing units of such property or substantial parts of fences or snowsheds the original cost of which were charged to this account.

§ 10.16 *Station and office buildings.* This account shall include the cost of station and office structures, their fixtures, appurtenances, and furniture necessary first to equip the buildings for use.

STATION AND OFFICE STRUCTURES AND DETAILS

Baggage rooms.
Breakwaters for protection of buildings.
Buildings and rooms for trainmen.
Buildings on piers.
Call bells.
Coal bins.
Coal transferring machinery (not on coal and ore wharves).
Coal trestles (not at fuel stations).
Commissarial buildings.
Drainage and sewerage systems.
Dwellings.
Eating houses.
Electric wiring.
Elevators and machinery.
Express buildings.
Fences
Fire-engine houses.
Freight cranes.
Freight derricks.
Freight handling machinery.
Freight houses.
Garages.

Gas-supply systems.
General office buildings.
Grain cribs.
Grain elevators.
Grain warehouses.
Greenhouses.
Hay houses.
Heating plants.
Hedges.
Hoisting engines, for handling freight.
Hose houses.
Ice houses.
Lighting plants.
Mail cranes.
Milk stands.
Office buildings.
Ore-transferring machinery.
Outhouses.
Pavement within ground limits.
Platforms, freight.
Platforms, passenger, including planking between tracks.
Power distribution systems, interior.
Reading rooms.
Rooms for Y. M. C. A.
Scale houses.
Sidewalks.
Stables.
Station footbridges (not highway crossings).
Station intertrack fences.
Station platforms.
Station signs.
Station stairways.
Station subways (not highway crossings).
Station power houses.
Stations, freight.
Stations, passengers.
Stock pens.
Storehouses.
Telegraph offices.
Telpher systems.
Track scales.
Transfer houses.
Transfer platforms.
Waiting rooms.
Warehouses.
Washrooms.
Water-supply systems.
Yard offices.

NOTE A: Office buildings used exclusively in connection with maintenance of way shall be included in account 17, "Roadway buildings." Those used exclusively in connection with maintenance of equipment shall be included in account 20, "Shops and enginehouses."

NOTE B: The cost of grading and preparing grounds, both before and after the construction of station and office buildings, and the cost of constructing sidewalks, driveways, and fences thereon, shall be included in the cost of the buildings, as shall also the fees and expenses of architects specially employed for designing or supervising the construction of the buildings, but the cost of restoring the grounds after addition and betterment work shall be included in the appropriate operating expense accounts. The cost of permanent water rights shall also be included in the cost of the buildings.

§ 10.17 *Roadway buildings.* This account shall include the cost of roadway shops and other roadway buildings, including drainage, water, gas, and sewer pipes and connections; and all machinery, fixtures, and furniture to equip the building ready for use.

LIST OF ROADWAY BUILDINGS

Bins for material.
Blacksmith shops.
Boarding houses.
Breakwaters for protection of buildings.
Carpenter shops.
Dwellings.
Fire-engine houses.
Frog shops for repair of track material.
Hand-car houses.
Lighting plants.
Lumber sheds.
Offices.
Outhouses.
Planing mills.
Rail shops for repair of track material.
Repair shops.
Scrap bins.
Section dwelling houses.
Stables.
Storehouses.
Tool houses.
Watch houses.

NOTE: The cost of grading and preparing grounds both before and after the construction of roadway buildings, and the cost of constructing sidewalks, driveways, and fences thereon shall be included in the cost of the buildings, as shall also the fees and expenses of architects specially employed for designing or supervising the construction of the buildings, but the cost of restoring the grounds after addition and betterment work shall be included in the appropriate operating expense accounts. The cost of permanent water rights shall also be included in the cost of the buildings.

§ 10.18 *Water stations.* This account shall include the cost of structures, facilities, and appliances necessary to equip for service, stations for supplying water. The cost of analyses of water preliminary to the establishment of water stations shall be included in this account.

WATER STATION STRUCTURES AND DETAILS

Boilers.
Breakwaters for protection of buildings.
Buildings on piers.
Cisterns.
Dams.
Fences.
Outhouses.
Penstocks.
Pump houses.
Pumps.
Purifying plants.
Reservoirs.
Settling basins.
Stationary engines.
Steam pipes.
Tanks and foundations.
Test wells.
Track tanks.
Tubs.
Water cranes.
Water pipe lines.
Water-treating plants.
Wells.
Windmills.

NOTE A: The cost of water stations used solely for supplying water to shops, power plants, stations, hotels, tenement houses, or section houses shall be charged to the appropriate accounts relating to the property so supplied.

NOTE B: The cost of a temporary water station established only for use during the construction period shall be included in the primary accounts to which is charged the cost of the work in connection with which the water station is used.

NOTE C: The cost of grading and preparing grounds both before and after the construction of water station buildings, and the cost of constructing sidewalks, driveways, and fences thereon shall be included in the cost of the buildings, as shall also the fees and expenses of architects specially employed for designing or supervising the construction of the buildings, but the cost of restoring the grounds after addition and betterment work shall be included in the appropriate operating expense accounts. The cost of permanent water rights shall also be included in the cost of the buildings.

§ 10.19 *Fuel stations.* This account shall include the cost of structures, facilities other than tracks, and appliances necessary to equip for service, stations for supplying fuel to locomotives and floating equipment.

FUEL STATION STRUCTURES AND DETAILS

Breakwaters for protection of buildings.
Buckets.
Buildings on piers.
Coal buckets.
Coal buggies.
Coal hoists.
Coal pockets and chutes.
Dumping machinery.
Elevating machinery.
Fences.
Fuel houses or stations.
Fuel-oil columns.
Fuel-oil plants.
Fuel-oil pumps.
Fuel-oil sumps.
Fuel-oil tanks.
Fuel platforms.
Fuel wharves.
Inclines.
Outhouses.
Scales.
Sheds.
Stationary engines.
Tipple cars.
Weighing apparatus.
Wood racks.

NOTE A: The cost of fuel stations, coal houses, etc., used solely for supplying fuel to shops, power plants, stations, hotels, tenement houses, or section houses shall be charged to the appropriate accounts relating to the property so supplied.

NOTE B: The cost of a temporary fuel station established only for use during the construction period shall be included in the primary accounts to which is charged the cost of the work in connection with which the fuel station is used.

NOTE C: The cost of grading and preparing grounds both before and after the construction of fuel station buildings, and the cost of constructing sidewalks, driveways, and fences thereon, shall be included in the cost of the buildings, as shall also the fees and expenses of architects specially employed for designing or supervising the construction of the buildings, but the cost of restoring the grounds after addition and betterment work shall be included in the appropriate operating expense accounts. The cost of permanent water rights shall also be included in the cost of the buildings.

§ 10.20 *Shops and enginehouses.* This account shall include the cost of buildings to be used as shops, enginehouses, and storehouses for material for maintenance of equipment; foundations, except those special to particular machines and other apparatus; furniture and fixtures other than equipment chargeable to account 44, "Shop machinery"; drainage, sewerage, and water-supply systems; and plants for heat and light.

SHOP AND ENGINEHOUSE STRUCTURES AND DETAILS

Air-compressor houses.
Ash pits and pockets.
Ash plants.
Bins for material.
Blacksmith shops.
Breakwaters for protection of buildings.
Buildings on piers.
Car sheds.
Car shops.
Carpenter shops.
Cinder pits.
Cinder pockets.
Drop pits.
Dry houses.
Electric-power distribution systems within buildings.
Enginehouses.
Fire-engine houses.
Footbridges (not public highways).
Foundries.
Gas-compressor houses.
Heating plants.
Hose houses.
Ice houses.
Laboratories.
Lighting plants.
Lumber sheds.
Machine shops.
Material and supply truck tracks.
Motor-crane tracks.
Offices, shop.
Oil houses.
Outhouses.
Paint shops.
Pipe lines, air, interior.
Pipe lines, car-heating.
Pipe lines, gas, interior.
Planing mills.
Platforms, shop and yard.
Repair shops.
Sand houses.
Scale houses.
Scrap bins.
Sidewalks.
Stables.
Steam-distribution systems, interior.
Storehouses.
Tanks, gas.
Tanks, oil.
Test rooms.
Tin shops.
Tool houses.
Track scales.
Transfer tables.
Turntables.
Upholstering shops.
Warehouses.
Wash rooms.
Watch houses.

NOTE A: The cost of distinct power plant buildings for shop purposes shall be included in account 29, "Power plants." The cost of

distribution systems leading from such power plants to shops and enginehouses shall be included in account 31, "Power-transmission systems."

NOTE B: The cost of grading and preparing grounds both before and after the construction of shop and enginehouse buildings, and the cost of constructing sidewalks, driveways, and fences thereon, shall be included in the cost of the buildings, as shall also the fees and expenses of architects specially employed for designing or supervising the construction of the buildings, but the cost of restoring the grounds after addition and betterment work shall be included in the appropriate operating expense accounts. The cost of permanent water rights shall also be included in the cost of the buildings.

NOTE C: The cost of shop buildings devoted solely to the maintenance of way and structures shall be included in account 17, "Roadway buildings."

§ 10.21 *Grain elevators.* This account shall include the cost of structures, including the cost of conveyors, machinery, and fixtures which the railway companies operate for the transfer, treatment, and storage of grain.

The buildings referred to in this account are not small storage elevators at stations where grain is received for shipment, etc., but large elevators in which grain is stored for various owners.

NOTE A: Small storage elevators at way stations are classed as station buildings.

NOTE B: The cost of grading and preparing grounds both before and after the construction of grain-elevator buildings, and the cost of constructing sidewalks, driveways, and fences thereon, shall be included in the cost of the buildings, as shall also the fees and expenses of architects specially employed for designing or supervising the construction of the buildings, but the cost of restoring the grounds after addition and betterment work shall be included in the appropriate operating expense accounts. The cost of permanent water rights shall also be included in the cost of the buildings.

NOTE C: The cost of grain elevators leased to noncarriers shall be included in account 705, "Miscellaneous physical property."

§ 10.22 *Storage warehouses.* This account shall include the cost of storage warehouses, including machinery and fixtures therein.

The buildings herein referred to are not the ordinary freight warehouses or stations where freight is received for shipment, etc., but warehouses in which merchandise is stored and which the railway companies operate as storage warehouses.

NOTE A: The cost of grading and preparing grounds both before and after the construction of storage warehouse buildings, and the cost of constructing sidewalks, driveways, and fences thereon, shall be included in the cost of the buildings, as shall also the fees and expenses of architects specially employed for designing or supervising the construction of the buildings, but the cost of restoring the grounds after addition and betterment work shall be included in the appropriate operating expense accounts. The cost of permanent water rights shall also be included in the cost of the buildings.

NOTE B: The cost of warehouses leased to noncarriers shall be charged to account 705, "Miscellaneous physical property."

§ 10.23 *Wharves and docks.* This account shall include the cost of wharves, docks, dry docks, slips, float bridges, and other landings for vessels, including the cost of necessary dredging, and the cost of float-bridge machinery; also the cost of piling, pile protection, cribs, cofferdams, walls, and other necessary devices and apparatus for the operation or protection of wharves and docks.

DETAILS OF WHARVES AND DOCKS

Bridge pontoons.
Bulkheads.
Caissons.
Cribwork.
Dry docks.
Ferry-bridge machinery.
Ferry bridges.
Ferry racks.
Ferry slips.
Jetties.
Jetty inclines.
Transfer-bridge machinery.
Transfer bridges.

NOTE A: The cost of coal and ore wharves and docks shall be included in account 24, "Coal and ore wharves."

NOTE B: The cost of the land on which wharves are built and cost of riparian or water rights for wharves and docks shall be charged to account 2, "Land for transportation purposes."

NOTE C: The cost of buildings located on wharves shall be included in the accounts appropriate for the class of buildings.

NOTE D: The cost of grading and preparing grounds both before and after the construction of wharves (other than coal and ore wharves) and the cost of constructing sidewalks, driveways, and fences thereon, shall be included in the cost of the wharves, but the cost of restoring the grounds after addition and betterment work shall be included in the appropriate operating expense accounts. The cost of permanent water rights shall also be included in the cost of the wharves.

§ 10.24 *Coal and ore wharves.* This account shall include the cost of wharves and docks for the transfer, treatment, blending, or storage of coal or ore, including the cost of necessary dredging and of conveyors, machinery, and fixtures.

NOTE A: The structures referred to in this account do not include small transfer or storage trestles or wharves at stations where coal is stored or delivered, such trestles being classed as station buildings.

NOTE B: The cost of grading and preparing grounds both before and after the construction of coal and ore wharves, and the cost of constructing sidewalks, driveways, and fences thereon, shall be included in the cost of the wharves, as shall also the fees and expenses of architects specially employed for designing or supervising the construction of the wharves, but the cost of restoring the grounds after addition and betterment work shall be included in the appropriate operating expense accounts. The cost of permanent water rights shall also be included in the cost of the wharves.

§ 10.26 *Communication systems.* This account shall include the cost of telegraph, telephone, radio, radar, inductive train communication, and other communication systems, including terminal equipment.

Details of telegraph and telephone terminal equipment:

Batteries.
Cables and wires, interior.
Carrier terminating equipment.
Conduits, interior.
Connecting wires.
Current-controlling instruments.
Electric generators and motors.
Electric meters.
Engines, stationary.
Fuses and mechanical protectors.
Rectifiers.
Rheostats.
Sending and receiving instruments.
Switchboards.
Telegraph repeaters.
Telephone repeaters.
Teletypewriters.
Testing outfits.
Transformers.

Details of telegraph and telephone outside plant:

Aerial attachments.
Braces.
Brackets.
Cable boxes and appurtenances.
Cables and wires, aerial.
Conduits and appurtenances.
Cross arms.
Gas and associated facilities for cables.
Guy stubs.
Guy wires.
Insulators.
Load coils.
Poles.
Submarine cables and connections.
Telephone pole boxes.
Towers.
Underground cables and connections.

Details of radio, radar, and inductive train communication equipment:

Aerials or antenna, and attachments.
Buildings or towers used exclusively for wireless.
Control units.
Power generating, converting, or supply equipment.
Radar console and associated equipment.
Roadwide or office equipment for all wireless systems operated on special channels between train and train, train and tower or office, or between ship and shore.
Specialized testing and repair equipment.
Transmitters and receivers, including mobile units.

NOTE A: Radio, radar or trainphone equipment (except portable apparatus) which is permanently attached to locomotives, cars, work equipment, or other rolling stock or floating equipment shall be included in the same accounts as the equipment on which installed. Wireless sets for instruction, advertising, or entertainment shall be included in the same accounts as the building in which located.

NOTE B: Communication systems of limited extent, not connected with other systems, used for special purposes and usually installed within a single building, group of buildings, or within the limits of a station or shop layout or yard, shall be included in the same account as the building in which located or in the account appropriate for the service with which associated.

ITEMS

Buzzers, bells, dictaphones or other interoffice communication systems in an office or group of buildings.
Loud speakers, bells, or whistles in shop and other yards.
Loud speakers, public address devices, press button control lights, telautograph or other systems in stations or on platforms.
Whistles, klaxons, or horns operated from signal towers.

NOTE C: Test sets shall be classified as tools and included in the account appropriate for their use.

§ 10.27 *Signals and interlockers.* This account shall include the cost of interlocking and other signal apparatus for governing the movements of locomotives, cars, and trains, and for the protection of traffic at crossings, including towers and other buildings, furniture, fixtures, and machinery in connection therewith; roadway installations for train control and remote control including the cost of the initial tests of such installations; also the cost of buildings and machinery of power plants used primarily for the production of power for the operation of signals and interlockers.

ITEMS

Air compressors.
Automatic-train control devices other than on equipment.
Batteries.

Battery wells and houses.
Boilers.
Call-bell systems along track to call in flagmen.
Call boxes, electric.
Car-retarder systems.
Centralized traffic control.
Conduits for pipe and wire.
Crossing flasher-light signals.
Crossing gates, highway and railway.
Crossing signal bells.
Crossing warning signals.
Distant signals.
Dynamos.
Engines, stationary.
Home signals.
Impedance bonds.
Interlocker buildings.
Interlocker machinery.
Interlocker mechanism.
Levers.
Power apparatus primarily for the operation of signals and interlockers.
Power-distribution lines primarily for the operation of signals and interlockers.
Rail bonds.
Railway crossing signals.
Relays.
Semaphores.
Signal and switch levers.
Signal arms.
Signal blades.
Signal bridges.
Signal buildings.
Signal cables.
Signal-lamp brackets and connections.
Signal lamps.
Signal machinery.
Signal poles and foundations.
Signal pulleys and foundations.
Special appliances.
Station signals.
Train-order signals.
Wiring.

NOTE A: When signal or interlocking apparatus is located in a station building, only the cost of the signal or interlocking apparatus shall be charged to this account. The entire cost of the building shall be included in account 16, "Station and office buildings."

NOTE B: The cost of track material, such as switches, special rail braces, special rods, special track fastenings, split rails, derails, derail stands, and frogs, used in connection with interlockers, shall be included in account 10, "Other track material."

NOTE C: When derails are arranged so as to be thrown from switch stands, the cost of labor expended in the installation of the connections between the switch stand and derail and the devices for throwing the derail shall be included in account 12, "Track laying and surfacing." The cost of the material shall be included in account 10, "Other track material."

NOTE D: The cost of grading and preparing grounds both before and after the construction of signal and interlocker buildings, and the cost of constructing sidewalks, driveways, and fences thereon, shall be included in the cost of the buildings, as shall also the fees and expenses of architects specially employed for designing or supervising the construction of the buildings, but the cost of restoring the grounds after addition and betterment work shall be included in the appropriate operating expense accounts. The cost of permanent water rights shall also be included in the cost of the buildings.

§ 10.29 *Power plants.* This account shall include the cost of power-plant and substation buildings (housing machinery provided for in account 45, "Power-plant machinery"); all foundations other than those special to particular machines and apparatus; and also dams, canals, pipe lines, and accessories devoted to the utilization of water for power. Gas and sewer pipes and their connections, fixtures (including wiring) for lighting and heating, and furniture and miscellaneous fixtures, shall be considered as a part of the power-plant buildings.

POWER-PLANT STRUCTURE ITEMS

Buildings.
Coal pockets and trestles.
Coal bunkers.
Fences (other than right-of-way boundary fences).
Fixtures for lighting (including wiring) and heating power-plant buildings.
Foundations (except special foundations for machines and other apparatus).
Fuel-oil tanks.
Furniture.
Hose and appliances for protecting buildings against fire.
Pavement within ground limits.
Permanent rights in water supply.
Platforms.
Smoke stacks and chimneys and their foundations when distinct from and not resting on boilers.
Water, sewer, gas, and drainage pipes and connections.
Wells (but not pumps).

DAM, CANAL, AND PIPE-LINE ITEMS

Aqueducts.
Bridges.
Fences (Other than right-of-way boundary fences).
Footbridges.
Forebays.
Gates.
Grids.
Inlet valves.
Penstocks.
Reservoirs.
Roadways.
Sluices.
Valves.
Water rights.

NOTE A: The cost of power-plant machinery, including stacks resting on boilers, and special foundations for machines, shall be included in account 45, "Power-plant machinery."

NOTE B: The cost of the buildings and of the power machinery and other apparatus of plants used primarily for operating signals and interlockers shall be included in account 27, "Signals and interlockers."

NOTE C: Investment in buildings and machinery of detached plants for furnishing power both for operating purposes and for sale shall be included in this account and in account 45, "Power-plant machinery," respectively. When plants are intended and used primarily for generating power for sale to other than common carriers, the investment shall be included in account 705, "Miscellaneous physical property."

§ 10.31 *Power-transmission systems.* This account shall include the cost of systems for conveying electricity, steam, and compressed air from producing plants to place or building where used; also the cost of conduits and of poles, cross arms, insulator pins, brackets, and other pole fixtures, and of other structures for power-transmission and distribution systems, including those for electric railway operation, and lighting systems for general lighting purposes.

POWER-TRANSMISSION SYSTEM ITEMS

Air pipe-lines in car yards.
Cables.
Compressed air pipe-lines.
Compressed air storage tanks (not at power houses or shops).
Cut-outs (not at power houses and substations).
Feed wires.
Guard wires.
Insulators and connections.
Overhead trolley wires.
Rail-bond plugs.
Rail bonds.
Rail-insulating devices.
Span wires.
Steam-heating pipe-lines in car yards.
Steam pipe-lines.
Switchboards (not at power houses and substations).
Third rail.
Third-rail braces.
Third-rail insulation and protection.
Third-rail supports.
Transformers (not at power houses and substations).
Underground power tubes.

POLE-LINE AND CONDUIT ITEMS

Braces and other supports for holding poles in position.
Brackets and other pole fixtures.
Conduits for wires and cables.
Cross arms.
Cutting and trimming trees.
Guy stubs.
Guy wires.
Insulator pins.
Manholes.
Poles.
Sewer traps.
Stenciling or painting letters or numbers on poles.
Towers.

NOTE A: The cost of wire and pipe-distribution systems located within shop buildings and in stations and office buildings shall be included in the cost of the buildings, except that lateral service lines to equipment-shop machines shall be included in account 44, "Shop machinery." The cost of distribution systems used primarily for operating signals and interlockers shall be included in account 27, "Signals and interlockers."

NOTE B: The cost of conduits and of poles and fixtures for telegraph and telephone, or signal lines shall be included in account 26, "Communication systems," or account 27, "Signals and interlockers," as appropriate. The cost of poles and conduits used for telegraph and telephone or signal lines and for power-distribution lines shall be included in the account appropriate according to their predominant use.

§ 10.35 *Miscellaneous structures.* This account shall include the cost of all permanent structures not provided for elsewhere, including all fixtures and furniture to equip them for use.

§ 10.37 *Roadway machines.* This account shall include the cost of the initial outfit of roadway machines provided for the maintenance of roadway and structures at the time the road is opened for commercial traffic, and the cost of additional roadway machines acquired subsequently.

LIST OF ROADWAY MACHINES

Boilers, portable.
Cars, hand.
Cars, lever.
Cars, motor inspection.
Cars, push.
Cars (small), crane, for supply yards and general use.
Concrete mixers.
Ditching machines.
Dredging machines.
Engines, portable.
Grading outfits.
Hydraulic outfits.
Jacks, hydraulic.
Log loaders.
Pile drivers.
Plows, unloading.
Rail unloaders.
Rock crushers.
Steam rollers.
Timber trucks.
Velocipedes.

NOTE A: When an important addition and betterment project or the construction of a new line necessitates the purchase of roadway machines to be used exclusively thereon, the cost shall be included in the accounts to which the cost of the work is charged. The amount realized from any subsequent sale, or the appraised value of the machines retained after the completion of the special work for which they were purchased, shall be credited to the accounts charged with the cost thereof. The appraised value of such machines retained shall be debited to this ac-

count and thereafter considered as the cost of such property.

NOTE B: The cost of machines for the equipment of roadway shops shall be included in account 17, "Roadway buildings," as provided for therein.

NOTE C: The cost of roadway machines, such as pile drivers, log loaders, hoist engines, and concrete mixers, when permanently mounted for movement on the carrier's tracks, shall be included in account 57, "Work equipment."

§ 10.38 *Roadway small tools.* This account shall include the cost of the initial outfit of roadway and track small tools provided for the maintenance of way and structures at the time the road is opened for commercial traffic; also the initial outfit of such tools provided for the maintenance of extensions of such road.

LIST OF ROADWAY TOOLS

Adzes.
Anvils.
Augers.
Axes.
Ballast forks.
Bars, claw.
Bars, crow.
Bars, lining.
Bars, pinch.
Bars, raising.
Bars, tamping.
Braces and bits.
Brooms.
Brush hooks.
Cable stretchers.
Cables.
Cans, oil.
Cans, water.
Cant hooks.
Chains.
Chisels, track.
Chisels, wood.
Curbing hooks.
Dippers.
Drawing knives.
Drill bits.
Drills, portable.
Flags, signal.
Furnaces, portable.
Grindstones.
Hammers, napping.
Hammers, paving.
Hammers, spiking.
Handles for tools.
Hatchets.
Hoes.
Jack levers.
Jacks, ratchet.
Jacks, screw.
Jacks, track.
Kegs, water.
Ladders.
Lanterns and fixtures.
Lawn mowers.
Levels.
Lines for ditching.
Nippers.
Oilstones.
Padlocks.
Pails, water.
Paint brushes.
Picks, clay.
Picks, tamping.
Pike poles.
Post-hole diggers.
Post-hole tampers.
Punches.
Rail benders.
Rail tongs.
Rakes.
Rope.
Saws, crosscut.
Saws, hand.
Scrap boxes.
Scythes.
Shovels.
Sickles.
Sledges.
Spades.
Spike mauls.
Spike pullers.
Spot boards.
Squares.
Straightening machines.
Tape lines.
Thermometers for laying rail.
Tongs.
Tool boxes.
Torches.
Track gauges.
Track levels.
Vises.
Weed spuds.
Wheelbarrows.
Whetstones.
Wood mallets.
Wrenches, monkey.
Wrenches, track.

NOTE: The cost of roadway and track small tools of which no specific record is kept shall be charged when acquired to an appropriate materials and supplies account, from which they shall be charged as issued to the appropriate road and equipment, operating expense, or other accounts. When such tools are used both for construction and maintenance work the cost shall be equitably apportioned among the accounts provided for the two classes of work.

§ 10.39 *Public improvements; construction.* This account shall include amounts assessed on carrier property by governmental authority (by mutual agreement or otherwise) to cover the cost of constructing public improvements, when such assessments are made against property within defined areas of taxing districts. It shall also include the cost borne by the carrier of public improvements constructed by it under governmental requirements.

The entire amount of each assessment for public improvements shall be included in this account as soon as it is determined.

ITEMS

Cost of land outside carrier's right of way to provide for the relocation of streets or highways or providing slopes therefor.
Cost of removal and relocation of buildings and other structures in connection with the construction of streets and highways.
Curbing streets and highways.
Damage to property of others when incidental to highway construction.
Drainage systems.
Engineering—When such costs apply to items chargeable to this account.
Flood protection.
Grading streets and highways.
Guttering streets and highways.
Irrigation systems.
Levees.
Overhead highway bridges, including approaches.
Paving streets and highways, including such pavings at crossings.
Planking, highway crossings.
Sewer systems.
Sidewalks.
Street-lighting systems.
Water works.

NOTE A: The cost of railway facilities installed in connection with joint public improvement projects if not in excess of total costs borne by the carrier shall be included in accounts other than account 39, "Public improvements—Construction," appropriate for the class of property installed. Any costs borne by the carrier in excess of the cost of railway facilities shall be charged to this account.

NOTE B: The cost to the carrier of maintaining public improvements shall be included in Operating Expenses.

NOTE C: Any portion of the cost of public improvements which is included in the general tax levy for a regular taxing district shall be included in the account appropriate for taxes.

NOTE D: The amount of the deferred payments of assessments for public improvements if payments are to be made within one year, shall be included in account 768, "Other current liabilities." If the payments are spread over a longer period they shall be credited to account 770, "Other deferred liabilities." The interest paid on such assessments shall be included in account 547, "Interest on unfunded debt."

NOTE E: Interest and penalties imposed, on basis of monthly or annual percentage rates, for failure to pay assessments within the allotted time shall be charged to account 547, "Interest on unfunded debt."

NOTE F: Assessments on noncarrier property for the cost of constructing public improvements shall be charged to account 705, "Miscellaneous physical property."

§ 10.40 *Revenues and operating expenses during construction.* This account shall include the cost of operating a piece of road during the period before the regular operation of revenue trains, including rent and repairs of equipment used in commercial service during such period. It includes the cost of running construction trains over such section of road when the cost of operating such trains can not properly be charged to any specific account.

To this account shall be credited amounts collected for rents of buildings and other properties and for the transportation of commercial freight or of passengers on construction trains; also the net profits from boarding and commissarial outfits, and other sources of operating revenue.

Carriers which wish to subdivide this account shall use appropriate subaccounts corresponding to accounts prescribed for operating revenue, operating expense, or income accounts.

§ 10.42 *Reconstruction of road property acquired.* When road property acquired is in such physical condition that it is necessary to substantially rebuild the road in order to bring it up to the standard required by the carrier, the accounting for such reconstruction including retirements in connection therewith shall be presented to the Commission for approval before being entered in the accounts.

NOTE: A comprehensive statement of the estimated amount necessary to reconstruct a road in accordance with the above provision shall be made to the Commission as soon as the estimate is made.

§ 10.43 *Other expenditures; road.* This account shall include items which can not properly be included in any of the foregoing accounts as a part of the cost of any specific work, amounts paid for rent and repairs of equipment and for injuries to persons incident to and in connection with original road, road extensions, or additions and betterments; and analogous items. When assignable, such expenditures shall be included in the cost of the property in connection with which the expenditure occurs.

NOTE: Rents paid for and repairs made to equipment used in commercial operations during the period before the regular operation of revenue trains shall be charged to account 40, "Revenues and operating expenses during construction."

§ 10.44 *Shop machinery.* This account shall include the cost of machinery and other apparatus in shops and engine houses, including the cost of special foundations and installation, and cost of small hand tools necessary first to equip a shop.

LIST OF SHOP MACHINERY

Air compressors.
Ash conveyors.
Belting.
Blowers.
Boilers for furnishing power.
Boring machines.
Cars, motor.
Cars, push.
Cranes.
Drill presses.
Drilling machines.
Drop tables.
Forges.
Framing machines.
Furnaces.
Grinding and polishing machines.
Hoists.
Hydraulic jacks.
Lathes.
Lifting magnets.
Metal chimneys.
Milling machines.
Motors.
Pipe cutting and threading machines.
Planers.
Pneumatic hammers.
Power equipment.
Punches.
Riveters.
Saws.
Shafting.
Shapers.
Slotters.
Stationary engines.
Steam hammers.
Vises.
Welding machines.
Woodworking machines.

NOTE A: The cost of power plant machinery and other apparatus for shop purposes, when located in distinct buildings, shall be included in account 45, "Power plant machinery."

NOTE B: The cost of foundations other than those special to particular machines

and other apparatus shall be included in the cost of the building, and not in this account.

§ 10.45 *Power-plant machinery.* This account shall include the cost of machinery and other apparatus in power plants and substations for generating and transforming power used for the operation of trains and cars or to furnish power, heat, and light for stations, shops, and general purposes, and also the cost of foundations special to particular machines or other apparatus including the cost of installation.

ITEMS

Air compressors.
Ammeters.
Ash-conveying machinery.
Batteries.
Battery-charging apparatus.
Belting.
Boiler-room appliances and tools.
Boilers and fittings.
Boosters.
Cables, interior.
Circuit breakers.
Clutches.
Coal-conveying machinery.
Condensers.
Conductors.
Cranes.
Cut-outs.
Draft machinery.
Dynamos.
Economizers.
Engine-room appliances and tools.
Feed water heaters.
Furnaces.
Generators.
Hangers.
Hoists.
Ice - manufacturing machinery and apparatus.
Insulators.
Lubricating devices.
Machinery.
Mechanical stokers.
Metal stacks on boilers.
Piping.
Pumps.
Purifiers.
Refrigerating - machinery and apparatus.
Rheostats.
Rotary convertors.
Sewer connections for machinery.
Shafting.
Special foundations for machines.
Stationary engines.
Steam - distribution systems within the plant.
Steam fittings.
Switchboards.
Switches.
Tanks.
Tractors, trailers, and trucks, permanently assigned to power plants.
Transformers.
Turbines.
Voltmeters.
Water meters.
Waterwheels.
Well pumps.
Wires from generators or transformers to switchboard.

NOTE A: The cost of power machinery and other apparatus installed in a shop as part of the shop equipment shall be included in account 44, "Shop machinery."

NOTE B: The cost of power machinery and other apparatus installed in station and office buildings shall be included in account 16, "Station and office buildings."

NOTE C: The cost of the buildings and the power machinery and other apparatus of plants used primarily for operating signals and interlockers shall be included in account 27, "Signals and interlockers."

NOTE D: The cost of foundations other than those special to particular machines and other apparatus shall be included in the cost of the building and not in this account.

NOTE E: The cost of machinery and buildings of detached plants for producing power both for operating purposes and for sale shall be included in this account and in account 29, "Power plants," respectively. When plants are intended and used primarily for generating power for sale to non-carriers the investment shall be included in account 705, "Miscellaneous physical property."

§ 10.47 *Unapplied construction material and supplies.* This account shall include the cost of material and supplies located at the point of use which have been purchased for projected new roads and road extensions.

The purpose of this account is to exclude from the current assets the cost of supplies and unapplied material which are located for use on projected new roads and road extensions, under the condition that the material will not be used for other purposes.

NOTE A: Material and supplies designed for projected new roads and road extensions which are carried in storehouses and store yards and included in the general stock of an operating company shall be included in balance-sheet account 716, "Material and supplies."

NOTE B: The cost of unapplied materials and supplies on hand at the completion of construction work shall be transferred to balance-sheet account 716, "Material and supplies."

EQUIPMENT

§ 10.50 *Equipment.* The several primary accounts included in this general account are designed to show the cost of the several classes of equipment owned by the carrier, or held under equipment trust agreements for purchase.

To the appropriate primary accounts in this general account shall be charged the cost of all equipment, such as steam locomotives, electric locomotives, passenger-train cars, freight-train cars, work equipment, floating equipment, and the necessary appurtenances, furniture, and fixtures first to equip for service, including the cost of inspection, setting up, and trying out, and transportation over foreign lines; also the cost of additions, such as headlights, mechanical stokers, power brakes, vestibules, machinery for self-propulsion, heating and lighting apparatus, and the like; and the excess cost of betterments, such as improved appliances, parts, or appurtenances, over the cost at current prices (as new) of the appliances, parts, or appurtenances removed. The cost of removing the old appliances and applying the improved shall be charged to operating expenses.

The ledger value of each unit of equipment shall be credited to the appropriate equipment account when it is permanently retired from service. (See Note A which follows.)

The service value (see Note B which follows) of the unit shall be charged to account 702½D, "Accrued depreciation—Equipment." An equitable proportion of any balances carried in accounts 72 to 77, inclusive, applicable to the equipment retired, shall be credited thereto concurrently and charged to account 330, "Retirements—Equipment."

The value of the salvage (see Note C which follows) from the unit shall be charged to account 716, "Material and supplies," or to other account appropriate according to the disposition thereof. In case the retired equipment is held without being torn down, the estimated value of the salvage therefrom shall be included in account 722, "Other deferred assets," until the salvage is recovered.

The cost of tearing down the retired unit and recovering the salvage shall be charged to account 329, "Dismantling retired equipment."

The ledger value (estimated if not known) of all parts of equipment retired and not replaced shall be credited to the property investment account and the service value thereof charged to account 702½D, "Accrued depreciation—Equipment."

When equipment of one class is converted so as to be includible in another class, the accounting shall be as provided in § 10.01–11 *Adjustment for converted property.*

When an important addition and betterment project or the construction of new lines necessitates the purchase of equipment to be used exclusively therein, the cost of such equipment shall be included in the accounts representing the cost of the work, and no charge shall be made to operating expenses for depreciation on such equipment while the cost remains so charged. The amount realized from any subsequent sale, or the appraised value of the equipment retained after the completion of the special work for which it was purchased, shall be credited to the accounts charged with its cost. The appraised value of such equipment retained shall be debited to the appropriate primary account herein, and thereafter, for the purposes of accounting, such appraised value shall be considered as the cost of the equipment.

When second-hand equipment acquired is in such physical condition that it is necessary to make extensive repairs to it to bring it up to the standard required by the carrier, the cost of such repairs shall be included in the account appropriate for the cost of the equipment. A comprehensive statement of the amount estimated to be necessary to rebuild second-hand equipment in accordance with the above provision shall be furnished to the Commission as soon as the estimate is made.

When equipment is rebuilt in order to modernize and create an expectation of life fairly comparable with new units of similar type and capacity, the units shall be accounted for as retired from service and their cost as rebuilt shall be charged to the appropriate equipment account. Units of equipment accounted for as rebuilt shall conform to the requirements of the A. A. R. Code of Rules for rebuilt units. The cost of the rebuilt equipment shall be the sum of:

(a) Cost of new material applied.

(b) Current market price new of secondhand parts applied or remaining therein less allowance for secondhand condition.

(c) Cost of labor constructing rebuilt units. *Provided,* That such costs shall not be in excess of the cost (at current market prices of labor and material) of a new unit of equal capacity and equal expectancy of life in service, less a suitable allowance on account of the secondhand portions remaining therein.

The accounting for leased equipment retired shall be in accordance with provisions in § 10.01–7 *Road property retired* relating to leased road property retired.

NOTE A: The term "retired from service" as applied to equipment means equipment which has been permanently withdrawn from transportation service. The dismantling or tearing down of a unit of equipment in order to replace parts thereof with improved parts, when it does not constitute rebuilding such unit, shall be accounted for as repairs. In accounting for such repairs due consideration shall be given to the instructions with respect to accounting for additions and betterments.

NOTE B: The term "service value" as applied to equipment means the ledger value thereof less the value of the salvage therefrom.

NOTE C: The term "value of salvage" means the amount received for property retired, or for the material salvaged therefrom, if sold; or if retained, the value at which the property or the material salvaged therefrom is chargeable to account 716, "Material and supplies," or other account of this system of accounts.

The following list of units of equipment is prescribed for the purpose of designating items of equipment, the ledger value of which shall be credited to the property investment account at the time of retirement:

51. Steam locomotives.
A complete locomotive.
A locomotive, exclusive of tender.
A tender.
A locomotive booster.
52. Other locomotives.
A complete locomotive.
A complete motor equipment.
A propulsion motor.
A generator for propulsion power.
53. Freight-train cars.
A complete car.
A complete motor equipment.
A freight container, complete.
A propulsion motor.
A generator for propulsion power.
54. Passenger-train cars.
A complete car.
A complete motor equipment.
A propulsion motor.
A generator for propulsion power.
56. Floating equipment.
A complete vessel or boat.
A boiler.
A steam engine.
An electric generator.
A motor.
57. Work equipment.
(a) Rail equipment:
(1) A complete car or machine.
(2) A boiler.
(3) A steam engine.
(4) A motor.
(5) Machinery equipment (with or without tractive machinery) such as concrete mixer, snow plow, derrick, steam shovel, or pile driver.
(6) A complete motor equipment.
(7) A generator for propulsion power.
(b) Floating equipment—Work:
(1) A complete vessel or boat.
(2) A boiler.
(3) A steam engine.
(4) A motor.
(5) An electric generator.
58. Miscellaneous equipment.
A horse.
A wagon.
An automobile vehicle.

§ 10.51 *Steam locomotives.* This account shall include the cost of steam locomotives and tenders, purchased or built by the carrier, and of appurtenances, furniture, and fixtures necessary to equip them for service, including the cost of inspection, setting up, and trying out after receipt from builders, and transportation charges to the carrier's line.

LIST OF APPURTENANCES TO LOCOMOTIVES

Air-brake equipment and hose.
Arm rests.
Awnings.
Brake fixtures.
Cab cushions.
Cab lamps.
Clocks.
Coal boards.
Fire - extinguishing apparatus.
Gongs.
Head lamps.
Metallic packing.
Pneumatic sanding equipment.
Seat boxes.
Signal lamps.
Speed recorders.
Steam-gauge lamps.
Steam-heat equipment and hose.
Storm doors.
Tool boxes.
Train-signal equipment and hose.

§ 10.52 *Other locomotives.* This account shall include the cost of locomotives other than steam, purchased or built by the carrier, and of appurtenances, furniture, and fixtures necessary to equip them for service, including inspection, setting up, and trying out after receipt from builders, and transportation charges to the carrier's line.

NOTE: Cars with motor equipment are not to be classed as locomotives.

§ 10.53 *Freight-train cars.* This account shall include the cost of freight-train cars of all classes, including motor-driven cars, purchased or built by the carrier, including all appurtenances, furniture, and fixtures necessary to equip them for service, and the cost of inspection and transportation charges to the carrier's line.

LIST OF FREIGHT-TRAIN CARS

Ballast (commercial).
Beer.
Box.
Cabin.
Caboose.
Charcoal.
Coal.
Coke.
Dump (commercial).
Flat.
Fruit.
Furniture.
Gondola.
Gondola (hopper).
Gondola (long).
Gun truck.
Hay.
Lime.
Logging.
Oil tank.
Ore.
Platform.
Poling.
Poultry.
Produce.
Rack.
Refrigerator.
Stock.
Tank and water (when used as commercial cars).

LIST OF APPURTENANCES TO FREIGHT-TRAIN CARS

Air-brake equipment, including hose.
Cooking equipment and utensils.
Cushions.
Heating equipment.
Ice boxes.
Lamps and fixtures.
Seats.
Speed recorders.
Train-signal equipment, including hose.
Water tanks.

§ 10.54 *Passenger-train cars.* This account shall include the cost of passenger-train cars of all classes, including motor-driven cars, purchased or built by the carrier, including all appurtenances, furniture, and fixtures necessary to equip them for service, and cost of inspection and transportation charges to the carrier's line.

LIST OF PASSENGER-TRAIN CARS

Baggage.
Baggage-express.
Baggage-mail.
Baggage-mail-express.
Buffet.
Café.
Chair.
Club.
Colonist.
Dining.
Express.
Immigrant.
Library.
Mail.
Milk.
Observation.
Parlor.
Parlor-baggage.
Passenger.
Passenger-baggage.
Passenger - baggage-mail.
Postal.
Refrigerator-express.
Sleeping.
Smoking.
Tourist.

LIST OF APPURTENANCES TO PASSENGER-TRAIN CAR

Air-brake equipment, including hose.
Bedding.
Chairs.
Coat hooks.
Curtains and fixtures.
Cushions.
Electric bells.
Floor coverings.
Heating equipment.
Ice boxes.
Ice tanks.
Kitchen equipment and utensils.
Lighting equipment.
Mail catchers.
Parcel racks.
Ranges and boilers.
Seats.
Speed recorders.
Steam-heat hose.
Table china.
Table glassware.
Table linen.
Table silver.
Toilet equipment.
Train-signal equipment, including hose.
Water tanks.

§ 10.56 *Floating equipment.* This account shall include the cost of marine or floating equipment of all kinds except work equipment, purchased or built by the carrier, including all appurtenances, furniture, and fixtures necessary to equip it for service, and cost of inspection and transportation charges to the carrier's line.

LIST OF FLOATING EQUIPMENT

Barges.
Canal boats.
Car and other floats.
Ferryboats.
Lighters.
Power launches.
Power lighters.
Scows.
Steamboats.
Steamships.
Transfer boats.
Tugboats.

LIST OF APPURTENANCES TO FLOATING EQUIPMENT

Anchors.
Axes.
Barometers.
Beds and bedding.
Binnacle lamps.
Blocks and tackle.
Boilers and foundations.
Cables.
Capstan bars.
Carpets.
Charts.
China, crockery, and glassware.
Chronometers.
Clocks.
Compasses.
Counters.
Desks.
Engines and foundations.
Fire buckets.
Fire extinguishers.
Floor coverings.
Flue cleaners.
Furniture.
Gangplanks.
Hatchets.
Heating equipment.
Hoisting equipment.
Hooks.
Keys.
Kitchen equipment.
Life preservers.
Lighting equipment.
Linen.
Lines.
Logs.
Machinery and foundations.
Masts.
Oilcans.
Pianos and other musical instruments.
Pumps.
Racks.
Railings.
Rakes.
Rigging.
Safes.
Sails.
Scales.
Seats, chairs, and cushions.
Shovels.
Slice bars and pokers.
Spyglasses.
Steam distribution systems.
Steering equipment.
Telescopes.
Ticket cases.
Tool boxes.
Tools, miscellaneous.
Tracks on car floats.
Ventilating equipment.
Wrenches.

§ 10.57 *Work equipment.* This account shall include the cost of work equipment, including motor-driven equipment, purchased or built by the carrier; cost of appurtenances, furniture, and fixtures necessary to equip it for service, and cost of inspection and transportation charges to the carrier's line.

LIST OF RAIL WORK EQUIPMENT

Air-brake instruction cars.
Ballast cars.
Ballast unloader cars.
Boarding cars.
Bridge cars.
Business cars.
Camp cars.
Cinder cars.
Concrete mixers (mounted).
Derrick cars.
Dirt spreaders (mounted).
Ditching cars.
Dump cars.
Dynamometer cars.
Gas tank cars.
Grading cars.
Gravel cars.
Indicator cars.
Locomotive tanks used permanently as water cars.
Locomotives.
Officers' cars.
Outfit cars.
Painters' cars.
Pay cars.
Pile drivers (mounted).
Rail saws (mounted).
Salt cars.
Sanding cars.
Scale test cars.
Scraper cars.
Snow dozers.
Snow drags.

Snow plows (moved by but not attached to locomotives).
Sprinkling cars.
Steam shovels.
Steam wrecking derricks.
Supply cars.
Sweeper cars.
Tool cars.
Tool and block cars.
Water cars.
Weed burners (mounted).
Wrecking cars.

LIST OF FLOATING WORK EQUIPMENT

Derricks.
Dredges.
Pile drivers.

APPURTENANCES TO FLOATING WORK EQUIPMENT

Anchors.
Axes.
Barometers.
Beds and bedding.
Blocks and tackle.
Boilers and foundations.
Cables.
China, crockery, and glassware.
Compasses.
Cushions.
Desks.
Engines and foundations.
Fire extinguishers.
Fire buckets.
Floor coverings.
Flue cleaners.
Gangplanks.
Hatchets.
Heating equipment.
Hoisting equipment.
Hooks.
Keys.
Life preservers.
Lighting equipment.
Linen.
Lines.
Machinery and foundations.
Masts.
Oil cans.
Pumps.
Rakes.
Rigging.
Sails.
Seats and chairs.
Shovels.
Slice bars and pokers.
Steam distribution systems.
Steering equipment.
Tool boxes.
Tools, miscellaneous.
Wrenches.

§ 10.58 *Miscellaneous equipment.* This account shall include the cost of horses and harness; and cost of wagons, automobiles, and other highway vehicles.

§ 10.59 *Unapplied material and supplies; equipment.* This account shall include the cost of unapplied material and supplies located at the point of use which have been purchased specifically for the construction of new railroad equipment.

NOTE A: If material and supplies designated for new railroad equipment are carried in storehouses and storeyards as part of the general stock of the company, their cost shall be included in balance sheet account 716, "Material and supplies."

NOTE B: The cost of unapplied material and supplies on hand at the completion of construction work shall be transferred to balance sheet account 716, "Material and supplies."

GENERAL EXPENDITURES

§ 10.70 *General expenditures.* The primary accounts of this general account are designed to include expenditures made in connection with the acquisition and construction of original road and equipment, and with extensions, additions, and betterments to road and equipment property, when such expenditures can not properly be included in any of the foregoing accounts as a part of the cost of any specific work. When assignable, such expenditures shall be included in the cost of the property in connection with which the expenditures occur.

§ 10.71 *Organization expenses.* This account shall include all fees paid to governments for the privilege of incorporation, and office and other expenditures incident to organizing the corporation and putting it in readiness to do business; cost of preparing and distributing prospectuses; costs of soliciting subscriptions for stock; cash fees paid to promoters, and the actual cash value (at the time of the organization) of securities paid to promoters for their services in organizing the enterprise; special counsel fees; cost of preparing and issuing certificates of stock; cost of procuring the necessary certificates from State authorities; and other like costs.

NOTE: Cost of soliciting for loans or for the sale of bonds or other evidences of indebtedness shall be charged to balance-sheet account 725, "Discount on funded debt."

§ 10.72 *General officers and clerks.* This account shall include the pay and expenses of executive and general officers and of general office clerks engaged exclusively in connection with the construction of new road and extensions.

NOTE: The salaries and expenses of executive and general officers and of general office clerks engaged in connection with the conduct of commercial operations during the period before the regular operation of revenue trains shall be included in account 40, "Revenues and operating expenses during construction."

§ 10.73 *Law.* This account shall include specific and distinct expenditures, not provided for elsewhere, for law service in connection with the acquisition of new road, road extensions, additions, and betterments, such as pay and expenses of counsel, solicitors, and attorneys, their clerks and attendants, and expenses of their offices.

ITEMS OF EXPENSES

Arbitrators' services in settlement of disputed questions.
Cost of taking depositions.
Cost of testimony.
Costs of suits.
Court bonds.
Court expenses.
Express charges.
Fees and retainers of attorneys not regularly employed.
Law books.
Legal forms.
Legal reports.
Notarial fees not provided for elsewhere.
Office expenses.
Printing of briefs, testimony, etc.
Rent of offices.
Special fees.
Telegraph service.
Telephone service.
Traveling expenses.
Witness fees not provided for elsewhere.

NOTE: Court costs and special counsel fees in connection with the acquisition of land for transportation operations shall be included in account 2, "Land for transportation purposes."

§ 10.74 *Stationery and printing.* This account shall include the cost of stationery, stationery supplies, postage, office devices, and printed matter used by any class of employees in connection with construction and not provided for elsewhere.

ITEMS OF STATIONERY AND PRINTING

Adding machines.
Addressographs and supplies.
Arm rests.
Binders.
Blank books.
Blotters.
Blotting paper.
Bristol board.
Calculating machines.
Calendars.
Carbon paper.
Cardboard.
Cards, blank and printed.
Circulars.
Computing tables.
Copy (impression) books.
Copying brushes.
Copying presses.
Crayons.
Cross-section books.
Cross-section paper.
Cyclostyles.
Dating stamps and ribbons.
Dictaphones.
Dictographs.
Drawing paper.
Duplicators.
Electric pens.
Envelopes.
Erasers, rubber and steel.
Eyelet punches.
Eyelets.
File boxes.
Forms, blank and printed.
Fuel tickets.
Glass pens.
Hectographs.
Indexes.
Ink for writing and drawing.
Inkstands.
Invoice books.
Legal cap paper.
Letter paper.
Manifold paper.
Manifold pens.
Mimeographs.
Mucilage.
Mucilage brushes.
Neostyles.
Note paper.
Notices.
Numbering stamps.
Oil paper.
Paper.
Paper baskets.
Paper clips.
Paper cutters.
Paper fasteners.
Paper files.
Paper weights.
Papyrographs.
Parchment paper.
Pencil sharpeners.
Pencils for writing and drawing.
Penholders.
Penracks.
Pens for writing and drawing.
Phonographs and records.
Pins.
Postage.
Punches (not conductors' or baggagemen's).
Rubber bands.
Rubber stamps.
Rulers.
Ruling pens.
Scrapbooks.
Sealing wax.
Seals.
Shears.
Shipping tags.
Shorthand notebooks.
Sponge cups.
Sponges.
Stamps, impression.
Stylographs.
Tablets, blank and printed.
Tape.
Telegraph blanks.
Time-tables.
Tissue (impression) paper.
Tracing cloth.
Tracing paper.
Twine.
Typewriters and ribbons.
Wage tables.
Wastebaskets.
Water colors.
Water holders.
Waybills.
Wrapping paper.
Wringers for copying presses.

NOTE A: The cost of printing bonds, etc., in connection with the carrier's funded debt shall be included in balance-sheet account 725, "Discount on funded debt."

NOTE B: The cost of stationery and printing, when assignable, shall be included in the cost of the property in connection with the acquirement or construction of which the expenditure occurs.

§ 10.75 *Taxes.* This account shall include State, county, township, city, school, road, annual franchise, and all other taxes and assessments levied and paid on property belonging to the carrier during construction and before the facilities are used for commercial operations, except special assessments for street and other improvements chargeable to account 39, "Public improvements—Construction."

NOTE: Taxes during construction, when assignable, shall be included in the cost of the property acquired or constructed.

§ 10.76 *Interest during construction.* When any bonds, notes, or other evidences of indebtedness are sold, or any interest-bearing debt is incurred for acquisition and construction of original road and equipment, extensions, additions, and betterments, the interest accruing on the part of the debt representing the cost of property chargeable to road and equipment accounts (less interest, if any, allowed by depositaries on unexpended balances) after such funds become available for use and before the receipt or the completion or coming into service of the property so acquired shall be charged to this account.

When such securities are sold at a premium the proportion of such premium assignable to the time between the date of the actual issuance of the securities and the time when the property acquired or the improvement made becomes available for service shall be credited to this account.

This account shall also include such proportion of the discount and expense on funded debt issued for the acquisition of original road, original equipment, road extensions, additions, and betterments, as is equitably assignable to the period between the date of the actual issuance of securities and the time when the property acquired or the improvement made becomes available for the service for which it is intended. The proportion of discount and expense thus chargeable shall be determined by the ratio between the period prior to the completion or coming into service of the facilities or improvements acquired and the period of the entire life of the securities issued.

NOTE A: Interest on bonds, notes, or other evidences of indebtedness accruing before the proceeds from the sale of the securities become available for use shall not be included in this account, nor shall there be included any interest accruing after the property with respect to which the proceeds are expended is received or becomes available for use in connection with commercial service.

NOTE B: If any securities which have been issued or assumed by the carrier are sold or exchanged by or for the carrier for a consideration the actual money value of which at the time of such sale or exchange is less than the value of the securities at par and the accrued interest thereon, if any, the difference between the money value of the consideration received and the par value of the securities plus the accrued interest shall be deemed a discount. In no case (except as provided in the third paragraph of this account) shall discounts be included as part of the cost of anything charged to any account prescribed in this classification.

NOTE C: For definition of securities actually issued, see Note B, under general balance-sheet account 755, "Funded debt unmatured."

NOTE D: Whenever interest, premium, or discount assignable to the construction period is incurred in connection with an expenditure covered by some specific road and equipment account or accounts, such interest, premium, or discount shall be charged directly to the specific accounts to which it is related.

NOTE E: This account shall not include interest during the construction period on the carrier's own funds expended in connection with the acquisition or construction of original road and equipment, extensions, additions, and betterments.

§ 10.77 *Other expenditures; general.* This account shall include all expenditures of a special and incidental nature in connection with the acquisition and construction of original road and equipment, road extensions, additions, and betterments which cannot properly be included in any other account in this classification.

OPERATING REVENUES AND OPERATING EXPENSES

§ 10.02 *General instructions.* The carrier's records shall be kept with sufficient particularity to show fully the facts pertaining to all entries made in the accounts provided herein for railway operations. Where the full information is not recorded in the general books, the entries therein shall be supported by other records in which the full details shall be shown. Such general book entries shall contain sufficient reference to the detail records to permit ready identification, and the detail records shall be filed in such manner as to be readily accessible for examination by representatives of the Interstate Commerce Commission.

§ 10.02–1 *Operating accounts.* The accounts of this classification are designed to show the revenues and expenses (including the maintenance of the facilities used) of the carrier's railway operations, including rail-line transportation, water-line transportation, if any, and services incident to transportation.

"Transportation" includes the receipt, conveyance, and delivery of traffic.

"Rail-line transportation" includes not only the conveyance of traffic over tracks, but also the necessary conveyance by water transfers (ferriage, lighterage, and floatage) either between track terminals or between track terminals and points not reached by tracks.

Carriers are at liberty to subdivide the general and primary accounts here given, but if this option be exercised a statement of the accounts adopted shall be filed in the office of the Bureau of Accounts and Cost Finding of the Interstate Commerce Commission.

"The carrier" means the accounting carrier, except when otherwise specifically indicated.

§ 10.02–2 *Unaudited items affecting operating accounts.* When it is known that a transaction has occurred which affects operating revenues or operating expenses, but the amount involved and its effect upon the accounts cannot be determined with absolute accuracy, the amount thereof shall be estimated and included in the appropriate operating and balance-sheet accounts. Any such estimate shall be revised whenever and at the time a substantial change is indicated and shall be finally adjusted as soon as the exact amount is determined. The carrier is not required to anticipate items which would not appreciably affect the operating accounts.

Any change in practice of accounting for accruals or any unusual accruals involving substantial amounts shall be reported promptly to the Commission. Accruals shall not be recorded for purely speculative items, but shall be limited to reasonable estimates on reliable information of transactions that will be consummated.

§ 10.02–3 *Delayed items.* Delayed items and adjustments, except adjustments pertaining to accounts 702½C, "Accrued depreciation — Road," and 702½D, "Accrued depreciation—Equipment," arising during the current year which are applicable to prior years, shall be included in the same account which would have been charged or credited if the item had been taken up or adjusted in the year to which it pertained. When the amount of the delayed item is relatively so large that its inclusion in the appropriate account for the current year would seriously distort the revenues, expenses or income of the current year, the amount of the delayed item may be credited to account 520, "Delayed income credits," or charged to account 557, "Delayed income debits," as may be appropriate.

When the amount of a delayed item is relatively so large that its inclusion in the accounts for a single month will seriously distort those accounts it may be distributed in equal monthly charges to the remaining months of the calendar year.

"Delayed items" are items representing transactions which occurred before the calendar year.

§ 10.02–4 *Miscellaneous operations.* The revenues and expenses of miscellaneous operations involving the use of such facilities as hotels, restaurants, grain elevators, storage warehouses, power plants, cold storage plants, etc., shall not be included in the accounts of this classification unless the operation of the facilities is conducted by the railway companies in connection with furnishing transportation services.

[12 F. R. 4452, as amended at 12 F. R. 6576]

§ 10.02–5 *Submission of questions.* To the end that uniformity of accounting may be maintained from year to year, carriers shall submit all questions of doubtful interpretation of the accounting rules to the Commission for consideration and decision.

§ 10.02–6 *Stockyards.* The revenues and expenses arising from the operation of stockyards shall not be included in operating revenue or operating expense accounts unless the operation of the facilities is conducted in connection with the transportation of livestock. It is not intended, however, that revenues and expenses arising from incidental public stockyards service rendered by stockyards primarily devoted to transportation services shall be excluded from operating revenues and expenses.

OPERATING REVENUES

§ 10.03 *Special instructions.*

§ 10.03–1 *Accounts for operating revenues.* The accounts provided for operating revenues are designed to show amounts of money which a carrier becomes entitled to receive from transportation and from operations incident thereto.

Credits to the revenue accounts shall as nearly as practicable be upon the basis of accruals of revenue.

Uncollected tariff charges on unclaimed and refused shipments of freight, such refused shipments having been transported in accordance with the contract of shipment, shall be charged to the appropriate revenue account to which shall be credited the proceeds derived from the sale of such unclaimed and refused freight.

The carrier's tariff charges on lost, destroyed, or damaged shipments, for which charges neither consignees nor consignors are liable, shall be charged to the revenue accounts previously credited.

Except as otherwise provided in this section, the revenue accounts shall include collections in excess of proper charges, such collections being subject

to refund, and there shall be charged to the revenue accounts uncollectible revenue charges determined after the service has been rendered.

§ 10.03–2 *Interpretation of item lists.* Lists of items to be credited and of items to be charged have been given as a part of the text of this classification for the purpose of clearly indicating the application of the accounting rules. They are not to be considered as comprising all the items creditable or chargeable to the several accounts, but merely as representative of them.

The items contained in the lists of items to be charged to the respective accounts are chargeable only when such items have been, through oversight, included in the credits to the accounts, or they are items of revenue payable to others for service to be rendered in accordance with the tariff provisions applicable to the rates upon which the credits to the several accounts have been based.

§ 10.03–3 *Accruals of revenues.* In order that operating revenue accounts may as nearly as practicable include the full amount of revenues accruing to the carrier each month, the carrier shall accrue currently in the appropriate revenue and balance-sheet accounts estimates of unaudited items affecting revenues. If these estimates are not fully adjusted in the following month, the balances in the balance-sheet accounts shall be kept separately by months until each is adjusted. The carrier is not required to anticipate items which would not appreciably affect the revenue accounts.

§ 10.03–5 *Delayed items.* Cancellation of entries recorded in balance-sheet accounts relating to operating revenues of former years shall be recorded in accordance with § 10.02–3 *Delayed items.*

Revenue Accounts

TRANSPORTATION

§ 10.100 *Transportation; rail line.* The primary accounts included in this general account are designed to show amounts of money which the carrier becomes entitled to receive or which accrue to its benefit from service rendered in transporting property or persons by rail line. (See § 10.02 *General instructions.*)

§ 10.101 *Freight.* This account shall include revenue from the transportation of freight and from transit, stop, and reconsigning privileges, upon the basis of lawful tariff rates.

ITEMS TO BE CREDITED

(a) Revenue upon the basis of local freight tariff rates, regardless of class of train in which the freight is transported.
(b) The carrier's proportion of revenue upon the basis of through freight tariff rates, regardless of class of train on which the freight is transported.
(c) Revenue from transportation of mail matter, and empty mail pouches, at freight tariff rates.
(d) Revenue from transportation of freight on special trains at rates based on weights of shipments.
(e) Revenue on basis of classifications and freight tariffs from transportation of caretakers of freight shipments.
(f) Revenue from reconsigning privileges.
(g) Revenue from stop privileges.
(h) Revenue from transit privileges.
(i) Revenue upon the basis of arbitraries out of freight rates for water transfers (ferriage, lighterage, and floatage).

ITEMS TO BE CHARGED

Amounts paid as bridge and ferry arbitraries on freight.
Amounts paid for completing a haul.
Amounts paid for elevation of freight.
Amounts paid for switching services, in connection with the transportation of freight, on the basis of switching tariffs, and allowances out of through rates, including amounts paid for switching empty cars in connection with a freight revenue movement.
Amounts paid for transferring freight between stations.
Arbitraries and allowances to others for lighterage and wharfage.
The carrier's proportion of overcharges resulting from the use of erroneous rates, weights, classifications or computations.
The carrier's proportion of refunds on account of errors in routing and billing.
The carrier's proportion of uncollected revenue on freight lost or destroyed in transit.
The carrier's proportion of uncollected tariff charges on damaged shipments for which charges neither shipper nor consignee is liable.
Amounts paid on basis of tariff rates for loading and unloading livestock.

Note A: Amounts paid for switching empty cars otherwise than in connection with loaded movements shall be charged to operating expense account 411, "Other expenses," except that amounts paid for switching equipment for repairs shall be included in the appropriate equipment repair accounts.

Note B: Other carriers' proportion of revenue and of uncollectible undercharges paid by the carrier on account of its errors in routing and billing shall be charged to operating expense account 411, "Other expenses."

Note C: Other carriers' proportion of revenue paid by the carrier on freight lost, destroyed, or damaged in transit, for which neither consignees nor consignors are liable shall be charged to operating expense accounts 418, "Loss and damage—Freight."

Note D: When a lessee company transports freight over the tracks of another carrier on the basis of a proportion of revenues under a joint arrangement, it shall include the entire compensation in its revenues and statistics, charging the appropriate joint facility expense and rental accounts with the amounts paid the lessor company, and the lessor company shall credit the corresponding accounts.

The accounting in connection with transportation train service operated under a joint arrangement for the benefit of two or more carriers shall be as provided in the second paragraph of § 10.04–9 *Joint facility accounts.*

Note E: The accrued revenue derived from the transportation of cream, sweet milk, etc., on a basis of lawful tariffs at rates per package, regardless of weights, shall be included in account 109, "Milk."

Note F: Revenue from the transportation of caretakers of freight shipments, when not included as a part of the freight charges on the waybill covering the freight shipments, shall be credited to account 102, "Passenger."

Note G: This account shall be maintained so as to show separately payments and allowances (a) to railway express agencies, (b) to motor truck companies and others, and (c) to shippers and consignees, for terminal collection and delivery services when performed in connection with line haul transportation of freight on the basis of freight tariff rates; also (d) payments for switching services when performed in connection wih line haul transportation of freight on the basis of switching tariffs and allowances out of freight rates, including the switching of empty cars in connection with a revenue movement, and (e) payments on basis of tariff rates for loading and unloading livestock.

§ 10.102 *Passenger.* This account shall include the revenue from transportation of passengers at passenger tariff fares; from the transportation of passengers at special fares as provided by law, and from incidental charges in connection therewith.

ITEMS TO BE CREDITED

(a) Revenue from local passenger fares.
(b) The carriers' proportion of revenue from interline passenger fares.
(c) Revenue from extra fares.
(d) Revenue from additional fares or charges for exclusive use of a passenger car, drawing room, compartment, bedroom, etc.
(e) Revenue from mileage and scrip coupons honored for all services covered by this account.
(f) Revenue from transportation of passengers in special cars or on special trains when charge is based on passenger fare per capita, regardless of the number of passengers actually transported.
(g) Revenue from a guaranteed minimum amount not based on per capita fare, for transportation of passengers on special or chartered trains.
(h) Cash fare penalty collections.
(i) Unclaimed collections and deposits for transportation of pasaengers.
(j) Passenger fare overcharges.
(k) Revenue from transportation of corpses, based on passenger fares.
(l) Revenue from water transfers (ferriage), bridge tolls, and transfers between railway stations or between railway stations and docks, received as arbitraries in division of passenger fares.

ITEMS TO BE CHARGED

(a) Amounts paid as bridge tolls, and also for ferry, depot to depot and depot to dock passenger transfer service.
(b) Amounts paid for switching in completing a passenger transportation movement.
(c) Amounts paid for switching empty passenger-train cars in connection with transportation of passengers. (See Note C.)
(d) Redemptions of unused and partially unused local tickets and redemptions of carrier's proportions of unused and partially unused interline tickets.
(e) Refund of extra fares, cash fare penalty collections, and overcharges in excess of tariff fares.
(f) Uncollectible undercharges.

Note A: Gross receipts from the sale of mileage tickets, and scrip books shall be credited to a suspense account. The suspense account shall be charged and this account credited with the value of coupons as honored, in connection with any of the services provided for in "Items To Be Credited."

Note B: When a lessee company transports passengers over the tracks of another company under a joint arrangement upon the basis of a proportion of the passenger revenue, it shall include the entire compensation in its passenger revenue and statistics, charging the appropriate joint facility expense and rental accounts with the amounts paid the lessor company and the lessor company shall credit the corresponding joint facility accounts.

The accounting in connection with transportation train service operating under a joint arrangement for the benefit of two or more carriers shall be as provided in the second paragraph of § 10.04–9 *Joint facility*

accounts, and Case 297, Accounting Bulletin No. 15.

NOTE C: Amounts paid for switching empty passenger-train cars otherwise than in connection with loaded movements, shall be charged to account 411, "Other expenses," except that when switched for repairs, the amounts paid shall be included in account 317, "Passenger-train cars—Repairs."

NOTE D: Revenue from the transportation of automobiles, with or without trailers, in freight service, in connection with the transportation of passengers, also revenue from loading and unloading automobiles at point of origin, destination, or enroute, shall be credited to account 101, "Freight."

§ 10.103 *Baggage.* This account shall include the revenue from the transportation of baggage, packages, baby carriages, bicycles, household pets, dogs, etc., on passenger trains at other than freight or express tariff rates.

LIST OF ITEMS

(a) Revenue from transportation of baggage in excess of free allowances.
(b) Revenue from transportation of packages, baby carriages, bicycles, household pets, dogs, etc., at baggage tariff rates.
(c) Revenue from transportation of baggage or other articles based upon excess value.
(d) Revenue from transportation of baggage when passenger does not make corresponding trip.
(e) Revenue from excess weight of corpses based on baggage tariff charges and from special charges for transferring corpses between depots.
(f) Revenue from scrip coupons honored for any of the above-mentioned services. (See Note B.)
(g) Overcharges on baggage transactions.
(h) Revenue from transportation of emergency shipments and articles based on double gross weight, etc.
(i) Amounts received specifically to cover movement of special or chartered baggage cars including transportation of attendants regardless of whether the charge is based upon passenger tariff fares, a stated minimum, or any other basis. This includes box cars when used for baggage service.
(j) Revenue from issuing duplicate baggage checks.

NOTE A: Revenue derived from transportation of shipments of silk, fish, etc., in passenger trains at freight rates, shall be included in account 101, "Freight."

NOTE B: Amounts of refunds, uncollectible undercharges, etc., involved in these credits, shall be charged to this account.

NOTE C: Gross receipts from the sale of baggage scrip books shall be credited to a suspense account. The suspense account shall be charged and this account credited with the value of the coupons as honored for any of the services covered by this account.

§ 10.104 *Sleeping car.* This account shall include the revenue from berth and seat accommodations furnished in sleeping cars on the basis of berth or seat rates for the space occupied.

§ 10.105 *Parlor and chair car.* This account shall include the revenue from seat accommodations furnished in parlor, observation, chair, and other special passenger cars when operated in passenger-train service or in special-train service at seat rates for space occupied.

§ 10.106 *Mail.* This account shall include the revenue from the transportation of mail at established rates for specified routes; from the use of railway post-office cars when in carrier's service transporting mails; from the use of special mail facilities; and from bonuses for special mail transportation.

To this account shall be charged fines and penalties imposed by the Government when not collected from agents or employees.

NOTE: The revenue from the transportation of mail matter and empty mail pouches on freight trains at freight tariff rates shall be included in account 101, "Freight."

§ 10.107 *Express.* This account shall include the revenue from transportation of express matters and from use of facilities on trains and at stations incident to such transportation.

When a railway company transacts an express business through its regular railway organization, the revenue therefrom shall be credited to this account.

NOTE: When contracts for express privileges provide specific amounts for the rent of facilities at stations, such amounts shall be included in revenue account 142, "Rents of buildings and other property."

§ 10.108 *Other passenger-train.* This account shall include the revenue derived from the operation of passenger trains not provided for elsewhere.

LIST OF ITEMS

(a) The carrier's proportion of contract revenue derived from the operation over its line of sleeping, parlor, chair, observation, and other special passenger-train cars, owned and operated by companies other than The Pullman Company.
(b) Value of portions of mileage tickets or coupons, scrip books or coupons, including baggage, circus and show scrip, unpresented and unredeemed.
(c) Revenue from transportation of newspapers at local tariff rates or at proportions of interline tariff rates.

§ 10.109 *Milk.* This account shall include the revenue from the transportation of cream, sweet milk, skim milk, sour milk, buttermilk, condensed milk, butterfat, and smearcase or pot cheese, upon the basis of lawful tariffs at rates per package, regardless of weights.

NOTE: The revenue from the transportation of milk upon the basis of lawful tariffs at rates per specified weights shall be included in revenue account 101, "Freight."

§ 10.110 *Switching.* This account shall include the revenue from switching service upon the basis of lawful tariff rates.

To this account shall be credited the carrier's revenue upon the basis of tariff rates, or the carrier's allowance out of through rates, from the switching of cars of all kinds, loaded or empty, either locally at a station or within a switching district, between connecting lines, between local industries, or between connecting lines and local industries; revenue upon the basis of distinct tariff rates for "trap-car" and "ferry-car" service and for spotting cars; also the revenue from interwork switching at industrial plants, and the revenue from "penalty switching" incident to the improper delivery of cars by other carriers.

To this account shall be charged amounts paid others for switching when such switching service is provided for in the switching rate charged by the carrier.

NOTE: "Penalty switching" charges paid by the carrier shall be included in expense account 411, "Other expenses."

§ 10.113 *Water transfers; freight.* This account shall include the revenue from the transfer of freight by water transfers (ferriage, lighterage, and floatage) upon the basis of lawful tariff rates for local service.

NOTE: No revenue shall be included in this account upon the basis of arbitraries out of rates for transportation involving rail line haul.

§ 10.114 *Water transfers; passenger.* This account shall include the revenue from the transfer of passengers by water transfers (ferriage) upon the basis of lawful tariff rates for local service.

NOTE: No revenue shall be included in this account upon the basis of arbitraries out of rates for transportation involving rail line conveyance.

§ 10.115 *Water transfers; vehicles and livestock.* This account shall include the revenue from the transfer by water transfers upon the basis of lawful local tariff rates, of vehicles of all classes; horses, cattle, and other animals; and Government artillery and equipment.

NOTE: No revenue shall be included in this account upon the basis of arbitraries out of rates for transportation involving rail line haul.

§ 10.116 *Water transfers; other.* This account shall include the revenue from water transfers not otherwise provided for, such as the revenue from towing beyond lighterage limits and all other towing for which an extra charge is made; insurance of freight afloat when billed out at other than cost; storage of freight afloat; grain overage in boats; pumping performed for outside parties; and from other similar sources.

To this account shall be charged amounts payable to other companies or individuals for extra lighterage, extra towing, and for all other service when such payments represent revenue collected and credited to this account and not a direct expense.

INCIDENTAL

§ 10.130 *Incidental.* The primary accounts included in this general account are designed to show the amounts which the carrier becomes entitled to receive from services rendered incidentally with rail-line and water-line transportation, for the use of facilities of which the expenses for operation and maintenance are not separable from railway expenses, and from incidental sources not provided for elsewhere.

§ 10.131 *Dining and buffet.* This account shall include the revenue from dining and buffet service on trains and transfer boats.

ITEMS TO BE CREDITED

(a) Revenue from lunches furnished.
(b) Revenue from meals furnished.
(c) Revenue from liquors furnished.
(d) Revenue from tobacco furnished.
(e) Revenue from cigars and cigarettes furnished.

§ 10.132 *Hotel and restaurant.* This account shall include the revenue from hotels, restaurants, and station lunch

counters. (See § 10.02–4 *Miscellaneous operations.*)

ITEMS TO BE CREDITED

(a) Revenue from the rent of rooms.
(b) Revenue from the use of baths.
(c) Revenue from the use of billiard tables.
(d) Revenue from the use of bowling alleys.
(e) Revenue from lunches furnished.
(f) Revenue from meals furnished.
(g) Revenue from liquors furnished.
(h) Revenue from tobacco furnished.
(i) Revenue from cigars furnished.
(j) Revenue from cigarettes furnished.
(k) Revenue from newspapers furnished.
(l) Revenue from periodicals furnished.
(m) Revenue from tonsorial service.
(n) Revenue from laundry work.

NOTE: This account shall not include the revenues from hotels and restaurants which are entirely distinct from the carrier's transportation plant and the cost of which is included in balance-sheet account 705, "Miscellaneous physical property."

§ 10.133 *Station, train, and boat privileges.* This account shall include revenue from weighing, vending, and other automatic machines located at stations; from advertising at stations and on trains and on transfer boats; from the privilege of operating news stands at stations and selling papers, periodicals, fruit, etc., on trains and on transfer boats; from telephone companies for the privilege of installing and operating commercial telephones at stations; from the operation of eating houses and dining and buffet service on trains and transfer boats when such operation is conducted by individuals or companies other than railway companies and when the expenses incurred by the carrier in connection therewith are not separable from its regular operating expenses; and from similar sources.

§ 10.134 *Parcel room.* This account shall include the revenue from the operation of parcel rooms.

§ 10.135 *Storage; freight.* This account shall include the revenue from the storage of freight.

§ 10.136 *Storage; baggage.* This account shall include the revenue from the storage of baggage.

§ 10.137 *Demurrage.* This account shall include the revenue from the detention of cars incident to loading, unloading, reconsigning, and stops in transit upon the basis of lawful tariffs for demurrage.

§ 10.138 *Communication.* This account shall include the revenue from commercial operation of telegraph, telephone, radio, and all other forms of communication systems. It shall also include amounts received from commercial operators of such systems, whether as a proportion of earnings or otherwise, for the privilege of transacting business in offices along the carrier's lines, but only when the carrier furnishes some service of employees whose pay is included in its operating expenses.

NOTE: When a commercial operator rents a communication system belonging to the carrier and pays all expenses incident to its maintenance and operation, the rent so received shall be credited to income account 510, "Miscellaneous rent income."

§ 10.139 *Grain elevator.* This account shall include the revenue from the operation of grain elevators. (See § 10.02–4 *Miscellaneous operations.*)

ITEMS TO BE CREDITED

(a) Revenue from the elevation of grain.
(b) Revenue from the storage of grain.
(c) Revenue from bagging grain.
(d) Revenue from screening grain.
(e) Revenue from blowing grain.
(f) Revenue from cooling grain.
(g) Revenue from clipping grain.
(h) Revenue from cleaning grain.
(i) Revenue from mixing grain.
(j) Revenue from transferring grain in elevators.
(k) Revenue from loading grain into and unloading grain from boats not covered by elevation charges.
(l) Revenue from trimming grain in boats when performed by elevator employees.
(m) Revenue from the sale of screenings and sweepings.
(n) Revenue from inspecting grain in elevators.

§ 10.141 *Power.* This account shall include the revenue from the sale of electric current and other power. (See § 10.02–4 *Miscellaneous operations.*)

§ 10.142 *Rents of buildings and other property.* This account shall include the revenue from the exclusive use of buildings and other property or portions thereof, such as depot and station grounds and buildings, general and other offices, wharves, ferry landings, elevators, stockyards, fuel yards, enginehouses, repair shops, and section and other houses, when the property is operated and maintained in connection with the property used in the carrier's transportation operations and the expenses of maintaining and operating the rented portion cannot be separated from the expenses of that portion used by the carrier. (See § 10.02–4 *Miscellaneous operations.*)

NOTE: When the expenses of maintaining and those of operating property rented to others are separable, the rents received shall be credited and the expenses of maintenance and operation shall be charged to appropriate income accounts.

§ 10.143 *Miscellaneous.* This account shall include the revenue from railway operations not provided for elsewhere. (See § 10.02–4 *Miscellaneous operations.*)

LIST OF ITEMS

(a) Amounts received for privilege of cutting hay along the right of way.
(b) Commissions received for collecting premiums on insurance policies from employees and installment payments for books, watches, etc., sold by dealers to employees.
(c) Profit from jobbing and installing electric power lines for others.
(d) Revenue from boat demurrage.
(e) Revenue from freight and passenger privileges over a carrier's wharves and docks.
(f) Revenue from garnishee fees.
(g) Revenue from operation of coal and ore wharves, cold-storage plants, coal-storage plants, cotton-compress plants, and wood-preserving plants.
(h) Revenue from privilege of mooring and anchoring boats at wharves and docks.
(i) Revenue from the sale of cinders produced by carrier.
(j) Revenue from use of carrier's bridges by pedestrians, streetcar lines, vehicles, etc.
(k) Revenue from temporary use of carrier's tracks for detouring trains, etc.
(l) Revenue from use of tracks incident to delays in loading or removing freight.
(m) Revenue from water furnished boats from water stations operated by the carrier.
(n) Revenue from weighing cars.
(o) The carrier's proportion of gross revenue from operation of clergy bureaus.
(p) The carrier's proportion of gross revenue from operation of ticket validation agencies.
(q) Collections made by station ushers (Red Caps) for the handling of passengers' baggage.
(r) Revenue from loading and unloading livestock in transit by railroad, and from feeding, watering, bedding, shearing, dipping, inspecting, and otherwise caring for such stock.

NOTE: When a bridge of one carrier is jointly used by itself and another carrier and such use is paid for on the basis of flat rent or charge per train-mile or toll per passenger, per ton, or per car, the compensation therefor shall be credited to the appropriate joint facility, operating expense, and income accounts.

JOINT FACILITY

§ 10.150 *Joint facility.*

§ 10.151 *Joint facility—Cr.* This account shall include the carrier's proportion of revenue collected by others in connection with the operation of joint tracks, yards, terminals, and other facilities, including revenue from hotels, restaurants, grain elevators, sale of power, and other miscellaneous operations.

NOTE A: The purpose of this account is to show the amounts of revenue from the operation of joint tracks, yards, terminals, and other facilities operated by other companies, which under existing contracts or agreements are credited by the operating company to the tenant companies which participate therein. The bill rendered by any creditor company against a debtor company for the latter's proportion of the expense of maintenance and operation of joint facilities, which includes also a credit covering a proportion of the revenue to be paid over, shall show the distribution of the credit for such proportion of the revenue separately from the distribution of the expense of operation.

NOTE B: No credits shall be made to this account representing amounts creditable by the operating company to primary accounts 101 to 109, 113 to 116, and 131, except as provided in Case 297, Accounting Bulletin No. 15.

§ 10.152 *Joint facility—Dr.* This account shall include that proportion of revenue from the operation of joint tracks, yards, terminals, and other facilities, which is creditable to other companies, including revenue from hotels, restaurants, grain elevators, sale of power, and other miscellaneous operations.

NOTE A: The purpose of this account is to show the amount of revenue from operation of a terminal company or other carrier which, under the terms of existing contracts or agreements covering the joint use of tracks, yards, and other facilities, is credited to other carriers that participate in the benefits from such joint use. The bill rendered by a creditor company against a debtor company for the latter's proportion of expense of maintaining and operating joint facilities, which includes a credit covering the debtor company's proportion of the revenues from operation of such joint facilities, shall indicate

separately the proper distribution of both the revenues and the expenses included in the bill, and such distribution shall be adhered to by the debtor.

NOTE B: No debits shall be made to this account representing amounts creditable by the operating company to primary accounts 101 to 109, 113 to 116, and 131, except as provided in Case 297, Accounting Bulletin No. 15.

OPERATING EXPENSES

§ 10.04 *Special instructions.*

§ 10.04–1 *Accounts for operating expenses.* The accounts prescribed for operating expenses are designed to show expenses of furnishing transportation service including the expense of maintenance and depreciation of the plant used in the service. The accounting shall be, as nearly as practicable, upon the basis of accruals.

"Road property" means transportation property other than equipment.

Following the texts of the primary operating expense accounts, there are provided condensed groupings of the same accounts to be used by Class II and Class III carriers. For the purpose of these condensed classifications, Class II carriers shall be those having annual operating revenues of $100,000 to $1,000,000 and Class III those having annual operating revenues less than $100,000. Small carriers which elect to use the primary accounts for large railroads shall include in annual reports the group totals required by the condensed classifications for their class.

§ 10.04–2 *Maintenance expenses.* The accounts provided for maintenance of road property and of equipment are designed to show the cost of repairs and also the loss through depreciation of the property used in operations, including all such expenses resulting from ordinary wear and tear of service, exposure to the elements, inadequacy, obsolescence, or other depreciation, or from accident, fire, flood, or other casualty.

The cost of repairs which has been provided for in the several repair accounts shall include the cost of inspecting to determine the repairs necessary, and of adjusting or repairing parts, both of road property and of equipment, such as the repairing of locomotives, cars, frogs, switches, rails, etc.; the cost of inspecting and testing after repairs have been made, such as the testing of locomotives after repairs to determine whether the repairs have been properly made, and the running of repaired locomotives light in order to break them in for regular service; incidental costs of repairs, such as the construction or removal of false work in connection with maintenance, cost of demolishing retired road property and disposing of the wreckage therefrom when the property is dismantled by or for the carrier; cost of maintaining or protecting traffic during the progress of construction work, including the cost of constructing, maintaining and removing temporary tracks required for maintaining traffic during the progress of the work; cost of mowing and beautifying grounds around buildings; repairing fences, sidewalks, driveways, and streets within or adjacent to such grounds; cost of removing snow from roofs of buildings (when not removed by those employed in the buildings); cost of periodical restoration of seasonal features, such as gardens, shrubbery, and lawns; cost of operating hothouses in connection with the work of beautifying grounds; and cost of clearing and removing casual incumbrances, such as ice, snow, and fallen timber.

Distinct maintenance accounts have been provided for expenses of a general character, such as superintendence, stationery and printing, and injuries to persons, which, on account of established practice, it is deemed advisable to segregate.

§ 10.04–3 *Cost of repairs.* It is intended that the repair accounts of this classification shall include the cost of labor, materials and supplies, work-train service, floating equipment work service, special machine service, contract work, privileges, protection from casualties, and other analogous items of expense in connection with the maintenance of the plant used in railway service. The several items of cost here referred to are defined as follows:

(a) "Cost of labor" includes amounts paid for the labor of the carrier's own employees. Except where otherwise specified in the text of the accounts, the cost of boarding, traveling, and other incidental expenses of employees shall be included in the accounts to which the pay of the employees is chargeable.

(b) "Cost of materials and supplies" includes the cost of materials and supplies, including small tools, at the point of free delivery, plus freight charges of foreign lines, and the costs of inspection and loading assumed by the carrier; also a proportion of store expenses (see § 10.04–16 *Material store expense*). It should not, however, include expenses of transportation over the carrier's line. In calculating the cost of materials used proper allowance shall be made for the value of unused portions and of cuttings, turnings, borings, etc., and for the value of the material recovered from property repaired and from temporary tracks, scaffolding, cofferdams, and other temporary structures used in repair work.

(c) "Cost of work-train service" includes cost of labor of enginemen, trainmen, and enginehouse men, including the wages of engine crews and train crews held in readiness for such service; and the cost of fuel and other supplies consumed in connection with the operation of work trains.

(d) "Cost of floating equipment work service" includes cost of labor of crews, including wages of crews held in readiness for service; and the cost of fuel and other supplies consumed in connection with the operation of floating equipment work service.

(e) "Cost of special machine service" includes the cost of labor expended and of materials and supplies consumed in operating steam shovels, scrapers, rail unloaders, ballast unloaders, pile drivers, dredges, ditchers, weed burners, and other labor-saving machines; also rents paid for use of such machines.

(f) "Cost of contract work" includes amounts paid for work performed under contract by other companies, firms, or individuals and specific expenses incident to the award of the contract.

(g) "Cost of privileges" includes amounts paid for special privileges, such as the temporary use of public property or streets, in connection with the repairs of the property of the carrier. (Periodical payments for such privileges in connection with permanent use of public property for railway operations shall be included in the income accounts.)

(h) "Cost of protection from casualties" includes expenditures for protection against damage by fire, flood, etc., such as payments for discovery or extinguishment of fires, cost of detecting and prosecuting incendiaries, expense for witnesses in relation thereto, amounts paid to municipal corporations and others for fire protection, and other analogous items of expense in connection with repair work, but does not include insurance premiums paid to assure reimbursement for prospective losses.

§ 10.04–4 *Royalties on appliances.* The royalties for patent rights on mechanical appliances used in repairs of equipment shall be included in the cost of the repairs.

§ 10.04–5 *Road property retired.* The service value (ledger value less salvage and insurance recovered, if any) of road property retired and replaced with property of like purpose, together with the cost of demolishing and removing the retired property, shall be accounted for in accordance with § 10.01–7 *Road property retired.*

§ 10.04–6 *Distribution of charges for nondepreciable road property retired.* In case the amount chargeable to operating expenses for nondepreciable property retired, as provided in § 10.01–7 *Road property retired,* is relatively large and its inclusion would seriously distort the expenses for the year, the carrier, if so authorized by the Commission, may charge the amount thereof to account 726, "Property retired chargeable to operating expenses," and distribute it thereafter in accordance with the provisions of that account to operating expenses of the current and succeeding years.

§ 10.04–7 *Adjustment for converted property.* When a unit of equipment or fixed property by its transfer from one class of service to another, with or without physical conversion, becomes includible in a primary investment account other than that in which it has been carried, the procedure outlined in § 10.01–11 *Adjustment for converted property* shall be followed.

§ 10.04–8 *Depreciation accounting; road property.* (a) There shall be charged monthly to operating expenses or other appropriate accounts and credited to account 702½C, "Accrued depreciation—Road," during the service life of depreciable road property amounts which will approximate the loss in service value not restored by current repairs or covered by insurance. The charges for currently accruing depreciation shall be computed in conformity with the group plan by applying to the original cost or the estimated original cost of the road property as found by the Bureau of Valuation such percentage rates as will distribute the service value by the

straight-line method in equal annual charges to operating expenses or other accounts during the estimated life of the property. Pending the compilation of the original cost figures to a current date by the Bureau of Valuation, the carrier shall use as a depreciation base that bureau's figures as far as they have been summarized and add thereto the cost for the subsequent years as recorded in its Order No. 3 records and accounts. Such adjustment of original cost figures as may be necessary after the original cost figures have been summarized by the Bureau of Valuation to a current date shall be made at that time.

NOTE: If a carrier submits proof that the actual cost to it of the depreciable road property which it owns or the actual cost to the owner of the depreciable road property which it uses and for which depreciation accounting is required, was substantially different from the original cost figures of the Bureau of Valuation, with the approval of the Commission, such carrier may use such actual cost figures as the depreciation base.

(b) As soon as the information can be assembled the carrier shall file with the Commission composite annual percentage rates estimated to be applicable to the original cost or estimated original cost of the property in each primary account covering depreciable road property owned or used by it. These percentage rates shall be based on the estimated service values and service lives of the road property developed by a study of the carrier's history and experience and such engineering and other information as may be available with respect to future conditions. Such percentage rates shall, for each primary account comprised of more than one class of road property, produce a charge for depreciation based on the original cost or estimated original cost of the depreciable property included in such account equal to the sum of the amounts that would otherwise be chargeable as depreciation for each of the various classes of property included in such account. The annual percentage rates when filed shall be accompanied by a sworn statement showing the bases therefor and the methods employed in their computation.

(c) The carrier shall keep such records of depreciable property and property retirements as will reflect the service life of property which has been retired, or will permit the determination of service life indications by mortality, turnover, or other appropriate methods; also such records as will reflect the percentage of value of the salvage for property retired from each class of depreciable property. The carrier shall be prepared at any time, upon direction of the Commission, to compute and submit for its approval revised percentage rates in cases where existing rates are deemed inapplicable.

(d) A separate composite annual percentage rate for each account covering depreciable property shall be used in computing depreciation charges. Such composite rates shall be those which are from time to time prescribed by the Commission except, that where no rates for any class of property have previously been prescribed for the carrier's use by the Commission, the carrier's estimate of composite annual percentage rates computed in accordance with paragraph (b) of this instruction shall be used prior to the date such rates are prescribed by the Commission.

NOTE: Until such time as the carrier's estimates of composite annual percentage rates have been computed, the carrier shall base its depreciation charges upon the percentage rates obtained from the Bureau of Valuation which is prepared to furnish such rates upon request.

(e) In computing monthly charges the annual percentage rates shall be applied to the depreciation base as of the first of each month and the result divided by twelve.

(f) In the event annual percentage rates prescribed by the Commission, in the judgment of the carrier, become no longer currently applicable, it shall in like manner file revised annual percentage rates which in its judgment should be established. Where property is acquired for which no rates have been prescribed the carrier shall immediately compile and submit to the Commission appropriate estimates developed in accordance with the provisions of paragraph (b) of this instruction.

(g) For the purpose of the group plan of depreciation accounting for road property the following primary accounts under § 10.0 *Road*, are classed as depreciable accounts:

1. Engineering (as appropriately assigned, but not distributed, to the other depreciable accounts in arriving at the amounts used as the depreciation base).
2½. Other right-of-way expenditures.
3. Grading (depreciable property recorded in this account).
5. Tunnels and subways.
6. Bridges, trestles and culverts.
7. Elevated structures.
13. Fences, snowsheds, and signs.
16. Station and office buildings.
17. Roadway buildings.
18. Water stations.
19. Fuel stations.
20. Shops and enginehouses.
21. Grain elevators.
22. Storage warehouses.
23. Wharves and docks.
24. Coal and ore wharves.
26. Communication systems.
27. Signals and interlockers.
29. Power plants.
31. Power-transmission systems.
35. Miscellaneous structures.
37. Roadway machines.
39. Public improvements—construction.
44. Shop machinery.
45. Power-plant machinery.

NOTE: With respect to accounts 2½, 3, 5, and 39, carriers may confine the accruals to the depreciable property recorded therein by applying the percentage rates furnished by the Bureau of Valuation to the aggregate cost of such property (omitting nondepreciable property), in computing depreciation charges, or they may request the Bureau of Accounts to prescribe percentage rates covering obsolescence due to the premature retirement of certain nondepreciable property, in which case the composite percentage rates will be applied to the total amount recorded in each of the accounts in computing depreciation charges.

(h) The accounting for depreciation on road property leased from others shall be in accordance with § 10.05–2 *Leased road and equipment; depreciation.* The depreciation on road property includible in operating expenses by the lessee under that instruction shall be computed and stated under the group plan in accordance with the foregoing instructions pertaining to the carrier's own road property.

(i) The term "group plan" means the plan under which depreciation charges are accrued upon the basis of the original cost of depreciable road property for each primary road account using the service lives of the individual depreciable units in the accounts and properly weighting to determine the composite annual rate of depreciation. Upon the retirement of a unit of property, its full service value is chargeable to account 702½C, "Accrued depreciation—Road," whether or not the particular item has attained the average service life.

(j) The owning carrier shall include in the depreciation accounts in operating expenses the charges for depreciation on units of depreciable property jointly used with one or more other carriers. The owning carrier shall credit and each using carrier shall charge the appropriate joint facility accounts in operating expenses with the amounts billed by the owning carrier against each using carrier for its proportion of the service loss on property retired from service whether billed currently as depreciation or when retirements occur as the loss in service value. The using carriers shall be required to account for depreciation or retirement of units of road property jointly used but not owned only to the extent of their contract liability. The same principle shall apply to terminal companies and their nonowner tenants in accounting for depreciation accruals or retirement charges recorded in the accounts of the terminal companies.

(k) If the cause of the retirement of the unit or units of road property is not a recognized factor in depreciation and the loss is not covered by insurance, the carrier may upon proof that the charge will result in unduly depleting the depreciation reserve, and with the approval of the Commission, charge all or a part of the service value of the property, less the estimated depreciation accrued thereon, to account 726, "Property retired chargeable to operating expenses," and distribute it from that account to account 267, "Retirements—Road."

§ 10.04–9 *Joint facility accounts.* Accounts thus designated have been provided for the joint users of tracks, bridges, yards, wharves, stations, and other facilities to indicate the proper accounting for settlements which cover income and operating expenses in connection with the use of such facilities, and for settlement covering cost of yard service. When the compensation for the use of facilities is a fixed amount or is based upon a charge per passenger, ton, car, or other unit, it shall be fairly apportioned by the operating company among the joint facility operating expense and income accounts. The creditor shall show the distribution of these charges upon its bills, and such distribution shall be adhered to by the debtor.

Train service in connection with the line haul of traffic, including that operated under a joint arrangement for the benefit of two or more carriers is not considered a joint facility operation and the settlements between carriers covering items chargeable to accounts 392 to 403, inclusive, shall not be included in the joint facility accounts. (See Case 297, Accounting Bulletin No. 15.)

§ 10.04–10 *Clearing accounts.* In recognition of the fact that certain expenditures incident to the construction and the operation of property are not chargeable directly to any particular property investment or expense account, clearing accounts have been provided for the purpose of securing an equitable distribution of such items to the proper primary accounts, as hereinafter set forth.

§ 10.04–11 *Gravel and sand pits and quarries.* When a gravel or sand pit or quarry is opened for operations likely to extend over a long period, an account shall be set up designated "Operations of gravel pit at ---------," or "Operations of quarry at ---------," as the case may be. To this account shall be charged:

(a) That part of the cost of the land in excess of its estimated value after the gravel, sand, or stone has been removed, the amount thus charged being concurrently credited to the property account in which the cost of the land is included.

(b) Amounts paid for the right to enter upon and remove ballast from land not owned by the carrier.

(c) The cost of sinking test holes.

(d) The expenses for clearing, stripping, draining, and ditching the land, and of moving and changing fences and buildings preparatory to opening the pit or quarry.

(e) The cost, in excess of the estimated salvage value, of rails and fastenings used in constructing tracks to and in the gravel pit or quarry, the estimated salvage being carried in an appropriate suspense account.

(f) The cost, in excess of the estimated salvage value, of ties and other material, and of labor expended on such tracks.

(g) The cost of labor and train service employed in producing, quarrying, and loading ballast, including the cost of operation, repairs, and depreciation of stationary engines, steam shovels, stone crushers, and other similar machinery, and the pay and expenses of watchmen.

(h) The cost of explosives and hand tools, and miscellaneous expenses.

(i) The cost of installing, operating, and maintaining signals and interlockers at gravel pits.

Credit to these accounts shall be made each month to cover the cost of ballast material produced during the month. The cost of production shall include the expenses directly assignable to the monthly output, plus a proportion of the expenses not directly assignable, such as cost of land, tracks, machinery, and interlockers. This latter amount shall be computed upon the basis of the ratio which the monthly output bears to the total estimated yardage to be taken from the pit.

When any portion of the product of such pits or quarries is sold, the cost thereof shall be credited to this clearing account, and the profit thereon, if any, shall be credited to revenue account 143, "Miscellaneous."

§ 10.04–12 *Power plant operations.* The accounting for the expenses of maintaining and operating an electric, steam, or other power plant (both building and machinery) shall be determined by the purpose for which the power produced is used.

When the power plant is intended and used for producing power solely for the carrier's own operations and the cost of operating the plant is chargeable to clearing account "Shop expenses," or to any one specific account for operating expenses the expenses of maintenance shall be charged to the appropriate maintenance accounts, and the cost of operation to the account appropriate according to the use of the power.

When the power from such a plant is properly chargeable to more than one account, the expenses of maintaining and operating the plant shall be included in clearing account "Power plant operations." The expense of maintenance shall be cleared from that account to the appropriate maintenance accounts for operating expenses. The expenses of operation shall be apportioned to the appropriate accounts upon the basis of quantity of power used for the various purposes.

When a part of the power produced by a power plant is sold and the remainder is used in the carrier's own operations, the cost of maintaining and operating the plant shall be charged to a clearing account. The expense of maintenance shall be cleared from that account to the appropriate maintenance account in operating expenses. The proportion of the expenses of operation assignable to the power sold, on the basis of ratio of quantity of power sold to total quantity of power produced, shall be credited to this clearing account and charged to account 445, "Producing power sold." The remainder of the cost of operation shall be distributed to the appropriate expense accounts for the carrier's own operations, in the manner indicated in the preceding paragraphs.

When power plants are intended and used solely for furnishing power to others, the investment therein shall be included in balance sheet account 705, "Miscellaneous physical property," and the operation shall not be included in the accounts of this classification. (See § 10.02–4 *Miscellaneous operations* and income account 534, "Expenses of miscellaneous operations.")

§ 10.04–14 *Maintaining transmission and distribution systems.* The accounting for the maintenance of transmission systems and distribution systems shall be in accordance with instructions pertaining to power plant operations.

§ 10.04–15 *Shop expenses.* A clearing account entitled "Shop expenses" shall be kept, to which shall be charged items of expense at shops, enginehouses, repair tracks, and other places at which mechanical work is done, not assignable directly to specific accounts. Such expenses shall be apportioned among the various accounts affected. The basis of distribution shall be the relative proportion which the total amount of charges to "Shop expenses" bears to the total of the directly distributed labor. To avoid monthly fluctuations in the ratio of shop expenses to the total of distributed labor, carriers are permitted to make the monthly apportionment on the basis of a percentage of the distributed labor, provided the shop expense account be adjusted and closed out at the end of each year. The expenses assignable to this account are as follows:

(a) *General shop employees.* The pay of general foremen in small shops, who exercise direct supervision over all departments unassisted by department foremen; the pay of department foremen, assistant department foremen, other supervising or directing employees, and their clerks; pay of chauffeurs and oilers; pay of sweepers, cleaners, roustabouts, and other unskilled laborers employed in general work in and about shops and shop grounds; pay of watchmen, gatekeepers, and policemen at shops, repair tracks, and other places at which mechanical work is done; pay of employees while attending fires or fire drills; and pay of employees while making, repairing, or having charge of small shop tools.

(b) *Power.* The cost of fuel used in steam and other power plants in producing power for shops and for other places at which mechanical work is done; cost of oil, grease, waste, and other material used in the operation of such power plants; pay of stationary engineers, firemen, electricians, coal handlers, and other employees engaged in production of power; cost of carbon brushes, fuses, lamps, picks, pokers, scuttles, shovels, and other small tools and supplies; and cost of water and power purchased. (See § 10.04–12 *Power plant operations.*)

(c) *Heating.* The cost of fuel and other supplies used for heating shops and other places at which mechanical work is done, shop offices, watchmen's and gatekeepers' boxes, and inspectors' shanties; and the pay of firemen, coal handlers, and other employees engaged in operating heating boilers. (See § 10.04–12 *Power plant operations.*)

(d) *Lighting.* The cost of electric current, gas, oil, torches, lamp burners, lamp chimneys, lamps not permanently attached to buildings, incandescent lamps and carbons, and other material used in lighting shops and shop offices, repair tracks, and other places at which mechanical work is done, and cost of material used and labor expended in operating electric-light plants and repairing electric-light and other lamps at shops. (See § 10.04–12 *Power plant operations.*)

(e) *Switching locomotives.* All expenses, including wages, fuel, and supplies, of operating switching locomotives when exclusively assigned to switching service at shops. (The expenses of incidental switching at shops by locomotives in transportation switching service shall be charged to appropriate transportation accounts.)

(f) *Shop supplies.* Fuel for forge and other shop work; supplies and small tools used by mechanics on miscellaneous work and not durable; test-room and laboratory supplies used in connection with shop work; lubricating material for shop machinery and tools; water used at shops and shop offices, repair tracks, and other places at which mechanical work is done; and other supplies used generally in shop work.

LIST OF SUPPLIES AND SMALL TOOLS

Acid.
Adzes.
Ammonia.
Auger bits.
Augers.
Axes.
Basins.
Bath brick.
Battery brushes.
Beeswax.
Bell cord.
Bluestone.
Bone, granulated.
Borax.
Bottles.
Braces and bits.
Brooms.
Brushes, dust.
Brushes, file.
Brushes, oil.
Brushes, paint.
Brushes, scrub.
Brushes, sweeping.
Brushes, varnish.
Brushes, wall.
Brushes, whitewash.
Brushes, window.
Buckets.
Carpenter tools furnished apprentices.
Casehardening compound.
Cement, belt.
Chalk.
Chalk lines.
Chamois skins.
Charcoal.
Chisels.
Clamps, hand.
Coal picks.
Compound for B. S. hammers.
Compound for grinding.
Compound for hydraulic jacks.
Compound for welding.
Corks.
Cosmic to prevent rust.
Crayon.
Cups, tin.
Cushion beaters.
Dippers.
Disinfectants.
Ditching lines.
Drill bits.
Drinking cups.
Drinking glasses
Dustpans.
Emery.
Emery boxes.
Emery cloth.
Emery paper.
Faucets.
File cards.
Files.
Fire hooks for stationary boilers.
Fire shovels for stationary boilers.
Flags.
Flannel, canton.
Forks.
Forks, coke.
Funnels.
Gimlets.
Glue.
Gluepots.
Glycerin.
Graphite.
Grindstones.
Ground glass.
Hack-saw blades.
Hammers.
Hammers, babbitt.
Hand leathers.
Handles for tools.
Hatchets.
Hoes.
Keel.
Lampblack.
Lead.
Lye.
Mallets.
Marking brushes.
Marking pots.
Measures, liquid.
Mineral paste.
Mop handles.
Mops.
Muslin.
Nippers.
Oil cans.
Oilstones.
Padlocks.
Paint pots.
Picks.
Pipe-joint grease.
Pliers.
Plumbago.
Polish.
Polish, stove.
Potash.
Prisms.
Rakes.
Rasps.
Ratchet braces.
Red lead.
Resin.
Rope.
Rules.
Sal ammoniac.
Sand soap.
Sandpaper.
Saw blades.
Saws, hand.
Scoops.
Screw drivers.
Screws.
Shellac.
Shovels.
Slate pencils.
Slates.
Sledges.
Soap.
Soda.
Solder.
Soldering fluid.
Spelter solder.
Spigots for oil barrels.
Spirit-level vials.
Spirit levels.
Sponges.
Sprinkling cans.
Squares.
Squirts (lubricating).
Stencil brushes.
Tacks.
Tape lines.
Tapes, metallic.
Tool steel for small hand tools.
Tripoli.
Trucks.
Twine.
Washbasins.
Wheelbarrows.
Whetstones.
White lead.
Whiting.
Window cloths.
Wire.
Wire brushes.
Wrenches.
Zinc cakes.
Zincs.

(g) *Incidental expenses.* Watchmen's uniforms, clocks, and call boxes; traveling expenses connected with the operation of shops and not directly chargeable to other accounts; removal of snow and ice from transfer tables and shop yards; cleaning of privy vaults; horse keep; cost of ice for shops; and other undistributed shop expenses.

§ 10.04–16 *Material store expenses.* To a clearing account called "Material store expenses" shall be charged expenses in connection with purchasing, handling and storing material in and distributing it from the company's storehouses, including the pay of officers and employees in the purchasing and store departments and their traveling, office, and other expenses; also all expenses, including wages, fuel, and supplies, of operating switching locomotives when exclusively assigned to the service of switching at material storehouses. (Expenses of incidental switching at material yards by locomotives in regular switching service shall be charged to the appropriate transportation accounts.) The pay and expenses of men employed in purchasing or inspecting a single class of material, such as ties, shall be added as store expenses to the cost of that particular material.

The total amount of storehouse expense charged to this account shall be so distributed among the accounts to which material has been charged that the amounts thus distributed will be, for each account, in proportion to the value of the material issued chargeable thereto, except that the amount representing the purchasing department expenses shall be apportioned on the value of the material issued which was purchased by that department. To avoid monthly fluctuations in the ratio of store expenses to the value of material purchased or issued, carriers may make a monthly apportionment on the basis of fair percentage rates, provided the store expense account be adjusted and closed out at the end of each year.

§ 10.04–17 *Stationery store expenses.* A clearing account entitled "Stationery store expenses" shall be kept, to which shall be charged expenses in connection with purchasing, handling, and storing stationery, and for distributing it from the stationery stores, including the pay of officers and employees in the stationery store department and their traveling, office, and other expenses. The amounts charged to this account shall be apportioned to the accounts to which is charged stationery issued from the store, upon the basis of the charges to these accounts for such stationery. To avoid monthly fluctuations in the ratio of store expenses to the value of material issued or purchased, carriers may make a monthly apportionment on the basis of fair percentage rates, provided the stationery store expense account be adjusted and closed out at the end of each year.

§ 10.04–18 *Insurance.* Provision has been made in each of the general accounts for premiums paid and amounts set aside for fire and other insurance. Amounts of insurance recovered on account of losses shall be credited to the accounts to which the losses are chargeable.

§ 10.04–19 *Equalization of maintenance expenses.* The cost of maintaining way and structures and equipment shall be included in the appropriate primary accounts in the month in which the expense is incurred. In case the carrier adopts a budget or estimate for all or a part of the calendar year of expenses includible in one or more primary maintenance accounts or for the general accounts 200, "Maintenance of way and structures," and 300, "Maintenance of equipment," an equitable monthly proportion of the difference between the budgeted or estimated expenses and the actual expenses chargeable each month may be debited or credited as appropriate to account 280, "Equalization—Way and structures," or account 338, "Equalization—Equipment," with contra entries in account 773½, "Equalization reserves." If certain primary accounts only are budgeted the carrier's records shall show for amounts included in the equalization accounts the amount of the equalization assignable to each such primary account.

Amounts included in account 773½, "Equalization reserves," in accordance with the foregoing paragraph, shall be cleared therefrom at the close of each calendar year through the equalization accounts originally charged or credited. (See § 10.04–25 *Deferred maintenance, and major repairs to equipment.*)

§ 10.04–20 *Accruals of expenses.* In order that operating expense accounts may as nearly as practicable include the full amount of expenses incurred by the carrier each month, the carrier shall accrue currently in the appropriate expense and balance-sheet accounts estimates of unaudited items affecting expenses. If these estimates are not fully adjusted in the following month, the balances in the balance-sheet accounts shall be kept separately by months until each is adjusted. The carrier is not required to anticipate items which would not appreciably affect the expense accounts.

§ 10.04–22 *Interpretation of item lists.* Lists of "items," "details," etc., have been given as a part of this classification for the purpose of clearly indicating the application of the accounting rules in specific cases. The lists in every case are to be considered as merely representative and not as excluding from any account analogous items which happen to be omitted from the list appended. On the other hand, the appearance of an item in a list warrants the inclusion of such item in the account concerned only when the text of the account also indicates inclusion, inasmuch as the same item frequently appears in more than one list—for example, the item of blank books under accounts 276, 334, 358, 410, and 458—and the proper charge in any one in-

stance must be determined by the text of the account.

§ 10.04–23 *Delayed items.* Cancellation of entries recorded in balance-sheet accounts relating to operating expenses of former years shall be recorded in accordance with § 10.02–3 *Delayed items.*

§ 10.04–24 *Depreciation accounting; equipment.* The accounting for depreciation of equipment shall be in accordance with the following:

(a) There shall be currently charged to operating expenses, and other accounts and credited to account 702½D, "Accrued depreciation—Equipment," during the service life of equipment, amounts which will approximate the loss in service value not restored by current repairs or covered by insurance. These charges for currently accruing depreciation shall be computed at such percentage rate of the ledger value of the equipment that the service value may be distributed under the straight-line method in equal annual charges to operating expenses and other accounts during the estimated service life of the equipment.

(b) All depreciation charges to operating expenses, and other accounts and concurrent credits to account 702½D, "Accrued depreciation — Equipment," shall be made monthly in conformity with the group plan of accounting for depreciation. The term "group plan" as applied to equipment depreciation accounting means the plan under which "depreciation" charges are accrued upon the basis of the ledger value of the property included in each equipment primary account (51 to 54 and 56 to 58, all inclusive), using the average service life thereof properly weighted and, upon the retirement of any unit of such property, its full service value is charged to account 702½D, "Accrued depreciation—Equipment," whether or not the particular item has attained the estimated average service life. In determining such monthly charges and credits the annual percentage rates shall be applied to the ledger value, as of the first of each month, of the respective primary equipment accounts and the result divided by 12.

(c) For purposes of analysis the carrier shall maintain subsidiary records in which the reserve is broken down into component parts corresponding to each equipment primary account (51 to 54 and 56 to 58, all inclusive) showing in these records also in complete detail by each such primary account the current credits and debits to the reserve. Such detailed information shall be reported annually to this Commission.

(d) In determining monthly depreciation charges to operating expense, and other accounts, and the corresponding credits to the depreciation reserve, the annual percentage rates applied to the ledger value of the property included in each primary equipment account (51 to 54 and 56 to 58, all inclusive) shall be those which are prescribed from time to time by this Commission, except that where no rates previously have been prescribed, the carrier's estimate of the annual percentage rates computed in accordance with this instruction shall be used.

(e) The carrier shall keep such records of equipment retirements, as will reflect the service lives and value of salvage of each class of equipment; shall maintain in convenient and accessible form engineering and other data bearing on prospective service lives; and shall be prepared at any time upon direction of this Commission to compute and submit for its approval, new percentage rates to take the place of those based on service lives or value of salvage found to be inaccurate.

(f) If the cause of retirement of a unit of equipment is not a recognized factor in depreciation but is a cause against which the carrier is insured the depreciation reserve shall be credited with the full amount of the insurance recovered. If the cause is not a recognized factor in depreciation and the loss is not covered by insurance the carrier may upon proof that the charge will result in unduly depleting the depreciation reserve and with the approval of this Commission charge all or a part of the service value of the unit to account 726, "Property retired chargeable to operating expenses," and distribute it from that account to account 330, "Retirements—Equipment."

(g) For the purpose of the group plan of depreciation accounting for equipment, the following primary accounts under account 50, "Equipment," are classed as depreciable accounts:

51. Steam locomotives.
52 Other locomotives.
53. Freight-train cars.
54. Passenger-train cars.
56. Floating equipment.
57. Work equipment.
58. Miscellaneous equipment.

(h) The accounting for the depreciation of leased equipment shall be in accordance with § 10.05–2 *Leased road and equipment; depreciation.* The depreciation on equipment includible in operating expenses by the lessee under that instruction shall be stated under the group plan in accordance with the foregoing instructions pertaining to the carrier's owned equipment.

§ 10.04–25 *Deferred maintenance, and major repairs to equipment.* When so authorized by the Commission there may be included each month in account 268, "Deferred maintenance—Way and structures"; account 339, "Deferred maintenance—Equipment"; and account 340, "Major repairs—Equipment"; an equitable proportion of the amount estimated as necessary (a) to provide for the cost of repairs which the carrier finds it is unable to undertake or complete during any calendar year due to non-receipt of material and supplies because of priorities regulations or due to adverse labor conditions; (b) also in anticipation of major repairs to equipment when such repairs are made at intervals of several years. The amounts included in these accounts shall be concurrently credited to account 774, "Maintenance reserves." The cost of such repairs when made shall be charged according to the repairs to the appropriate primary accounts under maintenance of way and structures and maintenance of equipment, and to the extent that provision has been made for such repairs, amounts included in account 774, "Maintenance reserves", shall be cleared therefrom through the accounts originally charged. The carrier in its application to the Commission shall give full particulars concerning the nature of the repair work specifically provided for in this section, and an estimate by primary accounts of the cost of such repairs.

Expense Accounts

Maintenance of Roadway

§ 10.200 *Maintenance of way and structures.* The primary accounts included in this general account are designed to show the expenses of maintaining road property devoted to railway operations, with the exception of shop machinery, power plant machinery, and power plant apparatus, the expenses of maintaining which are includible in general account 300, "Maintenance of equipment."

The accounts for maintenance of way and structures shall be kept in such manner as to show separately, by primary accounts, the expenses directly assignable to sleeping car operations, dining and buffet service, hotels and restaurants, grain elevators, stockyards, producing power sold, and other miscellaneous operations.

§ 10.201 *Superintendence.* This account shall include:

(a) *Pay of officers.* The pay of officers directly in charge of or engaged in the maintenance of roadway and structures.

List of officers

Vice president.
Assistant vice president.
General manager.
Assistant general manager.
General superintendent.
Assistant general superintendent.
Chief engineer.
Engineer.
Division engineer.
Bridge engineer.
Chief signal engineer.
Assistant engineers.
Architect.
Roadmaster.
Assistant roadmaster.
Master carpenter.
Assistant master carpenter.
Master mason.
Superintendent of roadway structures.
Superintendent of scales.
Inspector of maintenance.
Building inspector.
Inspector of roadway stores.
Supervisor.
Assistant supervisor.
Fire Chief.
Fire inspector.
Sanitary inspector.

(b) *Pay of clerks and attendants.* The pay of clerks and other employees in the offices and on the business cars of officers whose pay is chargeable to this account.

List of employees

Chief clerk.
Draftsmen.
Clerks.
Stenographers.
Transitmen.
Levelmen.
Rodmen.
Chainmen.
Axmen.
Janitors.
Messengers.
Cooks.
Porters.

(c) *Office and other expenses.* Office expenses and other expenses of officers and employees whose pay is chargeable to this account; also amounts paid de-

tective agencies and others for investigations in connection with maintenance of way and structures.

ITEMS OF EXPENSE AND SUPPLIES

Atlases and maps.
Books for office use.
Business car service.
Fees and dues in associations.
Furniture repairs and renewals.
Heating.
Lighting.
Official train service.
Periodicals and newspapers.
Power.
Provisions for business cars.
Rent of offices.
Repairs of rented offices.
Telegraph service.
Telephone service.
Traveling expenses.
Water and ice.

SUPPLIES FOR TECHNICAL ASSISTANTS

Barometers.
Books and maps.
Boxes for materials and instruments.
Cameras.
Camp equipage.
Chains for surveyors.
Compasses.
Curves.
Drafting boards.
Drafting instruments.
Field glasses.
Field notebooks.
Hatchets.
Levels.
Magnets.
Magnifiers.
Marking chalk.
Oilstones.
Paper, blue-print.
Parallel rules.
Photographic supplies.
Plane tables.
Planimeters.
Plummets.
Protractors.
Ranging poles.
Reading glasses.
Rods for surveyors.
Scales.
Section liners.
Sextants.
Slide rules.
Stakes.
Straightedges.
Tally registers.
Tape lines.
Tee-squares.
Telescopes.
Thermometers.
Thumb tacks.
Tracing linens.
Transits.
Traverse tables.
Triangles.
Tripods.
Verniers.

NOTE A: When employees designated above are specifically assigned to construction work, their pay and expenses while thus employed shall be charged to the work upon which engaged. (See § 10.01–4 *Cost of construction.*)

NOTE B: When officers designated above have supervision over more than one department, their salaries, the pay of their clerks and attendants and their office and other expenses shall be apportioned equitably among the departments over which they have jurisdiction.

NOTE C: No part of the pay and expenses of the officers and employees designated above shall be charged to other primary accounts under account 200, "Maintenance of way and structures."

NOTE D: The cost of stationery for maintenance of way and structures offices is chargeable to account 276, "Stationery and printing."

§ 10.202 *Roadway maintenance.* This account shall include:

(a) *Care of roadbed.* The cost of repairing roadbed.

ITEMS OF ROADWAY EXPENSE

Blasting rocks.
Building temporary tracks around slides and washouts.
Repairing and cleaning tile ditches, open ditches, and drains.
Crowning track ties with retaining earth.
Filling borrow and cattle pits.
Keeping tracks clear and repairing sub-grade in case of washouts.
Landscape gardening along roadway.
Oiling roadbed.
Post driving and pressure grouting to promote stability of roadbed.
Removing temporary tracks around slides and washouts.
Repairing roadbed damaged by washouts.
Removing dangerous rocks.
Removing slides.
Restoring roadbed, cuts, fills, and embankments to standard width.
Sloping cuts.
Sodding roadway.

NOTE A: The cost of drains or sewers laid under tracks shall be included in account 208, "Bridges, trestles, and culverts." The cost of landscape gardening within the limits of the grounds around buildings shall be included in the appropriate repair accounts for buildings.

(b) *General cleaning.* The cost of cutting, removing, and disposing of brush, grass, and weeds from the right of way; plowing and digging fireguards; dressing ballast and cutting sod lines; removing miscellaneous scrap, drift, cinders, dirt, and other material from right of way and from road and terminal tracks (including tracks at stations, engine yards, and car yards); and cleaning streets used as roadways.

NOTE B: Loading ashes at engine-yard tracks shall be charged to the engine-house expense accounts.

(c) *Watching roadway.* The cost of extinguishing fires on right of way and adjacent thereto, and of walking, watching, and patrolling tracks and right of way.

NOTE C: The cost of watching and patrolling bridges, buildings, and miscellaneous property is provided for in accounts specifically relating to such property.

(d) *Bank protection.* The cost of repairs to riprap, piling, dikes, piers, breakwaters, revetments and retaining walls, which were placed or constructed for bank protection.

(e) *Train service.* The cost of work-train service in connection with work pertaining to roadway maintenance.

(f) *Track changes.* The cost of roadway work in connection with taking up and relocating tracks.

(g) *Other expenses.* The cost of roadway work not provided for elsewhere, such as official roadway inspection train service and premiums in connection with roadway maintenance.

NOTE D: Tools and supplies used by repair men and watchmen in roadway maintenance service shall be charged to account 271, "Small tools and supplies."

[12 F. R. 4452, as amended at 12 F. R. 6576 and 13 F. R. 6633]

§ 10.206 *Tunnels and subways.* This account shall include the cost of repairing, ventilating, lighting, and watching tunnels and subways for the passage of trains, and the cost of special tools and supplies furnished in connection with the work.

NOTE: The cost of repairs to signals and to roadway and tracks in tunnels shall be charged to the appropriate maintenance of way accounts and not to this account.

§ 10.208 *Bridges, trestles, and culverts.* This account shall include the cost of repairing (including fuel and supplies used) and watching bridges, trestles, and culverts, including altering and bracing during process of filling, dredging and cleaning water channels for protection, and cleaning culverts.

The bridges, trestles, and culverts referred to in this account include only structures which carry the carrier's own tracks.

DETAILS OF BRIDGE STRUCTURES

Abutments.
Bridge signs.
Cofferdams.
Concrete and masonry ends for culverts.
Cribs.
Decking, including gravel for fire protection.
Dike protection.
Drainage systems.
Draw protection.
Drawbridge engines and machinery.
False work.
Guard timbers.
Ice breakers.
Painting.
Pier protection.
Piers and foundations.
Pipe culverts.
Retaining walls.
Riprap around abutments.
Riprap at culvert ends.
Supports.
Water channels.
Waterproofing.
Wing dams.
Wing walls.

NOTE: When a part of the entire structure of a bridge or trestle is converted, by filling into an earth embankment, the ledger value of the structure, or of the portion thereof filled, shall be credited to road and equipment account 6, "Bridges, trestles, and culverts." In case the bridge is used in lieu of a temporary trestle for the purpose of filling, the estimated cost of such a temporary trestle shall be charged to road and equipment account 3, "Grading." The ledger value of the structure, or portion thereof, filled, less the value of the salvage and the estimated cost of trestle charged to road and equipment account 3, "Grading," shall be charged to account 702½C.

§ 10.210 *Elevated structures.* This account shall include the cost of repairing elevated structures and foundations of elevated railway systems.

§ 10.212 *Ties.* This account shall include the cost of cross, switch, bridge, and other track ties used in the repairs of tracks.

NOTE A: The cost of labor for unloading, distributing, and putting ties in tracks, the cost of work-train service in connection with the distribution of the ties laid, and the cost of picking up and concentrating or disposing of the ties released shall be charged to account 220, "Track laying and surfacing."

NOTE B: The excess cost of metal ties applied in place of wooden ties over the cost at current prices of replacing in kind the wooden ties removed shall be charged to road and equipment account 8, "Ties."

NOTE C: The cost of ties used for repairs of tracks in quarries and ballast pits shall be included in the appropriate clearing accounts, and of ties used for repairs of tracks on car floats in account 323, "Floating equipment—Repairs."

§ 10.214 *Rails.* This account shall include the cost (less salvage) of rails used in the repairs of tracks; also the cost (at current prices at time of removal) of the excess in weight of heavy rails removed and lighter rails applied in repairs of tracks.

NOTE A: The cost of labor for unloading, distributing, and putting rails in tracks, the cost of work-train service in connection with the distribution of the rails laid, and the cost of picking up and concentrating the rails released shall be charged to account 220, "Track laying and surfacing."

NOTE B: The cost of the excess weight of heavier rails applied in repairs of tracks in replacement of lighter rails shall be included in account 9, "Rails."

NOTE C: The cost of rails used for repairs of tracks in quarries and ballast pits shall be included in the appropriate clearing ac-

counts, and of rails used for repairs of tracks on car floats to account 323, "Floating equipment—Repairs."

§ 10.216 *Other track material.* This account shall include the cost (less salvage) of all track material used in the repairs of tracks, other than ballast, ties, and rails.

ITEMS OF OTHER TRACK MATERIAL

Angle bars.
Anticreepers.
Connecting rods.
Derails.
Frog and guard-rail blocking.
Frogs.
Guard-rail clamps.
Guard-rail fasteners.
Guard rails.
Main rods.
Nut locks.
Nuts.
Offset bars.
Rail braces.
Rail chairs.
Rail clips.
Rail joints.
Rail rests.
Rail shims.
Rail splices.
Splice bars.
Step chairs.
Switch chairs.
Switch crossings.
Switch lamps.
Switch locks and keys.
Switch points.
Switch stands.
Switch-stand bolts.
Switch targets.
Switches.
Tie plates.
Tie plugs.
Tie-rods.
Track bolts.
Track insulators.
Track spikes.

NOTE A: The cost of labor and train service for distributing, unloading, and applying "other track material" used, and the cost of picking up and concentrating the material released shall be charged to account 220, "Track laying and surfacing."

NOTE B: The excess cost of improved or heavier track material applied for repairs of tracks, under a definite plan of changing standards, over the cost, at current prices, of material of the same weight and quality as that released, shall be charged to road and equipment account 10, "Other track material."

NOTE C: The cost of "other track material" used for repairs of tracks in quarries and ballast pits shall be included in the appropriate clearing accounts, and of such track material used for repairs of tracks on car floats in account 323, "Floating equipment—Repairs."

§ 10.218 *Ballast.* This account shall include the cost of gravel, stone, slag, cinders, sand, and like ballast material used in the repairs of tracks, including the cost of work-train service and of unloading the material. (See § 10.04–11 *Gravel and sand pits and quarries.*)

When the ballast taken from a pit is not sufficient to justify the opening of a clearing account, the cost of gravel and quarry rights and cost of sinking test holes shall be included in this account.

NOTE A: The cost of loading cinders at ash pits shall be charged to account 388, "Enginehouse expenses—Yard," or to account 400, "Enginehouse expenses—Train." No charge to cover the value of cinders accumulated by the carrier shall be included in this account.

NOTE B: The cost of labor putting ballast in tracks shall be included in account 220, "Track laying and surfacing."

NOTE C: The excess cost of ballasting tracks over the cost of replacing in kind to its maximum height and width the ballast previously put in the roadbed shall be charged to road and equipment account 11, "Ballast."

NOTE D: Earth placed to form a crown in the middle of the track is not to be considered as ballast.

NOTE E: The cost of ballast used for repairs of temporary tracks, such as gravel pit or quarry tracks, shall be included in the appropriate clearing accounts.

§ 10.220 *Track laying and surfacing.* This account shall include:

(a) *Applying ballast.* The cost of labor expended in preparing the roadbed, and applying ballast for repairs of tracks.

(b) *Applying ties.* The cost of labor expended in unloading, distributing and applying ties for repairs of tracks; in gathering up and disposing of the ties released; and in respacing ties.

(c) *Applying rails.* The cost of labor expended in unloading, distributing, cutting, slotting, drilling, adzing for, and laying rails for repairs of tracks; in gathering up and loading rails released; and in adjusting for expansion and contraction of rails.

(d) *Applying other track material.* The cost of labor expended in unloading, distributing, and applying other track material for repairs of tracks; and the cost of gathering up and loading the material released.

(e) *Track maintenance.* The cost of labor expended in alining, surfacing, gauging, and shimming tracks; in tightening track bolts and track spikes; in restoring rails, ties, and ballast in case of washouts, derailments, and wrecks; and in taking up tracks.

(f) *Train service.* The cost of work-train service (except work trains distributing ballast material) in connection with work pertaining to track laying and surfacing.

(g) *Track changes.* The cost of track work (exclusive of the cost of track material) in taking up and relocating tracks.

(h) *Other expenses.* The cost of track laying and surfacing work not provided for elsewhere, and expenses, such as repairing and replacing rail rests, official track inspection train service, and premiums in connection with track repairs.

NOTE: Tools and supplies used by track repair men and watchmen shall be charged to account 271, "Small tools and supplies."

§ 10.221 *Fences, snowsheds, and signs.* This account shall include:

(a) *Fences.* The cost of repairing right-of-way fences and snow and sand fences, farm gates, cattle guards, wing fences, aprons, and hedges, excluding those around stockyards, fuel stations, station and shop grounds, and building sites.

(b) *Snowsheds.* The cost of repairing snowsheds, including cost of replacing trees for protecting tracks from snow.

(c) *Signs.* The cost of repairing signs other than those for identification of bridges, signals, stations, and other structures. (For items of signs see account 13, "Fences, snowsheds, and signs.")

NOTE A: The cost of repairing fences (other than right-of-way boundary fences) around stockyards, fuel and water stations, and other building sites, shall be charged to the accounts appropriate for the cost of repairs of the structures.

NOTE B: The cost of repairing signs for identifying bridges, signals, stations, and other structures shall be included in the account appropriate for the cost of repairs of the structures.

NOTE C: The cost of repairing crossing signals, including crossing gates, shall be included in account 249, "Signals and interlockers."

§ 10.227 *Station and office buildings.* This account shall include the cost of repairing station and office buildings, fixtures, and appurtenances (including those for heating and lighting), used by the carrier in its operations; also the cost of maintaining grounds appurtenant to such buildings.

STATION AND OFFICE STRUCTURES AND DETAILS

Baggage rooms.
Breakwaters for protection of buildings.
Buildings and rooms for trainmen.
Buildings on piers.
Call bells.
Coal bins.
Coal-transferring machinery (not on coal and ore wharves).
Coal trestles (not at fuel stations).
Commissarial buildings.
Drainage and sewer systems.
Dwellings.
Eating houses.
Electric wiring.
Elevators and machinery.
Express buildings.
Fences.
Fire-engine houses.
Freight cranes.
Freight derricks.
Freight handling machinery.
Freight houses.
Garages.
Gas-supply systems.
General office buildings.
Grain cribs.
Grain elevators.
Grain warehouses.
Greenhouses.
Hay houses.
Heating plants.
Hedges.
Hoisting engines, for handling freight.
Hose houses.
Ice houses.
Lighting plants.
Mail cranes.
Milk stands.
Office buildings.
Ore transferring machinery (not on coal and ore wharves).
Outhouses.
Pavement in ground limits.
Platforms, freight.
Platform, passenger, including planking between tracks.
Power distribution systems, interior.
Reading rooms.
Rooms for Y. M. C. A.
Scale houses.
Sidewalks.
Stables.
Station footbridges (not highway crossings).
Station intertrack fences.
Station platforms.
Station signs.
Station stairways.
Station subways (not highway crossings).
Station powerhouses.
Stations, freight.
Stations, passenger.
Stock pens.
Stockyards.
Storehouses.
Telegraph offices.
Telpher systems.
Track scales.
Transfer houses.
Transfer platforms.
Waiting rooms.
Warehouses.
Washrooms.
Water-supply systems.

NOTE: Incidental cleaning, including the cost of cleaning snow from roofs, when done by station or office employees, shall not be included in this account.

§ 10.229 *Roadway buildings.* This account shall include the cost of repairing roadway shops and other roadway buildings, including drainage, water, gas, and sewer pipes and their connections, machinery and other apparatus, fixtures, and furniture in the buildings; also the cost of maintaining the grounds appurtenant to such buildings.

LIST OF ROADWAY STRUCTURES

Bins for material.
Blacksmith shops.
Boarding houses.
Breakwaters for protection of buildings.
Carpenter shops.
Dwellings for roadway employees.
Fire-engine houses.
Frog shops used solely for repairs of track material.
Hand-car houses.
Lumber sheds.
Offices.
Outhouses.
Planing mills.
Rail shops used solely for repairs of track material.
Repair shops.
Scrap bins.
Section dwelling houses.
Stables.
Storehouses.
Tool houses.
Watch houses.

NOTE A: The cost of repairing signal and interlocker buildings and their appurtenances shall be included in account 249, "Signals and interlockers."

NOTE B: Incidental cleaning, including the cost of cleaning snow from roofs, when done by employees regularly working in the buildings, shall not be included in this account.

§ 10.231 *Water stations.* This account shall include the cost of repairing water stations, fixtures, and appurtenances used by the carrier in its operations, and the cost of maintaining the grounds appurtenant to such stations.

WATER STATION STRUCTURES AND DETAILS

Boilers.
Breakwaters for protection of buildings.
Buildings on piers.
Cisterns.
Dams.
Fences.
Outhouses.
Penstocks.
Pump houses.
Pumps.
Purifying plants.
Reservoirs.
Settling basins.
Stationary engines.
Steam pipes.
Tanks and foundations.
Track tanks.
Tubs.
Water cranes.
Water-pipe lines.
Water-treating plants.
Wells.
Windmills.

NOTE: Incidental cleaning, including the cost of cleaning snow from roofs, when done by water station employees, shall not be included in this account.

§ 10.233 *Fuel stations.* This account shall include the cost of repairing fuel stations, fixtures, and appurtenances used by the carrier in its operations, and the cost of maintaining the grounds appurtenant to such stations.

FUEL STATION STRUCTURES AND DETAILS

Breakwaters for protection of buildings.
Buckets.
Buildings on piers.
Coal buggies.
Coal hoists.
Coal pockets and chutes.
Dumping machinery
Elevating machinery
Fences.
Fuel houses.
Fuel-oil columns.
Fuel-oil plants.
Fuel-oil pumps.
Fuel-oil sumps.
Fuel-oil tanks.
Fuel platforms.
Fuel wharves.
Inclines.
Outhouses.
Scales.
Sheds.
Stationary engines.
Tipple cars.
Weighing apparatus.
Wood racks.

NOTE: Incidental cleaning, including the cost of cleaning snow from roofs, when done by fuel station employees, shall not be included in this account.

§ 10.235 *Shops and enginehouses.* This account shall include the cost of repairing shop and enginehouse buildings, fixtures, and appurtenances used by the carrier in repairing and preparing equipment, and the cost of maintaining the grounds appurtenant to such buildings.

SHOP AND ENGINEHOUSE STRUCTURES AND DETAILS

Air-compressor houses.
Ash pits and pockets.
Ash plants.
Bins for material.
Blacksmith shops.
Breakwaters for protection of buildings.
Buildings on piers.
Car sheds.
Car shops.
Carpenter shops.
Cinder pits.
Cinder pockets.
Drop pits.
Dry houses.
Electric power distribution systems within buildings.
Enginehouses.
Fire-engine houses.
Footbridges (not public highways).
Foundries.
Gas-compressor houses.
Heating plants.
Hose houses.
Ice houses.
Laboratories.
Lighting plants.
Lumber sheds.
Machine shops.
Material and supply truck tracks.
Motor-crane tracks.
Offices, shop.
Oil houses.
Outhouses.
Paint shops.
Pipe lines, air, interior.
Pipe lines, car-heating.
Pipe lines, gas interior.
Planing mills.
Platforms, shop and yard.
Repair shops.
Sand houses.
Scale houses.
Scrap bins.
Sidewalks.
Stables.
Steam distribution systems, interior.
Storehouses.
Tanks, gas.
Tanks, oil.
Test rooms.
Tin shops.
Tool houses.
Track scales.
Transfer tables.
Turntables.
Upholstering shops.
Warehouses.
Wash rooms.
Watch houses.

NOTE A: The cost of repairing machinery and other apparatus, including special foundations in shops for maintenance of equipment shall be included in account 302, "Shop machinery."

NOTE B: Incidental cleaning, including the cost of cleaning snow from roofs, when done by shop employees, shall not be included in this account.

§ 10.237 *Grain elevators.* This account shall include the cost of repairing structures for the transfer, treatment, and storage of grain, including conveyors, machinery and fixtures; also the cost of maintaining the grounds appurtenant to such buildings.

The buildings referred to in this account are large elevators in which a regular grain business is handled or grain is stored for various owners.

NOTE A: Small storage elevators at way stations, where the freight is received for shipment, etc., are classed as station buildings.

NOTE B: Incidental cleaning, including the cost of cleaning snow from roofs, when done by grain elevator employees shall not be included in this account.

§ 10.239 *Storage warehouses.* This account shall include the cost of repairing storage warehouses, including machinery and fixtures therein; also the cost of maintaining the grounds appurtenant to such warehouses.

The buildings referred to in this section are not the ordinary freight warehouses or stations where freight is received for shipment, etc., but are warehouses in which merchandise is stored and which the carrier operates as storage warehouses.

NOTE: Incidental cleaning, including the cost of cleaning snow from roofs, when done by storage warehouse employees, shall not be included in this account.

§ 10.241 *Wharves and docks.* This account shall include the cost of repairing wharves located at marine, lake, or river docks; dredging waterways to approaches and around such structures, including removal of dredged-out material; and cutting ice in and around docks and wharves to prevent damage; also cost of repairs of cribwork, racks, or caissons for preserving the depth of water in docks; and cost of repairs of guards, piling, and other protection against damage by drift or ice.

DETAILS OF WHARVES AND DOCKS

Bridge pontoons.
Bulkheads.
Caissons.
Cribwork.
Drydocks.
Ferry-bridge machinery.
Ferry bridges.
Ferry racks.
Ferry slips.
Jetties and inclines.
Transfer-bridge machinery.
Transfer bridges.

NOTE A: The cost of repairing buildings, tracks, and machinery (not bridge machinery) on wharves and piers shall be charged to the appropriate expense accounts.

NOTE B: The cost of repairing coal and ore wharves shall be charged to account 243, "Coal and ore wharves."

NOTE C: Incidental cleaning, when done by regular wharf employees, shall not be included in this account.

§ 10.243 *Coal and ore wharves.* This account shall include the cost of repairing wharves and docks, including the cost of repairing conveyors, machinery, and fixtures for the transfer, treatment, blending, or storage of coal or ore.

NOTE A: The structures referred to in this account do not include small transfer or storage trestles at stations where coal is stored or delivered, such trestles being classed as station buildings.

NOTE B: Incidental cleaning, including the cost of cleaning snow from roofs, when done by coal and ore wharf employees, shall not be included in this account.

§ 10.247 *Communication systems.* This account shall include the cost of repairing telegraph, telephone, radio, radar, inductive train communication, and other communication systems, including terminal equipment.

DETAILS OF TELEGRAPH AND TELEPHONE TERMINAL EQUIPMENT

Batteries.
Cables and wires, interior.
Carrier terminating equipment.
Conduits, interior.
Connecting wires.
Current-controlling instruments.
Electric generators and motors.
Electric meters.
Engines, stationary.
Fuses and mechanical protectors.
Rectifiers.
Rheostats.
Sending and receiving instruments.
Switchboards.
Telegraph repeaters.

Telephone repeaters.
Teletypewriters.
Testing outfits.
Transformers.

DETAILS OF TELEGRAPH AND TELEPHONE OUTSIDE PLANT

Aerial attachments.
Bracos.
Brackets.
Cable boxes and appurtenances.
Cables and wires, aerial.
Conduits and appurtenances.
Cross arms.
Gas and associated facilities for cables.
Guy stubs.
Guy wires.
Insulators.
Load coils.
Poles.
Submarine cables and connections.
Telephone pole boxes.
Towers.
Underground cables and connections.

DETAILS OF RADIO, RADAR, AND INDUCTIVE TRAIN COMMUNICATION EQUIPMENT

Aerials or antenna, and attachments.
Buildings or towers used exclusively for wireless.
Control units.
Power generating, converting, or supply equipment.
Radar console and associated equipment.
Roadside or office equipment for all wireless systems operated on special channels between train and train, train and tower or office, or between ship and shore.
Specialized testing and repair equipment.
Transmitters and receivers, including mobile units.

NOTE A: Repairs of radio, radar, or trainphone equipment (except portable apparatus) which is permanently attached to locomotives, cars, work equipment, or other rolling stock or floating equipment shall be included in the same account as repairs of the equipment on which installed. Repairs of wireless sets for instructions, advertising, or entertainment shall be included in the same account as repairs of the building in which located.

NOTE B: Repairs of communications systems of limited extent, not connected with other systems, used for special purposes and usually installed within a single building, group of buildings, or within the limits of a station or shop layout or yard, shall be included in the same account as repairs of the building in which located or in the account appropriate for the service with which associated.

NOTE C: The pay, rent, other office expenses, and traveling expenses of officers, their clerks and attendants, who supervise, or are engaged both in maintenance and operation, shall be apportioned equally between this account and account 407, "Communicatcn system operation."

ITEMS

Buzzers, bells, dictaphones, or other interoffice communication systems in an office or group of buildings.
Loud speakers, bells, or whistles in shop and other yards.
Loud speakers, public address devices, press button control lights, telautograph, or other systems in stations or on platforms.
Whistles, klaxons, or horns operated from signal towers.

§ 10.249 *Signals and interlockers.* This account shall include the cost of repairing signals and interlockers governing the movements of locomotives and trains, and for the protection of traffic at crossings, including towers and other buildings, furniture, fixtures, and machinery in connection therewith; also the cost of repairing buildings and machinery of power plants used primarily for the production of power for the operation of signals and interlockers.

For list of items see account 27, "Signals and interlockers."

NOTE A: The pay and expenses of employees engaged both in maintaining and operating signals and interlockers shall be apportioned equitably between this account and account 404, "Signal and interlocker operation."

NOTE B: When signal or interlocking apparatus is located in station buildings, only the cost of repairing the signal or interlocking apparatus shall be charged to this account. The cost of repairing the building shall be included in account 227, "Station and office buildings."

NOTE C: The cost of repairs of track material such as special rail braces, special rods, switches, special track fastenings, split rails, derails, derail stands, and frogs, used in connection with interlockers shall be included in account 216, "Other track material."

NOTE D: When derails are arranged so as to be thrown from switch stands, the cost of labor expended for repairs of the connections between the switch stands and the derail and devices for throwing the derail, shall be included in account 220, "Track laying and surfacing."

NOTE E: The salaries, office expenses, and traveling expenses of supervisors or inspectors when engaged in maintaining both telegraph and telephone lines and signals and interlockers shall be equitably apportioned between this account and account 247, "Communication systems."

§ 10.253 *Power plants.* This account shall include the cost of repairing powerplant and substation buildings, including all foundations other than those special to particular machines and apparatus; and also dams, canals, pipe lines, and accessories devoted to the utilization of water for power. Gas and sewer pipes and their connections, fixtures (including wiring) for lighting and heating, and miscellaneous fixtures, shall be considered as a part of the power-plant buildings.

The power-plant buildings here referred to are those in which power is produced for the operation of trains and cars and for general purposes.

For list of items see road and equipment account 29, "Power plants."

NOTE A: The cost of repairing power-plant machinery, including small stacks resting on boilers, and special foundations for machines, shall be included in account 304, "Power-plant machinery."

NOTE B: The cost of repairng the buildings and the power machinery and other apparatus of plants used primarily for operating signals and interlockers shall be included in account 249, "Signals and interlockers."

§ 10.257 *Power-transmission systems.* This account shall include the cost of repairing systems for conveying electricity, steam, and compressed air from producing plants to place or building where used; also the cost of conduits and poles, cross arms, insulator pins, brackets and other pole fixtures, and of other structures for power-transmission and distribution systems, including those for electric railway operation, and lighting systems for general lighting purposes.

For list of items see account 31, "Power-transmission systems."

NOTE A: The cost of repairing the portions of distribution systems located within shop buildings and station and office buildings shall be included in the accounts provided for the cost of maintaining the buildings. The cost of repairing distribution systems in plants used primarily for operating signals and interlockers shall be included in account 249, "Signals and interlockers."

NOTE B: The cost of repairing conduits and poles and fixtures for telegraph and telephone lines shall be included in account 247, "Communication systems." If poles and conduits are used both for telegraph and telephone lines, and for power-distribution lines, the cost of repairs thereof shall be included in the account appropriate according to their predominant use.

§ 10.265 *Miscellaneous structures.* This account shall include the cost of repairing permanent structures, not provided for elsewhere, including the cost of repairing all furniture and fixtures to equip them for use. It shall also include the cost of maintenance of the grounds appurtenant to such structures.

NOTE A: When separable the cost of maintaining structures which are rented to other companies or individuals shall be charged to the income account in which is included the rent received for use of the structures.

NOTE B: Incidental cleaning, including the cost of cleaning snow from roofs, when done by employees regularly working in miscellaneous buildings, shall not be included in this account.

§ 10.266 *Road property; depreciation.* This account shall include the amount of depreciation charges applicable to the accounting period for all classes of depreciable road property listed in paragraph (g) of § 10.04–8 *Depreciation accounting; road property,* with the exception of shop machinery and power-plant machinery.

NOTE: Depreciation charges applicable to shop machinery and power-plant machinery shall be included in account 305, "Shop and power-plant machinery—Depreciation."

§ 10.267 *Retirements; road.* This account shall include charges for the service value (ledger value less value of salvage) of nondepreciable road property retired, excluding rail, ties, and other track material, and ballast used in repairs, as defined in this classification. This account shall also include the proportion of the service value of nondepreciable and depreciable road property retired carried in account 726, "Property retired chargeable to operating expenses," which by specific authority of the Commission shall be charged to current operating expenses. (See § 10.04–6 *Distribution of charges for nondepreciable road property retired,* and paragraph (k) of § 10.04–8 *Depreciation accounting; road property.*)

When road property previously subject to amortization accounting under section 124, "Amortization deductions," of the Internal Revenue Code is retired, the difference between the service value (ledger value less value of salvage and insurance recovered) thereof, and the balance in account 702½E, "Accrued amortization of defense projects—Road," with respect to the specific facility retired, after appropriate adjustment for any depreciation accrued thereon, shall be included in this account.

This account shall also be charged with such amounts as are concurrently credited to accounts 72 to 77, inclusive, in

accounting for the retirement of road property.

NOTE: The cost of dismantling or demolishing the property, if borne by the carrier, shall be charged to account 270, "Dismantling retired road property," or account 306, "Dismantling retired shop, and power-plant machinery," as may be appropriate.

§ 10.268 *Deferred maintenance; way and structures.* This account shall include the estimated cost of repairs to way and structures which cannot be made during the current year due to priorities for materials and supplies or shortage of labor.

This account shall be credited with amounts cleared from account 774, "Maintenance reserves", in accordance with the text of that account. (See § 10.04–25 *Deferred maintenance, and major repairs to equipment.*)

§ 10.269 *Roadway machines.* This account shall include the cost of repairing roadway machines which are used for the repairs of roadway and structures.

LIST OF ROADWAY MACHINES

Boilers, portable.
Cars, hand.
Cars, lever.
Cars, motor inspection.
Cars, push.
Cars (small), crane, for supply yards and general use.
Concrete mixers.
Ditching machines.
Dredging machines.
Engines, portable.
Grading outfits.
Hydraulic outfits.
Jacks, hydraulic.
Log loaders.
Pile drivers.
Plows, unloading.
Rail unloaders.
Rock crushers.
Steam rollers.
Timber trucks.
Velocipedes.

NOTE A: The cost of repairing machines in the maintenance of equipment shops shall be included in account 302, "Shop machinery," as provided for therein.

NOTE B: The cost of repairing roadway machines, such as pile drivers, log loaders, hoisting engines, and concrete mixers, when permanently mounted for movement on carrier's tracks, shall be included in account 326, "Work equipment—Repairs."

§ 10.270 *Dismantling retired road property.* This account shall include the cost of dismantling retired road property and recovering the salvage therefrom with the exception of track material recovered in connection with repairs of tracks as provided for in account 220, "Track laying and surfacing," and shop and power-plant machinery.

NOTE: The cost of removing, gathering up, and disposing of track material in connection with repairs of tracks is includible in account 220, "Track laying and surfacing," and of shop and power-plant machinery in account 306, "Dismantling retired shop and power-plant machinery."

§ 10.271 *Small tools and supplies.* This account shall include:

(a) *Roadway and track tools.* The cost of roadway tools (except special tools provided for elsewhere), including the cost of repairing such tools

LIST OF ROADWAY AND TRACK TOOLS

Adzes.
Anvils.
Augers.
Axes.
Ballast forks.
Bars, claw.
Bars, crow.
Bars, lining.
Bars, pinch.
Bars, raising.
Bars, tamping.
Braces and bits.
Brooms.
Brush hooks.
Cable stretchers.
Cables.
Cans, oil.
Cans, water.
Cant hooks.
Chains.
Chisels, track.
Chisels, wood.
Curbing hooks.
Dippers.
Drawing knives.
Drill bits.
Drills (portable).
Flags, signal.
Furnaces (portable).
Grindstones.
Hammers, napping.
Hammers, paving.
Hammers, spiking.
Handles for tools.
Hatchets.
Hoes.
Jack levers.
Jacks, ratchet.
Jacks, screw.
Jacks, track.
Kegs, water.
Ladders.
Lanterns and fixtures.
Lawn mowers.
Levels.
Lines for ditching.
Nippers.
Oilstones.
Padlocks.
Pails, water.
Paint brushes.
Picks, clay.
Picks, tamping.
Pike poles.
Post-hole diggers.
Post-hole tampers.
Punches.
Rail benders.
Rail tongs.
Rakes.
Rope.
Saws, crosscut.
Saws, hand.
Scrap boxes.
Scythes.
Shovels.
Sickles.
Sledges.
Spades.
Spike mauls.
Spike pullers.
Spot boards.
Squares.
Straightening machines.
Tape lines.
Thermometers for laying rail.
Tongs.
Tool boxes.
Torches.
Track gauges.
Track levels.
Vises.
Weed spuds.
Wheelbarrows.
Whetstones.
Wood mallets.
Wrenches, monkey.
Wrenches, track.

(b) *Roadway and track supplies.* The cost of supplies consumed in connection with the operation of roadway machines while used in repairs of roadway and tracks; and cost of supplies used by trackwalkers, track watchmen, and roadway and track repair men.

ITEMS OF ROADWAY SUPPLIES

Alcohol for hydraulic jacks.
Fuel for heating tool and other section houses.
Fuel for portable forges used in roadway and track work.
Gasoline for motor cars.
Oatmeal and ice for drinking water used by roadway and track repair men.
Oil and waste for hand cars, lever cars, motor inspection cars, and push cars.
Oil and wicks for lanterns used by trackwalkers, track watchmen, and roadway and track repair men.
Oil and wicks for lighting tool and other section houses.
Torpedoes used by trackwalkers, track watchmen, and roadway and track repair men.
Water for section houses.

§ 10.272 *Removing snow, ice, and sand.* This account shall include the cost of keeping track and roadway clear of snow, ice, and sand.

It shall include cost of preventing accumulation, such as the cost of distributing, setting up, inspecting, taking down, and regathering portable snow and sand fences; and cost of tools furnished for the purpose; also cost of storing fences.

It shall include cost of removing accumulations of snow, ice, and sand, cost of snow-plow and flanger service, and of work-train service; cost of applying and removing flangers from locomotives and cars, and of slatting pilots; cost of salt to keep switches clear; and cost of meals and lodging for men employed in removal service.

§ 10.273 *Public improvements; maintenance.* (a) This account shall include the portion borne by the carrier of the expense of maintenance of public improvements, whether done by public authority or by the carrier's employees under governmental requirement.

(b) By public improvements are meant improvements for public benefit such as curbing, grading, guttering, and paving of streets, overhead highway bridges, including approaches; drainage, sewer, irrigation, and water systems; flood protection, parks, sidewalks, etc.

For list of items see account 39, "Public improvements—Construction."

NOTE A: The expense of repairing paving within the grounds of buildings or other structures shall be charged to the accounts provided for repairs of the structures.

NOTE B: Assessments for maintaining public improvements included in the general tax levy for a regular taxing district shall be charged to the appropriate tax account in income.

NOTE C: Interest and penalties, based on monthly or annual percentage rates, for failure to pay assessments within the allotted time shall be included in account 547, "Interest on unfunded debt."

§ 10.274 *Injuries to persons.* This account shall include expenses on account of injuries to persons which occur directly in connection with the maintenance of way and structures, including injuries occurring in connection with the operation of work trains in such service, and injuries caused by defective highways within the right of way.

It shall also include expenses on account of injuries to employees incurred while demolishing structures, the maintenance of which would be chargeable to maintenance of way and structures; services of employees and others called in consultation in connection with claim adjustments; pay and expenses of employees while engaged as witnesses at inquests and lawsuits; and a suitable proportion of donations made to hospitals.

This account shall also include amounts estimated to be sufficient to meet the probable liability of the carrier for unaudited expenses applicable thereto, except that it is not required to anticipate items which would not appreciably affect the account.

ITEMS OF EXPENSE

Artificial limbs.
Carriage fees.
Claim adjusters' and clerks' services.
Claim adjusters' office expenses.
Compensation for injuries or death.
Final judgments, including plaintiffs' court costs.
Funeral expenses.
Hospital attendance.
Medical and surgical services.
Medical and surgical supplies.
Notarial fees.
Nursing.
Railway transportation.
Undertakers' services.
Undertakers' supplies.
Witnesses' fees and expenses at inquests and lawsuits.

NOTE A: Expenses incident to personal injury suits, not otherwise provided for, shall be included in account 454, "Law expenses."

NOTE B: Amounts donated by a carrier to hospitals shall be distributed, 25 percent to account 274, "Injuries to persons"; 25 percent to account 332, "Injuries to persons"; and 50 percent to accounts 420, "Injuries to persons."

NOTE C: The pay, office rent, office expenses, and other expenses of claim adjusters, claim

clerks and others in charge of or engaged in connection with claim cases, when not assignable to a distinct class of claims, shall be apportioned equally among the several classes of claims over which they have jurisdiction or in connection with which they are engaged.

§ 10.275 *Insurance.* This account shall include premiums, except reinsurance premiums, for insuring the carrier against loss through injuries to persons or damage to or destruction or loss of property, whether caused by fire, accident, or other cause, when such loss to the carrier would be chargeable to maintenance of way and structures; also premiums on fidelity bonds of employees whose pay is chargeable to maintenance of way and structures. (See § 10.04–18 *Insurance.*)

NOTE: The premiums paid by the carrier to its insurance fund shall be credited to an insurance reserve account, to which account shall be charged the amounts of all claims for injuries to persons and damages to the property covered by its insurance. To such account shall also be charged all reinsurance premiums paid to insurance companies, and to it shall be credited all amounts recovered from insurance companies in reimbursement for losses under such reinsurance.

§ 10.276 *Stationery and printing.* This account shall include the cost of stationery and printing used in connection with maintenance of way and structures.

STATIONERY AND PRINTING ITEMS

Adding machines.
Addressographs and supplies.
Arm rests.
Binders.
Blank books.
Blotters.
Blotting paper.
Bristol board.
Calculating machines.
Calendars.
Carbon paper.
Cardboard.
Cards, blank and printed.
Circulars.
Computing tables.
Copy (impression) books.
Copying brushes.
Copying presses.
Crayons.
Cross-section books.
Cross-section paper.
Cyclostyles.
Dating stamps and ribbons.
Dictaphones.
Dictographs.
Drawing paper.
Duplicators.
Electric pens.
Envelopes.
Erasers, rubber and steel.
Eyelet punches.
Eyelets.
File boxes, paper.
Forms, blank and printed.
Glass pens.
Hectographs.
Indexes.
Ink for writing and drawing.
Inkstands.
Invoice books.
Legal cap paper.
Letter paper.
Manifold paper.
Manifold pens.
Mimeographs.
Mucilage.
Mucilage brushes.
Neostyles.
Note paper.
Notices.
Numbering stamps.
Oil paper.
Paper.
Paper baskets.
Paper clips.
Paper cutters.
Paper fasteners.
Paper files.
Paper weights.
Papyrographs.
Pencil sharpeners.
Pencils for writing and drawing.
Penholders.
Penracks.
Pens for writing and drawing.
Phonographs and records.
Pins.
Postage.
Profile books and paper.
Punches (not conductors' or baggagemen's).
Rubber bands.
Rubber stamps.
Rulers.
Ruling pens.
Scrapbooks.
Sealing wax.
Seals.
Shears.
Shipping tags.
Shorthand notebooks.
Sponge cups.
Sponges.
Stamps, impression.
Stylographs.
Tablets, blank and printed.
Tape.
Telegraph blanks.
Tissue (impression) paper.
Tracing cloth.
Tracing paper.
Twine.
Typewriters and ribbons.
Wage tables.
Wastebaskets.
Water colors.
Water holders.
Wrapping paper.
Wringers for copying presses.

NOTE: The cost of dictionaries, periodicals, technical books, etc., shall be included in the appropriate superintendence accounts.

§ 10.277 *Other expenses.* This account shall include all expenses in connection with maintenance of way and structures not provided for elsewhere.

ITEMS OF EXPENSE

Pay and expenses of maintenance of way employees attending conferences with officers in connection with wage disputes.
Fees paid arbitrators in wage disputes with maintenance of way employees.
Payments to maintenance of way employees for time absent on account of sickness, when not compensation for personal injuries.
Gratuities paid to persons for discovering defective rails, etc.

§ 10.278 *Maintaining joint tracks, yards, and other facilities—Dr.* This account shall include the carrier's proportion of the costs incurred by others in maintaining joint tracks, yards, terminals, and other facilities.

NOTE: The purpose of this account is to show the amounts accruing against the carrier for its proportion of the cost of maintaining tracks, yards, and other roadway and structure facilities maintained by others and in the joint use of which the carrier participates. (See § 10.04–9 *Joint facility accounts.*)

§ 10.279 *Maintaining joint tracks, yards, and other facilities—Cr.* This account shall include amounts chargeable to others as their proportions of the cost incurred by the carrier in maintaining joint tracks, yards, terminals, and other facilities.

NOTE: The purpose of this account is to show the amounts accruing in favor of the carrier and against others for their proportions of the cost of maintaining tracks, yards, and other roadway and structure facilities maintained by the carrier and in the joint use of which others participate. (See § 10.04–9 *Joint facility accounts.*)

§ 10.280 *Equalization; way and structures.* This account shall include adjustments of the differences between the actual and the budgeted or authorized maintenance of way and structures expenses as provided in § 10.04–19 *Equalization of maintenance expenses.* The amounts included in this account shall concurrently be debited or credited to account 773½, "Equalization reserves."

§ 10.281 *Right-of-way expenses.* This account shall include the cost to the carrier of maintaining structures owned by or exclusively used by others, such costs having been assumed by the carrier in order to acquire or to secure a less restricted use of its right of way.

The structures here referred to are those such as bridges above the carrier's tracks, tunnels, and roadways under the carrier's tracks.

NOTE: The cost of maintaining public improvements is includible in account 273, "Public improvements—Maintenance."

MAINTENANCE OF EQUIPMENT

§ 10.300 *Maintenance of equipment.* The primary accounts included in this general account are designed to show the expenses of maintaining the carrier's equipment and the carrier's expense for the repairs of other equipment used in its operations, also the cost of maintaining road property classified as shop and power plant machinery. The repair accounts shall include foreign roads' freight charges for transporting the carrier's equipment to shops for repairs and for transporting such equipment to the carrier's line after repairs have been made. No charge shall be made to these accounts for transporting equipment in the carrier's transportation service trains to shops for repairs or from shops after repairs have been made.

The accounts for maintenance of equipment shall be kept in such manner as to show separately, by primary accounts, the expenses directly assignable to sleeping car operations, dining and buffet service, producing power sold, and other miscellaneous operations.

§ 10.301 *Superintendence.* This account shall include:

(a) *Pay of officers.* The pay of officers directly in charge of or engaged in the maintenance of equipment.

LIST OF OFFICERS

Vice president.
Assistant vice president.
General superintendent of motive power.
Assistant general superintendent of motive power.
Mechanical superintendent.
Superintendent of motive power.
Assistant superintendent of motive power.
Mechanical engineer.
Assistant mechanical engineer.
Chief chemist.
General equipment inspector.
Engineer of tests.
Supervisor of car department.
Electrical engineer.
Assistant electrical engineer.
Chemist and assistant chemist.
Master car builder.
Master mechanic.
General foreman.
Chief car inspector.
Inspector of passenger-train cars.
General car inspector.
Traveling boiler inspector.

(b) *Pay of clerks and attendants.* The pay of clerks and other employees in the offices and on business cars of officers whose pay is chargeable to this account.

LIST OF EMPLOYEES

Chief motive power clerks.
Chief clerks.
Draftsmen.
Stenographers.
Motive power clerks.
Shop clerks.
Messengers.
Cooks.
Porters.

(c) *Office and other expenses.* Office expenses and other expenses of officers and employees whose pay is chargeable to this account, and amounts paid to detective agencies and others for investigations in connection with repairs of equipment.

ITEMS OF EXPENSE AND SUPPLIES

Atlases and maps.
Barometers.

Books for office use.
Business car service.
Drafting instruments.
Drafting supplies.
Engineering supplies.
Fees and dues in technical associations.
Furniture repairs and renewals.
Heating.
Lighting.
Official train service.
Periodicals and newspapers.
Power.
Provisions for business cars.
Rent of offices.
Repair of rented offices.
Telegraph service.
Telephone service.
Traveling expenses.
Water and ice.

NOTE A: When employees designated above are specifically assigned to construction work, their pay and expenses while thus employed shall be charged to the work upon which engaged. (See paragraph (a) of § 10.01–4 *Cost of construction.*)

NOTE B: When officers designated above have supervision over more than one department, their salaries, the pay of their clerks and attendants and their office and other expenses shall be apportioned equitably among the departments over which they have jurisdiction.

NOTE C: The cost of stationery purchased for maintenance of equipment offices is chargeable to account 334, "Stationery and printing."

NOTE D: The pay of general foremen in small shops, who exercise direct supervision over all departments, unassisted by departmental foremen, shall be apportioned through clearing account "Shop expenses."

§ 10.302 *Shop machinery.* This account shall include the cost of repairing machinery and other apparatus, including special foundations, in shops and enginehouses.

LIST OF SHOP MACHINERY

Air compressors.
Ash conveyors.
Belting.
Blowers.
Boilers for furnishing power.
Boring machines.
Cars, small motor.
Cars, push.
Cranes.
Drill presses.
Drilling machines.
Drop tables.
Forges.
Framing machines.
Furnaces.
Grinding and polishing machines.
Hoists.
Hydraulic jacks.
Lathes.
Lifting magnets.
Metal chimneys.
Milling machines.
Motors.
Pipe cutting and threading machines.
Planers.
Pneumatic hammers.
Power machinery, where no distinct power plant is provided.
Punches.
Riveters.
Saws.
Shafting.
Shapers.
Slotters.
Stationary engines.
Steam hammers.
Vises.
Welding machines.
Woodworking machines.

NOTE A: The cost of repairing power plant machinery for shop power when located in distinct buildings shall be included in account 304, "Power plant machinery."

NOTE B: The cost of repairing boilers used exclusively for heating shall be included in the appropriate repair accounts for buildings.

NOTE C: The cost of small tools which are soon worn out, when used by mechanics on miscellaneous work, shall be included in clearing account "Shop expenses," and when used on repairs of equipment shall be included in the appropriate accounts for repairs of equipment.

NOTE D: The cost of repairing machinery and tools in shops used exclusively for maintenance of way and structures shall be included in account 229, "Roadway buildings."

§ 10.304 *Power-plant machinery.* This account shall include the cost of repairing machinery and other apparatus including special foundations in power plants and substations for generating and transforming power used for the operation of trains and cars or to furnish power, heat, and light for general purposes.

For list of items see account 45, "Power-plant machinery."

NOTE A: The cost of repairing power-machinery and apparatus in shop power plants shall be included in account 302, "Shop machinery."

NOTE B: The cost of repairing power-machinery and apparatus in stations and offices used primarily for station and office purposes shall be included in account 227, "Station and office buildings."

NOTE C: The cost of repairing power-machinery and apparatus in plants used primarily for operating signals and interlockers shall be included in account 249, "Signals and interlockers."

NOTE D: The cost of repairing foundations, other than those special to particular machines and other apparatus, shall be included in cost of repairing the building and not in this account.

NOTE E: The cost of repairing machinery in distinct plants for furnishing power both for carrier purposes and for sale shall be included in this account. When plants are used solely for generating power for sale the cost of repairs shall be included in account 534, "Expenses of miscellaneous operations."

§ 10.305 *Shop and power-plant machinery; depreciation.* This account shall include the amount of depreciation charges applicable to the accounting period for all classes of property the cost of which is includible in accounts 44, "Shop machinery" and 45, "Power-plant machinery." (See also § 10.04–8 *Depreciation accounting; road property.*)

§ 10.306 *Dismantling retired shop and power-plant machinery.* This account shall include the cost of dismantling retired shop and power-plant machinery and recovering the salvage therefrom.

§ 10.308 *Steam locomotives; repairs.* This account shall include the cost of repairing transportation service steam locomotives and tenders, including all appurtenances, and the cost of small hand tools used in repair work.

This account shall also include the cost of work-train service for the transportation of locomotives without steam to shops for repairs, including the pay and expenses of caretakers, and the pay and expenses of caretakers of locomotives without steam which are hauled in transportation service trains to shops for repairs; also notarial fees in connection with reports on conditions of locomotives.

LIST OF APPURTENANCES TO LOCOMOTIVES

Air-brake equipment and hose.
Arm rests.
Awnings.
Brake fixtures.
Cab cushions.
Cab lamps.
Clocks.
Coal boards.
Fire extinguishing apparatus.
Gongs.
Head lamps.
Packing (except for lubricating).
Pneumatic sanding equipment.
Seat boxes.
Speed recorders.
Steam-gauge lamps
Steam-heat equipment and hose.
Storm doors.
Tool boxes.
Train-signal equipment and hose.

NOTE A: The cost of inspecting smokestacks and ash pans of locomotives in service shall be included in the appropriate enginehouse expense accounts.

NOTE B: The cost of repairing steam locomotives and tenders of foreign lines, waybilled as freight, and damaged in transit shall be charged to account 418, "Loss and damage—Freight"; and the cost of repairing steam locomotives and tenders of foreign lines having trackage rights over the carrier's line, damaged by collision, wreck, or other cause, for which the carrier is liable, shall be charged to account 416, "Damage to property."

NOTE C: The cost of running locomotives under steam to shops for repairs in connection with transportation service shall be included in the cost of the service in connection with which the movement occurs.

NOTE D: The cost of repairing steam locomotives used solely in work service in connection with operations shall be included in account 326, "Work equipment—Repairs." The cost of repairing locomotives on account of construction work shall be included in the cost of the work. (See paragraph (c) of § 10.01–4 *Cost of construction.*)

§ 10.311 *Other locomotives; repairs.* This account shall include the cost of repairs of transportation service locomotives other than steam locomotives, analogous to those set forth for steam locomotives in account 308, "Steam locomotives—Repairs."

§ 10.314 *Freight-train cars; repairs.* This account shall include the cost of repairing freight-train cars and appurtenances, and the cost of repairing motor equipment affixed to freight-train cars engaged in transportation service; also cost of small hand tools used in repairs. This account shall also include the net loss sustained on account of the destruction of foreign freight cars in the carrier's transportation service and amounts paid to others for repairs of freight cars for which the carrier is liable.

LIST OF FREIGHT-TRAIN CARS

Ballast (commercial).
Beer.
Box.
Cabin.
Caboose.
Charcoal.
Coal.
Coke.
Dump (commercial)
Flat.
Fruit.
Furniture.
Gondola.
Gondola (hopper).
Gondola (long).
Gun truck.
Hay.
Lime.
Logging.
Oil tank.
Ore.
Platform.
Poling.
Poultry.
Produce.
Rack.
Refrigerator.
Stock.
Tank (in commercial service).
Water (in commercial service).
Work (in commercial service).

LIST OF APPURTENANCES TO FREIGHT-TRAIN CARS

Air-brake equipment, including hose.
Cooking equipment and utensils.
Cushions.
Heating equipment.
Ice boxes.
Lamps and fixtures.
Seats.
Speed recorders.
Train-signal equipment, including hose.
Water tanks.

NOTE A. The cost of candles, wicks, lamp chimneys, globes, and shades for oil or other lamps in freight-train cars shall be charged to account 402, "Train supplies and expenses."

NOTE B. The cost of repairing freight-train cars of foreign lines waybilled as freight and

damaged in transit shall be charged to account 418, "Loss and damage—Freight"; and the cost of repairing freight-train cars of foreign lines having trackage rights over the carrier's line, when damaged by collision, wreck, or other cause, for which the carrier is liable, shall be charged to account 416, "Damage to property."

§ 10.317 *Passenger-train cars; repairs.* This account shall include the cost of repairing passenger-train cars and appurtenances and the cost of repairing motor equipment affixed to passenger-train cars used in transportation service; small hand tools used in repairs; the net loss sustained on account of the destruction of foreign passenger-train cars in the carrier's transportation service, and amounts paid others for repairs of passenger-train cars for which the carrier is liable.

LIST OF PASSENGER-TRAIN CARS

Baggage.
Baggage-express.
Baggage-mail.
Baggage - mail - express.
Buffet.
Café.
Chair.
Club.
Colonist.
Combination passenger and baggage.
Dining.
Express.
Immigrant.
Library.
Mail.
Milk.
Observation.
Parlor.
Parlor-baggage.
Passenger.
Passenger-baggage.
Passenger - baggage-mail.
Postal.
Refrigerator-express.
Sleeping.
Smoking.
Tourist.

LIST OF APPURTENANCES TO PASSENGER-TRAIN CARS

Air-brake equipment, including hose.
Bedding.
Chairs.
Coat hooks.
Curtains and fixtures.
Cushions.
Electric bells.
Floor coverings.
Heating equipment and steam-heat hose.
Ice boxes.
Ice tanks.
Kitchen equipment and utensils.
Lighting equipment.
Mail catchers.
Parcel racks.
Ranges and boilers.
Seats.
Speed recorders.
Steam heat hose.
Table china.
Table glassware.
Table linen.
Table silver.
Toilet equipment.
Train-signal equipment, including hose.
Water tanks.

NOTE A: The cost of candles, wicks, and lamp chimneys, and of globes and shades for electric and other lights in passenger-train cars shall be charged to account 402, "Train supplies and expenses."

NOTE B: The cost of repairing passenger-train cars of foreign lines, which are waybilled as freight and have been damaged in transit, shall be charged to account 418, "Loss and damage—Freight," and the cost of repairing passenger-train cars of foreign lines having trackage rights over the carrier's line, when damaged by collision, wreck, or otherwise, for which the carrier is liable, shall be charged to account 416, "Damage to property."

§ 10.323 *Floating equipment; repairs.* This account shall include the cost of repairing floating equipment (other than work equipment), including appurtenances, and cost of small hand tools used in repairs.

The pay and expenses of captains and engineers and of boat employees, while engaged on maintenance of floating equipment, shall be included in this account.

LIST OF FLOATING EQUIPMENT

Barges.
Canal boats.
Car and other floats
Ferryboats.
Lighters.
Power launches.
Power lighters.
Scows.
Steamboats.
Steamships.
Transfer boats.
Tugboats.

LIST OF APPURTENANCES, TOOL EQUIPMENT, AND FURNITURE

Anchors.
Axes.
Barometers.
Beds and bedding.
Binnacle lamps.
Blocks and tackle.
Boilers and foundations.
Cables.
Capstan bars.
Carpets.
Charts.
China, crockery, and glassware.
Chronometers.
Clocks.
Compasses.
Counters.
Desks.
Engines and foundations.
Fire buckets.
Fire extinguishers.
Floor coverings.
Flue cleaners.
Furniture.
Gangplanks.
Hatchets.
Heating equipment.
Hoisting equipment.
Hooks.
Keys.
Kitchen equipment.
Life preservers.
Lighting equipment.
Linen.
Lines.
Logs.
Machinery and foundations.
Masts.
Office furniture.
Oil cans.
Pianos and other musical instruments.
Pumps.
Racks.
Railings.
Rakes.
Rigging.
Safes.
Sails.
Scales.
Seats, chairs, and cushions.
Shovels.
Slice bars and pokers.
Spyglasses.
Steam distribution systems.
Steering equipment
Telescopes.
Ticket cases.
Tool boxes.
Tools, miscellaneous.
Tracks on car floats.
Ventilating equipment.
Wrenches.

§ 10.326 *Work equipment; repairs.* This account shall include the cost of repairing rail and floating work equipment, including appurtenances, and cost of small hand tools used in repairs.

The cost of fitting up commercial cars for work service in connection with maintenance and operation; the cost of refitting them for commercial service; the cost of repairs to locomotives while in service for repairs of road and equipment; and the cost of repairs to foreign cars damaged while in such service shall be included in this account; also amounts paid in settlement for such cars destroyed in such service.

LIST OF WORK EQUIPMENT—RAIL

Air-brake instruction cars.
Ballast cars.
Ballast unloader cars.
Boarding cars.
Bridge cars.
Business cars.
Camp cars.
Cinder cars.
Concrete mixers (mounted).
Derrick cars.
Dirt spreaders (mounted).
Ditching cars.
Dump cars.
Dynamometer cars.
Gas-tank cars.
Grading cars.
Gravel cars.
Indicator cars.
Locomotive tanks used as water cars.
Locomotives.
Officers' cars.
Outfit cars.
Painters' cars.
Pay cars.
Pile drivers (mounted).
Rail saws (mounted).
Salt cars.
Sanding cars.
Scale test cars.
Scraper cars.
Snow dozers.
Snow drags.
Snow plows (not attached to but moved by locomotives).
Sprinkling cars.
Steam shovels.
Steam wrecking derricks.
Supply cars.
Sweeper cars.
Tool and block cars.
Tool cars.
Water cars.
Weed burners (mounted).
Wrecking cars.

APPURTENANCES TO WORK EQUIPMENT—RAIL

Air-brake equipment.
Beds and bedding.
Blocking.
Blocks and tackle.
Boilers on cars.
Bunks, seats, and chairs.
Chains.
China, crockery, and glassware.
Cushions.
Engines on cars.
Flue cleaners.
Hatchets.
Heating equipment.
Hooks.
Jacks.
Kitchen utensils.
Lighting equipment.
Linen.
Lines.
Machinery on cars.
Oil cans.
Rakes.
Ranges.
Shovels.
Slice bars and pokers.
Tool boxes.
Tools, miscellaneous.
Train-signal equipment.
Wrecking trucks.
Wrenches.

LIST OF WORK EQUIPMENT—FLOATING

Derricks.
Dredges.
Pile drivers.

APPURTENANCES TO WORK EQUIPMENT—FLOATING

Anchors.
Axes.
Barometers.
Beds and bedding.
Blocks and tackle.
Boilers and foundations.
Cables.
China, crockery, and glassware.
Compasses.
Cushions.
Desks.
Engines and foundations.
Fire extinguishers.
Fire buckets.
Floor coverings.
Flue cleaners.
Gangplanks.
Hatchets.
Heating equipment.
Hoisting equipment.
Hooks.
Keys.
Life preservers.
Lighting equipment.
Linen.
Lines.
Machinery and foundations.
Masts.
Oil cans.
Pumps.
Rakes.
Rigging.
Sails.
Seats and chairs.
Shovels.
Slice bars and pokers.
Steam distribution systems.
Steering equipment.
Tool boxes.
Tools, miscellaneous.
Wrenches.

NOTE: The cost of repairs to work equipment on account of construction work shall be included in the cost of the construction work on which it is used. (See paragraph (c) of § 10.01–4 *Cost of construction.*)

§ 10.328 *Miscellaneous equipment; repairs.* This account shall include the cost of repairing miscellaneous equipment, such as wagons, automobiles, and other highway vehicles, and harness.

§ 10.329 *Dismantling retired equipment.* This account shall include the cost of tearing down retired equipment and recovering the salvage therefrom.

§ 10.330 *Retirements; equipment.* This account shall include the proportion of the service value of equipment retired carried in account 726, "Property retired chargeable to operating expenses," which by specific authority of this Commission shall be charged to operating expenses in the period. (See paragraph (f) of § 10.04–24 *Depreciation accounting; equipment.*)

When equipment previously subject to amortization accounting under section 124, "Amortization deductions," of the Internal Revenue Code is retired, the difference between the service value (ledger value less value of salvage and insurance recovered) thereof and the balance in account 702½F, "Accrued amortization

of defense projects—Equipment," with respect to the specific equipment retired, after appropriate adjustment for any depreciation accrued thereon, shall be included in this account.

This account shall also be charged with such amounts as are concurrently credited to accounts 72 to 77, inclusive, in accounting for the retirement of equipment.

§ 10.331 *Equipment; depreciation.* This account shall include the amount of depreciation charges applicable to the accounting period for all classes of equipment the ledger value of which is includible in accounts 51 to 54 and 56 to 58, all inclusive. (See also § 10.04–24 *Depreciation accounting; equipment.*)

§ 10.332 *Injuries to persons.* This account shall include expenses on account of injuries to persons which occur directly in connection with repairs of equipment.

Services of employees and others called in consultation in relation to claim adjustments, pay and expenses of employees while engaged as witnesses at inquests and lawsuits, and a suitable proportion of donations made to hospitals shall be included in this account.

This account shall also include amounts estimated to be sufficient to meet the probable liability of the carrier for unaudited expenses applicable thereto, except that it is not required to anticipate items which would not appreciably affect the account.

ITEMS OF EXPENSE

Artificial limbs.
Carriage fees.
Claim adjusters' and clerks' services.
Claim adjusters' office expenses.
Compensation for injuries or death.
Final judgments, including plaintiffs' court costs.
Funeral expenses.
Hospital attendance.
Medical and surgical services.
Medical and surgical supplies.
Notarial fees.
Nursing.
Railway transportation.
Undertakers' services.
Undertakers' supplies.
Witnesses' fees and expenses at inquests and lawsuits.

NOTE A: Expenses incident to personal injury suits, not otherwise provided for, shall be included in account 454, "Law expenses."

NOTE B: Amounts donated by a carrier to hospitals shall be distributed, 25 percent to account 274, "Injuries to persons"; 25 percent to account 332, "Injuries to persons"; and 50 percent to account 420, "Injuries to persons."

NOTE C: The pay, office rent, and office and other expenses of claim adjusters, claim clerks, and others in charge of or engaged in connection with claim cases, when not assignable to a distinct class of claims, shall be apportioned equally among the several classes of claims over which they have jurisdiction or in connection with which they are engaged.

§ 10.333 *Insurance.* This account shall include premiums, except reinsurance premiums, for insuring the carrier against loss, through injuries to persons or damage to or destruction or loss of property, whether caused by fire, accident, or other cause, when such loss to the carrier would be chargeable to maintenance of equipment; also premiums on fidelity bonds of employees whose pay is chargeable to maintenance of equipment. (See § 10.04–18 *Insurance.*)

NOTE: The premiums paid by the carrier to its insurance fund shall be credited to an insurance reserve account, to which account shall be charged the amount of all claims for injuries to persons and damages to the property covered by its insurance. To such account shall also be charged all reinsurance premiums paid to insurance companies, and to it shall be credited all amounts recovered from insurance companies for damage to the property reinsured by them.

§ 10.334 *Stationery and printing.* This account shall include the cost of stationery and printing used in connection with maintenance of equipment.

STATIONERY AND PRINTING ITEMS

Adding machines.
Addressographs and supplies.
Arm rests.
Binders.
Blank books.
Blotters.
Blotting paper.
Bristol board.
Calculating machines.
Calendars.
Carbon paper.
Cardboard.
Cards, blank and printed.
Circulars.
Computing tables.
Copy (impression) books.
Copying brushes.
Copying presses.
Crayons.
Cyclostyles.
Dating stamps and ribbons.
Dictaphones.
Dictographs.
Drawing paper.
Duplicators.
Electric pens.
Envelopes.
Erasers, rubber and steel.
Eyelet punches.
Eyelets.
File boxes, paper.
Forms, blank and printed.
Glass pens.
Hectographs.
Indexes.
Ink for writing and drawing.
Inkstands.
Invoice books.
Legal cap paper.
Letter paper.
Manifold paper.
Manifold pens.
Mimeographs.
Mucilage.
Mucilage brushes.
Neostyles.
Note paper.
Notices.
Numbering stamps.
Oil paper.
Paper.
Paper baskets.
Paper clips.
Paper cutters.
Paper fasteners.
Paper files.
Paper weights.
Papyrographs.
Parchment paper.
Pencil sharpeners.
Pencils for writing and drawing.
Penholders.
Penracks.
Pens for writing and drawing.
Phonographs and records.
Pins.
Postage.
Punches (not conductor's or baggagemen's).
Rubber bands.
Rubber stamps.
Rulers.
Ruling pens.
Scrapbooks.
Sealing wax.
Seals.
Shears.
Shipping tags.
Shorthand notebooks.
Sponge cups.
Sponges.
Stamps, impression.
Stylographs.
Tablets, blank and printed.
Tape.
Telegraph blanks.
Tissue (impression) paper.
Tracing cloth.
Tracing paper.
Twine.
Typewriters and ribbons.
Wage tables.
Wastebaskets.
Water colors.
Water holders.
Wrapping paper.
Wringers for copying presses.

NOTE: The cost of dictionaries, periodicals, technical books, etc., shall be included in the appropriate superintendence accounts.

§ 10.335 *Other expenses.* This account shall include expenses in connection with the maintenance of equipment not properly chargeable to other accounts for maintenance of equipment or to clearing accounts such as "Material store expenses" and "Shop expenses."

ITEMS OF EXPENSE

Pay and expenses of mechanical department employees attending conferences with officers in connection with mechanical department wage disputes.
Fees paid arbitrators in connection with mechanical department wage disputes.
Payments to mechanical department employees for time absent on account of sickness when not in compensation for personal injuries.

§ 10.336 *Joint maintenance of equipment expenses—Dr.* This account shall include the carrier's proportion of expenses incurred by others in maintaining equipment used in the operation of joint facilities, including the carrier's proportion of the expenses of repairing such equipment damaged by accidents when such expenses are participated in by more than one carrier. It shall also include the carrier's proportion of expenses incurred by others in maintaining joint shop machinery and power-plant machinery.

NOTE: The purpose of this account is to show the amount accruing against the carrier for its proportion of the expense of maintaining equipment, shop machinery, and power-plant machinery, which is maintained by others and in the joint use of which the carrier participates.

§ 10.337 *Joint maintenance of equipment expenses—Cr.* This account shall include the amount chargeable to others as their proportion of expenses incurred by the carrier in maintaining equipment used in the operation of joint facilities, and for expenses of repairing equipment damaged by accidents, when such expenses are participated in by more than one carrier. It shall also include amounts chargeable to others as their proportions of the expenses incurred by the carrier in maintaining joint shop machinery and power-plant machinery.

NOTE: The purpose of this account is to show the amounts accruing in favor of the carrier due from others for their proportions of the expense of maintaining equipment, shop machinery, and power-plant machinery, which is maintained by the carrier and in the joint use of which others participate.

§ 10.338 *Equalization; equipment.* This account shall include adjustments of the differences between the actual and the budgeted or authorized maintenance of equipment expenses as provided in § 10.04–19 *Equalization of maintenance expenses.* The amounts included in this account shall concurrently be debited or credited to account 773½, "Equalization reserves."

§ 10.339 *Deferred maintenance; equipment.* This account shall include the estimated cost of repairs to equipment which cannot be made during the current year due to priorities for materials and supplies or shortage of labor.

This account shall be credited with amounts cleared from account 774, "Maintenance reserves," in accordance with the text of that account. (See § 10.04–25 *Deferred maintenance, and major repairs to equipment.*)

NOTE: Estimated costs of heavy or extraordinary repairs to equipment that are usually made at intervals of several years shall be charged to account 340, "Major repairs—Equipment."

§ 10.340 *Major repairs; equipment.* This account shall be charged with the estimated cost of anticipated major repairs to equipment that are usually made at intervals of several years.

This account shall be credited with amounts cleared from account 774, "Maintenance reserves," in accordance with the text of that account. (See § 10.04–25 *Deferred maintenance, and major repairs to equipment.*)

TRAFFIC

§ 10.350 *Traffic.* The primary accounts included in this general account are designed to show the expenses incurred for advertising, soliciting, and securing traffic for the carrier's lines and for preparing and distributing tariffs governing such traffic.

§ 10.351 *Superintendence.* This account shall include:

(a) *Pay of officers.* The pay of officers directly in charge of or engaged in supervising the procurement of traffic, and the preparation and distribution of tariffs, division sheets, and classifications.

LIST OF OFFICERS

Vice president.
Assistant to vice president.
Traffic director.
Traffic manager.
General freight agent.
Assistant general freight agent.
Chief of tariff bureau.
Traveling tariff inspector.
Live stock agent.
General passenger agent.
Assistant general passenger agent.
Division passenger agent.
Division freight agent.
General baggage agent.
General express agent.
General express manager.
Coal traffic agent.

(b) *Pay of clerks and attendants.* The pay of clerks and other employees in the offices and on business cars of officers whose pay is chargeable to this account.

LIST OF EMPLOYEES

Chief clerk.
Clerks.
File clerks.
Stenographers.
Messengers.
Cooks.
Porters.
Attendants.

(c) *Office and other expenses.* Office expenses and other expenses of officers and employees whose pay is chargeable to this account.

ITEMS OF EXPENSE AND SUPPLIES

Atlases and maps.
Barometers.
Bicycles.
Books for office use.
Business car service.
Express charges.
Fees and dues in commercial and other clubs.
Furniture repairs and renewals.
Heating.
Lighting.
Official train service.
Periodicals and newspapers.
Power.
Provisions for business cars.
Rent for offices.
Repairs of rented offices.
Telegraph service.
Telephone service.
Traveling expenses.
Water and ice.

NOTE A: When officers designated above have supervision over more than one department, their salaries, the pay of their clerks and attendants, and their office and other expenses shall be apportioned equitably among the departments over which they have jurisdiction.

NOTE B: The pay and expenses of officers engaged exclusively in soliciting traffic are chargeable to account 352, "Outside agencies."

NOTE C: The cost of stationery for traffic offices is chargeable to account 358, "Stationery and printing," except stationery chargeable to accounts 354, 355, and 356.

§ 10.352 *Outside agencies.* This account shall include the pay, and the office, traveling, and other expenses of general, commercial, city, and district agents and others soliciting traffic, the employees of their offices, and traveling agents and solicitors located on or off the line of the carrier's road.

City ticket and freight offices, separate from regular station ticket and freight offices, shall be treated as outside agencies; the pay and expenses of the employees therein and the expenses of such offices shall be charged to this account.

Commissions for services pertaining to either freight or passenger business, except commissions paid in lieu of salaries to carrier's agents located upon the carrier's own line (which shall be charged to account 373, "Station employees"), shall be included in this account.

ITEMS OF EXPENSE

Bicycles.
Books for office use.
Express charges.
Furniture repairs and renewals.
Heating.
Lighting.
Membership fees and dues in agency associations.
Membership fees and dues in commercial clubs.
Office supplies.
Periodicals and newspapers.
Rent of offices.
Repairs of rented offices.
Telegraph service.
Telephone service.
Traveling expenses.
Water and ice.

§ 10.353 *Advertising.* This account shall include the cost of advertising for the purpose of securing traffic; pay of advertising agents, their clerks and attendants; rent of offices, and the office, traveling, and other expenses of such employees; also donations to carnivals, local development associations, summer schools, and other gatherings, when made for the purpose of increasing traffic.

ITEMS OF ADVERTISING EXPENSE

Advertisements in newspapers.
Advertisements in periodicals.
Bulletin boards and cards.
Card cases.
Customs charges on advertising matter.
Display and other advertising cards.
Distributing folders.
Distributing general notices to shippers.
Distributing time-tables.
Dodgers.
Express charges.
Frames.
Handbills.
Maps used for advertising.
Pamphlets.
Photographs and views.
Postage.
Posters.
Publishing advertising matter.
Publishing folders.
Publishing notices to shippers.
Publishing time-tables.
Racks.

NOTE: Advertising expenses of industrial and immigration bureaus shall be included in account 356, "Industrial and immigration bureaus."

§ 10.354 *Traffic associations.* This account shall include the cost to the carrier of participation in traffic associations, including its proportion of the pay of officers and employees of such associations and of their office, stationery and printing, traveling, and other expenses.

LIST OF TRAFFIC ASSOCIATIONS

Boards of trade.
Classification bureaus.
Clergy bureaus.
Commercial associations.
Freight associations.
Mileage ticket bureaus.
Passenger associations.
Tariff bureaus.
Ticket validating agencies.

§ 10.355 *Fast freight lines.* This account shall include the cost to the carrier of participation in fast freight or dispatch organizations, including its proportion of the pay of officers, soliciting agents, and employees of such organizations, and their office, stationery and printing, traveling, and other expenses.

§ 10.356 *Industrial and immigration bureaus.* This account shall include the cost to the carrier of industrial and immigration bureaus, including the pay of industrial and immigration agents, and exhibit agents, their clerks and attendants and their office, stationery and printing, traveling, and other expenses.

ITEMS OF EXPENSE

Advertising.
Agricultural trains.
Dairy trains.
Donations to expositions.
Donations to fairs.
Donations to stock shows.
Exhibits.
Experimental farms.
Good roads trains.
Premiums to fairs.
Premiums to stock shows.

§ 10.357 *Insurance.* This account shall include premiums, except reinsurance premiums, for insuring the carrier against loss through injuries to persons or damage to or destruction or loss of property, whether caused by fire, accident, or other cause, when such loss to the carrier would be chargeable to Traffic; also premiums on fidelity bonds of employees whose pay is chargeable to Traffic. (See § 10.04–18 *Insurance.*)

NOTE: The premiums paid by the carrier to its insurance fund shall be credited to an insurance reserve account, to which account the amount of all claims for injuries to persons and damages to the property covered by its insurance shall be charged. To such account shall also be charged all reinsurance premiums paid to insurance companies, and to it shall be credited all amounts recovered from insurance companies for damage to the property reinsured by them.

§ 10.358 *Stationery and printing.* This account shall include the cost of stationery and printing used in connection with securing traffic, including the cost of tariffs governing such traffic.

STATIONERY AND PRINTING ITEMS

Adding machines.
Arm rests.
Binders.
Blank books.
Blotters.
Blotting paper.
Bristol board.
Calculating machines.
Calendars.

Carbon paper.
Cardboard.
Cards, blank and printed.
Circulars.
Classifications.
Computing tables.
Copy (impression) books.
Copying brushes.
Copying presses.
Crayons.
Cyclostyles.
Dating stamps and ribbons.
Dictaphones.
Dictographs.
Division sheets.
Duplicators.
Electric pens.
Envelopes.
Erasers, rubber and steel.
Eyelet punches.
Eyelets.
File boxes, paper.
Flexotype machines.
Forms, blank and printed.
Freight classifications.
Glass pens.
Hectographs.
Indexes.
Ink for writing and drawing.
Inkstands.
Invoice books.
Legal cap paper.
Letter paper.
Manifold paper.
Manifold pens.
Mimeographs.
Mucilage.
Mucilage brushes.
Neostyles.
Note paper.
Notices.
Numbering stamps.
Oil paper.
Paper.
Paper baskets.
Paper clips.
Paper cutters.
Paper fasteners.
Paper files.
Paper weights.
Papyrographs.
Pencil sharpeners.
Pencils for writing and drawing.
Penholders.
Penracks.
Pens for writing and drawing.
Phonographs and records.
Pins.
Postage.
Punches (not conductors' or baggagemen's).
Rate sheets.
Rubber bands.
Rubber stamps.
Rulers.
Ruling pens.
Scrapbooks.
Sealing wax.
Seals.
Shears.
Shipping tags.
Shorthand notebooks.
Sponge cups.
Sponges.
Stamps, impression.
Stylographs.
Tablets, blank and printed.
Tape.
Tariffs, printed.
Telegraph blanks.
Tissue (impression) paper.
Typewriters and ribbons.
Wage tables.
Wastebaskets.
Water colors.
Water holders.
Wrapping paper.
Wringers for copying presses.

NOTE A: The cost of dictionaries, periodicals, technical books, etc., shall be included in the appropriate superintendence accounts.

NOTE B: The cost of stationery and printing used by traffic associations, fast freight lines, and industrial and immigration bureaus shall be included in the accounts provided for the expenses of such organizations.

§ 10.359 *Other expenses.* This account shall include all expenses in connection with traffic not properly chargeable to other traffic accounts.

TRANSPORTATION

§ 10.370 *Transportation; rail line.* The primary accounts included in this general account are designed to show expenses incurred for transporting persons and the property of others, including the expenses of station, train, yard, and terminal service; also the expense of transporting company material in transportation service trains.

§ 10.371 *Superintendence.* This account shall include:

(a) *Pay of officers.* The pay of officers directly in charge of or engaged in conducting transportation.

LIST OF OFFICERS

Vice president.
Assistant to the vice president.
General manager.
Assistant general manager.
General superintendent of transportation.
Superintendent of transportation.
General superintendent.
Assistant general superintendent.
Superintendent.
Division superintendent.
Assistant division superintendent.
Superintendent of car service.
Chief special agent.
Members of examining boards.
Superintendent of mail service.
Traveling train and station inspectors.
Air-brake instructor.
Superintendent of agencies.
Superintendent of transfer stations.
Trainmaster.
Assistant trainmaster.
General road foreman of locomotives.
Road foreman of locomotives.
Traveling locomotive engineer.
Traveling locomotive fireman.

(b) *Pay of clerks and attendants.* The pay of clerks and others employed in the offices and on business cars of officers whose pay is chargeable to this account.

LIST OF EMPLOYEES

Division clerk.
Chief clerk.
Clerks.
Special agents.
Detectives.
Stenographers.
Messengers.
Cooks.
Porters.

(c) *Office and other expenses.* Office expenses and other expenses of officers and employees whose pay is chargeable to this account; also the pay and expenses of employees attending investigations concerning the cause of or responsibility for accidents, and amounts paid detective agencies and others for work in connection with such investigations.

ITEMS OF EXPENSE AND SUPPLIES

Atlases and maps.
Barometers.
Books for office use.
Business car service.
Express charges.
Fees and dues in associations.
Furniture repairs and renewals.
Heating.
Lighting.
Official train service.
Periodicals and newspapers.
Power.
Provisions for business cars.
Rent of air-brake instruction cars.
Rent of offices.
Repairs of rented offices.
Telegraph service.
Telephone service.
Traveling expenses.
Water and ice.

NOTE A: When officers designated above have supervision over more than one department, their salaries, the pay of their clerks and attendants, and their office and other expenses shall be apportioned equitably among the departments over which they have jurisdiction.

NOTE B: The cost of stationery purchased for transportation offices is chargeable to account 410, "Stationery and printing."

§ 10.372 *Dispatching trains.* This account shall include the pay of chief and other train dispatchers, their clerks, copying operators, and attendants, and pay of operators on the line whose duties are confined to directing train movements; also the office, traveling, and other expenses of such employees.

NOTE: Pay of operators who also perform station work shall be charged to account 373, "Station employees."

§ 10.373 *Station employees.* This account shall include:

(a) *Agents, clerks, and attendants.* The pay of agents, clerks, and attendants in charge of, or engaged in, the operation of stations, stockyards, wharves, and piers located on the carrier's line; also payments to such station or ticket agents in lieu of salaries.

Special payments to customs inspectors on account of opening and resealing cars under unusual conditions, and payments to produce-exchange inspectors for inspecting, measuring, and weighing grain shall be here included.

LIST OF EMPLOYEES

Accountants.
Assistant agents.
Assistant depot masters.
Assistant station masters.
Baggage agents at stations.
Baggagemen.
Car clerks.
Cashiers.
Chauffeurs.
Clerks.
Collectors.
Customs inspectors.
Depot masters.
Detectives.
Express agents.
Gatemen.
Information bureau employees.
Janitors.
Maids.
Matrons.
Messengers.
Package and parcel room employees.
Policemen.
Porters.
Relief agents.
Station agents.
Station foremen.
Station passenger agents.
Station freight agents.
Stationmasters.
Stockyards superintendents and foremen.
Telegraph and telephone operators.
Ticket agents.
Ticket collectors.
Ticket examiners.
Train callers.
Ushers.
Watchmen.

(b) *Labor at stations.* Station and other labor expended in handling freight, mail, baggage, and express at stations, wharves, and piers; in loading, unloading, feeding, watering, bedding, shearing, dipping, inspecting, and otherwise caring for stock; in disinfecting stations, stockyards, and stock pens; in transferring, picking up, straightening, and reloading freight in the ordinary course of transportation; in miscellaneous station work, including (when done by station employees) cleaning station grounds, station platforms, walks, stockyards, and stock pens, and removing snow and ice therefrom; and in tending switch lamps not in yards and terminals.

Payments to elevator companies (when not made as division of rate) for transferring grain en route, and payments to other companies and individuals for loading and unloading commercial freight under contract or otherwise shall be included in this account.

LIST OF EMPLOYEES

Baggage storeroom employees.
Car sealers.
Checkmen.
Coal handlers.
Coopers.
Delivery men.
Electricians.
Freight callers.
Freight handlers.
Freight house foremen.
Freight loaders.
Freight unloaders.
Longshoremen.
Mail carriers.
Mail weighers.
Station cleaners.
Stationary engineers.
Stationary firemen.
Stevedores.
Stock-pen laborers.
Stockyard laborers.
Tallymen.
Teamsters.
Truckmen.
Warehousemen.
Weighmasters.

NOTE A: The cost of transferring freight, mail, baggage, and express on account of wrecks shall be included in account 415, "Clearing wrecks."

NOTE B: This account shall not include the pay of telegraph and telephone operators provided for under accounts 372, "Dispatching trains," and 407, "Communication system operation," or pay of employees provided for under account 375, "Coal and ore wharves."

§ 10.374 *Weighing, inspection, and demurrage bureaus.* This account shall

include the cost to the carrier of its participation in joint weighing, inspection, demurrage, and car distribution bureaus and associations.

§ 10.375 *Coal and ore wharves.* This account shall include cost of operating docks, and wharves, piers, and other marine, lake, or river landings, and the machinery located thereon, used in connection with the transportation of coal and ore.

(a) *Labor and expenses.* The pay and the office, traveling, and other expenses of employees engaged in operating coal and ore wharves.

(b) *Tools and supplies.* The cost of all tools and supplies used in the operation of coal and ore wharves.

ITEMS OF TOOLS AND SUPPLIES

Cylinder oil.	Lubricating oil.
Fuel for stationary boilers.	Picks.
Illuminating oil.	Shovels.
Lantern parts.	Slice bars.
Lanterns.	Waste.
	Wicks.

NOTE: The cost of switching service in connection with coal and ore wharves shall not be included in this account.

§ 10.376 *Station supplies and expenses.* This account shall include:

(a) *Heating.* The cost of fuel (including cost of unloading), water, steam, and miscellaneous supplies used for heating stations, waiting rooms, freight and passenger offices, stockyards and other station buildings.

(b) *Lighting.* The cost of fuel, water, gas, oil, electricity, lamp globes, lamp chimneys, wicks, lamp carbons, incandescent lamps, and miscellaneous supplies used in lighting stations, waiting rooms, freight and passenger offices, stockyards, other station buildings, street approaches thereto, and passenger footbridges and subways at stations.

(c) *Other expenses.* The cost of miscellaneous station supplies and station expenses, including those for stockyards.

ITEMS OF EXPENSE

Cleaning privy vaults.
Express charges.
Feeding and shoeing horses.
Furniture repairs and renewals.
Garage expenses.
Licenses for ticket agents.
Mail transfer by others than employees.
Membership fees and dues in agents' associations.
Power for station machinery.
Rent of automatic weighing and recording devices.
Rent of scales.
Rent of station buildings (not jointly used).
Reports to agents of commercial standing.
Sprinkling station grounds.
Station employees' expenses.
Supplies used in feeding, watering, bedding, shearing, dipping, inspecting, and otherwise caring for livestock.
Telegraph service.
Telephone service.
Warehouse charges for storage of freight.
Washing towels.

ITEMS OF TOOLS AND SUPPLIES

Atlases and maps.	Bicycles.
Auto trucks.	Blocking.
Awnings.	Brooms.
Axes.	Brushes.
Badges.	Buckets.
Baggage checks.	Bulletin boards.
Barometers.	Call bells.
Baskets.	Candles.
Car-seal presses.	Matches.
Car seals.	Measures.
Carpets.	Medical boxes.
Chains.	Medical supplies.
Chair cushions.	Mirrors.
Chairs.	Money drawers.
Chalk.	Nails for boxing.
Chamois skins.	Newspapers.
Check boxes.	Oil.
Check racks.	Oil cans.
Checks.	Packing material.
Clocks.	Padlocks.
Coal hods.	Pails.
Cold chisels.	Pinch bars.
Cooperage material.	Punches for baggagemen and gatemen.
Copy-press stands.	Rakes.
Counter brushes.	Reflectors.
Counter scales.	Rolling chairs for invalids.
Cups.	Safes.
Curtains.	Sawdust.
Cuspidors.	Saws.
Desks.	Scoops.
Dippers.	Scales, portable.
Directories.	Scrubbing brushes.
Dusters.	Settees.
Electric fans.	Shovels.
Electric lamps.	Sledges.
Electric-light supplies.	Soap.
Feather dusters.	Spades.
Feed for horses.	Sponges.
Files, document.	Sprinkling cans.
Fire buckets.	Stools.
Fire grenades.	Stove blacking.
Flags.	Stoves and stovepipe.
Floor coverings.	Switch lamp supplies at points where regular switching service is not maintained.
Gangplanks.	Tables.
Gas.	Tacks.
Gasoline.	Tarpaulins (not for cars).
Hampers.	Thermometers.
Hatchets.	Ticket cases.
Hoes.	Tongs.
Hooks.	Tool boxes.
Hose and couplings.	Torpedoes.
Ice.	Towels.
Ice barrels.	Trucks.
Ice boxes.	Twine.
Ice buckets.	Uniforms.
Ice carts.	Washbasins.
Ice tongs.	Waste.
Keys.	Water.
Ladders.	Water barrels.
Lamp burners.	Water bowls.
Lamp chimneys.	Water cans.
Lamp fittings.	Water coolers.
Lamp globes.	Water pails.
Lamp mantles.	Wheelbarrows.
Lampblack.	Whisk brooms.
Lamps (not permanently attached to buildings).	Wicks.
Lantern fittings.	Wrenches.
Lantern globes.	
Lanterns.	
Letter boxes.	
Mail bags.	
Marking brushes.	
Marking pots.	
Marline.	

§ 10.377 *Yardmasters and yard clerks.* This account shall include the pay of general yardmaster, yardmaster, assistant yardmaster, general yard foreman, and yard clerks and attendants in yards where regular switching service is maintained and in terminal switching and transfer service, including employees engaged in calling yardmen and trainmen; also pay of policemen, watchmen, and detectives in yard service. (See account 389, "Yard supplies and expenses.")

§ 10.378 *Yard conductors and brakemen.* This account shall include the pay of yard conductors or foremen and yard brakemen or switchmen handling cars in passenger and freight yards where regular switching service is maintained and in terminal switching and transfer service, including pay while dead-heading in connection with such service. (See account 389, "Yard supplies and expenses.")

NOTE: When conductors and brakemen are engaged in both train and yard service their pay shall be apportioned between the train and yard accounts on the basis of service rendered. This does not apply to train switching service performed by train crews, the entire pay of whom shall be charged to account 401, "Trainmen."

§ 10.379 *Yard switch and signal tenders.* This account shall include the pay of employees in yards where regular switching service is maintained, who are engaged in the operation of yard switches and signals, including interlockers used solely or principally for the government of all movements of locomotives and trains between main and yard tracks, movements of locomotives between yard tracks and enginehouses, and yard switching movements. (See account 389, "Yard supplies and expenses.")

LIST OF EMPLOYEES

Battery men.	Lever men.
Interlocker oilers.	Signalmen.
Lamp cleaners.	Switch oilers.
Lamp men.	Switch tenders.
Lamplighters.	Tower men.

§ 10.380 *Yard enginemen.* This account shall include the pay of yard enginemen while engaged in yards where regular switching service is maintained and in terminal switching and transfer service, including pay of such employees while deadheading in connection with yard service. For purposes of this account enginemen shall be understood to include the operators and their assistants, regardless of the type of self-propelled motive power being operated.

NOTE: The pay of enginemen on locomotives engaged in more than one class of service shall be apportioned on the basis of service rendered. Pay of enginemen on train locomotives while engaged in train switching service shall be included in account 392, "Train enginemen." The pay of enginemen on locomotives engaged in work service shall be included in the cost of the work to which the service pertains.

§ 10.382 *Yard switching fuel.* This account shall include the cost, delivered on locomotives or motor cars, of coal, coke, oil, wood, and other fuels consumed in switching service in yards where regular switching service is maintained, and in terminal switching and transfer service, including a suitable proportion of the pay of fuel agents, fuel inspectors, fuel weighers, and clerks engaged in accounting for fuel at fuel stations; pay of foremen and other fuel-station employees; also a suitable proportion of the cost of tools, such as wheelbarrows, shovels, scoops, and picks, used for handling fuel at such stations and the cost of operating machinery at fuel stations.

NOTE A: The cost of repairs and renewals of coal chutes, buggies, pockets, air hoists, mechanical hoists, and mechanical conveyors at fuel stations shall be charged to account 233, "Fuel stations."

NOTE B: The cost of supplies consumed by locomotives and motor cars engaged in more than one class of service shall be apportioned upon the basis of service rendered. The cost of supplies consumed by train locomotives and motor cars in train switching service

shall be included in accounts provided for train service. The cost of supplies consumed by locomotives and motor cars in work service shall be included in the cost of the work to which the service pertains.

§ 10.383 *Yard switching power produced.* This account shall include the cost of the production and distribution of electric power used in operating locomotives and cars in switching service in yards where regular switching service is maintained, and in terminal switching and transfer service.

(a) *Employees.* The pay of employees engaged in operating electric-power stations and substations, such as engineers, firemen, electricians, dynamo men, oilers, cleaners, and coal passers.

(b) *Fuel.* The cost of coal, oil, gas, and other fuel, including the cost of labor unloading or stocking fuel.

(c) *Water.* The cost of water used to produce steam or to operate water plants, including pumping, rent of ponds, streams, and pipe lines; also water tests, boiler compounds, and other like supplies and expenses.

(d) *Other supplies and expenses.* The cost of lubricants, such as oil and grease used in lubricating engines, shafting, dynamos, and pumps; cost of waste, carbon brushes, fuses, lamps, and other supplies; also the cost of heating and lighting power plants, and other expenses not elsewhere specified in connection with operation of electric-power plants. (See § 10.04–12 *Power plant operations.*)

NOTE: The cost of supplies consumed by locomotives engaged in more than one class of service shall be apportioned upon the basis of service rendered. The entire cost of supplies consumed by train locomotives in train switching service shall be included in the accounts provided for train service. The supplies consumed by locomotives in work service shall be included in the cost of the work to which the service pertains.

§ 10.384 *Yard switching power purchased.* This account shall include the cost of electric power purchased for the propulsion of engines and cars in switching service in yards where regular switching service is maintained, and in terminal switching and transfer service.

NOTE: The cost of supplies consumed by locomotives engaged in more than one class of service shall be apportioned upon the basis of service rendered. The entire cost of supplies consumed by train locomotives in train switching service shall be included in the accounts provided for train service. The supplies consumed by locomotives in work service shall be included in the cost of the work to which the service pertains.

§ 10.385 *Water for yard locomotives.* This account shall include the cost of water supplied to locomotives in switching service in yards where regular switching service is maintained, and in terminal switching and transfer service, including rent of ponds, lakes, other sources of water supply, and right of way for pipe lines; cost of water purchased, expenses of work trains while engaged in hauling water for locomotive supply, and cost of testing water; also cost of labor expended and cost of materials and supplies used in the operation of water stations and purifying plants.

The cost of operating boilers, engines, and pumps at water stations; heating and lighting water stations, breaking ice in water tanks, thawing out tank spouts and water cars, keeping fires in tanks and water cars to prevent freezing, shoveling snow into locomotive tanks; also temporary connections between water cars and locomotive tenders, compounds injected into locomotive boilers to decrease scale formation, and other expenses directly incident to the supplying of water to such locomotives, shall be included in this account.

An equitable proportion of the pay and the office, traveling, and other expenses of superintendent of water service engaged in connection with water supply for locomotives shall be included in this account.

ITEMS OF WATER STATION SUPPLIES

Axes.
Boiler compounds.
Chemicals.
Coal.
Coal picks.
Engine igniter batteries.
Gasoline.
Gasoline drums.
Hand tools.
Hose.
Oil.
Rubber packing.
Shovels.
Siphons.
Slice bars.
Stove fixtures.
Stoves.
Waste.
Wrenches.

NOTE: The cost of supplies consumed by locomotives engaged in more than one class of service shall be apportioned upon the basis of service rendered. The entire cost of supplies consumed by train locomotives in train switching service shall be included in the accounts provided for train service. The supplies consumed by locomotives in work service shall be included in the cost of the work to which the service pertains.

§ 10.386 *Lubricants for yard locomotives.* This account shall include the cost of valve, engine, car, and other lubricating oils, grease, compounds, and waste used for lubrication of locomotives in switching service in yards where regular switching service is maintained and in terminal switching and transfer service.

NOTE: The cost of supplies consumed by locomotives engaged in more than one class of service shall be apportioned upon the basis of service rendered. The entire cost of supplies consumed by train locomotives in train switching service shall be included in the accounts provided for train service. The supplies consumed by locomotives in work service shall be included in the cost of the work to which the service pertains.

§ 10.387 *Other supplies for yard locomotives.* This account shall include the cost of supplies, other than fuel, water, and lubricants, used on locomotives in switching service in yards where regular switching service is maintained and in terminal switching and transfer service, including the cost of repairs and renewals of furniture, tools, and other movable articles required for use on locomotives in yard service.

The cost of sand charged to this account shall include the cost of material and supplies used in preparing and drying the sand for use, such as the cost of fuel, wheelbarrows, shovels, and sand screens.

ITEMS OF TOOLS AND SUPPLIES

Ash hoes.
Ash-pan rods.
Axes.
Bars, buggy.
Bell cords.
Boxes, portable.
Brooms.
Brushes.
Buckets.
Carbide for acetylene gas.
Carbons for electric lights.
Chimneys for headlights.
Chimneys for signal lamps.
Chisels.
Clinker hooks.
Crowbars.
Files.
First-aid boxes.
Flags.
Globes for lanterns.
Grate shakers.
Hammers.
Handsaws.
Hatchets.
Hose (not air-brake, air-signal, or steam).
Hose, thaw-out.
Hose reels.
Ice.
Jacks.
Jackscrews.
Lanterns and parts.
Locks for portable boxes.
Matches.
Oil cans.
Oil for headlights.
Oil for lanterns.
Oil for signal lamps.
Oil for torches.
Oilers.
Packing hooks.
Packing spoons.
Picks, coal.
Pinch bars.
Plugging bars.
Pokers.
Sand.
Saws.
Scoops.
Shovels.
Signal lamps.
Sledges.
Slice bars.
Soap.
Switch chains.
Switch poles.
Switch ropes.
Tool boxes, portable.
Torches.
Torpedoes.
Waste.
Water buckets.
Water coolers.
Wicks for headlights.
Wicks for lanterns.
Wicks for signal lamps.
Wicks for torches.
Wrecking frogs.
Wrenches.

NOTE A: Where the quantity of sand used on locomotives engaged in yard service is relatively small as compared with the quantity used by locomotives engaged in train service, the entire cost of such material shall be included in account 399, "Other supplies for train locomotives." Where the quantity used in yard service is relatively large, the entire cost shall be included in this account.

NOTE B: The cost of other supplies consumed by locomotives engaged in more than one class of service shall be apportioned upon the basis of service rendered. The entire cost of supplies consumed by train locomotives in train switching service shall be included in the accounts provided for train service. The supplies consumed by locomotives in work service shall be included in the cost of the work to which the service pertains.

§ 10.388 *Enginehouse expenses; yard.* This account shall include the expense of caring for and preparing locomotives for switching service in yards where regular switching service is maintained and in terminal switching and transfer service, including a proportion of such expenses as are common to train, yard switching, and work service.

(a) *Enginehouse men.* The pay of enginehouse employees engaged in wiping, cleaning, watching, and dispatching locomotives; keeping and preparing fires, dumping ashes, washing boilers, cleaning fire boxes, packing driving boxes and truck boxes; cleaning smokestacks, air-brake equipment, and front ends of locomotives; checking locomotive tool equipment, cleaning ash and cinder pits; operating turntables, drying sand, inspecting smokestacks and ash pans; calling enginemen, and moving locomotives around engine yards when operated by hostlers; also a proportion of the pay of enginehouse foremen and their clerks.

(b) *Miscellaneous expenses.* The cost of tools, supplies, and sundry expenses on account of caring for and preparing locomotives at enginehouses.

ITEMS OF MISCELLANEOUS EXPENSES

Boiled oil.
Compounds for cleaning and polishing.
Enginehouse cupboards.
Gas, oil, and electricity for lighting.
Heating enginehouses, including offices.
Lampblack.
Lanterns used by enginehouse men.
Lighting enginehouses, including offices.

Lubricating oil for enginehouse, ash pit, transfer table, and turntable machinery.
Lye.
Packing tools.
Paint for front ends of locomotives.
Power for operation of turntables and transfer tables.
Rent of roundhouse stalls.
Shovels.
Signal lights on transfer tables and turntables.
Waste.
Water for cinder pits.
Water for washing boilers.
Water hose.
Wheelbarrows.

NOTE A: Enginehouse expenses of locomotives in work service shall be included in the cost of the work to which the service pertains.

NOTE B: The pay of mechanics and laborers engaged in locomotive repair work in enginehouses shall be charged to the appropriate accounts for locomotive repairs.

§ 10.389 *Yard supplies and expenses.* This account shall include the cost of supplies (except locomotive supplies) used in yard service, yard signal and interlocker supplies, and miscellaneous yard expenses for yards where regular switching service is maintained; also office and other expenses of employees whose pay is chargeable to accounts 377, 378, and 379.

ITEMS OF YARD SUPPLIES

Electric-light carbons.
Electric-light globes
Flags.
Fuel for heating.
Fuel for power.
Illuminating oil.
Lamp burners.
Lamp chimneys.
Lamp wicks.
Lantern globes.
Lantern wicks.
Lanterns.
Lubricants for machinery and switches.
Semaphore lamps.
Signal lamps.
Stoves.
Switch chains.
Switch lamps.
Switch ropes.
Waste.
Wrecking frogs.
Wrecking wedges.

ITEMS OF YARD EXPENSE

Electricity purchased for lighting yards and yard buildings.
Furniture repairs and renewals.
Gas purchased for lighting yards and yard buildings.
Power produced for operating switches and signals.
Power purchased for operating switches and signals.
Rent of telephones.
Rent of yard buildings (not jointly used).

§ 10.390 *Operating joint yards and terminals—Dr.* This account shall include the carrier's proportion of the costs incurred by others in their operation of joint yards and terminals, including signals, interlockers, and other facilities at such joint yards and terminals.

NOTE A: The purpose of this account is to show the amounts accruing against the carrier for its proportion of the cost of operating yards and terminals operated by others, and in the joint use of which the carrier participates. (See § 10.04-9 *Joint facility accounts.*)

NOTE B: No portion of expenses chargeable by the operating carrier to accounts 392 to 403, inclusive, shall be included in this account.

§ 10.391 *Operating joint yards and terminals—Cr.* This account shall include amounts chargeable to others as their proportions of the costs incurred by the carrier in the operation of joint yards and terminals, including signals, interlockers, and other facilities at such joint yards and terminals.

NOTE A: The purpose of this account is to show the amounts accruing in favor of the carrier and against others for their proportions of the cost of operating yards and terminals operated by the carrier and in the joint use of which others participate. (See § 10.04-9 *Joint facility accounts.*)

NOTE B: No portion of expenses chargeable by the operating carrier to accounts 392 to 403, inclusive, shall be included in this account.

§ 10.392 *Train enginemen.* This account shall include the pay of enginemen while engaged in transportation train service or while deadheading in connection therewith and pay of such enginemen engaged in piloting trains over home lines; also the pay of employees while regularly engaged in shoveling coal forward on locomotive tenders. For purposes of this account enginemen shall be understood to include the operators and their assistants, regardless of the type of self-propelled motive power being operated.

NOTE: The pay of enginemen on locomotives engaged in more than one class of service shall be apportioned on the basis of service rendered. Pay of enginemen on train locomotives while engaged in train switching service shall be included in this account. The pay of enginemen on locomotives engaged in work service shall be included in the cost of the work to which the service pertains.

§ 10.394 *Train fuel.* This account shall include the cost, delivered on locomotives or motor cars, of coal, coke, oil, wood, and other fuel for propulsion of trains in transportation-train service, including a suitable proportion of the pay of fuel agents, fuel inspectors, fuel weighers, and clerks engaged in accounting for fuel at fuel stations; pay of foremen and other fuel station employees; also a suitable proportion of the cost of tools, such as wheelbarrows, shovels, scoops, and picks, used for handling fuel at such stations, and the cost of operating machinery at fuel stations.

NOTE A: The cost of repairs and renewals of coal chutes, buggies, pockets, air hoists, mechanical hoists, and mechanical conveyors at fuel stations shall be charged to account 233, "Fuel stations."

NOTE B: The entire cost of supplies consumed by train locomotives and motor cars in train-switching service shall be included in the accounts provided for train service. The cost of supplies consumed by locomotives and motor cars in work service shall be included in the cost of the work to which the service pertains.

§ 10.395 *Train power produced.* This account shall include the cost of producing and distributing electric power for the propulsion of electric locomotives and cars in transportation train service.

(a) *Employees.* The pay of employees engaged in operating electric-power stations and substations, such as engineers, firemen, electricians, dynamo men, oilers, cleaners, and coal passers.

(b) *Fuel.* The cost of coal, oil, gas, and other fuel, including the cost of labor unloading or stocking fuel.

(c) *Water.* The cost of water used to produce steam or to operate water plants, including pumping, rent of ponds, streams, and pipe lines; also water tests, boiler compounds, and other like supplies and expenses.

(d) *Other supplies and expenses.* The cost of lubricants, such as oil and grease, used in lubricating engines, shafting, dynamos, and pumps; cost of waste, carbon brushes, fuses, lamps, and other supplies; also cost of heating and lighting power plants, and other expenses not elsewhere specified in connection with operation of electric-power plants. (See § 10.04-12 *Power plant operations.*)

NOTE: The entire cost of supplies consumed by train locomotives in train switching service shall be included in the accounts provided for train service. The supplies consumed by locomotives in work servce shall be included in the cost of the work to which the service pertains.

§ 10.396 *Train power purchased.* This account shall include the cost of electric power purchased for the propulsion of locomotives and cars in transportation train service.

NOTE: The entire cost of supplies consumed by train locomotives in train switching service shall be included in the accounts provided for train service. The supplies consumed by locomotives in work service shall be included in the cost of the work to which the service pertains.

§ 10.397 *Water for train locomotives.* This account shall include the cost of water supplied to locomotives in transportation train service, including rent of ponds, lakes, other sources of water supply, and right of way for pipe lines; cost of water purchased, expenses of supply trains while engaged in hauling water for locomotive supply, and cost of testing water; also cost of labor expended and cost of material and supplies used in the operation of water stations and purifying plants.

The cost of operating boilers, engines, and pumps at water stations, heating and lighting water stations, breaking ice in water tanks, thawing out tank spouts and water cars, keeping fires in tanks and water cars to prevent freezing, shoveling snow into locomotive tanks; also temporary connections between water cars and locomotive tenders, compounds injected into locomotive boilers to decrease scale formation, and other expenses directly incident to the supplying of water to such locomotives, shall be included in this account.

An equitable proportion of the pay and the office, traveling, and other expenses of superintendent of water service, engaged in connection with water supply for locomotives, shall be included in this account.

ITEMS OF WATER STATION SUPPLIES

Axes.
Boiler compounds.
Chemicals.
Coal.
Coal picks.
Engine igniter batteries.
Gasoline.
Gasoline drums.
Hand tools.
Hose.
Oil.
Rubber packing.
Shovels.
Siphons.
Slice bars.
Stove fixtures.
Stoves.
Waste.
Wrenches.

NOTE: The entire cost of supplies consumed by train locomotives in train switching service shall be included in the accounts provided for train service. The supplies consumed by locomotives in work service shall be included in the cost of the work to which the service pertains.

§ 10.398 *Lubricants for train locomotives.* This account shall include the cost of valve, engine, car, and other lubricating oils, grease, compounds, and waste used for lubrication of locomotives in transportation train service.

NOTE: The entire cost of supplies consumed by train locomotives in train switching service shall be included in the accounts provided for train service. The supplies consumed by locomotives in work service shall be included in the cost of the work to which the service pertains.

§ 10.399 *Other supplies for train locomotives.* This account shall include the cost of supplies other than fuel, water, and lubricants, including the cost of repairs and renewals of furniture, tools, and other movable articles required for use on locomotives in transportation train service.

The cost of sand charged to this account shall include the cost of material and supplies used in preparing and drying the sand for use, such as the cost of fuel, wheelbarrows, shovels, and sand screens.

ITEMS OF TOOLS AND SUPPLIES

Ash hoes.
Ash-pan rods.
Axes.
Bars, buggy.
Bell cords.
Boxes, portable.
Brooms.
Brushes.
Buckets.
Carbide for acetylene gas.
Carbons for electric lights.
Chimneys for headlights.
Chimneys for signal lamps.
Chisels.
Clinker hooks.
Crowbars.
Files.
First-aid boxes.
Flags.
Globes for lanterns.
Grate shakers.
Hammers.
Handsaws.
Hatchets.
Hose (not air-brake, air-signal, or steam).
Hose, thaw-out.
Hose reels.
Ice.
Jacks.
Jackscrews.
Lanterns and parts.
Locks for portable boxes.
Matches.
Oil cans.
Oil for headlights.
Oil for lanterns.
Oil for signal lamps.
Oil for torches.
Oilers.
Packing, fiber.
Packing, rubber.
Packing hooks.
Packing spoons.
Picks, coal.
Pinch-bars.
Plugging bars.
Pokers.
Sand.
Saws.
Scoops.
Shovels.
Signal lamps.
Sledges.
Slice bars.
Soap.
Switch chains.
Switch poles.
Switch ropes.
Tool boxes, portable.
Torches.
Torpedoes.
Waste.
Water buckets.
Water coolers.
Wicks for headlights.
Wicks for lanterns.
Wicks for signal lamps.
Wicks for torches.
Wrecking frogs.
Wrenches.

NOTE A: Where the quantity of sand used on locomotives engaged in train service is relatively small as compared with the quantity used by locomotives engaged in yard service, the entire cost of such material shall be included in account 387, "Other supplies for yard locomotives." Where the quantity used in train service is relatively large, the entire cost shall be included in this account.

NOTE B: The entire cost of supplies consumed by train locomotives in train switching service shall be included in the accounts provided for train service. The supplies consumed by locomotives in work service shall be included in the cost of the work to which the service pertains.

§ 10.400 *Enginehouse expenses; train.* This account shall include the expense of caring for and preparing locomotives for transportation train service, including a proportion of such expenses as are common to train, yard switching, and work service.

(a) *Enginehouse men.* The pay of enginehouse employees engaged in wiping, cleaning, watching, and dispatching locomotives; preparing and keeping fires, dumping ashes, washing boilers, cleaning fire boxes, packing driving boxes and truck boxes; cleaning smokestacks, air-brake equipment, and front ends of locomotives; checking locomotive tool equipment, cleaning ash and cinder pits; operating turntables, drying sand, inspecting smokestacks and ash pans; and moving locomotives around engine yards when operated by hostlers; also a proportion of the pay of enginehouse foremen and their clerks.

(b) *Miscellaneous expenses.* The cost of tools and supplies and sundry expenses on account of caring for and preparing locomotives at enginehouses.

ITEMS OF MISCELLANEOUS EXPENSES

Boiled oil.
Compounds for cleaning and polishing.
Gas, oil, and electricity for lighting.
Heating enginehouses, including offices.
Lampblack.
Lanterns used by enginehouse men.
Lighting enginehouses, including offices.
Lubricating oil.
Lye.
Packing tools.
Paint for front ends of locomotives.
Power for operation of turntables and transfer tables.
Rent of roundhouse stalls.
Shovels.
Signal lights on transfer tables and turntables.
Waste.
Water for cinder pits.
Water for washing boilers.
Water hose.
Wheelbarrows.

NOTE A: Enginehouse expenses of locomotives in work service shall be included in the cost of the work to which the service pertains.

NOTE B: The pay of mechanics and laborers engaged in locomotive repair work in enginehouses shall be charged to the appropriate accounts for locomotive repairs.

§ 10.401 *Trainmen.* This account shall include the pay of conductors; of train auditors, ticket collectors, and others engaged in lifting or examining authorities for transportation; and of baggagemen, brakemen, flagmen, train porters, train guards, train stenographers, maids, and other train employees while engaged in transportation train service or while deadheading in connection therewith; also the pay of trainmen while engaged in piloting trains over home lines.

NOTE: The pay of trainmen while engaged in work-train service shall be included in the cost of the work to which the service pertains.

§ 10.402 *Train supplies and expenses.* This account shall include miscellaneous expenses of transportation service trains and the cost of all supplies other than locomotive supplies.

(a) *Cleaning cars.* The cost of cleaning and disinfecting passenger and freight cars in transportation train service, including cost of removing from freight-train cars such refuse material as sawdust, hay, and straw.

ITEMS OF SERVICE AND SUPPLIES

Brooms.
Brushes.
Cleaning compounds.
Compressed air.
Disinfectants.
Disinfecting machines.
Fuel for heating water.
Hose and fixtures.
Labor of employees.
Polishing compounds.
Soap.
Sponges.
Water.

(b) *Heating cars.* The cost of heating cars in transportation train service, including cost of operating steam-heating plants for car heating at stations and yards. Credits shall be made to this account for charges for heater service collected from other companies and individuals.

ITEMS OF SERVICE AND SUPPLIES

Connections between steam heating lines and cars.
Fuel.
Labor of employees.
Removal of ashes from car stoves.
Stoves temporarily in freight cars.

(c) *Lighting cars.* The cost of lighting cars in transportation train service, including the cost of filling and cleaning lamps and of operating plants for supplying gas or electricity for lighting purposes.

ITEMS OF SERVICE AND SUPPLIES

Battery renewals.
Candles.
Chimneys.
Electricity.
Gas.
Gas mantles.
Globes.
Hose and connections.
Incandescent lamp bulbs.
Labor of employees.
Lamp carbons.
Oil.
Shades.
Wicks.

NOTE: Repairs of gas lighting and electric lighting plants shall be included in the proper maintenance accounts. Repairs and renewals of electric lighting equipment of cars, except supplies as above provided, shall be included in the appropriate car-repair account.

(d) *Lubricating cars.* The cost of lubricating cars in transportation train service, including cost of inspecting, repacking, and oiling car journal boxes and air-brake equipment.

ITEMS OF SERVICE AND SUPPLIES

Cotton waste.
Grease buckets.
Labor of employees.
Oil cans.
Oil, grease, and other lubricants.
Packing buckets.
Packing hooks.
Packing irons.
Packing, miscellaneous.
Wool waste.

(e) *Icing and watering cars.* The cost of icing and watering cars in transportation train service, including icing cars for refrigeration purposes. Credits shall be made to this account for refrigeration charges collected from other companies and individuals.

ITEMS OF SERVICE AND SUPPLIES

Buckets.
Hose and fixtures.
Ice.
Ice tools.
Labor of employees.
Ladders.
Salt.
Water.

(f) *Detouring trains.* The compensation for temporary use of tracks of other carriers, including the cost of pilot service, on account of wrecks, washouts, landslides, snow blockades, and other defects of the tracks, bridges, or tunnels on the carrier's line.

(g) *Train supplies.* The cost of supplies furnished for use on cars in transportation train service.

ITEMS OF TRAIN SUPPLIES

Axes.
Badges.
Beds.
Bell cords.
Boxes for trainmen.
Brooms.
Brushes.
Chains.
Chairs for cabooses (not permanently attached).
Cold chisels.
Combs.
Conductors' punches.
Cuspidors.
Drinking cups and glasses.
Fire buckets.
Flags.
Fuses.
Hammers.
Hatchets.
Jacks.
Lamp boards.
Lamp sticks.
Lantern globes.
Lantern parts.
Lanterns.
Matches.
Medical boxes.
Oil for lanterns.
Order hoops.
Padlocks.
Pails.
Punches.
Sawdust.
Saws.
Scoops.
Shovels.
Signal boxes.
Signal lamps (rear).
Sledges.
Soap.
Switch chains.
Switch ropes.
Toilet paper.
Torpedoes.
Towels.
Train tool boxes.
Uniform trimmings.
Uniforms.
Ventilator sticks.
Waste.
Water buckets.
Wrecking frogs.
Wrenches.

(h) *Other expenses.* The cost of miscellaneous supplies required to equip trains for transportation service and miscellaneous expenses incident to operation of such trains.

ITEMS OF EXPENSE ON ACCOUNT OF EMPLOYEES

Apparatus for testing the sight and hearing of enginemen and trainmen.
Employees' reading and bunk room expense, including pay of attendants and supplies furnished.
Laundry work.
Physicians' fees for examination of train employees.
Wages paid to superintendents and secretaries of reading rooms.

ITEMS OF EXPENSE ON ACCOUNT OF TRANSPORTATION

Bedding for stock cars.
Boarding and slatting box and stock cars for carrying coal, coke, and other freight.
Boards for flooring fruit cars.
Chains for securing loads.
Cleaning, trimming, and filling trainmen's lanterns and rear signal lamps.
Coupling and uncoupling cars at terminals.
Disinfecting cars.
Dunnage used in loading cars or fitting cars for freight shipments.
Feed for live stock in snow-bound or otherwise delayed trains.
Flowers and plants for cars.
Laundry for revenue service cars other than for dining and buffet service and sleeping car service.
Occasional turning of engines on Y of other carriers.
Oil and other supplies for locomotives hauled as freight.
Periodicals for use of passengers on trains.
Planking cars for billet shipments and other material.
Provisions, supplies, or board for passengers in delayed trains.
Removing advertisements from cars.
Rent of fare registers in cars.
Safety chains for use between twin and triple cars.
Supplies for parlor and chair cars.
Supplies furnished cars for the purpose of protection against accidents and fires.
Temporary grain doors.
Temporary lining of cars for freight shipments and stoves and heaters to prevent freezing.
Temporary openings in cars for freight shipments.
Temporary racking of cars for handling sugarcane, corn, bark, or cordwood.
Transferring passengers, express matter, baggage, mail, and freight on account of defective tracks, bridges, or tunnels.

NOTE: The expenses of operating sleeping, dining, and buffet car features of train service shall be included in the account 403, "Operating sleeping cars," or in account 441, "Dining and buffet service," as may be appropriate.

§ 10.403 *Operating sleeping cars.* (a) This account shall include the cost of operating sleeping car service on trains.

(1) *Superintendence.* The pay of officers directly in charge of operating sleeping car service; the pay of their clerks and office attendants; also the office, traveling, and other expenses of such officers and employees.

(2) *Station employees.* The pay and expenses of local agents, ticket agents, cashiers, clerks, and attendants; also the office and other expenses of such employees.

(3) *Station expenses.* The expenses of fuel, water, steam, and supplies used in heating station offices; gas, oil, electric current, and other supplies for lighting; repairs and renewals of station furniture, and all other station expenses connected with sleeping car service when separable from the station expenses chargeable to account 376, "Station supplies and expenses."

(4) *Conductors.* The pay of conductors employed on sleeping cars.

(5) *Porters and maids.* The pay of porters and maids employed on sleeping cars.

(6) *Car supplies.* The cost of miscellaneous supplies used on sleeping cars, such as combs, brushes, brooms, and toilet paper; also uniforms, caps, and service stripes for employees.

(7) *Laundry.* Expenses for laundry work, such as laundering sheets, pillowcases, towels, blankets, etc.

(8) *Other expenses.* The cost of flowers and plants, heating cars, cleaning the interior of cars, and of supplies used in interior cleaning, rent and cost of supplies for rooms furnished for sleeping car service employees, and such other expenses in connection with the operation of sleeping cars as are not provided for elsewhere.

(b) This account shall be charged with the deficits assumed by the carrier under a uniform service contract with The Pullman Company, and shall be credited with the carrier's proportion of profits realized under that contract. It is intended that such charges and credits to this account shall include the entire settlement made by the lessee, except allowances for interest rental and depreciation, and that the results of incidental operation of cars other than sleeping cars will not be excluded from the settlements to be recorded herein.

NOTE: When officers have immediate supervision over sleeping car service and other operations their pay, office, and other expenses, as also the pay, office, and other expenses of their assistants, clerks, and office attendants, shall be equitably apportioned to the accounts appropriate to the operations over which they have supervision.

§ 10.404 *Signal and interlocker operation.* This account shall include the cost of operating signals and interlockers other than those solely or principally used for governing all movements of locomotives and trains between main and yard tracks, movements of locomotives between yard tracks and enginehouses, and yard switching movements.

(a) *Labor.* The wages of employees engaged in operating signals and interlockers or power producing plants in connection therewith, such as switch tenders, signalmen other than telegraph operators, lever men, switch and signal oilers, battery men, lamp men, lamp cleaners, and lamplighters; gatemen at crossings of other railroads, engineers and others operating plants furnishing compressed air for signals and interlockers; engineers, electricians, and others operating plants furnishing electric power for signals and interlockers.

(b) *Supplies.* The cost of supplies used in operating signals and interlockers or in signal offices, such as gasoline, vitriol, battery zincs, battery coppers, lubricating oils, fuel for heating, fuel for power purposes, produced and purchased power used in operating switches and signals, furniture repairs and renewals, water, and light.

NOTE: The cost of operating signals and interlockers solely or principally used for governing the movement of yard locomotives and trains shall be included in the appropriate yard expense accounts.

§ 10.405 *Crossing protection.* This account shall include the pay of street and highway crossing gatekeepers and flagmen, the cost of supplies used by them, the cost of lights at street and highway crossings not a part of the lighting outfit at stations or in yards, and the cost of compressed air for operating gates.

§ 10.406 *Drawbridge operation.* This account shall include the cost of operating drawbridges.

(a) *Labor.* The wages of employees engaged in operating drawbridges, such as bridge engineers, tenders, and watchmen.

(b) *Supplies.* The cost of produced and purchased power and of supplies, such as fuel, oil, lantern, water, waste, boats, stoves, chairs, brooms, and pails used in drawbridge operation.

§ 10.407 *Communication system operation.* This account shall include the cost of operating communication systems not provided for elsewhere.

TELEGRAPH

Superintendence. The pay of superintendents, censors, their clerks, and attendants.

Operators and messengers. The pay of operators, block inspectors, and messengers in telegraph and relay offices other than those employed in dispatching trains and those located in general offices or at stations.

Other expenses. Office, traveling, and incidental expenses, including office rent, of employees whose pay is chargeable to this account; rent of telegraph conduits, lines, and poles; cost of battery renewals and supplies, bicycles for messengers, and electric current for telegraph purposes; also excess payments to telegraph companies when in connection with telegraph service and not provided for elsewhere.

NOTE A: The pay, rent, other office expenses, and traveling expenses of officers, their clerks and attendants, who supervise or are engaged both in maintenance and operation, shall be apportioned equally between this account and account 247, "Communication systems."

TELEPHONE

Superintendence. The pay of superintendents, their clerks, and attendants.

Operators and messengers. The pay of operators and mesengers in telephone offices other than those employed in dispatching trains and those located in general offices or at stations.

Other expenses. Office, traveling, and incidental expenses, including office rent, of employees whose pay is chargeable to this account; rent of telephone conduits, lines, and poles; cost of battery renewals and supplies, bicycles for messengers, and electric current for telephone purposes; also excess payments to telephone companies when in connection with telephone service and not provided for elsewhere.

NOTE B: The pay, rent, other office expenses, and traveling expenses of officers, their clerks and attendants, who supervise or are engaged both in maintenance and operation, shall be apportioned equally between this account and account 247, "Communication systems."

RADIO, RADAR, AND INDUCTIVE TRAIN COMMUNICATION

Superintendence. The pay of superintendents or others who supervise operation, and their clerks or attendants.

Operators. The pay of operators other than those employed in dispatching trains and those located in general offices or at stations.

Other expenses. Office, traveling, and incidental expenses, including office rent, of employees whose pay is chargeable to this account; rent of space or facilities occupied by radio, radar, or inductive train equipment; cost of battery and tube renewals; cost of electric current purchased and all other costs incurred for operation and not provided for elsewhere.

NOTE C: The pay, rent, other office expenses, and traveling expenses of officers, their clerks and attendants, who supervise, or are engaged both in maintenance and operation shall be apportioned equally between this account and account 247, "Communication systems."

§ 10.408 *Operating floating equipment.* This account shall include the cost of operating floating equipment in water transfer (ferriage, lighterage, and floatage). (See § 10.02–1 *Operating accounts.*)

(a) *Superintendence.* The pay of vice presidents and other officers directly in charge of or engaged in the operation of boats; the pay of their assistants, clerks, and attendants; also the office, traveling, and other expenses of such officers and their employees.

(b) *Wages of crews.* The pay of captains, pilots, chief officers, mates, sailors, wireless telegraph operators, and other employees of the deck department; engineers, assistant engineers, electricians, oilers, firemen, coal passers, and all other employees of the engineer's department; and pursers, porters, and all other employees in the steward's department, except when engaged in dining and buffet service.

(c) *Fuel.* The cost, on board boats (including the cost of trimming) of coal, oil, wood, and other fuel used for generating power, heat, or light.

(d) *Lubrication.* The cost of oil, grease, tallow, graphite, and other material furnished for lubricating purposes.

(e) *Other supplies and departmental expenses.* The cost of supplies furnished to deck department; the incidental expenses of deck department employees; supplies other than fuel and lubricants, furnished the engineer's department; water furnished to boats; incidental expenses of engineer's department employees; supplies (other than dining and buffet supplies) furnished to the steward's department; laundry for boats; and incidental expenses of steward's department employees.

ITEMS OF SUPPLIES

Axes.
Brooms.
Brushes.
Commissarial supplies.
Flags.
Gas.
Globes.
Grease.
Handspikes.
Hatchets.
Hose.
Ice.
Lamps.
Laundry.
Lines.
Mops.
Oil.
Pails.
Planks.
Provisions.
Ropes.
Shovels.
Soap.
Tallow.
Tools, miscellaneous.
Trucks.
Waste.
Water.
Wicks.
Wrenches.

(f) *Other expenses.* Expenses incident to the operation of floating equipment not otherwise provided for in this account.

ITEMS OF EXPENSE

Customhouse fees.
License fees.
Pumping out boats laid up.
Raising sunken boats.
Transferring passengers in case of accidents.
Wharfage.

(g) *Elevation and longshore labor.* The cost of shore labor in connection with loading and unloading lighterage freight at wharves and piers, such as labor of bridgemen at transfer bridges and of watchmen, longshoremen, stevedores, and other wharf men.

(h) *Elevation and shore expenses.* Shore expenses in connection with loading and unloading lighterage freight, such as the cost of steam and electricity for power, heating, and lighting; power and supplies used for transfer or float bridges; supplies used in connection with operating wharves and piers and not chargeable to account 376, "Station supplies and expenses."

ITEMS OF SUPPLIES

Brooms.
Carbons.
Chalk.
Coal hods.
Coal shovels.
Cold chisels.
Crowbars.
Gas.
Hammers.
Hatchets.
Ice.
Ice tongs.
Incandescent lights.
Lamps, reflector.
Lanterns.
Marline.
Matches.
Oil.
Oil cans.
Pails.
Pinch bars.
Ropes.
Salt.
Scoops.
Shovels.
Soap.
Tacks.
Tallow.
Torches.
Towels.
Twine.
Waste.
Water.
Water coolers.
Wheelbarrows.

NOTE A: When the compensation for the use of floating equipment used in water transfer service includes rent, maintenance, and operation, the portion covering rent shall be charged to income account 539, "Rent for floating equipment," the portion covering maintenance shall be charged to the appropriate account for maintenance of equipment, and the portion covering operation shall be included in this account.

NOTE B: This account shall not include the pay of station employees or labor engaged in handling freight at stations, wharves, and piers provided for under account 373, "Station employees," or the pay of employees or labor provided for under account 375, "Coal and ore wharves."

§ 10.410 *Stationery and printing.* This account shall include the cost of stationery and printing used in connection with rail line transportation, including operation of floating equipment.

STATIONERY AND PRINTING ITEMS

Adding machines.
Addressographs and supplies.
Arm rests.
Baggage checks, printed.
Baggage scrip.
Baggage storage checks.
Bills of lading.
Binders.
Blank books.
Blotters.
Blotting paper.
Bristol board.
Calculating machines.
Calendars.
Carbon paper.
Cardboard.
Cards, blank and printed.
Circulars.
Computing tables.
Conductors' hat checks.
Copy (impression) books.
Copying brushes.
Copying presses.
Crayons.
Cross-section books.
Cross-section paper.
Cyclostyles.
Dating stamps and ribbons.
Delivery tickets.
Dictaphones.
Dictographs.
Drawing paper.
Duplicators.
Electric pens.
Envelopes.
Erasers, rubber and steel.
Eyelet punches.
Eyelets.
File boxes, paper.
Forms, blank and printed.
Fuel tickets.
Glass pens.
Hectographs.
Indexes.
Ink for writing and drawing.
Inkstands.
Invoice books.
Legal cap paper.
Letter paper.
Manifold paper.
Manifold pens.
Mileage books.
Mimeographs.
Mucilage.
Mucilage brushes.
Neostyles.
Note paper.
Notices.
Numbering stamps.
Oil paper.
Paper.
Paper baskets.
Paper clips.
Paper cutters.
Paper fasteners.
Paper files.
Paper weights.
Papyrographs.
Parchment paper.
Pencil sharpeners.
Pencils for writing and drawing.
Penholders.
Penracks.
Pens for writing and drawing.
Phonographs and records.
Pins.
Postage.
Punches (not conductors' or baggagemen's).
Rubber bands.
Rubber stamps.
Rulers.
Ruling pens.
Scrapbooks.
Sealing wax.
Seals.
Shears.
Shipping orders.
Shipping tags.
Shorthand notebooks.
Sponge cups.
Sponges.
Stamps, impression.
Stylographs.
Tablets, blank and printed.
Tape.
Telegraph blanks.
Ticket stamps.
Tickets.
Time-tables (employees).
Tissue (impression) paper.
Tracing cloth.
Tracing paper.
Twine.
Typewriters and ribbons.
Wage tables.
Wastebaskets.
Water colors.
Water holders.
Waybills.
Wrapping paper.
Wringers for copying presses.

NOTE: The cost of dictionaries, periodicals, technical books, etc., shall be included in

appropriate superintendence accounts, and city directories and books of reference used by station agents shall be charged to account 376, "Station supplies and expenses."

§ 10.411 *Other expenses.* This account shall include all expenses in connection with rail line transportation not properly chargeable to other transportation accounts.

ITEMS OF EXPENSE

Amounts paid for switching empty cars otherwise than in connection with loaded movements or with the repairs to the equipment.
Amounts paid on account of bills of lading issued on fraudulent receipts.
Amounts paid to suspended transportation department employees covering periods of suspension.
Compensation for property loss incident to failure to stop at station to pick up passengers.
Demurrage accruing on a foreign line by reason of error of carrier's agent.
Extra drayage due to agent's error in routing interline shipment.
Fees paid arbitrators in wage disputes of transportation department employees.
Loss of station funds by burglary, when not covered by insurance.
Loss of train collections in holdup.
Overcharges paid foreign lines on account of error of the carrier's agent in routing and billing.
Pay and expenses of transportation department employees attending conferences with officers in connection with wage disputes.
Payments for switching on account of cars not passing inspection at junction points.
Penalties imposed under reciprocal demurrage laws for failure to furnish cars.
"Penalty switching" payments on account of improper delivery of cars to other carriers.

§ 10.412 *Operating joint tracks and facilities—Dr.* This account shall include the carrier's proportion of the transportation expenses incurred by others in the operation of joint tracks, interlockers, and other facilities which are not provided for in account 390, "Operating joint yards and terminals—Dr."

NOTE A: The purpose of this account is to show the amount accruing against the carrier for its proportion of the cost of operating tracks and facilities (other than at joint yards and terminals) operated by others and in the joint use of which the carrier participates. (See § 10.04–9 *Joint facility accounts.*)

NOTE B: No portion of expenses chargeable by the operating carrier to accounts 392 to 403, inclusive, shall be included in this account.

§ 10.413 *Operating joint tracks and facilities—Cr.* This account shall include amounts chargeable to others as their proportions of transportation expenses incurred by the carrier in the operation of joint tracks, interlockers, and other facilities which are not provided for in account 391, "Operating joint yards and terminals—Cr."

NOTE A: The purpose of this account is to show the amounts accruing in favor of the carrier and against others for their proportions of the cost of operating tracks and facilities (other than at joint yards and terminals) operated by the carrier and in the joint use of which others participate. (See § 10.04–9 *Joint facility accounts.*)

NOTE B: No portion of expenses chargeable by the operating carrier to accounts 392 to 403, inclusive, shall be included in this account.

§ 10.414 *Insurance.* This account shall include premiums, except reinsurance premiums, for insuring the carrier against loss through injuries to persons or damage to or destruction or loss of property, whether caused by fire, accident, or other cause, when such loss to the carrier would be chargeable to rail line transportation; also premiums on fidelity bonds of employees whose pay is chargeable to rail line transportation. (See § 10.04–18 *Insurance.*)

NOTE: The premiums paid by the carrier to its insurance fund shall be credited to an insurance reserve account, to which account shall be charged the amount of all claims for injuries to persons and damages to the property covered by its insurance. To such account shall also be charged all reinsurance premiums paid to insurance companies, and to it shall be credited all amounts recovered from insurance companies for damage to property reinsured by them.

§ 10.415 *Clearing wrecks.* This account shall include the cost of clearing wrecks other than wrecks of work trains.

(a) *Labor.* The wages of employees while engaged in connection with wrecking service, loading, and transferring contents of wrecked cars, building temporary tracks around wrecks, and removing such tracks.

(b) *Train service.* The cost of train service in connection with replacing wrecked equipment upon the tracks and transporting such equipment to shops for repairs, including amounts paid to other companies for service of locomotives, derricks, and other equipment and for wages of crews in wrecking service.

(c) *Other supplies and expenses.* Payments for reloading or transferring freight, express, baggage, and mail; transferring passengers, and cost of provisions or board for men clearing up or watching at wrecks.

NOTE A: Expenses of clearing wrecks of work trains shall be included in the cost of the work in connection with which the wrecked train was engaged.

NOTE B: The cost of restoring roadbed and tracks to original condition after wrecks and the cost of repairing equipment damaged or destroyed by wrecks shall be charged to the appropriate accounts for maintenance of way and structures and maintenance of equipment.

NOTE C: That proportion of payments to other companies for use of locomotives, derricks, and other equipment in wrecking service which represents rent shall be included in the income accounts.

§ 10.416 *Damage to property.* This account shall include payments and expenses on account of damages to the property of others, whether by fire, collision, flood, or other cause, with the exception of payments and expenses on account of damage to property intrusted to the carrier for transportation, and for damage to stock on right of way. It shall include also fines or compensation paid for interference with the business of others, as by detention of vessels at drawbridges, or by blocking streets.

This account shall include also the pay, office rent, and office, traveling, and other expenses of employees and others engaged as claim adjusters or as witnesses in lawsuits in connection with damage to property cases, or engaged in detection of thieves; notarial fees paid in connection with such cases; and payments for or repairs of damage to equipment of other carriers, or to property contained therein, such carriers having trackage rights upon or grade crossings over the carrier's tracks.

This account shall also include amounts estimated to be sufficient to meet the probable liability of the carrier for unaudited expenses applicable thereto, except that it is not required to anticipate items which would not appreciably affect the account.

NOTE A: Damage to livestock on right of way, and damage to freight and baggage intrusted for transportation, are provided for under accounts 417, "Damage to livestock on right of way"; 418, "Loss and damage—Freight"; and 419, "Loss and damage—Baggage."

NOTE B: Expenses incident to suits growing out of damage to property claims, not otherwise provided for, shall be included in account 454, "Law expenses."

NOTE C: The pay, office rent, and the traveling, office, and other expenses of claim adjusters, claim clerks, and others engaged in claim matters when not accurately assignable to a distinct class of claims, shall be apportioned equally among the several classes of claims over which they have jurisdiction or in connection with which they are engaged. This provision does not apply to the pay and expenses of general officers or general office employees whose pay is includible in general account 450, "General."

§ 10.417 *Damage to livestock on right of way.* This account shall include payments on account of cattle and other livestock killed or injured while crossing or trespassing on the right of way, including cost of removing and burying the same.

There shall be included in this account also the pay and the traveling, office, and other expenses of employees and others engaged as livestock claim adjusters or engaged as witnesses in law-suits in connection with damage to livestock on right of way; also notarial fees in connection with claims for damage to livestock on right of way.

This account shall also include amounts estimated to be sufficient to meet the probable liability of the carrier for unaudited expenses applicable thereto, except that it is not required to anticipate items which would not appreciably affect the account.

NOTE A: Expenses incident to suits growing out of livestock claims, not otherwise provided for, shall be included in account 454, "Law expenses."

NOTE B: The pay, office rent, and traveling, office, and other expenses of claim adjusters, claim clerks, and others engaged in claim matters when not accurately assignable to a distinct class of claims, shall be apportioned equally among the several classes of claims over which they have jurisdiction or in connection with which they are engaged. This provision does not apply to the pay and expenses of general officers or general office employees whose pay is includible in general account 450, "General."

§ 10.418 *Loss and damage; freight.* This account shall include payments and expenses on account of loss, destruction, damage, or delays to revenue freight shipments, including locomotives and cars transported as freight, express matter, milk shipments, and livestock, and expenses incurred on account of such payments; also expenses on account of loss, destruction, or damage to shipments of company material.

This account shall also include the cost of repacking and boxing damaged freight shipments; notarial fees in connection with freight claims; freight charges paid other carriers on lost, destroyed, or damaged shipments; pay, traveling, office, and other expenses of employees or others engaged as freight-claim adjusters, as witnesses in lawsuits in connection with freight-claim cases, in selling damaged and unclaimed shipments, or in detecting thieves; rent of warehouses used for storage of damaged and astray freight shipments, payments for storage of such shipments in public warehouses, and interest and penalties assessed for nonpayment of freight claims.

Amounts received from the sale of astray and damaged freight shall be credited to this account.

This account shall also include amounts estimated to be sufficient to meet the probable liability of the carrier for unaudited expenses applicable thereto, except that it is not required to anticipate items which would not appreciably affect the account.

NOTE A: Expenses incident to suits growing out of loss and damage (freight) claims, not otherwise provided for, shall be included in account 454, "Law expenses."

NOTE B: The pay, office rent, and traveling, office, and other expenses of claim adjusters, claim clerks, and others engaged in claim matters when not accurately assignable to a distinct class of claims shall be apportioned equally among the several classes of claims over which they have jurisdiction or in connection with which they are engaged. This provision does not apply to the pay and expenses of general officers or general office employees whose pay is includible in general account 450, "General."

§ 10.419 *Loss and damage; baggage.* This account shall include payments for loss, destruction, damage, or delays to baggage and other personal property carried as baggage, and damage to personal apparel; also expenses on account of such loss or damage.

This account shall also include the cost of repacking and boxing damaged baggage; notarial fees in connection with baggage claims; baggage claim payments made to other carriers on lost, destroyed, damaged, or delayed shipments; pay, traveling, office, and other expenses of employees or others engaged as baggage claim adjusters, as witnesses in lawsuits in connection with baggage claim cases, in selling damaged and unclaimed baggage, or in detecting thieves; rent of warehouses used exclusively for storage of damaged and unclaimed baggage, payments for storage of such shipments in public warehouses, and interest and penalties assessed for nonpayment of claims.

Amounts received from the sale of astray and damaged baggage shall be credited to this account.

This account shall also include amounts estimated to be sufficient to meet the probable liability of the carrier for unaudited expenses applicable thereto, except that it is not required to anticipate items which would not appreciably affect the account.

NOTE A: Expenses incident to suits growing out of loss and damage (baggage) claims, not otherwise provided for, shall be included in account 454, "Law expenses."

NOTE B: The pay, office rent, and traveling, office, and other expenses of claim adjusters, claim clerks, and others engaged in claim matters when not accurately assignable to a distinct class of claims, shall be apportioned equally among the several classes of claims over which they have jurisdiction or in connection with which they are engaged. This provision does not apply to the pay and expenses of general officers or general office employees whose pay is includible in general account 450, "General."

NOTE C: When a payment on account of injuries to passengers includes allowance for damage to personal apparel the damage allowance shall be included in this account when separable; otherwise in the appropriate personal injury account.

§ 10.420 *Injuries to persons.* This account shall include expenses on account of injuries to persons which occur directly in connection with transportation service, including damages for ejectment of passengers.

Services of employees and others called in consultation in relation to claim adjustments; pay and expenses of employees while engaged as witnesses at inquests and lawsuits, and a suitable proportion of donations made to hospitals, shall be included in this account.

This account shall also include amounts estimated to be sufficient to meet the probable liability of the carrier for unaudited expenses applicable thereto, except that it is not required to anticipate items which would not appreciably affect the account.

ITEMS OF EXPENSE

Artificial limbs.
Carriage fees.
Claim adjusters' and clerks' services.
Claim adjusters' office expenses.
Compensation for injuries or death.
Final judgments, including plaintiffs' court costs.
Funeral expenses.
Hospital attendance.
Medical and surgical services.
Medical and surgical supplies.
Notarial fees.
Nursing.
Railway transportation.
Undertakers' services.
Undertakers' supplies.
Witnesses' fees and expenses at inquests and lawsuits.

NOTE A: Expenses incident to personal injury suits, not otherwise provided for, shall be included in account 454, "Law expenses."

NOTE B: Amounts donated by a carrier to hospitals shall be distributed, 25 percent to account 274, "Injuries to persons"; 25 percent to account 332, "Injuries to persons"; and 50 percent to account 420, "Injuries to persons."

NOTE C: The pay, office rent, and traveling, office, and other expenses of claim adjusters, claim clerks, and others engaged in claim matters when not accurately assignable to a distinct class of claims, shall be apportioned equally among the several classes of claims over which they have jurisdiction or in connection with which they are engaged. This provision does not apply to the pay and expenses of general officers or general office employees whose pay is includible in general account 450, "General."

NOTE D: When a payment on account of injuries to persons includes allowances for damages to personal apparel, the damage allowance shall be included in account 419, "Loss and damage—Baggage," when separable; otherwise the entire payment shall be included in this account.

MISCELLANEOUS OPERATIONS

§ 10.440 *Miscellaneous operations.* The primary accounts included in this general account are designed to show the expenses incurred in miscellaneous operations. (See § 10.02–4 *Miscellaneous operations.*)

§ 10.441 *Dining and buffet service.* This account shall include the cost of operating dining and buffet service on trains and transfer boats. It shall include:

(a) *Superintendence.* The pay of officers directly in charge of operating dining and buffet service; the pay of their assistants, clerks, and office attendants; also the office, traveling, and other expenses of such officers and their employees.

(b) *Commissarial employees.* The pay of storekeepers, assistant storekeepers, clerks, porters, and other employees in commissarial supply depots and storehouses.

(c) *Stewards.* The pay of stewards or conductors employed on dining and buffet cars and transfer boats.

(d) *Cooks and waiters.* The pay of cooks, waiters, and assistants on dining and buffet cars and transfer boats.

(e) *Fuel and supplies.* The cost of fuel for cooking purposes; of provisions, such as meats, groceries, vegetables, fish, table waters, ice, etc.; bar supplies, such as wines, liquors, beers, ales, etc.; cost of licenses; and cost of cigars, cigarettes, and tobacco.

(f) *Laundry.* Expenses for laundry work, such as laundering tablecloths, napkins, aprons, etc.

(g) *Stationery and printing.* The cost of stationery and printing used in connection with dining and buffet service.

(h) *Other expenses.* The cost of flowers and plants; cleaning the interior of cars; rent and cost of supplies for rooms furnished for dining and buffet service employees; and such other expenses in connection with the operation of dining and buffet service as are not provided for elsewhere.

NOTE: When officers have immediate supervision over dining and buffet service and other operations their pay, office, and other expenses, as also the pay, office, and other expenses of their assistants, clerks, and office attendants, shall be equitably apportioned to the accounts appropriate to the operations over which they have supervision.

§ 10.442 *Hotels and restaurants.* This account shall include the cost of operating hotels, restaurants, and lunch counters when the cost of the operated property is includible in the road and equipment accounts. It shall include:

(a) *Superintendence.* The pay of officers directly in charge of operating hotels, restaurants, and lunch counters; pay of their clerks and office attendants; also the office, traveling, and other expenses of such officers.

(b) *Employees.* The pay of stewards, hotel keepers, storekeepers, checkers, linen clerks, butchers, chefs, cooks, kitchen help, maids, porters, elevator men, call boys, hat and cloak attendants, waiters, waitresses, laundresses, engineers, firemen, and other employees engaged in operating hotels, restaurants, and lunch counters.

(c) *Fuel and supplies.* The cost of fuel for cooking and heating purposes; provisions, such as meats, groceries, vegetables, fish, table waters, ice, etc.; bar supplies, such as wines, liquors, beers, ales, etc.; the cost of liquor licenses; the cost of tobacco, cigars, cigarettes, etc.; and miscellaneous supplies for operating the service.

(d) *Stationery and printing.* The cost of stationery and printing used in connection with the operation of hotels and restaurants.

(e) *Other expenses.* The cost of lighting, and other items of expense not otherwise provided for in this account.

NOTE: When officers have immediate supervision over hotels, restaurants, and lunch counters and other operations their pay, office, and other expenses, as also the pay, office, and other expenses of their assistants, clerks, and office attendants, shall be equitably apportioned to the accounts appropriate to the operations over which they have supervision.

§ 10.443 *Grain elevators.* This account shall include the cost of operating grain elevators other than small elevators which are classed as station facilities. It shall include:

(a) *Superintendence.* The pay of officers directly in charge of grain-elevator service; the pay of their assistants, clerks, and office attendants; also the office, traveling, and other expenses of such officers and their employees.

(b) *Employees.* The pay of engineers, firemen, foremen, machine men, oilers, millwrights, carpenters, trimmers, weighers, spout men, sweepers, laborers, watchmen, and all other employees engaged in operating grain elevators.

(c) *Fuel and supplies.* The cost of fuel for power, heating, and lighting plants; power for heating, lighting, and operating machinery; and water, ice, oil, waste, and other supplies for operating such property.

(d) *Stationery and printing.* The cost of stationery and printing used in connection with the operation of grain elevators.

(e) *Other expenses.* The cost of grain used to make up shortage in elevators; rent for and repairs of rented offices; and other operating expenses not otherwise provided for in this account.

NOTE. When officers have immediate supervision over grain elevators and other operations their pay, office, and other expenses, also the pay, office, and other expenses of their assistants, clerks, and office attendants, shall be equitably apportioned to the accounts appropriate to the operations over which they have supervision.

§ 10.445 *Producing power sold.* This account shall include the cost of operating power plants, substations, transmission systems and distribution systems, for the production of power sold.

The proportion of the cost assignable to the production of the power sold only shall be included in this account. (See § 10.04–12 *Power plant operations* and § 10.04–14 *Maintaining transmission and distribution systems.*)

This account shall include:

(a) *Superintendence.* The pay of officers directly in charge of power plants, substations, transmission systems and distribution systems; pay of their clerks and office attendants; also the office, traveling, and other expenses of such officers and employees.

(b) *Employees.* The pay of foremen, subforemen, engineers, firemen, electricians, system operators or load dispatchers, dynamo tenders, foremen regulators, regulators and assistants, switchboard men, brush men, oilers, wipers, wiremen, and others engaged in the operation of power plant and substation apparatus and devices.

(c) *Fuel.* The cost of fuel used in the production of power and for heating power plants.

(d) *Other supplies.* The cost of water, lubricants, and other power plant and substation supplies.

(e) *Stationery and printing.* The cost of stationery and printing used in connection with producing power sold.

(f) *Other expenses.* The items of expense not otherwise provided for in this account.

NOTE: When officers have immediate supervision over producing power sold and other operations, their pay, office, and other expenses, as also the pay, office, and other expenses of their assistants, clerks and office attendants, shall be equitably apportioned to the accounts appropriate to the operations over which they have supervision.

§ 10.446 *Other miscellaneous operations.* This account shall include the operations of facilities such as cold-storage plants; coal-storage plants; cotton-compress plants; wood-preserving plants; ice-supply plants, etc., when the cost of the facilities is includible in the road and equipment accounts and they are operated by the railway companies.

NOTE: When officers have immediate supervision over other miscellaneous service and other operations, their pay, office, and other expenses, as also the pay, office, and other expenses of their assistants, clerks, and office attendants, shall be equitably apportioned to the accounts appropriate to the operations over which they have supervision.

§ 10.447 *Operating joint miscellaneous facilities—Dr.* This account shall include the carrier's proportion of such costs as are incurred by others in their operation of joint facilities which are chargeable by them to accounts 442, "Hotels and restaurants," 443, "Grain elevators," 445, "Producing power sold," or 446, "Other miscellaneous operations."

§ 10.448 *Operating joint miscellaneous facilities—Cr.* This account shall include amounts chargeable to others as their proportions of such costs as are incurred by the carrier in its operation of joint facilities which are chargeable by it to accounts 442, "Hotels and restaurants," 443, "Grain elevators," 445, "Producing power sold," or 446, "Other miscellaneous operations."

GENERAL

§ 10.450 *General.* The primary accounts included in this general account are designed to show the expenses incurred of a general character not chargeable to the preceding general accounts, such as those for general administration and accounting, and those of the financial, law, real estate, tax, and claim departments.

NOTE: Directly assignable organization and administration expenses incident to investments in leased or nonoperating physical property, and in stocks, bonds, and other securities, are chargeable to income account 549, "Maintenance of investment organization."

§ 10.451 *Salaries and expenses of general officers.* This account shall include:

(a) *Salaries.* The pay of all general officers not otherwise provided for, including salaries and fees of receivers and commissions paid to general officers in lieu of salaries.

LIST OF OFFICERS

Chairman of the board.
President.
Assistant to president.
Vice president.
Assistant to vice president.
Secretary.
Assistant secretary.
Transfer agent.
Treasurer.
Assistant treasurer.
Local treasurer.
Comptroller.
Assistant comptroller.
General auditor.
Auditor.
Assistant auditor.
Auditor of revenues.
Auditor of passenger accounts.
Assistant auditor of passenger accounts.
Auditor of freight accounts.
Assistant auditor of freight accounts.
Auditor of station accounts.
Auditor of disbursements.
Assistant auditor of disbursements.
Auditor of miscellaneous accounts.
Assistant auditor of miscellaneous accounts.
Auditor of coal and coke accounts.
Freight claim agent.
Assistant freight claim agent.
General accountant.
Real-estate agent.
Assistant real-estate agent.
Tax commissioner.

(b) *Expenses.* The traveling and other expenses of officers whose pay is included in this account, including supplies for business cars used by them, cost of running official trains for them, and cost of membership fees and dues in railway and other associations.

NOTE A: When officers' duties are restricted to a single department, their salaries and expenses shall be charged to that department in the accounts for superintendence or for law expenses, as may be appropriate. When officers have immediate supervision over more than one department, their salaries and expenses shall be apportioned equitably among the departments over which they have jurisdiction.

NOTE B: The pay and expenses of the purchasing agent, assistant purchasing agent, assistant to purchasing agent, general storekeeper, division storekeeper, their clerks and attendants, shall be charged through clearing accounts "Material store expenses" and "Stationery store expenses," or material account "Fuel," as may be appropriate.

§ 10.452 *Salaries and expenses of clerks and attendants.* This account shall include the pay and expenses of clerks and attendants of the officers whose salaries are includible in account 451, "Salaries and expenses of general officers."

(a) *Pay of clerks.* The pay of persons employed in accounting and clerical service.

LIST OF EMPLOYEES

Cashiers.	Route agents.
Chief accountants.	Special agents.
Chief clerks.	Stenographers.
Clerks.	Ticket receivers.
Inspectors.	Traveling accountants.
Mail clerks.	Traveling auditors.
Paymasters.	
Postmasters.	

(b) *Pay of attendants.* The pay of persons employed in attendance at general offices and on business cars.

LIST OF EMPLOYEES

Bank messengers.	Porters.
Chauffeurs.	Pump men.
Cleaners.	Stablemen.
Cooks.	Superintendent of general office building.
Drivers of service wagons.	Telegraph operators
Elevator operators.	Telephone operators
Engineers.	Ushers.
Firemen.	Waiters.
Janitors.	Watchmen.
Messengers.	

(c) *Expenses.* The traveling and other expenses of employees designated above, including the cost of supplies for business cars and cost of running official trains for them.

§ 10.453 *General office supplies and expenses.* This account shall include the office expenses of officers designated in account 451, "Salaries and expenses of general officers."

ITEMS OF EXPENSE AND SUPPLIES

Alterations of partitions and fixtures in general offices.
Atlases and maps.
Books for office use.
Cable tolls.
Cleaning.
Express charges.
Furniture repairs and renewals.
Heating.
Horse keep.
Lighting.
Local messenger service.
Periodicals and newspapers.
Rent of general offices.
Rent of tabulating machines.
Repairs of rented general offices.
Reports of commercial standings.
Service of automobiles.
Telegraph service.
Telephone service.
Watchmen service.

NOTE: The proportion of general office expenses occasioned by the law department shall be included in account 454, "Law expenses."

§ 10.454 *Law expenses.* This account shall include the pay and the office and other expenses, when not provided for elsewhere, of officers and employees of the law department, the cost of suits, and the payments of special law fees.

LIST OF OFFICERS AND EMPLOYEES

General counsel.	Statutory attorney.
General solicitor.	Attorney.
Assistant counsel.	Counsel.
Solicitor.	Law agent.
Commerce counsel.	Clerks.
Commerce agent.	Office attendants.
Special counsel.	

ITEMS OF EXPENSE AND SUPPLIES

Arbitrators' services in settlement of disputed questions.
Cost of taking depositions.
Cost of testimony.
Cost of suits.
Court bonds.
Court expenses.
Drawing and recording agreements as to trackage rights, etc.
Express charges.
Fees and retainers of attorneys (not regular employees).
Law books.
Legal forms.
Legal reports.
Membership fees and dues in associations to protect carriers against litigation in respect to patents.
Membership fees and dues in law associations.
Notarial fees not provided for elsewhere.
Office expenses.
Printing of briefs, testimony, and reports.
Proportion of general office expenses.
Rent of offices.
Special fees.
Telegraph service.
Telephone service.
Traveling expenses.
Witness fees not provided for elsewhere.

§ 10.455 *Insurance.* This account shall include premiums, except reinsurance premiums, for insuring the carrier against loss, through injuries to persons or damage to or destruction or loss of property, whether caused by fire, accident, or other cause, when such loss to the carrier would be chargeable to general account 450, "General"; also premiums on fidelity bonds of officers and employees whose pay is chargeable to general account 450, "General." (See § 10.04–18 *Insurance.*)

NOTE: The premiums paid by the carrier to its insurance fund shall be credited to an insurance account, to which account shall be charged the amount of all claims for injuries to persons and damages to the property covered by its insurance. To such account shall also be charged all reinsurance premiums paid to insurance companies, and to it shall be credited all amounts recovered from insurance companies for damage to the property reinsured by them.

§ 10.456 *Relief department expenses.* This account shall include salaries and expenses incurred in connection with conducting relief departments; also contributions to such departments.

§ 10.457 *Pensions and gratuities.* (a) Except as hereafter provided, this account shall include pensions paid currently to retired employees and the expenses incurred solely in connection therewith. It shall also include gratuities paid to the families or heirs of employees; amounts paid currently to insurance companies or to trustees to provide annuities for retired employees (see note); and premiums paid on insurance policies for employees where the carrier is not a beneficiary.

NOTE: The initial payments to insurance companies or to trustees for prior services of employees shall be charged to account 621, "Miscellaneous debits."

(b) A carrier may account for pensions on an accrual basis provided it has established a retirement plan whereby it definitely agrees to pay pensions to its retired employees. If the carrier elects to adopt the accrual plan, this account shall be charged and account 769 credited each month with amounts representing benefits currently accruing under the plan and borne by the carrier. Contributions by employees shall be credited direct to account 769. Pension payments shall be charged to account 769. Before adopting the accrual plan for pensions, the carrier shall inform the Commission of the details of its pension plan. No charges shall be made to this account in anticipation of discretionary pension payments in the future.

§ 10.458 *Stationery and printing.* This account shall include the cost of stationery and printing used in general offices and not chargeable to other accounts, including the cost of printing annual reports, contracts, leases, stock certificates, and passes.

STATIONERY AND PRINTING ITEMS

Adding machines.	Paper baskets.
Addressographs and supplies.	Paper clips.
Arm rests.	Paper cutters.
Binders.	Paper fasteners.
Blank books.	Paper files.
Blotters.	Paper weights.
Blotting paper.	Papyrographs.
Bristol board.	Parchment paper.
Calculating machines.	Passes.
Calendars.	Pay checks.
Carbon paper.	Pencil sharpeners.
Cardboard.	Pencils for writing and drawing.
Cards, blank and printed.	Penholders.
Circulars.	Penracks.
Computing tables.	Pens for writing and drawing.
Copy (impression) books.	Phonographs and records.
Copying brushes.	Pins.
Copying presses.	Postage.
Crayons.	Punches (not conductors' or baggagemen's).
Cyclostyles.	Rubber bands.
Dating stamps and ribbons.	Rubber stamps.
Dictaphones.	Rulers.
Dictographs.	Ruling pens.
Drawing paper.	Scrapbooks.
Duplicator.	Sealing wax.
Electric pens.	Seals.
Envelopes.	Shears.
Erasers, rubber and steel.	Shipping tags.
Eyelet punches.	Shorthand note books.
Eyelets.	Sponge cups.
File boxes, paper.	Sponges.
Forms, blank and printed.	Stamps.
Glass pens.	Stamps, impression
Hectographs.	Stylographs.
Indexes.	Tablets, blank and printed.
Ink for writing and drawing.	Tape.
Inkstands.	Telegraph blanks.
Invoice books.	Tissue (impression) paper.
Legal cap paper.	Tracing cloth.
Letter paper.	Tracing paper.
Manifold paper.	Twine.
Manifold pens.	Typewriters and ribbons.
Mimeographs.	Wage tables.
Mucilage.	Wastebaskets.
Mucilage brushes.	Water colors.
Neostyles.	Water holders.
Note paper.	Wrapping paper.
Notices.	Wring[illegible]s for copying presses.
Numbering stamps.	
Oil paper.	
Paper.	

NOTE A: The cost of printing briefs, legal forms, testimony, reports, etc., for the law department is chargeable to account 454, "Law expenses."

NOTE B: The cost of printing bonds, etc., in connection with the carrier's funded debt shall be included in balance-sheet account 725, "Discount on funded debt."

§ 10.459 *Valuation expenses.* This account shall include expenses incident to the ascertainment (in accordance with the Act to Regulate Commerce as amended March 1, 1913, or with other

Federal or State requirements) of the value of property owned or used by the carrier, such expenses including pay, and office, traveling, and other expenses of officers specially employed or assigned to such work, and of their assistants, clerks, and attendants, and the cost of stationery and printing, and of engineering supplies consumed.

NOTE: No charge shall be made to this account for the salaries of officers or of their clerks and attendants for incidental services in connection with valuation work; but special office, clerical, traveling, and incidental expenses incurred by these officers on account of such work shall be included as a part of the cost of the work.

§ 10.460 *Other expenses.* This account shall include incidental general expenses which are not properly chargeable to any of the foregoing accounts.

ITEMS OF EXPENSE

Cost of draping buildings.
Cost of publishing annual reports in newspapers, and other corporate and financial notices of general character.
Cost of publishing notices of stockholders' meetings and of election of directors.
Donations on account of catastrophes, epidemics, etc.
Donations to local fire departments.
Donations to Y. M. C. A., and similar institutions.
Exchange on checks cashed or deposited.
Exchange on drafts bought.
Fees and expenses paid to directors and trustees.
Loss through payment of wages to a wrong person.
Penalties assessed for nonpayment of claims for overcharges.

§ 10.461 *General joint facilities—Dr.* This account shall include the carrier's proportions of general expenses incurred by others incident to maintaining and operating tracks, yards, terminals, and other facilities used jointly.

NOTE: The purpose of this account is to show the amount accruing against the carrier for its proportion of the expense of general administration of tracks, yards, terminals and other facilities administered by others, and in the joint use of which the carrier participates. (See § 10.04–9 *Joint facility accounts.*)

§ 10.462 *General joint facilities—Cr.* This account shall include amounts chargeable to others as their proportions of general expenses incurred by the carrier incident to maintaining and operating tracks, yards, terminals, and other facilities used jointly.

NOTE: The purpose of this account is to show the amounts accruing in favor of the carrier and against others for their proportions of the expense of general administration of tracks, yards, terminals, and other facilities administered by the carrier, and in the joint use of which others participate. (See § 10.04–9 *Joint facility accounts.*)

CONDENSED CLASSIFICATION OF OPERATING EXPENSES

§ 10.480 *Accounts for small carriers, Class II.* See provisions of § 10.04–1 *Accounts for operating expenses.* The condensed groupings of accounts for Class II small carriers are as follows:

Accounts for Small Carriers—Class II	*Accounts for Large Carriers—Class I*
Maintenance of Way and Structures	200. Maintenance of Way and Structures
1201. Superintendence.	201. Superintendence.
1202. Maintaining roadway and track.	202. Roadway maintenance. 212. Ties. 214. Rails. 216. Other track material. 218. Ballast. 220. Track laying and surfacing. 272. Removing snow, ice, and sand.
1203. Maintaining track structures.	206. Tunnels and subways. 208. Bridges, trestles, and culverts. 210. Elevated structures. 221. Fences, snowsheds, and signs. 247. Communication systems. 249. Signals and interlockers.
1204. Maintaining ancillary structures.	227. Station and office buildings. 229. Roadway buildings. 231. Water stations. 233. Fuel stations. 235. Shops and enginehouses. 237. Grain elevators. 239. Storage warehouses. 241. Wharves and docks. 243. Coal and ore wharves. 253. Power plants. 257. Power-transmission systems. 265. Miscellaneous structures.
1204½. Retirements—Road.	267. Retirements—Road.
1205. Dismantling retired road property.	270. Dismantling retired road property.
1206. Equalization—Way and structures.	280. Equalization—Way and structures.
1208. Deferred maintenance—Way and structures.	268. Deferred maintenance—Way and structures.
1209. Road property—Depreciation.	266. Road property—Depreciation.
1210. Injuries to persons.	274. Injuries to persons.
1211. Other way and structure expense.	269. Roadway machines. 271. Small tools and supplies. 273. Public improvements—Maintenance. 275. Insurance. 276. Stationery and printing. 277. Other expenses. 281. Right-of-way expenses.
1212. Maintaining joint tracks, yards, and other facilities—Dr.	278. Maintaining joint tracks, yards, and other facilities—Dr.
1213. Maintaining joint tracks, yards, and other facilities—Cr.	279. Maintaining joint tracks, yards, and other facilities—Cr.

Accounts for Small Carriers—Class II—Con.	*Accounts for Large Carriers—Class I*—Con.	*Accounts for Small Carriers—Class II*—Con.	*Accounts for Large Carriers—Class I*—Con.
Maintenance of Equipment	300. Maintenance of Equipment	Transportation—Rail Line—Continued	370. Transportation—Rail Line—Continued
1221. Superintendence.	301. Superintendence.	1270. Train enginemen.	392. Train enginemen.
1222. Repairs of machinery and other apparatus.	302. Shop machinery. 304. Power-plant machinery.	1271. Train fuel.	394. Train fuel.
1223. Shop and power-plant machinery—Depreciation.	305. Shop and power-plant machinery—Depreciation.	1272. Train power.	395. Train power produced. 396. Train power purchased.
1224. Dismantling retired shop and power-plant machinery	306. Dismantling retired shop and power-plant machinery.	1273. Other train locomotive supplies and expenses.	397. Water for train locomotives. 398. Lubricants for train locomotives. 399. Other supplies for train locomotives.
1225. Locomotive repairs.	308. Steam locomotives—Repairs. 311. Other locomotives—Repairs.	1274. Trainmen.	400. Enginehouse expenses—Train. 401. Trainmen.
1226. Car repairs.	314. Freight-train cars—Repairs. 317. Passenger-train cars—Repairs.	1275. Train supplies and expenses.	402. Train supplies and expenses. 403. Operating sleeping cars.
1227. Floating equipment—Repairs.	323. Floating equipment—Repairs.	1277. Injuries to persons.	420. Injuries to persons.
1228. Work equipment—Repairs.	326. Work equipment—Repairs.	1278. Loss and damage.	418. Loss and damage—Freight. 419. Loss and damage—Baggage.
1229. Miscellaneous equipment—Repairs.	328. Miscellaneous equipment—Repairs.	1279. Other casualty expenses.	414. Insurance. 415. Clearing wrecks. 416. Damage to property. 417. Damage to live stock on right of way.
1230. Dismantling retired equipment.	329. Dismantling retired equipment.		404. Signal and interlocker operation. 405. Crossing protection. 406. Drawbridge operation.
1231. Retirements—Equipment.	330. Retirements—Equipment.	1280. Other rail transportation expenses.	407. Communication system operation. 408. Operating floating equipment. 410. Stationery and printing. 411. Other expenses.
1232. Major repairs—Equipment.	340. Major repairs—Equipment.	1281. Operating joint tracks and facilities—Dr.	412. Operating joint tracks and facilities—Dr.
1233. Equalization—Equipment.	338. Equalization—Equipment.	1282. Operating joint tracks and facilities—Cr.	413. Operating joint tracks and facilities—Cr.
1235. Deferred maintenance—Equipment.	339. Deferred maintenance—Equipment.	Miscellaneous Operations	440. Miscellaneous Operations
1236. Equipment—Depreciation.	331. Equipment—Depreciation.	1288. Miscellaneous operations.	441. Dining and buffet service. 442. Hotels and restaurants. 443. Grain elevators. 445. Producing power sold. 446. Other miscellaneous operations.
1237. Injuries to persons.	332. Injuries to persons.	General	450. General
1238. Other equipment expenses.	333. Insurance. 334. Stationery and printing. 335. Other expenses.	1291. Administration.	451. Salaries and expenses of general officers. 452. Salaries and expenses of clerks and attendants.
1239. Joint maintenance of equipment expenses—Dr.	336. Joint maintenance of equipment expenses—Dr.	1292. Insurance.	453. General office supplies and expenses. 454. Law expenses. 455. Insurance.
1240. Joint maintenance of equipment expenses—Cr.	337. Joint maintenance of equipment expenses—Cr.	1293. Valuation expenses.	459. Valuation expenses.
Traffic	350. Traffic	1294. Other general expenses.	456. Relief department expenses. 457. Pensions and gratuities. 458. Stationery and printing. 460. Other expenses.
1251. Traffic expenses.	351. Superintendence. 352. Outside agencies. 353. Advertising. 354. Traffic associations. 355. Fast freight lines. 356. Industrial and immigration bureaus. 357. Insurance. 358. Stationery and printing. 359. Other expenses.	1295. General joint facilities—Dr.	461. General joint facilities—Dr.
		1296. General joint facilities—Cr.	462. General Joint facilities—Cr.
Transportation—Rail Line	370. Transportation—Rail Line		
1261. Superintendence and dispatching.	371. Superintendence. 372. Dispatching trains.		
1262. Station service.	373. Station employees. 374. Weighing, inspection, and demurrage bureaus.		
1263. Yard enginemen.	375. Coal and ore wharves. 376. Station supplies and expenses. 360. Yard enginemen.		
1264. Other yard employees.	377. Yardmasters and yard clerks. 378. Yard conductors and brakemen.		
1265. Yard switching fuel.	379. Yard switch and signal tenders. 382. Yard switching fuel.		
1266. Yard switching power.	383. Yard switching power produced. 384. Yard switching power purchased.		
1267. Other yard expenses.	385. Water for yard locomotives. 386. Lubricants for yard locomotives. 387. Other supplies for yard locomotives. 388. Enginehouse expenses—Yard. 389. Yard supplies and expenses.		
1268. Operating joint yards and terminals—Dr.	390. Operating joint yards and terminals—Dr.		
1269. Operating joint yards and terminals—Cr.	391. Operating joint yards and terminals—Cr.		

§ 10.490 *Accounts for small carriers, Class III.* See provisions of § 10.04–1 *Accounts for operating expenses.* The condensed groupings of accounts for Class III small carriers are as follows:

Accounts for Small Carriers—Class III	*Accounts for Large Carriers—Class I*
Maintenance of Way and Structures	200. Maintenance of Way and Structures
2201. Superintendence.	201. Superintendence.
2202. Roadway maintenance.	202. Roadway maintenance. 206. Tunnels and subways. 208. Bridges, trestles, and culverts. 210. Elevated structures. 212. Ties. 214. Rails. 216. Other track material. 218. Ballast. 220. Track laying and surfacing. 221. Fences, snowsheds, and signs. 247. Communication systems. 249. Signals and interlockers. 272. Removing snow, ice, and sand.
2203. Maintaining structures.	227. Station and office buildings. 229. Roadway buildings. 231. Water stations. 233. Fuel stations. 235. Shops and enginehouses. 237. Grain elevators. 239. Storage warehouses. 241. Wharves and docks. 243. Coal and ore wharves. 253. Power plants. 257. Power-transmission systems. 265. Miscellaneous structures.
2203½. Retirements—Road.	267. Retirements—Road.
2204. Dismantling retired road property.	270. Dismantling retired road property.
2205. Equalization—Way and structures.	260. Equalization—Way and structures.
2207. Deferred maintenance—Way and structures.	268. Deferred maintenance—Way and structures.
2208. Road property—Depreciation.	266. Road property—Depreciation.
2209. Other maintenance of way expenses.	269. Roadway machines. 271. Small tools and supplies. 273. Public improvements—Maintenance. 274. Injuries to persons. 275. Insurance. 276. Stationery and printing. 277. Other expenses. 281. Right-of-way expenses.
2210. Maintaining joint tracks, yards, and other facilities—Dr.	278. Maintaining joint tracks, yards, and other facilities—Dr.
2211. Maintaining joint tracks, yards, and other facilities—Cr.	279. Maintaining joint tracks, yards, and other facilities—Cr.
Maintenance of Equipment	300. Maintenance of Equipment
2221. Superintendence.	301. Superintendence.
2222. Repairs of shop and power-plant machinery.	302. Shop machinery.
2223. Shop and power-plant machinery—Depreciation.	304. Power-plant machinery.
2224. Dismantling retired shop and power-plant machinery.	305. Shop and power-plant machinery—Depreciation.
2225. Locomotive repairs.	306. Dismantling retired shop and power-plant machinery.
2226. Car repairs.	308. Steam locomotives—Repairs. 311. Other locomotives—Repairs. 314. Freight-train cars—Repairs. 317. Passenger-train cars—Repairs.
2227. Other equipment repairs.	323. Floating equipment—Repairs. 326. Work equipment—Repairs. 328. Miscellaneous equipment—Repairs.
2228. Dismantling retired equipment.	329. Dismantling retired equipment.

Accounts for Small Carriers—Class III—Con.	*Accounts for Large Carriers—Class I—Con.*
Maintenance of Equipment—Continued	300. Maintenance of Equipment—Continued
2229. Retirements—Equipment.	330. Retirements—Equipment.
2230. Major repairs—Equipment.	340. Major repairs—Equipment.
2231. Equalization—Equipment.	338. Equalization—Equipment.
2233. Deferred maintenance—Equipment.	339. Deferred maintenance—Equipment.
2234. Equipment—Depreciation.	331. Equipment—Depreciation.
2235. Other equipment expenses.	332. Injuries to persons. 333. Insurance. 334. Stationery and printing. 335. Other expenses.
2236. Joint maintenance of equipment expenses—Dr.	336. Joint maintenance of equipment expenses—Dr.
2237. Joint maintenance of equipment expenses—Cr.	337. Joint maintenance of equipment expenses—Cr.
Traffic	350. Traffic
2240. Traffic expenses.	351. Superintendence. 352. Outside agencies. 353. Advertising. 354. Traffic associations. 355. Fast freight lines. 356. Industrial and immigration bureaus. 357. Insurance. 358. Stationery and printing. 359. Other expenses.
Transportation—Rail Line	370. Transportation—Rail Line
2241. Superintendence and dispatching.	371. Superintendence. 372. Dispatching trains.
2242. Station service.	373. Station employees. 374. Weighing, inspection, and demurrage bureaus. 375. Coal and ore wharves.
2243. Yard employees.	376. Station supplies and expenses. 377. Yardmasters and yard clerks. 378. Yard conductors and brakemen. 379. Yard switch and signal tenders. 380. Yard enginemen.
2244. Yard switching fuel.	382. Yard switching fuel.
2245. Miscellaneous yard expenses.	383. Yard switching power produced. 384. Yard switching power purchased. 385. Water for yard locomotives. 386. Lubricants for yard locomotives. 387. Other supplies for yard locomotives. 388. Enginehouse expenses—Yard. 389. Yard supplies and expenses.
2246. Operating joint yards and terminals—Dr.	390. Operating joint yards and terminals—Dr.
2247. Operating joint yards and terminals—Cr.	391. Operating joint yards and terminals—Cr.
2248. Train employees.	392. Train enginemen. 401. Trainmen.
2249. Train fuel.	394. Train fuel.
2251. Other train expenses.	395. Train power produced. 396. Train power purchased. 397. Water for train locomotives. 398. Lubricants for train locomotives. 399. Other supplies for train locomotives. 400. Enginehouse expenses—Train. 402. Train supplies and expenses. 403. Operating sleeping cars.
2252. Injuries to persons.	420. Injuries to persons.
2253. Loss and damage.	418. Loss and damage—Freight. 419. Loss and damage—Baggage.

Accounts for Small Carriers—Class III—Con.	*Accounts for Large Carriers—Class I—Con.*
Transportation—Rail Line—Continued	370. Transportation—Rail Line—Continued
2254. Other casualty expenses.	414. Insurance. 415. Clearing wrecks. 416. Damage to property. 417. Damage to live stock on right of way.
2255. Other rail transportation expenses.	404. Signal and interlocker operation. 405. Crossing protection. 406. Drawbridge operation. 407. Communication system operation. 408. Operating floating equipment. 410. Stationery and printing. 411. Other expenses.
2256. Operating joint tracks and facilities—Dr.	412. Operating joint tracks and facilities—Dr.
2257. Operating joint tracks and facilities—Cr.	413. Operating joint tracks and facilities—Cr.
Miscellaneous Operations	440. Miscellaneous Operations
2259. Miscellaneous operations.	441. Dining and buffet service. 442. Hotels and restaurants. 443. Grain elevators. 445. Producing power sold. 446. Other miscellaneous operations.
General	450. General
2261. Administration.	451. Salaries and expenses of general officers. 452. Salaries and expenses of clerks and attendants. 453. General office supplies and expenses. 454. Law expenses.
2262. Insurance.	455. Insurance.
2263. Valuation expenses.	459. Valuation expenses.
2264. Other general expenses.	456. Relief department expenses. 457. Pensions and gratuities. 458. Stationery and printing. 460. Other expenses.
2265. General joint facilities—Dr.	461. General joint facilities—Dr.
2266. General joint facilities—Cr.	462. General joint facilities—Cr.

INCOME, PROFIT AND LOSS, AND GENERAL BALANCE SHEET

§ 10.05 *General instructions.* The carrier's records shall be kept with sufficient particularity to show fully the facts pertaining to all entries made in the accounts provided herein for income, profit and loss, and general balance sheet. Where the full information is not recorded in the general books, the entries therein shall be supported by other records in which the full details shall be shown. Such general book entries shall contain sufficient reference to the detail records to permit ready identification, and the detail records shall be filed in such manner as to be readily accessible for examination by representatives of the Interstate Commerce Commission.

§ 10.05–1 *General ledger accounts.* When the title and definition of an income, profit and loss, or general balance-sheet account clearly indicate that it is a summary of other accounts, it is not required that a special ledger account shall be kept under such a title to include the balances from the accounts usually kept in the ledger, but in such case the titles of the subaccounts in the ledger shall give references by numbers, titles, or both, to the income, profit and loss, or general balance-sheet account prescribed herein of which they are subdivisions.

§ 10.05–2 *Leased road and equipment; depreciation.* The carrier shall include in operating expenses charges for depreciation on road property and equipment used but not owned the rent for which is includible in account 542, "Rent for leased roads and equipment," and shall maintain the same records of service lives, salvage values, etc., as provided for owned road property and equipment. The amount currently to be charged to account 542, "Rent for leased roads and equipment," is the excess of the total compensation over the amount chargeable by the carrier to the depreciation accounts in operating expenses. If settlement between the carrier and the lessor is not currently made, the amount of the depreciation accrued during the period of the lease shall be credited by the carrier to account 779, "Accrued depreciation—Leased property." The necessary adjustments of the difference between the balance thus accrued in that account and the actual amount of settlement shall appropriately be made through account 607, "Miscellaneous credits," or account 621, "Miscellaneous debits," at the time settlement for depreciation on the property is made with the lessor.

The carrier shall not include in the depreciation account in operating expenses any charges for depreciation of equipment used but not owned when the rents therefor are included in the rent for equipment and joint facility rent accounts 503 to 508 and 536 to 541, inclusive.

§ 10.05–3 *Closing general ledger.* Accounts shall be written up, posted to the general ledger and balanced monthly. The final entries for any month shall be made not later than 60 days after the last day of the month for which the accounts are stated, except that the period within which the final entries for the month of December shall be made may be extended to such date in the following March as shall not interfere with the preparation and filing of annual reports as required by paragraph 2 of section 20 of the Interstate Commerce Act.

INCOME

§ 10.06 *Special instructions.*

§ 10.06–1 *Income accounts defined.* Income accounts are those designed to show, as nearly as practicable, for each fiscal period, the total amount of money that a carrier becomes entitled to receive for services rendered, the returns accrued upon investments, the accrued costs paid or payable for the services rendered by it, the losses sustained by it, the amounts accrued for taxes, for use of moneys and for use of properties of others, and the appropriations made from income during the period. The net balance of income (or loss) shall be carried to profit and loss.

§ 10.06–2 *Delayed items.* The carrier shall account for delayed items and adjustments and cancellation of entries recorded in balance-sheet accounts relating to income of former years in accordance with the instructions contained in § 10.02–3 *Delayed items.*

§ 10.06–3 *Unaudited items.* When the amount of any item affecting income cannot be accurately determined in time for inclusion in the accounts of the month in which the transaction occurs, the amount of the item shall be estimated and in such form included in the proper income account with contra entry to the appropriate balance-sheet account. When the item is audited the necessary adjustments shall be made through the accounts in which the estimate was recorded. If, during the interval between the date of inclusion of the item in the accounts and the date on which it is audited, a substantial difference from the initial estimate is determined, appropriate adjustments shall be made in the current accounts to cover such difference. The carrier is not required to anticipate items which would not appreciably affect the accounts.

INCOME ACCOUNTS

CREDIT

§ 10.501 *Railway operating revenues.* This account shall include the total revenues derived from operations as shown in the primary revenue accounts provided in this part.

§ 10.502 *Revenues from miscellaneous operations.* This account shall include the total revenues derived from the operation of miscellaneous operating physical property, such as that the cost of which is includible in balance-sheet account 705, "Miscellaneous physical property."

NOTE: The income from miscellaneous nonoperating physical property shall be included in account 511, "Income from nonoperating property."

§ 10.503 *Hire of freight cars; credit balance.* This account shall include, except as provided in the texts of accounts 509, "Income from lease of road and equipment," and 542, "Rent for leased roads and equipment," the net credit balance of (a) amounts receivable accrued for the use of the accounting company's freight cars leased or interchanged, and (b) amounts payable

accrued for the use of the freight cars of others, leased or interchanged. (See § 10.05–2 *Leased road and equipment; depreciation.*)

NOTE A: If the net balance is a debit, it shall be included in account 536, "Hire of freight cars—Debit balance."

NOTE B: Rent for freight cars included in the lease of road to another company shall be included in account 509, "Income from lease of road and equipment."

NOTE C: Rents paid for freight cars used in construction work-train service are chargeable to the cost of the work. (See paragraph (c) of § 10.01–4 *Cost of construction.*)

§ 10.504 *Rent from locomotives.* This account shall include, except as provided in the text of account 509, "Income from lease of road and equipment," amounts receivable accrued as rent for the use of the accounting company's locomotives leased or interchanged. (See Note C to account 717, "Interest and dividends receivable.")

NOTE: Rent for locomotives included in lease of road to another company shall be included in account 509, "Income from lease of road and equipment."

§ 10.505 *Rent from passenger-train cars.* This account shall include, except as provided in the text of account 509, "Income from lease of road and equipment," amounts receivable accrued as rent for the use of the accounting company's passenger-train cars leased or interchanged. (See Note C, to account 717, "Interest and dividends receivable.")

NOTE: Rent for passenger-train cars included in lease of road to another company shall be included in account 509, "Income from lease of road and equipment."

§ 10.506 *Rent from floating equipment.* This account shall include, except as provided in the text of account 509, "Income from lease of road and equipment," amounts receivable accrued as rent for the use of the accounting company's floating equipment leased or chartered. (See Note C to account 717, "Interest and dividends receivable.")

NOTE: Rent from floating equipment included in lease of road to another company shall be included in account 509, "Income from lease of road and equipment."

§ 10.507 *Rent from work equipment.* This account shall include, except as provided in the text of account 509, "Income from lease of road and equipment," amounts receivable accrued as rent for the use of the accounting company's work equipment leased or interchanged. (See Note C to account 717, "Interest and dividends receivable.")

NOTE: Rent for work equipment included in lease of road to another company shall be included in account 509, "Income from lease of road and equipment."

§ 10.508 *Joint facility rent income.* This account shall include amounts receivable accrued for rent of equipment, tracks, yards, terminals, and other facilities owned or controlled by the accounting company and used jointly with other companies or individuals.

Amounts receivable from other companies in reimbursement for taxes on property jointly used shall be credited to this account.

NOTE: The portion of the cost of maintenance, operation, or administration of joint facilities recoverable from others shall be credited to the various joint facility accounts provided for operating expenses. When the compensation for the use of joint facilities is a fixed amount or is based upon a charge per passenger, ton, car, or other unit, it shall be fairly apportioned by the creditor between this account and the appropriate joint facility operating expense accounts.

§ 10.509 *Income from lease of road and equipment.* This account shall include the entire amount receivable accrued for the exclusive use of road, tracks, or bridges (including equipment or other railway property covered by the contract) the rented property being owned or controlled by the accounting company, whether payable to the accounting company in cash or disbursed by the lessee on behalf of the accounting company as interest on funded debt, guaranteed dividends on stock, or otherwise. (See Note C to account 717, "Interest and dividends receivable.")

When the lessor company maintains the road and equipment leased, the cost of maintaining the property rented shall be charged to this account, except that when the rent thus receivable for the use of property other than equipment is relatively small and the expense of maintenance is not separable, the entire amount received may be credited to revenue account 142, "Rents of buildings and other property."

If, under the terms of a lease, the deficit, or any portion of it, resulting from the lessee company's operations of the property leased is payable by the lessor company, the amount thus payable shall be charged to this account by the lessor.

NOTE A: When taxes on leased property are assumed by the lessor, the accruals of such taxes shall be included in the lessor's account 532, "Railway tax accruals."

NOTE B: If property the rent of which is chargeable to account 542, "Rent for leased roads and equipment," is sublet by the accounting company, the rent receivable therefor shall be credited to this account.

NOTE C: When specific charges against the lessee are made by the lessor for repairs of equipment which is actually maintained by it the amount of such charges shall be appropriately credited by the lessor to its equipment repair accounts and charged by the lessee to the corresponding accounts.

§ 10.510 *Miscellaneous rent income.* This account shall include such rents of property owned and controlled by the accounting carrier as are not provided for in the foregoing accounts.

To this account shall be charged the cost of maintenance of the property rented, also specific incidental expenses in connection with such property, such as the cost of negotiating contracts, advertising for tenants, fees paid conveyancers, collectors' commissions, and analogous items.

NOTE A: If property the rent of which is chargeable to account 543, "Miscellaneous rents," is sublet by the accounting company, the rent receivable therefor shall be credited to this account.

NOTE B: Taxes on property the rent of which is creditable to this account shall be charged to account 532, "Railway tax accruals."

NOTE C: The rent from property carried in balance-sheet account 705, "Miscellaneous physical property," shall not be included in this account, but in account 511, "Income from nonoperating property."

NOTE D: Rent and other income from real estate acquired for new lines or for additions and betterments shall be credited to the appropriate road and equipment accounts until the completion or coming into service of the property.

§ 10.511 *Income from nonoperating property.* This account shall include the net credit balance of the nonoperating revenues or income from, and the expenses (including depreciation, but excluding taxes) of, physical property the cost of which is carried in balance-sheet account 705, "Miscellaneous physical property."

NOTE A: Net debit balances in this account shall be shown in red ink.

NOTE B: The revenues from the operation of miscellaneous operating physical property shall be included in income account 502, "Revenues from miscellaneous operations," and the expenses of operation shall be included in account 534, "Expenses of miscellaneous operations."

§ 10.512 *Separately operated properties; profit.* This account shall include amounts receivable under the terms of agreements or contracts whereby the surplus resulting from the operation by others of properties of other companies having a separate corporate existence is to be paid, in whole or in part, to the accounting company.

In determining the amount receivable by the accounting company, consideration shall be given not only to the operating revenues and operating expenses but also to other items of income or deduction which affect that amount.

NOTE A: The amount payable by the operating company shall be charged by it to account 550, "Income transferred to other companies."

NOTE B: Dividends or other returns upon securities issued by separately operated companies, and held or controlled by the accounting company, shall be included in accounts 513, "Dividend income"; 514, "Interest income"; or 516, "Income from sinking and other reserve funds," as may be appropriate.

§ 10.513 *Dividend income.* This account shall include dividends declared on railway and other stocks, the income from which is the property of the accounting company, whether such stocks are owned by the accounting company and held in its treasury or deposited in trust, or are controlled through lease or otherwise.

Dividends declared shall not be credited prior to actual collection unless their payment is reasonably assured by past experience, guaranty, anticipated provision, or otherwise. (See Note C to account 717, "Interest and dividends receivable.")

Accruals of guaranteed dividends may be included in this account if their payment is reasonably assured.

NOTE A: This account shall not include credits for dividends on stocks issued or assumed by the accounting company and owned by it, whether pledged as collateral or held in its treasury, in special deposits, or in sinking or other reserve funds.

NOTE B: Dividends on stocks of other companies held in sinking or other reserve funds shall be credited to account 516, "Income from sinking and other reserve funds."

§ 10.514 *Interest income.* This account shall include the interest on securities and debenture stock of other companies, the income from which is the property of the accounting company, whether such securities are owned by the accounting company and held in its treasury or deposited in trust, or are controlled through lease or otherwise.

It shall include also, interest on notes and other evidences of indebtedness and interest on bank balances, open accounts, and other analogous items, including discount on short-term notes. Interest accrued shall not be credited prior to actual collection unless its payment is reasonably assured by past experience, guaranty, anticipated provision, or otherwise. (See Note C to account 717, "Interest and dividends receivable.")

At the option of the accounting company there may be included each year in this account the portion, applicable to the fiscal period, of the amount requisite to extinguish, during the interval between the date of acquisition and the date of maturity, the discount or premium on securities of other companies owned (other than short-term notes). Amounts thus credited or charged shall be concurrently charged or credited to the account in which the cost of the securities is carried. The discount on short-term notes shall be distributed through equal monthly credits, over the terms of the notes.

NOTE A: This account shall not include interest on securities issued or assumed by the accounting company and owned by it, whether pledged as collateral or held in its treasury, in special deposits, or in sinking or other reserve funds.

NOTE B: Interest on securities other than those of the accounting company, and on other assets held in sinking or other reserve funds shall be included in account 516, "Income from sinking and other reserve funds."

NOTE C: Discount on bills for material purchased shall be credited to the accounts to which is charged the cost of the material with respect to which the discount is allowed.

§ 10.516 *Income from sinking and other reserve funds.* This account shall include the income accrued on cash, securities, and other assets (not including securities issued or assumed by the accounting company) held in sinking and other reserve funds. (See Note C to account 717, "Interest and dividends receivable.")

At the option of the accounting company there may be included each year in this account the portion, applicable to the fiscal period, of the amount requisite to extinguish, during the interval between the date of acquisition and the date of maturity, the discount or premium on funded securities held in sinking or other reserve funds. Amounts thus credited or charged shall be concurrently charged or credited to the account in which the cost of the securities is carried.

NOTE: Credits to fund reserve accounts representing income on reserve funds shall be concurrently charged to account 552, "Income applied to sinking and other reserve funds."

§ 10.517 *Release of premiums on funded debt.* This account shall include, during each fiscal period, such proportion of the premiums on outstanding funded debt as may be applicable to the period. This proportion shall be determined in accordance with § 10.08–3 *Discount, expense, and premium on funded debt.*

§ 10.518 *Contributions from other companies.* This account shall include amounts received or receivable from other companies or individuals, representing the whole or a part of the net deficit of the accounting company when, under the terms of agreements or contracts, no obligation for subsequent reimbursement is incurred.

In determining the amount receivable by the accounting company, consideration shall be given not only to the operating revenues and operating expenses, but also to other items of income or deduction which affect that amount.

NOTE: The amount payable shall be charged by the contributing company to account 545, "Separately operated properties—Loss."

§ 10.519 *Miscellaneous income.* This account shall include all items, not provided for elsewhere, properly creditable to income account during the fiscal period.

§ 10.520 *Delayed income credits.* This account shall include delayed credit items and adjustments for which no provision has previously been made, relating to operating revenues, operating expenses, and income arising during the current year which are applicable to prior years and which are relatively so large that their inclusion in the appropriate accounts of the current year would seriously distort the accounts for the year. (See § 10.02–3 *Delayed items.*)

NOTE: All entries in this account shall be made in such detail as will indicate the operating-revenue, operating-expense or income accounts to which they relate.

DEBIT

§ 10.531 *Railway operating expenses.* This account shall include the total expenses caused by operations, as shown in the primary expense accounts provided in these regulations.

§ 10.532 *Railway tax accruals.* This account shall include accruals for taxes of all kinds (including Federal income tax) relating to railway property (including floating equipment, if any), operations, and privileges, whether based upon the valuation of the property, amount of stocks and bonds or other evidences of debt issued or outstanding; gross or net earnings, dividends declared, number of passengers carried, quantity of freight transported, length of line operated or owned, rolling stock operated or owned, or other basis; also taxes for issuing and recording mortgages and trust deeds and for issuing bonds or other evidences of long-term debt.

The taxes on leased property shall be included in this account by the carrier obligated to assume such expenses under the terms of the lease.

NOTE A: Taxes on leased property paid by one party to the lease and chargeable to the other party to the lease shall be charged directly to the party bearing the expense and not included in the income account of the party first making payment.

NOTE B: Taxes on other than railway property, operations, and privileges shall be charged to account 544, "Miscellaneous tax accruals," when the amount is separable from the taxes chargeable to this account.

NOTE C: Special assessments for street and other improvements, and special benefit taxes, such as water taxes and the like, shall be included in operating expense accounts or investment accounts, as may be appropriate.

NOTE D: Amounts received in reimbursement of taxes on property jointly used shall be credited to account 508, "Joint facility rent income." Amounts paid in reimbursement of such taxes shall be charged to account 541, "Joint facility rents."

NOTE E: Taxes accruing on new lines under construction or on property acquired for the extension of existing lines or for addition or betterment purposes before the facilities are opened for commercial operation or the property acquired becomes available for service shall be charged to road and equipment accounts.

§ 10.534 *Expenses of miscellaneous operations.* This account shall include the total expenses caused by the operation of miscellaneous physical property the cost of which is includible in balance-sheet account 705, "Miscellaneous physical property."

NOTE: The expenses of miscellaneous nonoperating physical property shall be included in account 511, "Income from nonoperating property."

§ 10.535 *Taxes on miscellaneous operating property.* This account shall include accruals of taxes paid or payable upon miscellaneous operating property, such as that the cost of which is includible in account 705, "Miscellaneous physical property."

NOTE: Taxes upon miscellaneous nonoperating physical property shall be included in account 544, "Miscellaneous tax accruals."

§ 10.536 *Hire of freight cars; debit balance.* This account shall include, except as provided for in the classification for investment in road and equipment and in the texts of accounts 509, "Income from lease of road and equipment," and 542, "Rent for leased roads and equipment," the net debit balance of (a) amounts receivable accrued for the use of the accounting company's freight cars leased or interchanged, and (b) amounts payable accrued for the use of the freight cars of others, leased or interchanged. (See § 10.05–2 *Leased road and equipment; depreciation.*)

NOTE A: If the net balance is a credit, it shall be included in account 503, "Hire of freight cars—Credit balance."

NOTE B: Rent for freight cars included in the lease of road to the accounting company shall be included in account 542, "Rent for leased roads and equipment."

NOTE C: Interest accrued on equipment obligations shall be charged to account 546, "Interest on funded debt."

NOTE D: Rents paid for freight cars used in construction work-train service are chargeable to the cost of the work. (See paragraph (c) of § 10.01–4 *Cost of construction.*)

§ 10.537 *Rent for locomotives.* This account shall include amounts payable accrued for the use of the locomotives of others, leased or interchanged, except as provided for in the classification for investment in road and equipment and in the text of account 542, "Rent for leased roads and equipment." (See § 10.05–2

Leased road and equipment; depreciation.)

NOTE A: The rent for locomotives included in the lease of road to the accounting company shall be included in account 542, "Rent for leased roads and equipment."

NOTE B: Interest accrued on equipment obligations shall be charged to account 546, "Interest on funded debt."

NOTE C: Rent paid for locomotives used in construction work-train service is chargeable to the cost of the work. (See paragraph (c) of § 10.01–4 *Cost of construction.*)

§ 10.538 *Rent for passenger-train cars.* This account shall include amounts payable accrued for the use of the passenger-train cars of others, leased or interchanged, except as provided for in the classification for investment in road and equipment and in the text of account 542, "Rent for leased roads and equipment." (See § 10.05–2 *Leased road and equipment; depreciation.*)

NOTE A: The rent for passenger-train cars included in the lease of road to the accounting company shall be included in account 542, "Rent for leased roads and equipment."

NOTE B: Interest accrued on equipment obligations shall be charged to account 546, "Interest on funded debt."

§ 10.539 *Rent for floating equipment.* This account shall include amounts payable accrued for the use of the floating equipment of others, leased or chartered, except as provided for in the classification for investment in road and equipment and in the text of account 542, "Rent for leased roads and equipment." (See § 10.05–2 *Leased road and equipment; depreciation.*)

NOTE A: The rent of floating equipment included in the lease of road to the accounting company shall be included in account 542, "Rent for leased roads and equipment."

NOTE B: Interest accrued on equipment obligations shall be charged to account 546, "Interest on funded debt."

§ 10.540 *Rent for work equipment.* This account shall include amounts payable accrued for the use of the work equipment of others, leased or interchanged, except as provided for in the classification for investment in road and equipment and in the text of account 542, "Rent for leased roads and equipment." (See § 10.05–2 *Leased road and equipment; depreciation.*)

NOTE A: The rent for work equipment included in the lease of road to the accounting company shall be included in account 542, "Rent for leased roads and equipment."

NOTE B: Interest accrued on equipment obligations shall be charged to account 546, "Interest on funded debt."

NOTE C: Rent paid for work equipment when used in construction work-train service is chargeable to the cost of the work. (See paragraph (c) of § 10.01–4 *Cost of construction.*)

§ 10.541 *Joint facility rents.* This account shall include amounts payable accrued as rent for equipment, tracks, yards, terminals, and other facilities owned or controlled by other carriers, companies, or individuals, and in the joint use of which the accounting company participates.

Amounts paid or payable by the accounting company in reimbursement for taxes on property jointly used shall be charged to this account.

NOTE: The cost of maintenance, operation, or administration of joint facilities, chargeable to the accounting company, shall be charged to the various joint facility accounts provided for operating expenses. When the compensation for the use of joint facilities is a fixed amount or is based upon a charge per passenger, ton, car, or other unit, it shall be fairly apportioned between this account and the appropriate joint facility operating expense accounts. This apportionment shall be made by the operating company, and shall be followed by the accounting company.

§ 10.542 *Rent for leased roads and equipment.* This account shall include amounts payable accrued as rent for roads, tracks, or bridges (including equipment or other railway property covered by the contract) the property being owned by other companies and held under lease or other agreement by the terms of which exclusive use and control for operating purposes are secured. The entire amount of rent payable by the lessee in accordance with the agreement shall be included in this account, whether paid to the lessor in cash or disbursed by the lessee, on behalf of the lessor, as interest on funded debt, guaranteed dividends on stock, or otherwise. (See § 10.05–2 *Leased road and equipment; depreciation.*)

NOTE A: When taxes on leased property are assumed by the lessee the accruals of such taxes shall be included in the lessee's account 532, "Railway tax accruals."

NOTE B: If, under the terms of a lease, the deficit or any portion of it resulting from the lessee's operation of the property leased is payable by the lessor company, the amount shall be charged to account 509, "Income from lease of road and equipment," by the lessor and credited to this account by the lessee.

NOTE C: If property, the rent of which is chargeable to this account, is sublet by the accounting company to others, the rent from the sublease shall be credited to account 509, "Income from lease of road and equipment."

NOTE D: Payments for the exclusive use of road and equipment maintained by the lessor and used in the accounting company's operations (when considerable in amount and when not provided for in the classifications of operating expenses) shall be divided into two portions: One, representing cost of maintenance shall be charged to the appropriate maintenance accounts and the other, representing rent (amount applicable to the investment in the property), shall be charged to this account.

NOTE E: When specific charges against the lessee are made by the lessor for repairs of equipment which is actually maintained by it the amount of such charges shall be appropriately credited by the lessor to its equipment repair accounts and charged by the lessee to the corresponding accounts.

§ 10.543 *Miscellaneous rents.* This account shall include rents payable accrued on property held by the accounting company under lease or other agreement and not properly chargeable to any of the foregoing accounts.

NOTE A: This account shall not include rents provided for in the operating expense accounts.

NOTE B: If property, the rent of which is chargeable to this account, is sublet by the accounting company to others, the rent from the sublease shall be credited to account 510, "Miscellaneous rent income."

NOTE C: Payments for the exclusive use of miscellaneous property maintained by the lessor and used by the accounting company shall be divided into two portions: One, representing the cost of maintenance, shall be charged to the appropriate operating accounts, and the other, representing rent (amount applicable to the investment in the property), shall be charged to this account. The bill rendered by the creditor shall show the distribution of the payments as between maintenance and rent, and such distribution shall be adhered to by the debtor.

§ 10.544 *Miscellaneous tax accruals.* This account shall include all accruals for taxes not provided for elsewhere, such as taxes on securities owned, taxes on income from securities owned, and taxes on miscellaneous nonoperating physical property the cost of which is includible in balance-sheet account 705, "Miscellaneous physical property."

NOTE A: When the proper separation of any particular tax is not ascertainable the entire amount shall be included in account 532, "Railway tax accruals."

NOTE B: Taxes upon miscellaneous operating property shall be charged to account 535, "Taxes on miscellaneous operating property."

§ 10.545 *Separately operated properties; loss.* This account shall include amounts payable under the terms of agreements or contracts whereby the deficit resulting from the operation by others of properties of other companies having a separate corporate existence is to be paid, in whole or in part, by the accounting company.

In determining the amount payable by the accounting company, consideration shall be given not only to the operating revenues and operating expenses, but also to other items of income or deductions which affect that amount.

NOTE A: The amount receivable by the operating company shall be credited by it to account 518, "Contributions from other companies."

NOTE B: Dividends or other returns upon securities issued by separately operated companies and held or controlled by the accounting company shall not be included in this account to offset a deficit payable, but in accounts 513, "Dividend income"; or 514, "Interest income," as may be appropriate.

§ 10.546 *Interest on funded debt.* This account shall include the current accruals of interest on all classes of long-term debt, the principal of which is includible in account 755, "Funded debt unmatured"; 755½, "Debt in default"; 756, "Receivers' and trustees' securities"; 756½, "Equipment obligations"; and 757, "Amounts payable to affiliated companies," also interest accruals on debenture stock. This account shall be kept in such form that the interest on debenture stock, on receivers' and trustees' securities, and on other classes of funded debt may be shown separately in the annual report to the Commission.

NOTE A: This account shall not include charges for interest on funded debt obligations issued or assumed by the accounting company and owned by it, whether pledged as collateral or held in its treasury, in special deposits, or in sinking or other reserve funds. (See account 552, "Income applied to sinking and other reserve funds.")

NOTE B: When funded debt is incurred for new lines or extensions, or for addition and betterment purposes, the accruals of interest on such funded debt (less interest received on unexpended balances), to the date of completion or coming into service of the property so acquired shall be included in the road and equipment accounts.

NOTE C: This account shall be maintained so as to show separately: (a) fixed interest

which will be paid, or for which provision for payment will be made, when the interest matures; (b) interest in default; and (c) contingent interest determined to be payable.

§ 10.547 *Interest on unfunded debt.* This account shall include interest accrued on unfunded debt, such as short-term notes payable on demand or having dates of maturity one year or less from dates of issue, and open accounts including discount and expense on demand and short-term loans, interest on receipts outstanding for installments paid on capital stock, interest on deferred payments for public improvements, and other analogous items. The discount on short-term notes, if of a considerable amount, shall be distributed through equal monthly charges, over the term of the notes.

NOTE: When short-term notes or other evidences of unfunded indebtedness are issued for new lines or extensions or for addition and betterment purposes the accrual of interest to the date of completion or coming into service of the property shall be included in the road and equipment accounts.

§ 10.548 *Amortization of discount on funded debt.* This account shall be charged during each fiscal period with the proportion of the discount and expense on funded debt obligations applicable to that period. This proportion shall be determined according to a rule the uniform application of which through the interval between the date of sale and the date of maturity will extinguish the discount and expense on funded debt. The charge to this account for any period must not be either greater or less than the proportion of the balance remaining unamortized applicable to that period so long as any portion of the discount and expense remains unextinguished, except that if the total discount and expense applicable to any particular issue of securities does not exceed $25,000, the entire amount may be charged to this account at time of issue. (See § 10.08–3 *Discount expense and premium on funded debt.*)

§ 10.549 *Maintenance of investment organization.* This account shall include the directly assignable organization and administration expenses of the accounting company which are incident to its investments in leased or nonoperating physical property, and in stocks, bonds, or other securities.

ITEMS OF EXPENSE

Advertising annual reports (lessor companies only).
Calls for bonds in accordance with sinking fund provisions of mortgages.
Directors' fees.
Printing and mailing dividend checks.
Publishing and mailing annual reports and other corporate statements to shareholders.
Publishing notices of declaration of dividends.
Law expenses.
Office expenses.
Salaries of officers, clerks, and attendants.
Stationery and printing.

NOTE: Organization and administration expenses incident to railway operation are provided for in operating expense general account 450, "General."

§ 10.550 *Income transferred to other companies.* This account shall include the whole or any portion of the income of the accounting company payable to another company under the terms of agreements or contracts without obligation for reimbursement.

In determining the amount payable by the accounting company, consideration shall be given not only to operating revenues and operating expenses, but also to other items of income or deduction which affect that amount.

NOTE A: The amount receivable by the other company shall be credited by it to account 512, "Separately operated properties—Profit."

NOTE B: Dividends or other payments upon securities issued or assumed by the accounting company shall not be included in this account.

§ 10.551 *Miscellaneous income charges.* This account shall include interest charges not provided for elsewhere, such as interest on tax deficiencies, overcharge claims, and court awards; also income tax upon the interest on the accounting company's funded debt when assumed by it; and other income deductions not provided for elsewhere.

§ 10.552 *Income applied to sinking and other reserve funds.* This account shall include amounts applied to sinking and other reserve funds from income, whether definite appropriations from income; allotments or payments of definite amounts from income under the terms of mortgages, deeds of trust, or other contracts that provide for such allotments or payments; or accretions representing interest or other returns accrued on the contents of such funds and required to be retained therein.

NOTE A: The amounts charged to this account shall be concurrently credited to account 785, "Earned surplus—Appropriated."

NOTE B: Similar appropriations made from surplus shall be charged to profit and loss account 613, "Surplus applied to sinking and other reserve funds."

§ 10.553 *Dividend appropriations of income.* This account shall include amounts definitely declared payable from the income of the fiscal period, as dividends on actually outstanding capital stock issued or assumed by the accounting company, other than debenture stock. (See definition of the several classes of capital stock in balance-sheet account 751, "Capital stock.") If a dividend is not payable in cash the consideration shall be described in the entry with sufficient particularity to identify it.

This account shall be subdivided so as to show separately the dividends on the various subclasses of capital stock.

NOTE A: Interest accrued on debenture stock shall be charged to account 546, "Interest on funded debt."

NOTE B: This account shall not include charges for dividends on capital stock issued or assumed by the accounting company and owned by it, whether pledged as collateral, or held in its treasury, in special deposits, or in sinking or other reserve funds. (See account 552, "Income applied to sinking and other reserve funds.")

NOTE C: This account shall be used when the appropriations are definitely made chargeable to income. Similar appropriations made from surplus shall be charged to profit and loss account 614, "Dividend appropriations of surplus."

§ 10.554 *Income appropriated for investment in physical property.* This account shall include amounts definitely appropriated from income to be applied for the construction or acquisition of new lines and extensions and of additions to and betterments of property the cost of which is chargeable to road and equipment accounts or applied for the construction or acquisition of property the cost of which is includible in balance-sheet account 705, "Miscellaneous physical property."

Records of the accounting carrier shall be so kept that the appropriations charged to this account for any fiscal period may be distinguished as relating to (a) amounts expended during preceding fiscal periods, (b) amounts expended during the current fiscal period, and (c) amounts held in reserve.

The records shall also show separately appropriations for investment in road and equipment and for investment in miscellaneous physical property.

NOTE A: Similar appropriations made from surplus shall be charged to profit and loss account 615, "Surplus appropriated for investment in physical property."

NOTE B: The amounts charged to this account shall be concurrently credited to account 785, "Earned surplus—Appropriated."

§ 10.555 *Stock discount extinguished through income.* This account shall include amounts definitely appropriated from income to reduce or extinguish the amount of discount on capital stock issued by the accounting company. (See balance-sheet account 754, "Discount on capital stock.")

NOTE: Similar appropriations made from surplus shall be charged to profit and loss account 616, "Stock discount extinguished through surplus."

§ 10.556 *Miscellaneous appropriations of income.* Except as provided in account 552, "Income applied to sinking and other reserve funds," this account shall include amounts definitely appropriated from income for the discharge of the principal (less the discount, if any, suffered at the time of sale) of any indebtedness incurred in the acquisition or improvement of property carried in the road and equipment accounts; also amounts similarly appropriated to provide a reserve for doubtful accounts, and for other purposes not provided for elsewhere.

NOTE A: Similar appropriations made from surplus shall be charged to profit and loss account 618, "Miscellaneous appropriations of surplus."

NOTE B: The amounts charged to this account shall be concurrently credited to account 785, "Earned surplus—Appropriated."

§ 10.557 *Delayed income debits.* This account shall include delayed debit items and adjustments for which no provision has previously been made, relating to operating revenues, operating expenses, and income arising during the current year which are applicable to prior years, and which are relatively so large that their inclusion in the appropriate accounts of the current year would seriously distort the accounts for the year. (See § 10.02–3 *Delayed items.*)

NOTE: All entries in this account shall be made in such detail as will indicate the operating-revenue, operating-expense or income accounts to which they relate.

§ 10.560 *Form of income statement.* The classified form of income statement is designed to show the financial changes resulting from transportation operations and other business of the accounting company during any specified period.

OPERATING INCOME

Railway operating income

501. Railway operating revenues [1] —
531. Railway operating expenses [1] —
Net revenue from railway operations [2] —
532. Railway tax accruals [1] —
Railway operating income [2] —

Rent income

503. Hire of freight cars—Credit balance —
504. Rent from locomotives —
505. Rent from passenger-train cars —
506. Rent from floating equipment —
507. Rent from work equipment —
508. Joint facility rent income —
Total rent income —

Rents payable

536. Hire of freight cars—Debit balance —
537. Rent for locomotives —
538. Rent for passenger-train cars —
539. Rent for floating equipment —
540. Rent for work equipment —
541. Joint facility rents —
Total rents payable —
Net rents [2] —
Net railway operating income [2] —

OTHER INCOME

502. Revenues from miscellaneous operations —
509. Income from lease of road and equipment —
510. Miscellaneous rent income —
511. Income from nonoperating property —
512. Separately operated properties—Profit —
513. Dividend income —
514. Interest income —
516. Income from sinking and other reserve funds —
517. Release of premiums on funded debt —
518. Contributions from other companies —
519. Miscellaneous income —
520. Delayed income credits —
Total other income —
Total income [2] —

MISCELLANEOUS DEDUCTIONS FROM INCOME

534. Expenses of miscellaneous operations —
535. Taxes on miscellaneous operating property —
543. Miscellaneous rents —
544. Miscellaneous tax accruals —
545. Separately operated properties—Loss —
549. Maintenance of investment organization —
550. Income transferred to other companies —
551. Miscellaneous income charges —
557. Delayed income debits —
Total miscellaneous deductions —
Income available for fixed charges [2] —

FIXED CHARGES

542. Rent for leased roads and equipment —
546. Interest on funded debt:
(a) Fixed interest not in default —
(b) Interest in default —
547. Interest on unfunded debt —
548. Amortization of discount on funded debt —
Total fixed charges —
Income after fixed charges [2] —

OTHER DEDUCTIONS

546. Interest on funded debt:
(c) Contingent interest —
552. Income applied to sinking and other reserve funds:
(a) Increments to special funds required to be retained therein and not subject to withdrawal except for purposes of the funds —
Total other deductions —
Net income after fixed charges and other deductions [2] —

DISPOSITION OF NET INCOME

552. Income applied to sinking and other reserve funds:
(b) Income applied to capital funds under Governmental authority or other arrangements —
(c) Appropriations, allotments, and payments from income of definite amounts to special funds not includible in 552 (a) or 552 (b) —
553. Dividend appropriations of income —
554. Income appropriated for investment in physical property —
555. Stock discount extinguished through income —
556. Miscellaneous appropriations of income —
Total appropriations of income —
602. Balance of income transferred to Earned Surplus [2] —

SUPPLEMENTARY STATEMENT OF SPECIFIED INCOME ITEMS

Net railway operating income —
Add depreciation—Way and structures [3] —
Add depreciation—Equipment — —
Add amortization of defense projects—Road — —
Add amortization of defense projects—Equipment — —
Net railway operating income before depreciation and amortization of defense projects —
Net income —
Add Federal income taxes —
Net income before Federal income taxes —
Net income —
Add depreciation—Way and structures —
Add depreciation—Equipment —
Add amortization of defense projects—Road — —
Add amortization of defense projects—Equipment — —
Add Federal income taxes — —
Net income before depreciation, amortization of defense projects, and Federal income taxes —

[1] Includes operations of water lines, if any.
[2] If a loss the amount shall be shown in red.

PROFIT AND LOSS

§ 10.07 *Special instructions.* This group of accounts forms the connecting link between the income accounts and general balance sheet account 786, "Earned surplus — Unappropriated." They are designed to show the changes in earned surplus during each fiscal period as affected by the balance of the income accounts as reported for the period; by any disposition of earned surplus made at the option of the carrier; and by miscellaneous gains and losses not accounted for elsewhere.

PROFIT AND LOSS ACCOUNTS

CREDIT

§ 10.601 *Credit balance (at beginning of calendar year).* This account shall include the net credit balance in the earned surplus account at the beginning of the calendar year.

§ 10.602 *Credit balance transferred from income.* This account shall show the net credit balance brought forward from the income account for the calendar year.

§ 10.607 *Miscellaneous credits.* This account shall include amounts, not provided for elsewhere, transferred from other accounts to profit and loss, and amounts representing increases of resources not properly assignable to the income accounts. Among the items which shall be included in this account are:

Adjustments or cancellations of balance-sheet accounts, relating to profit and loss accounts,

Cancellation of balance-sheet accounts representing unclaimed wages and vouchered accounts written off because of carrier's inability to locate the creditor.

Profit from the sale of land carried in account 701, "Road and equipment property" (see § 10.01–10 *Land retired*),

Profit derived from the sale of investment securities,

Profit derived from the sale of property carried in balance-sheet account 705, "Miscellaneous physical property,"

Credits resulting from adjustments required to bring to par funded debt securities issued or assumed by the accounting company and reacquired at a cost less than the par value,

Unreleased premiums on funded debt reacquired before maturity (see § 10.03–3 *Discount, expense, and premium on funded debt*).

Collection of old accounts previously written off to profit and loss.

DEBIT

§ 10.611 *Debit balance (at beginning of calendar year).* This account shall include the net debit balance in the earned surplus account at the beginning of the calendar year.

§ 10.612 *Debit balance transferred from income.* This account shall show the net debit balance brought forward from the income account for the calendar year.

§ 10.613 *Surplus applied to sinking and other reserve funds.* This account shall include amounts definitely appropriated from earned surplus and applied to sinking and other reserve funds; and allotments or payments of definite amounts from earned surplus into sinking and other reserve funds under the

terms of mortgages, deeds of trust, or other contracts that provide for such allotments or payments.

NOTE A: The amounts charged to this account shall be concurrently credited to account 785, "Earned surplus—Appropriated."

NOTE B: Similiar appropriations made from income shall be charged to income account 552, "Income applied to sinking and other reserve funds."

§ 10.614 *Dividend appropriations of surplus.* This account shall include amounts definitely declared payable from earned surplus as dividends on actually outstanding capital stock issued or assumed by the accounting company, other than debenture stock. (See definition of the several classes of capital stock in balance-sheet account 751, "Capital stock.") If a dividend is not payable in cash the consideration shall be described in the entry with sufficient particularity to identify it.

This account shall be subdivided so as to show separately the dividends on the various subclasses of capital stock.

NOTE A: Interest accrued on debenture stock shall be charged to income account 546, "Interest on funded debt."

NOTE B: This account shall not include charges for dividends on capital stock issued or assumed by the accounting company and owned by it, whether pledged as collateral or held in its treasury, in special deposits, or in sinking or other reserve funds. (See account 613, "Surplus applied to sinking and other reserve funds.")

NOTE C: Similar appropriations made from income shall be charged to income account 553, "Dividend appropriations of income."

§ 10.615 *Surplus appropriated for investment in physical property.* This account shall include amounts definitely appropriated from earned surplus, to be applied for the construction or acquisition of new lines and extensions and of additions to and betterments of property the cost of which is includible in the road and equipment accounts or applied for the construction, acquisition, or improvement of property the cost of which is includible in balance-sheet account 705, "Miscellaneous physical property."

Records of the accounting carrier shall be so kept that the appropriations charged to this account for any fiscal period may be distinguished as relating to (a) amounts expended during preceding fiscal periods, (b) amounts expended during the current fiscal period, and (c) amounts held in reserve.

NOTE A: Similar appropriations made from income shall be charged to income account 554, "Income appropriated for investment in physical property."

NOTE B: The amounts charged to this account shall be concurrently credited to account 785, "Earned surplus—Appropriated."

§ 10.616 *Stock discount extinguished through surplus.* This account shall include amounts definitely appropriated from earned surplus to reduce or extinguish the amount of discount on capital stock issued by the accounting company. (See § 10.08–2 *Discount, premium, and assessment on capital stock.*)

NOTE: Similar appropriations made from income shall be charged to income account 555, "Stock discount extinguished through income."

§ 10.618 *Miscellaneous appropriations of surplus.* This account shall include amounts definitely appropriated from earned surplus to provide a reserve for doubtful accounts and, except as provided in account 613, "Surplus applied to sinking and other reserve funds," for the discharge of the principal (less the discount, if any, suffered at the time of sale) of any indebtedness incurred in the acquisition or improvement of property carried in the road and equipment accounts; also other amounts appropriated from surplus and not provided for elsewhere.

NOTE A: Similar appropriations made from income shall be charged to income account 556, "Miscellaneous appropriations of income."

NOTE B: The amounts charged to this account shall be concurrently credited to account 785, "Earned surplus—Appropriated."

§ 10.621 *Miscellaneous debits.* This account shall include amounts, not provided for elsewhere, chargeable to profit and loss from other accounts, amounts written off in consequence of adjustments, and payments not properly chargeable to the income accounts. Among the items which shall be charged to this account are:

Adjustments or cancellations of balance-sheet accounts, relating to profit and loss accounts,

Losses resulting from the sale of investment securities,

Losses resulting from the sale, destruction, or abandonment of property carried in balance-sheet account 705, "Miscellaneous physical property,"

Debits resulting from adjustments required to bring to par funded debt securities issued or assumed by the accounting company and reacquired at a cost exceeding the par value,

Adjustments of the difference between the ledger value of land credited to account 701, "Road and equipment property," and the estimated value thereof charged to account 705, "Miscellaneous physical property" (see § 10.01–10 *Land retired*),

Loss from the sale of land carried in account 701, "Road and equipment property" (see § 10.01–10 *Land retired*),

Discount on capital stock remaining unextinguished at the time of its reacquisition, resale, or retirement if in excess of the pro rata portion includible in unearned surplus,

Unextinguished discounts on funded debt reacquired before maturity,

Payments of old accounts previously written off to profit and loss,

Penalties and fines for violation of the Interstate Commerce Act, or other Federal laws, when not specifically provided for elsewhere.

GENERAL BALANCE SHEET

§ 10.08 *Special instructions.*

§ 10.08–1 *Balance sheet accounts.* Balance sheet accounts are intended to disclose the financial condition of the carrier as of a given date by showing the assets, liabilities, capital stock, and related items and surplus or deficit of the carrier.

§ 10.08–2 *Discount, premium, and assessment on capital stock.* Separate ledger accounts shall be provided for each subclass of capital stock issued or assumed by the accounting company to cover discount suffered and premium realized at the sale or resale of capital stock. General levies or assessments against stockholders shall be credited to the appropriate ledger accounts for the subclass of capital stock against which the levy or assessment is made.

The total of net debit balances in these ledger accounts shall be included in account 754, "Discount on capital stock," and the total of net credit balances in account 753, "Premiums and assessments on capital stock."

By the term "discount" is meant the excess of the par value of stocks issued or assumed, plus dividends declared and accrued at the date of sale, over the money value of the consideration received at their sale.

By the term "premium" is meant the excess of the money value of the consideration received at the sale of stocks over the sum of their par value and dividends declared and accrued at the date of sale.

Discount on each subclass of capital stock may be offset or reduced by charges to account 753, "Premiums and assessments on capital stock," to the extent that net gains from premiums or assessments have been included therein or to subaccount 784.1, "Paid-in surplus," to the extent that net gains from reacquisition and resale or retirement of capital stock applicable to such subclass have been included therein. Any remaining discount may be amortized by charges to account 555, "Stock discount extinguished through income"; account 616, "Stock discount extinguished through surplus"; or discount may be retained and carried in account 754, "Discount on capital stock," until the stock to which the discount applies is retired.

In case the accounting company is permitted and elects with the approval of the Commission, to distribute all or any part of the net balance of paid-in surplus to its stockholders, the amount thus distributed shall be charged to subaccount 784.1, "Paid-in surplus."

When an issue of capital stock, or any part thereof, is reacquired either by purchase or through donations by shareholders, and is not canceled, it shall be charged at its par value or if stock without par value at the proportionate amount at which the particular class of stock is included in account 751, "Capital stock," account 703, "Sinking funds"; 704, "Capital and other reserve funds"; 721, "Insurance and other funds"; 728, "Securities issued or assumed—Unpledged"; or 729, "Securities issued or assumed—Pledged," as may be appropriate.

The difference between the amount at which such reacquired stock was recorded in account 751, "Capital stock," and the amount paid by the accounting company for such stock, including any premium or discount applicable to such subclass carried in account 753, "Premiums and assessment on capital stock," or in account 754, "Discount on capital stock," and the commissions and expense in connection with its reacquisition shall be included in subaccount 784.1, "Paid-in surplus"; *Provided, however,* That the excess of a debit

over the amount of accumulated net gains applicable to such subclass included in paid-in surplus shall be charged to account 621, "Miscellaneous debits."

When reacquired capital stock is resold the difference between the amount at which such stock is included in a particular asset account and the net sale price realized when resold shall be included in subaccount 784.1, "Paid-in surplus"; *Provided, however,* That the excess of a debit over the amount of accumulated net gains applicable to each subclass of capital stock resold included in paid-in surplus shall be charged to account 621, "Miscellaneous debits."

In no case shall discount on capital stock be charged to or included in any account as a part of the cost of acquiring property or as a part of the cost of operation.

§ 10.08–3 *Discount, expense, and premium on funded debt.* Ledger accounts shall be provided to cover the discounts, expense, and premiums at the sale or resale of each subclass of funded debt and of receivers' and trustees' securities issued for the benefit of or assumed by the company. For explanation of "subclass" see account 755. "Funded debt unmatured."

By the term "discount" is meant the excess of the par value of funded debt securities (of whatever kind) issued or assumed, and the accrued interest thereon, over the actual cash value of the consideration received for such securities.

By the term "premium" is meant the excess of the actual cash value of the consideration received for funded debt securities (of whatever kind) issued or assumed over the par value of such securities and the accrued interest thereon.

By the term "expense" is meant all expense in connection with the issue and sale of evidences of debt, such as fees for drafting mortgages and trust deeds; fees for issuing or recording mortgages and trust deeds; cost of engraving and printing bonds, certificates of indebtedness, and other negotiable paper having a life of more than one year; fees paid trustees provided for in mortgages and trust deeds; fees paid for legal services to trustees relative to mortgage securities; fees and commissions paid underwriters and brokers for marketing such evidences of debt; and other like expense except taxes for issuing or recording mortgages and trust deeds and for issuing bonds or other evidences of long term debt which shall be charged to account 532, "Railway tax accruals."

The total of the net debit balances remaining in these several accounts should be included in account 725, "Discount on funded debt," and the total of the net credit balances in account 772, "Premium on funded debt."

Each fiscal period there shall be charged to income account 548, "Amortization of discount on funded debt," a proportion (based upon the ratio of such fiscal period to the remaining life of the respective securities reckoned from the beginning of the period to the date of maturity of the debt to which the charges relate) of each of the debit balances in these accounts, and correspondingly there shall be credited to income account 517, "Release of premiums on funded debt," a similar proportion of each of the credit balances in these accounts. When the total discount and expense applicable to any particular issue of securities does not exceed $25,000, carriers may charge the entire amount to account 548, "Amortization of discount on funded debt," at time of issue.

When any funded debt which has been actually issued to bona fide holders for value is reacquired by the accounting company, that proportion of the balance remaining in the accounts containing discount, expense, and premium on funded debt for the subclass of the security reacquired applicable to the portion reacquired shall be credited or charged thereto, as may be appropriate, and concurrently charged or credited to profit and loss. Such proportion shall be based upon the ratio of the par value of the security reacquired to the par value of all the securities of the subclass actually outstanding immediately before such reacquirement.

In case, however, the premium realized or discount suffered at the prior sale of the securities reacquired has been included (in excess of the amount authorized in the text of road and equipment account 76, "Interest during construction") in an asset account other than the premiums and discounts account, such asset account shall be concurrently adjusted through profit and loss to the extent of such excess of the premium or discount previously included therein with respect to the securities reacquired.

Except as provided for in road and equipment account 76, "Interest during construction," no discount and expense on funded debt shall be charged to or included in any account as a part of the cost of acquiring any property, tangible or intangible, or as a part of the cost of operation.

§ 10.08–4 *Contingent assets and liabilities.* Contingent assets and liabilities shall not be included in the body of the balance-sheet statement, but shall be shown in detail in a supplementary statement accompanying the balance-sheet statement. Contingent assets are those without value to the accounting company until the fulfillment of conditions regarded as uncertain. Contingent liabilities include items which may, under certain conditions, become obligations of the company, but are neither direct nor assumed obligations on the date of the balance sheet.

§ 10.08–5 *Book value of securities owned.* (a) The investment in securities other than those issued or assumed by the accounting company shall be recorded in these accounts at the money value, at the time of acquisition, of the consideration given therefor by the accounting company, but excluding amounts paid for accrued interest and accrued dividends. The accounting company shall write down the ledger value of any securities to the extent of impairment in their value. Fluctuations in market value shall not be recorded however. Securities shall be written down to reflect anticipated loss in value or written off entirely if there be no reasonable prospect of realizing any value whatever therefrom. Adjustments in the ledger values of securities shall not be delayed beyond the year in which a loss is claimed for income tax purposes. In accordance with paragraph (c) of this section carriers may create reserves from surplus to cover such reductions in value. Under no circumstances shall the investment in the securities be stated in these accounts at an amount in excess of their cost to the accounting company.

(b) The amount of the adjustment shall be charged to account 621, "Miscellaneous debits."

(c) Carriers may create reserves from surplus to provide for depreciation in the value of securities owned and recorded in accounts 706, "Investments in affiliated companies," and 707, "Other investments," by charges to account 621, "Miscellaneous debits." See account 707½, "Reserve for adjustment of investment in securities."

§ 10.08–6 *Income from sinking fund assets.* Accrued interest on uninvested sinking fund cash on deposit in banks or trust companies, and accrued interest and other income arising from stocks, bonds, or other assets held in sinking and reserve funds shall be credited to account 516, "Income from sinking and other reserve funds," and when required by the mortgage or other provision to be held in the funds shall be charged, according to the character of the funds, to account 703, "Sinking funds," or to account 721, "Insurance and other funds," and concurrently, if a reserve is required, an equal amount shall be charged to income account 552, "Income applied to sinking and other reserve funds," and credited to account 785, "Earned surplus—appropriated."

§ 10.08–7 *Current assets.* In the group of accounts designated as current assets (accounts 708 to 719, inclusive) shall be included cash, those assets which are readily convertible into cash or are held for current use in operations, current claims against others and amounts accruing to the carrier which are subject to current settlement. There shall not be included in this group of accounts any item the collection of which is not reasonably assured by the known financial condition of the debtor. Items of current character but of doubtful value previously credited to operating revenue, operating expense or income accounts shall be written down or written off by charging those accounts. If there has been any impairment in value, such items shall be included in account 722, "Other deferred assets," at an amount not in excess of a reasonable estimate of future value. If it is desired to retain a record of assets written off they shall be recorded at a nominal value in account 722, "Other deferred assets."

§ 10.08–8 *Joint liabilities.* The accounting company shall state as a liability in its balance sheet the difference between the total par value of securities jointly or severally issued by it and others and the portion of such liability which, under the joint arrangement, it is expected will be liquidated by the other party or parties to the joint ar-

rangement. The amount of the jointly or severally issued securities it is expected will be liquidated by the other party or parties shall be shown as a contingent liability in accordance with § 10.08–4 *Contingent assets and liabilities.*

§ 10.08–9 *Surplus.* Records shall be maintained in such manner as to show two major divisions of surplus:

1. Unearned surplus.
2. Earned surplus.

Unearned surplus and earned surplus shall be segregated and clearly differentiated, and no transfer shall be made from the former to the latter, either directly by credits to earned surplus representing gains on transactions in the accounting company's own capital stock, or indirectly by charges against unearned surplus to cover losses, write-downs, chargeoffs, or dividend distributions unless specifically allowed and approved by the Commission.

The carrier shall maintain account 784, "Unearned surplus"; account 785, "Earned surplus—appropriated"; and account 786, "Earned surplus—unappropriated." Surplus shall be segregated so far as practicable, into "Unearned surplus," "Earned surplus—appropriated," and "Earned surplus—unappropriated," and any unsegregated balance shall be included in a subaccount under account 786, "Earned surplus—unappropriated."

General Balance Sheet Accounts

Debit

§ 10.701 *Road and equipment property.* This account, except in connection with the acquisition of transportation property as provided for in accounts 701½A, "Acquisition adjustment" and 702½B, "Donations and grants," shall include the acounting company's investment in road and equipment (including that held under contract for purchase), used or held for use as transportation property in existence at the date of the balance sheet.

When property is retired from service this account shall be credited with the ledger value of the property retired. (See § 10.01–6 *Items to be credited.*)

Note A: This account shall not include any items representing titles to securities.

Note B: When any equipment is acquired under an agreement which provides that the cost shall be paid in installments, the cost (its money value at time of purchase) shall be charged to the appropriate road and equipment accounts at the time the equipment is delivered to the carrier, and included in this account in the same manner as the cost of equipment purchased outright. When the par value of notes or other securities issued in payment, or in part payment, for such equipment is more (or less) than the actual cash value of the equipment at the time of the purchase, or of the proportion to which the securities are applicable, the difference between the par value of the securities and the actual cash value of the equipment, or of the proportion paid for by the securities, shall be charged (or credited) to the proper discount and premium accounts.

Note C: Held for use, as referred to above, implies the ability of the carrier to substantiate by plans or policy its characterization of the probable future use which is to be made of the property within a reasonable period of time.

§ 10.702 *Improvements on leased property.* This account, except in connection with the acquisition of transportation property as provided for in accounts 702½A, "Acquisition adjustment" and 702½B, "Donations and grants," shall include the cost of improvements made by the lessee to property which is held under lease from others or through control of the company owning the property, where such improvements are used by the lessee in transportation service, and the lessee is not to be reimbursed by the lessor for such improvements.

When the cost of improvements made by the lessee is to be refunded by the lessor periodically during the term of the lease agreement or at the termination thereof, and provided further that in the meantime the lessor company does not include the cost of such improvements in account 701, "Road and equipment property," the lessee shall include the cost thereof in this account.

When leased property is retired from service this account shall be credited with the ledger value of any improvements thereto the cost of which has been included in this account, and also with the amount representing the liability of the carrier to the lessor or owner for any property retired that has been used in transportation service and was held under lease or through control of the company owning the property.

The carrier's records shall be kept in such manner as to show the debits and credits to this account in accordance with the provisions for road and equipment.

Note A: This account shall not include any items representing titles to securities.

Note B: When the lessor company includes in account 701, "Road and equipment property," the cost of improvements made by the lessee to property leased by it from the lessor and settlement is not made at the time for the cost thereof, the lessee, pending settlement with the lessor, shall include the cost thereof in account 706, "Investments in affiliated companies," or 707, "Other investments," as may be appropriate.

§ 10.702½A *Acquisition adjustment.* This account shall be charged with the cost of a railway or portion thereof acquired since January 1, 1938, as an operating entity or system by purchase, merger, consolidation, reorganization, receivership sale or transfer, or otherwise. If the consideration or a part thereof given for the property acquired consists of securities issued by the accounting carrier, the cash value thereof for the purpose of determining the cost to be charged to this account shall be the sum of the par value of securities having par values and the stated or assigned values of no par securities as determined and approved by the Commission. Where the consideration given for the property acquired is other than cash or securities issued by the accounting carrier, such consideration shall be valued on a current cash basis.

The accounting for assets acquired and liabilities assumed shall then be as follows:

(a) Assets acquired, except property includible in accounts 701, "Road and equipment property," or 702, "Improvements on leased property," and liabilities assumed shall be recorded in their appropriate accounts in the manner provided for in classification of general balance sheet accounts.

(b) Property includible in primary road and equipment accounts 1 and 2½ to 58, inclusive, and 72 to 77, inclusive, shall be recorded in those accounts at original cost or estimated original cost as found by the Bureau of Valuation.

(c) In the primary road and equipment account 2, there shall be recorded the original cost of lands owned by predecessor carrier or carriers at basic valuation date as reported under Valuation Order No. 7, dated November 21, 1914, and included in the Commission's basic valuation reports. Any lands so reported without cost except those donated shall be estimated by the accounting company, which will be subject to verification by the Bureau of Valuation. To this shall be added the cost at the time of dedication to public use of any lands acquired since the basic valuation date.

(d) In the primary road and equipment account 71, there shall be recorded the expenditures incident to the organization or reorganization of the accounting company.

(e) The money outlay expended by a predecessor carrier or carriers for additions and betterments to property leased from other companies whose physical properties are not included in the reorganization, shall be transferred to account 702, "Improvements on leased property," in the amounts recorded in that account on the books of the predecessor carrier or carriers.

(f) The amounts thus recorded in primary accounts 1 to 77, inclusive, shall be concurrently charged to balance sheet accounts 701, "Road and equipment property," or 702, "Improvements on leased property," as appropriate.

(g) Balances in accounts 702½C, "Accrued depreciation—Road," 702½D, "Accrued depreciation—Equipment," and 779, "Accrued depreciation—Leased property," carried on the books of the predecessor carrier or carriers as of the date of acquisition or reorganization shall be carried over and recorded in the respective accounts on the books of the accounting company. To the extent that a credit balance is available in this account, the accounting company shall credit account 702½C, "Accrued depreciation—Road," and charge this account with the estimated amount by which the balance in account 702½C, "Accrued depreciation—Road," appears to be deficient with respect to past accrued depreciation on depreciable road property included in account 701, "Road and equipment property."

(h) This account shall concurrently be debited or credited, as appropriate, to offset assets and liability items recorded in accordance with paragraphs (a) to (g) of this section.

(i) To the extent that a credit balance is available in this account if so authorized upon application to the Interstate Commerce Commision, retirement of nondepreciable property in existence at the date of acquisition or reorganization which is not replaced may be charged hereto if the loss is not assignable to operations subsequent to date

of acquisition or reorganization. Other charges to this account may be made upon specific approval by the Commission.

NOTE: The accounting company shall be prepared to furnish the Interstate Commerce Commission with a full report of the contract of organization and a statement showing in detail the consideration given for the property acquired. It shall procure in connection with the organization all existing records, memoranda and accounts in possession or control of the grantor relating to construction and improvement of the property acquired and shall preserve such records, memoranda and accounts until authorized by law to destroy or otherwise dispose of them.

Where the records, memoranda and accounts are so involved with other records, memoranda and accounts of the grantor as to make this transfer impracticable, certified copies shall be procured and retained by the accounting company; the verity of the copies should be certified by the custodian of the originals.

§ 10.702½B *Donations and grants.* This account shall be credited with grants obtained from governmental agencies, and with donations from individuals and others in connection with the construction or acquisition of property the cost of which is chargeable to accounts 701, "Road and equipment property," and 702, "Improvements on leased property." (See "Cost," under paragraph (c) of § 10.01–2 *Items to be charged.*)

§ 10.702½C *Accrued depreciation; road.* (a) This account shall be credited with amounts concurrently charged to operating expenses or other accounts to cover the loss in service value of depreciable road property; also with any balance in account 776, "Accrued depreciation—Road and equipment," as of December 31, 1944, for depreciation of road property. It shall also include amounts which the Commission may authorize the accounting company to credit to account 607, "Miscellaneous credits," or charge to account 621, "Miscellaneous debits," or to account 702½A, "Acquisition adjustment," in respect to past accruals of depreciation.

(b) At the time of the retirement of each unit of depreciable road property, this account shall be charged with the entire service value of the unit retired or minor item retired and not replaced.

(c) For balance sheet purposes, this account shall be treated as a single composite reserve for road property. However, for purposes of analysis, the accounting company shall maintain subsidiary records in which this reserve is broken down into components corresponding to the primary accounts for depreciable road property. These subsidiary records shall show the current debits and credits to this reserve by primary accounts. (See § 10.04–8 *Depreciation accounting; road property.*)

§ 10.702½D *Accrued depreciation; equipment.* (a) This account shall be credited with amounts concurrently charged to operating expenses or other accounts to cover the loss in service value of equipment; also with any balance in account 776, "Accrued depreciation—Road and equipment," as of December 31, 1944, for depreciation of equipment. It shall also include amounts which the Commission may authorize the accounting company to credit to account 607, "Miscellaneous credits," or charge to account 621, "Miscellaneous debits," or to account 702½A, "Acquisition adjustment," in respect to past accruals of depreciation.

(b) At the time of the retirement of each unit of equipment this account shall be charged with the entire service value of the unit retired or minor item retired and not replaced.

(c) For balance sheet purposes, this account shall be treated as a single composite reserve for equipment. However, for purposes of analysis, the accounting company shall maintain subsidiary records in which this reserve is broken down into components corresponding to the primary accounts for equipment. These subsidiary records shall show the current debits and credits to this reserve by primary accounts. (See § 10.04–24 *Depreciation accounting; equipment.*)

§ 10.702½E *Accrued amortization of defense projects; road.* This account shall be credited with amounts charged to account 270½, "Road—Amortization of defense projects," to cover the amortization of road property, the cost of which is included in account 701, "Road and equipment property," or account 702, "Improvements on leased property." (See also Note B to account 270½.) This account shall be charged with the credit balance herein applicable to specific road property at the time the property is retired.

§ 10.702½F *Accrued amortization of defense projects; equipment.* This account shall be credited with amounts charged to account 331½, "Equipment—Amortization of defense projects," to cover the amortization of equipment, the cost of which is included in account 701, "Road and equipment property," or account 702, "Improvements on leased property." (See also Note B to account 331½.) This account shall be charged with the credit balance herein applicable to specific equipment at the time the equipment is retired.

§ 10.703 *Sinking funds.* This account shall include the amount of cash, the ledger value of live securities of other companies, and other assets which are held by trustees of sinking and other funds for the purpose of redeeming outstanding obligations, including such assets so held in the hands of the accounting company's treasurer when the assets are segregated in a distinct fund; also amounts deposited with such trustees on account of mortgaged property sold the proceeds of which are to be held for the redemption of securities, and the par value or with respect to no par stock, the amounts recorded in account 751, "Capital stock," relating thereto, of live securities issued or assumed by the accounting company and held in such funds. A separate account shall be kept for each fund. The title of each such account shall designate the obligation in support of which the fund is created.

NOTE: In stating the balance sheet in the annual reports to the Commission the total amount of the funds and the par value or with respect to no par stock, the amounts recorded in account 751, "Capital stock," relating thereto, of securities issued or assumed by the accounting company and held in the funds shall be shown in the short columns, and the net amount of the funds (total amount less securities issued or assumed) shall be shown in the long column.

§ 10.704 *Capital and other reserve funds.* This account shall include the amounts of cash and the ledger value of other assets segregated for capital purposes other than sinking funds. A separate account shall be kept for each fund.

(a) The account shall be charged with:

(1) Funds that have been realized from the sale of equipment obligations and other long-term obligations and that have not been applied toward the specific purposes for which the obligations were incurred;

(2) Funds deposited with trustees to be held until mortgaged property sold is replaced;

(3) The ledger value of assets held by trustees, or by the accounting company's treasurer when segregated in a distinct fund or funds, which have been set aside in accordance with governmental, mortgage, or contractual requirements in connection with reorganizations or otherwise.

(b) The account shall be credited with:

(1) Direct expenditures from the funds;

(2) Amounts transferred to sinking funds;

(3) The ledger value of assets of the character indicated in paragraph (a) (3) of this section, by transfer to the appropriate current asset account, when the assets are definitely assigned in advance of expenditure to the payment of interest or other recorded current liabilities.

NOTE A: An appropriate record shall be maintained with respect to securities issued or assumed by the accounting company and held in the funds, identifying those that are nominally issued or nominally outstanding.

NOTE B: Funds specifically set aside for sinking fund purposes shall be included in account 703, "Sinking funds." If one purpose of a capital fund is to provide contributions to a sinking fund under specified conditions, the entire amount of the fund shall be included in this account until the contributions to the sinking fund are made, at which time the amounts thereof shall be transferred to account 703, "Sinking funds."

§ 10.704½ *Maintenance funds.* This account shall be charged with the amounts of cash on special deposit and the cost of United States Treasury securities that have been set aside to be held by the accounting company's treasurer until disbursed in settlement of charges incurred for deferred maintenance of way and structures and equipment due to priorities of material and supplies or shortage of labor, also charges incurred for major repairs to equipment that are usually made at intervals of several years.

It shall be credited with withdrawals therefrom as disbursements are made for the purposes for which the funds were set aside.

§ 10.705 *Miscellaneous physical property.* This account shall include the accounting company's investment in physi-

cal property other than property assignable to accounts 701 and 702, including hotels, restaurants, power plants, etc., which are not operated by the accounting company or another carrier in connection with its transportation service.

ITEMS OF INVESTMENT

Coal and other mines.
Commercial power plants.
Hotels and restaurants.
Lands and buildings not used in transportation operations.
Lands and other property acquired and held in anticipation of future use.
Mineral and timber lands.
Rails and other track material leased to others.
Saw mills and other manufacturing plants not operated in connection with transportation service.

§ 10.705½ *Accrued depreciation; miscellaneous physical property.* This account shall be credited with amounts charged to income or other accounts to cover the depreciation of property the cost of which is included in account 705, "Miscellaneous physical property."

When any miscellaneous physical property is destroyed, sold, or otherwise retired from service, the amount included in this account with respect to the property retired shall be charged hereto.

§ 10.706 *Investments in affiliated companies.* This account shall include the ledger value of the accounting company's investment in securities issued or assumed by affiliated companies other than securities held in special deposits or special funds, and also investment advances made to affiliated companies. (See § 10.08–5 *Book value of securities owned.*)

This account shall be maintained in such manner as to show each of the following classes of investment in each affiliated company:

(a) Stocks.
(b) Bonds.
(c) Other secured obligations.
(d) Unsecured notes.
(e) Investment advances.

A complete record of securities pledged shall be maintained so that the ledger value of securities pledged and unpledged may be shown separately in the annual report to the Commission.

NOTE A: Accounts with affiliated companies which are subject to current settlement, if their collection is reasonably assured, shall be classed as current assets, but if settlement is deferred beyond one year such items shall be transferred to account 722, "Other deferred assets."

NOTE B: The term "affiliated companies" includes:

1. Controlled companies, including companies solely controlled by the accounting company, and also companies jointly controlled by the accounting company and others under a joint arrangement.

2. Controlling companies, including both companies solely controlling the accounting company, and companies which jointly control the accounting company under a joint arrangement.

3. Companies controlled by controlled companies.

4. Companies controlled by controlling companies.

By "control" is meant the ability to determine the action of a corporation. For the purposes of this account, the following are to be considered forms of control:

(a) Right through title to securities issued or assumed to exercise the major part of the voting power in the controlled corporation.

(b) Right through agreement of some character or through some source other than title to securities, to name the majority of the board of directors, managers, or trustees of the controlled corporation.

(c) Right to foreclose a first lien upon all or a major part in value of the tangible property of the controlled corporation.

(d) Right to secure control in consequence of advances made for construction of the operating property of the controlled corporation.

(e) Right to control only in a specific respect the action of the controlled corporation.

A leasehold interest in the property of a corporation is not to be classed as a form of control over the lessor corporation.

"Sole control" is that which rests in one corporation.

"Joint control" is that which rests in two or more corporations and which is held under a joint arrangement.

NOTE C: The value of securities borrowed by the accounting company and pledged shall not be included in this account.

NOTE D: The value of securities pledged for purposes other than that of security for funded debt or short-term loans shall be included in accounts 703, "Sinking funds," 704, "Capital and other reserve funds," or 721, "Insurance and other funds," as may be appropriate.

§ 10.707 *Other investments.* This account shall include the ledger value of the accounting company's investment in securities issued or assumed by nonaffiliated companies other than securities held in special deposits or special funds; also investment advances made to nonaffiliated companies and to individuals. (See § 10.08–5 *Book value of securities owned.*)

This account shall be maintained in such manner as to show each of the following classes of investment in each nonaffiliated company:

(a) Stocks.
(b) Bonds.
(c) Other secured obligations.
(d) Unsecured notes.
(e) Investment advances.

A complete record of securities pledged shall be maintained so that the ledger value of securities pledged and unpledged may be shown separately in the annual report to the Commission.

NOTE A: Accounts with nonaffiliated companies which are subject to current settlement, if their collection is reasonably assured, shall be classed as current assets, but if settlement is deferred beyond one year such items shall be transferred to account 722, "Other deferred assets."

NOTE B: The term "nonaffiliated companies" includes all companies other than those defined as affiliated in NOTE B of account 706, "Investments in affiliated companies."

NOTE C: The value of securities borrowed by the accounting company and pledged shall not be included in this account.

NOTE D: The value of securities pledged for purposes other than that of security for funded debt or short-term loans shall be included in accounts 703, "Sinking funds," 704, "Capital and other reserve funds," or 721, "Insurance and other funds," as may be appropriate.

§ 10.707½ *Reserve for adjustment of investment in securities.* This account shall include the total of the balances in such reserves as are maintained by the accounting company for the purpose of providing for reductions in the value of securities owned and recorded in accounts 706, "Investments in affiliated companies," or 707, "Other investments." Corresponding charges shall be made to account 621, "Miscellaneous debits." (See paragraph (c) of § 10.08–5 *Book value of securities owned.*)

If reserves are maintained in provision for anticipated losses in specific securities, when the related assets are written down or written off, or are sold or otherwise disposed of at a loss, the reduction in the book value or the losses sustained shall be charged to this account to the extent of the credit balance in the account applicable to the particular securities involved, and the remainder, if any, shall be charged to account 621, "Miscellaneous debits." In case a general reserve for losses in unspecified security values is maintained, all such losses resulting from write-downs, write-offs, etc., shall be charged to this account to the extent of the total credit balance in the account, and the remainder, if any, shall be charged to account 621, "Miscellaneous debits."

§ 10.708 *Cash.* This account shall include money, checks, sight drafts, and sight bills of exchange in the hands of the accounting company's financial officers and agents, or in transit from its agents and conductors for which such agents and conductors have received credit. It shall include also, deposits with banks and trust companies available for use on demand, and savings accounts subject to the usual clause reserving the right to defer payment for a specified number of days. (See § 10.08–7 *Current assets.*)

§ 10.709 *Temporary cash investments.* This account shall include the cost of securities and other collectible obligations acquired for the purpose of temporarily investing cash, such as United States Treasury certificates, marketable securities, time drafts receivable, demand loans, time loans, time deposits with banks and trust companies, and other similar investments of a temporary character.

§ 10.711 *Special deposits.* This account shall include the unexpended balances in funds deposited specifically for the payment of dividends, interest, or other recorded current liabilities. (See § 10.08–7 *Current assets.*)

§ 10.712 *Loans and bills receivable.* This account shall include the book value of all collectible obligations in the form of demand or time loans and bills receivable, or other similar evidences (except interest coupons) of money receivable within a time not exceeding one year from date of issue. (See § 10.08–7 *Current assets.*)

NOTE A: Obligations held as investments which mature more than one year after date of issue shall be included in accounts 706, "Investments in affiliated companies"; or 707, "Other investments," as may be appropriate.

NOTE B: Loans and bills receivable acquired for the purpose of temporarily investing cash shall be included in account 709, "Temporary cash investments."

§ 10.713 *Traffic and car-service balances—Dr.* This account shall include

the net of the balances receivable from or payable to other companies in the accounts representing interline freight, passenger, and baggage revenues, and charges for equipment interchanged on a per diem or a mileage basis, when such balances result in a net debit.

NOTE A: When the net of the balances is a credit it shall be included in acount 759, "Traffic and car-service balances—Cr."

NOTE B: The amount to be entered in this account in the carrier's annual report to the Commission shall be stated in accordance with the text of this account. For convenience in accounting the carrier may maintain currently separate subaccounts under the following captions:

713 and 759 (a) Interline freight, balance.
713 and 759 (b) Interline passenger, balance.
713 and 759 (c) Interline baggage, balance.
713 and 759 (d) Equipment interchanged, balance.

§ 10.714 *Net balance receivable from agents and conductors.* This account shall include the net balance due in current accounts from agents, from train, sleeping car, and dining car conductors, and from train collectors, train auditors, porters, and other employees and representatives charged with the collection or custody of current revenues. (See § 10.08–7 *Current assets.*)

NOTE: Amounts advanced to general and special agents as working funds shall not be included in this account, but in account 720, "Working fund advances."

§ 10.715 *Miscellaneous accounts receivable.* This account shall include amounts due in audited accounts considered good, such as those due from the United States or other Governments for the transportation of mails and Government property, and from express companies for express facilities furnished under contract; amounts due from other carriers on account of freight claims paid; miscellaneous bills against other railway companies, corporations, firms, and individuals, and other similar items. (See § 10.08–7 *Current assets.*)

NOTE: The amount to be entered in this account is not the net balance between this account and account 761, "Miscellaneous accounts payable."

§ 10.716 *Material and supplies.* This account shall include the balances representing the cost, less depreciation, if any, of all unapplied material, such as road and shop material, articles in process of manufacture by the accounting company, fuel, stationery, and dining car and other supplies. In determining the cost of material and supplies suitable allowance shall be made for any discounts allowed in the purchase thereof.

NOTE A: Balances representing the cost of unapplied construction material and supplies located at the point of use, which have been purchased specifically for projected new roads and extensions or for new railroad equipment, are provided for in road and equipment account 47, "Unapplied construction material and supplies," or account 59, "Unapplied material and supplies—Equipment."

NOTE B: An inventory of material and supplies shall be taken during each calendar year and the necessary adjustments to bring this account into harmony with the actual inventory balances shall be made in the accounts of the year in which the inventories are taken. In effecting this adjustment determined differences in accounting for important classes of material shall be equitably assigned among the accounts to which the classes of material are ordinarily chargeable. Other differences shall be equitably apportioned among the primary accounts to which material has been charged since the last inventory. (See Case 17, Accounting Bulletin No. 15.)

§ 10.717 *Interest and dividends receivable.* This account shall include the amount of interest accrued to the date of the balance sheet on bonds owned and on loans made, the amount of dividends declared on stocks owned, and dividends accrued on such stocks when contracts require that the dividends be paid at stated times. (See § 10.08–7 *Current assets.*)

NOTE A: No amount representing interest or dividends receivable shall be included in this account unless its payment is reasonably assured by past experience, anticipated provision, or otherwise.

NOTE B: No dividends or other returns on securities issued or assumed by the accounting company shall be included in this account.

NOTE C: If settlement of amounts included in this account is not made when due either in cash or with other tangible assets of equal money value, such amounts shall be cleared from this account and charged to the income account originally credited (subject to § 10.06–2 *Delayed items*). If notes are taken in settlements of amounts included in this account, the amounts thereof shall be charged to account 712, "Loans and bills receivable," or account 722, "Other deferred assets," as may be appropriate (see § 10.08–7 *Current assets,*) but such amounts shall not be credited to income (or if previously credited to income shall be cleared therefrom as provided in the first sentence of this note), unless inclusion therein is justified by the current asset position of the obligor. If such notes are of doubtful value, the amount at which they are charged to account 722, "Other deferred assets," in accordance with § 10.08–7 *Current assets,* shall be credited to account 778, "Other unadjusted credits," and income shall not be credited until payment is received, and then only with the amount collected. If long-term notes are taken in settlement of current assets, the credit to income shall be canceled and account 722, "Other deferred assets," shall be charged with their true values, and a like sum shall be credited to account 778, "Other unadjusted credits."

§ 10.718 *Accrued accounts receivable.* This account shall include estimates of all unaudited current items receivable by the carrier to the date of the balance sheet, including those which are creditable to revenue, expense, or income accounts in accordance with § 10.02–2 *Unaudited items affecting operating accounts,* and § 10.06–3 *Unaudited items.* (See also § 10.08–7 *Current assets.*)

Examples, without limitation, of items to be accrued:

Rents receivable under leases which are not includible in account 715, "Miscellaneous accounts receivable." (See note C to account 717, "Interest and dividends receivable.")

Amounts receivable from others for unreported interline traffic.

Amounts receivable from others for use of facilities, including equipment, for which bills have not been rendered.

Amounts receivable from others for services for which bills have not been rendered.

§ 10.719 *Other current assets.* This account shall include items of current assets not covered by accounts 708 to 718, inclusive.

It shall include asset items not includible in any of the foregoing current asset accounts that have been advanced beyond the stage of deferred assets. (See § 10.08–7 *Current assets.*)

§ 10.720 *Working fund advances.* This account shall include amounts advanced to general and special agents, and to other officers and employees, as working funds from which certain expenditures are to be made and accounted for. It also includes advances to fast freight lines and to demurrage and other bureaus.

§ 10.721 *Insurance and other funds.* This account shall include the amount of cash and the ledger value of securities of other companies and other assets which are in the hands of trustees or managers of insurance, employees' pension, savings, relief, hospital, and other funds which have been raised and specifically set aside or invested for specific purposes not provided for elsewhere; also the par value or with respect to no par stock, the amounts recorded in account 751, "Capital stock," relating thereto, of securities issued or assumed by the accounting company and held in such funds. A separate account shall be kept for each fund.

NOTE A: Sinking funds and capital and other reserve funds are provided for in accounts 703 and 704, respectively.

NOTE B: In stating the balance sheet in the annual reports to the Commission the total amount of the funds and the par value or with respect to no par stock, the amounts recorded in account 751, "Capital stock," relating thereto, of securities issued or assumed by the accounting company and held in the funds shall be shown in the short columns, and the net amount of the funds (total amount less securities issued or assumed) shall be shown in the long column.

NOTE C: This account shall not include funds held by the accounting company solely as trustee and in which it has no beneficial interest.

§ 10.722 *Other deferred assets.* This account shall include the estimated value of salvage recoverable from property retired when the recovery of the salvage is deferred for any reason; items of a current character but of doubtful value; and all other deferred items not covered by accounts 720 or 721. (See § 10.08–7 *Current assets.*)

§ 10.723 *Prepayments.* This account shall include the balances in the accounts representing prepaid rents chargeable to the appropriate rent accounts as the term is consumed for which the rents are paid; also interest and insurance premiums paid in advance of their accrual, which are to be apportioned and charged, as they accrue, to the appropriate accounts.

§ 10.725 *Discount on funded debt.* This account shall include the total of the net debit balances in the discount, expense, and premium accounts for the several subclasses of funded debt. (See § 10.08–3 *Discount, expense, and premium on funded debt.*)

§ 10.726 *Property retired chargeable to operating expenses.* This account is intended as a suspense account in which

may be included amounts chargeable to operating expenses as follows:

(a) Amounts representing the service value of nondepreciable road property retired which are relatively so large that their inclusion in the accounts for a single year would distort those accounts. (See § 10.04–6 *Distribution of charges for nondepreciable road property retired.*)

(b) Amounts representing the service value of depreciable road property retired which are relatively so large that their inclusion in the depreciation reserve would result in unduly depleting the reserve. (See paragraph (k) of § 10.04–8 *Depreciation accounting; road property.*)

(c) Amounts representing the service value of equipment retired which are relatively so large that their inclusion in the depreciation reserve would result in unduly depleting the reserve. (See paragraph (f) of § 10.04–24 *Depreciation accounting; equipment.*)

(d) This account is to be used only after permission of the Commission has been asked and given. The carrier in its application to the Commission shall give full particulars concerning the property retired, the amount which it is proposed to charge to operating expenses, and the period over which, in its judgment, the amount of such charge shall be distributed.

§ 10.727 *Other unadjusted debits.* This account shall include the amount of debit balances in suspense accounts that cannot be cleared and disposed of until additional information is received, such as freight claims paid when found to be correct, but in advance of investigation with other carriers; debit balances in clearing accounts, such as "Shop expenses," "Store expenses," "Operations of gravel pits," and "Operation of quarries"; unextinguished discount on short-term notes; unadjusted debit items not otherwise provided for and similar items the proper disposition of which is uncertain.

§ 10.728 *Securities issued or assumed; unpledged.* This account shall include the par value, or with respect to no par stock, the amounts recorded in account 751, "Capital stock," relating thereto, of securities issued or assumed by the accounting company that are held unpledged in the company's treasury or by its agents or trustees, except those held by trustees of sinking or other similar funds.

This account shall be divided into:

(a) Stocks, and

(b Bonds and other evidences of long-term debt, each of which divisions shall be further subdivided between:

(1) Amounts nominally but not actually issued, and

(2) Amount nominally outstanding.

NOTE A: The term "securities," as used in this account, includes all authorized certificates of stock and evidences of indebtedness which have been signed, sealed, and, when required, certified by the registrar or by the trustees under the mortgage or contract, and are not "short-term securities." By short-term securities are meant those which are payable on demand or which mature not more than one year from date of issue. (See also Notes B to accounts 751 and 755.)

NOTE B: This account shall not include securities that are merely guaranteed.

NOTE C: This account shall not include any securities held in sinking and other reserve funds.

NOTE D: In the general balance-sheet statement the balance in this account shall be stated in the short column only.

NOTE E: When securities that have been issued to bona fide holders for value, or after issuance by another company have been assumed by the accounting company, are reacquired and not canceled or retired, they shall be included in this account at their par value; or with respect to no par stock the amounts recorded in account 751, "Capital stock," relating thereto. If such securities are subsequently pledged, they shall be included in account 729, "Securities issued or assumed—Pledged." (See § 10.08–2 *Discount, premium, and assessment on capital stock,* and § 10.08–3. *Discount, expense, and premium on funded debt.*)

NOTE F: Stocks having no par value classable as nominally issued shall be recorded by number of shares. (See Note C under account 751, "Capital stock.")

§ 10.729 *Securities issued or assumed; pledged.* This account shall include the par value, or with respect to no par stock, the amounts recorded in account 751, "Capital stock," relating thereto, of securities issued or assumed by the accounting company that have been pledged as collateral security for any of its long-term debt or short-term loans.

This account shall be divided into:

(a) Stocks, and

(b) Bonds and other evidences of long-term debt, each of which divisions shall be further subdivided between:

(1) Amounts nominally but not actually issued, and

(2) Amounts nominally outstanding.

NOTE A: The term "securities" as used in this account includes all authorized certificates of stock and evidences of indebtedness which have been signed, sealed, and, when required, certified by the registrar or by the trustees under the mortgage or contract, and are not short-term securities. By "short-term securities" are meant those which are payable on demand or which mature not more than one year from date of issue. (See also Notes B to accounts 751 and 755.)

NOTE B: This account shall not include securities that are merely guaranteed.

NOTE C: This account shall not include securities which have been borrowed by the accounting company and pledged, nor any securities held in sinking and other reserve funds.

NOTE D: In the general balance-sheet statement the balance in this account shall be stated in the short column only.

NOTE E: The par value or with respect to no par stock, the amounts recorded in account 751, "Capital stock," relating thereto, of securities issued or assumed that have been pledged for other purposes shall be included as may be appropriate in accounts 703, "Sinking funds," 704, "Capital and other reserve funds," or 721, "Insurance and other funds."

NOTE G: Stocks having no par value classable as nominally issued shall be recorded by number of shares. (See Note C under account 751, "Capital stock.")

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§ 10.751 *Capital stock.* This account shall include the total par value of par value stock, and the total amount paid in or the amount approved by the Commission for stock without par value, for all shares of capital stock or other form of proprietary interest in the accounting company which have been issued to bona fide purchasers and have not been reacquired and canceled; also shares of stock nominally issued, and reacquired shares which have not been canceled.

Appropriations of surplus which have been transferred to no par stock account shall also be included. The amount of the consideration received from the sale of par value stock in excess of the amount credited to this account shall be credited to account 753, "Premiums and assessments on capital stock."

When capital stock is retired or canceled, this account shall be charged with the amount at which such stock is carried in this account. In the case of no par stock the amount to be charged hereto shall be the proportion, applicable to the reacquired shares immediately prior to reacquisition, of the total book liability included herein of actually outstanding shares of the particular class and series of stock of which the reacquired shares are a part.

The amounts included in this account shall be recorded so as to show:

(a) Par value of shares of par value stock and amount paid in or approved by the Commission of shares of no par stock (pledged or unpledged) held in the company's treasury, by its agents or trustees, or otherwise subject to its control including shares nominally but never actually issued and

(b) Par value of shares of par value stock and amount paid in or approved by the Commission of shares of no par stock issued and actually outstanding, being the shares not held by the company, its agents or trustees, or subject to its control.

The amounts included herein shall be further divided so as to show the amount of each class of stock issued, separated as between par value and nonpar value stock, as follows:

(1) *Common stock.* Stocks which have no preference over other issues of stock in distribution of dividends or of assets.

(2) *Preferred stock.* Stocks having preference over other issues of stock in distribution of dividends or of assets.

(3) *Debenture stock.* Stocks issued under a contract to pay a specified return at specified intervals.

(4) *Receipts outstanding for installments paid.* Receipts for payments on account of subscriptions to capital stock.

When the subscriber has paid his subscription in full and is entitled to receive certificates representing the shares for which he has subscribed, the par value of stocks having par value or the agreed purchase price or the price authorized by the Commission of stock without par value shall be included in the division appropriate for the class for which the certificates are issued.

Each of the above classes shall also be divided into subclasses according to differences in dividend or interest rights, voting rights, or conditions under which the securities may be retired.

NOTE A: When a general levy or assessment is made against the holders of capital stock, requiring the payment of any sum in addition to the consideration agreed upon at the time of sale, the amount collected upon such levy or assessment shall be credited to account

753, "Premiums and assessments on capital stock."

NOTE B: When capital stock having par value is exchanged for capital stock without par value any sums resting in account 753, "Premiums and assessments on capital stock," with respect thereto shall be cleared to account 751, "Capital stock," and any amounts resting in the discount account with respect thereto shall be cleared to subaccount 784.1, "Paid-in surplus"; *Provided, however,* That any excess over the amount of accumulated net gains applicable to the subclass exchanged included in paid-in surplus shall be charged to account 621, "Miscellaneous debits." (See § 10.08–2 *Discount, premium, and assessment on capital stock.*)

NOTE C: An appropriate record shall be maintained with respect to shares of capital stock showing the number of shares nominally issued, nominally outstanding, actually issued and actually outstanding.

NOTE D: For the purpose of the balance-sheet statement capital stock is considered to be "nominally issued" when certificates are signed and sealed and placed with the proper officer for sale and delivery, or pledged, or otherwise placed in some special fund of the accounting company. It is considered to be "actually issued" when it has been sold to a bona fide purchaser for a valuable consideration, and such purchaser holds it free from all control by the accounting company. All capital stock actually issued and not reacquired and held by or for the accounting company is considered to be "actually outstanding." If reacquired by or for the accounting company under such circumstances as require it to be considered as held alive and not canceled or retired, it is considered to be "nominally outstanding."

§ 10.752 *Stock liability for conversion.* This account shall include the company's liability under agreements to exchange its capital stock for the outstanding securities of companies whose physical property has been acquired under such agreements, but whose securities have not yet been surrendered for exchange.

§ 10.753 *Premiums and assessments on capital stock.* This account shall include the excess of the actual cash value (at the time of the sale of the stock) of the consideration received over the amounts recorded in account 751, "Capital stock," for par value stock plus accrued dividends, if any, also subsequent assessments against stockholders representing payments required in excess of par or other amounts recorded in account 751, "Capital stock," in accordance with the text of that account. (See § 10.08–2 *Discount, premium, and assessment on capital stock.*)

When capital stock is retired and canceled, the amount in this account with respect to the shares of such stock retired and canceled shall be charged hereto.

§ 10.754 *Discount on capital stock.* This account shall include discount suffered in the issuance and sale of capital stock. Record supporting the entries to this account shall be kept to show the discount suffered, if any, on such subclass of capital stock. (See § 10.08–2 *Discount, premium, and assessment on capital stock.*)

§ 10.755 *Funded debt unmatured.* There shall be included in this account the total par value of unmatured debt (other than equipment obligations), maturing more than one year from date of issue, issued by the accounting company and not retired or canceled, and the total par value of similar unmatured debt of other companies, the payment of which has been assumed by the accounting company.

The amounts included in this account shall be divided so as to show the par value of (1) certificates or other evidences of funded debt (pledged and unpledged) held in the company's treasury, by its agents or trustees, or otherwise subject to its control, including both those reacquired after actual issue and those nominally but never actually issued; and (2) certificates or other evidences of funded debt issued and actually outstanding, being those not held by the company, its agents or trustees, or subject to its control.

The amounts included herein shall be further divided so as to show the amount of each class of funded debt, as follows:

(b) *Mortgage bonds.* Bonds secured by lien on physical property and not includible in the other subdivisions of this account.

(c) *Collateral trust bonds.* Bonds and notes secured by a lien on securities or other negotiable paper; and stock trust certificates that are similar in character to collateral trust bonds.

(d) *Income bonds.* Bonds which are a lien on a carrier's revenue alone, or bonds which, while being a lien on its property and franchises, can claim payment of interest only in case interest is earned.

(e) *Miscellaneous obligations.* All funded obligations not provided for by the other subdivisions of this account, also notes, unsecured certificates of indebtedness, debenture bonds, plain bonds, real estate mortgages executed or assumed and other similar obligations maturing more than one year from date of issue, but excluding liabilities for assessments for public improvements and those evidenced by conditional or deferred equipment purchase contracts for which provision is made in account 770, "Other deferred liabilities," and account 756½, "Equipment obligations," respectively.

(f) *Receipts outstanding for funded debt.* Receipts for payments on account of funded debt. When certificates are issued for amounts so paid, the par value shall be included in the account covering the class of funded debt for which the certificates are issued.

Each of the above classes shall also be divided into subclasses according to differences in mortgage or other lien or security therefor, rate of interest, interest dates, or date of maturity. Parts of any issue agreeing in other characteristics but maturing serially may be treated as of the same subclass.

Records shall be maintained in such manner as to show (1) securities the issuance or assumption of which has been authorized by the Commission under section 20a of the Interstate Commerce Act, and similar securities issued or assumed prior to the effective date of that provision of the act, and (2) other obligations of a kind which may legally be issued or assumed without such authorization.

NOTE A: Securities (other than equipment obligations) maturing one year or less from date of issue shall be included in accounts 757, "Amounts payable to affiliated companies," or 758, "Loans and bills payable," except that where an issue of securities maturing serially over a period of years contains short-term obligations such obligations may be included as funded debt. Matured funded debt shall be included in account 768, "Other current liabilities" if provision has been made for current settlement. If no provision has been made for current settlement, matured funded debt shall be included in account 755½, "Debt in default," except that when the collection of matured funded debt of affiliated companies is not enforced by controlling companies, the principal amount (to the extent held by a controlling company) shall be included in account 757, "Amounts payable to affiliated companies."

NOTE B: For the purposes of the balance-sheet statement funded debt securities are considered to be "nominally issued" when certified by trustees and placed with the proper officer for sale and delivery, or pledged, or otherwise placed in some special fund of the accounting company. They are considered to be "actually issued" when they have been sold to a bona fide purchaser for a valuable consideration, and such purchaser holds them free from all control by the accounting company. All funded debt securities actually issued and not reacquired and held by or for the accounting company are considered to be "actually outstanding." If reacquired by or for the accounting company under such circumstances as require them to be considered as held alive and not canceled or retired, they are considered to be "nominally outstanding."

NOTE C: Nonnegotiable notes having a maturity of more than one year after date of issue, held by affiliated companies, shall be included in account 757, "Amounts payable to affiliated companies."

NOTE D: In the general balance-sheet statement the total unmatured funded debt included in the account shall be shown in the first short column. The amount nominally but not actually issued and the amount nominally outstanding shall be shown in the second short column, and in the long column shall be shown the amount actually outstanding.

§ 10.755½ *Debt in default.* This account shall include amounts transferred from other accounts representing matured funded securities or obligations, receivers' and trustees' securities, equipment obligations and short-term notes, when maturity dates of such obligations have not been extended.

NOTE A: The principal amount of matured funded debt of affiliated companies the collection of which is not enforced by the controlling company shall (to the extent of the principal amount held by the controlling company) be included in account 757, "Amounts payable to affiliated companies."

NOTE B: The principal amount of unpresented funded debt obligations which have matured, and for which provision has been made for payment shall be included in account 768, "Other current liabilities."

§ 10.756 *Receivers' and trustees' securities.* When receivers or trustees acting under the orders of a court are in possession of the property of the company, and under the order of such court issue or assume evidences of indebtedness (other than equipment securities or obligations) the par value of such evidences shall be credited to this account.

NOTE: The par value of equipment securities or the principal amount of obligations incurred for the purchase of equipment

under conditional or deferred payment contracts shall be included in account 756½, "Equipment obligations."

§ 10.756½ *Equipment obligations.* This account shall include the par value of equipment securities and the principal amount of contractual obligations including those maturing serially or payable in installments over a period of more than one year.

The amounts included herein shall be divided as follows:

(a) Principal amount of equipment securities including those maturing serially, issued or assumed by the accounting company or by receivers and trustees, which have been authorized by the Commission under section 20a of the Interstate Commerce Act and similar securities issued or assumed prior to the effective date of that provision of the act.

(b) Principal sums of obligations for equipment purchased under conditional or deferred payment contracts, which may be legally entered into or assumed by the accounting company or by receivers and trustees, without authorization by the Commission.

NOTE: Amounts included in this account which are payable within one year from the date of the balance sheet shall be shown in a footnote thereto.

§ 10.757 *Amounts payable to affiliated companies.* This account shall include the par value of nonnegotiable notes issued to affiliated companies, matured funded debt of affiliated companies held by controlling companies where there is no agreement for an extension as to time of payment and collection of the principal is not enforced, credit balances in open accounts with such companies other than credit balances in current accounts classable as current liabilities, and interest accrued on notes, matured funded debt of affiliated companies and open accounts included in this account, when such interest is not subject to current settlements.

This account shall be divided:

(a) Notes, including herein not only nonnegotiable notes that run longer than a term of one year, but also such notes payable on demand or within one year from the date of issue when it is mutually agreed that the notes shall not be enforced as current assets by the holder.

(b) Par value of matured funded debt of affiliated companies held by controlling companies where there is no agreement for an extension of time and collection is not enforced.

(c) Open accounts not subject to current settlement.

(d) Interest accrued on amounts included in this account when not subject to current settlements.

NOTE A: Accounts with affiliated companies which are subject to current settlements, such as traffic and car-service balances, charges for material and supplies currently furnished, charges for repairs to equipment, etc., shall be classed as current assets or current liabilities, as may be appropriate.

NOTE B: No item shall be included in this account which is not known to be the property of an affiliated company.

NOTE C: The term affiliated companies includes:

1. Controlled companies, including companies solely controlled by the accounting company, and also companies jointed controlled by the accounting company and others under a joint arrangement.

2. Controlling companies, including both companies solely controlling the accounting company, and companies which jointly control the accounting company under a joint arrangement.

3. Companies controlled by controlled companies.

4. Companies controlled by controlling companies.

By "control" is meant the ability to determine the action of a corporation. For the purposes of this account, the following are to be considered forms of control:

(a) Right through title to securities issued or assumed to exercise the major part of the voting power in the controlled corporation.

(b) Right through agreement of some character or through some source other than title to securities, to name the majority of the board of directors, managers, or trustees of the controlled corporation.

(c) Right to foreclose a first lien upon all or a major part in value of the tangible property of the controlled corporation.

(d) Right to secure control in consequence of advances made for construction of the operating property of the controlled corporation.

(e) Right to control only in a specific respect the action of the controlled corporation.

A leasehold interest in the property of a corporation is not to be classed as a form of control over the lessor corporation.

"Sole control" is that which rests in one corporation.

"Joint control" is that which rests in two or more corporations and which is held under a joint arrangement.

§ 10.758 *Loans and bills payable.* This account shall include the balances representing obligations outstanding in the form of loans and bills payable or other similar evidences (except interest coupons) of indebtedness payable on demand or within a time not exceeding one year from date of issue.

This account shall be kept in such form so as to show separately the amounts of notes payable within one year from date of issue that are secured by collateral.

NOTE. This account shall not include obligations which mature more than one year after date of issue, or demand or short-term notes issued to affiliated companies and includible in account 757, "Amounts payable to affiliated companies."

§ 10.759 *Traffic and car-service balances—Cr.* This account shall include the net of the balances receivable from or payable to other companies in the accounts representing interline freight, passenger, and baggage revenues, and charges for equipment interchanged on a per diem or a mileage basis, when such balances result in a net credit.

NOTE A: When the net of the balances is a debit it shall be included in account 713, "Traffic and car-service balances—Dr."

NOTE B: The amount to be entered in this account in the carrier's annual report to the Commission shall be stated in accordance with the text of this account. For convenience in accounting the carrier may maintain currently separate subaccounts under the following captions:

713 and 759 (a) Interline freight, balance,
713 and 759 (b) Interline passenger, balance,
713 and 759 (c) Interline baggage, balance,
713 and 759 (d) Equipment interchanged, balance.

§ 10.760 *Audited accounts and wages payable.* This account shall include the amount of audited vouchers or accounts and audited pay rolls unpaid on the date of the balance sheet. It shall include balances representing unclaimed wages and outstanding pay and time or discharge checks issued in payment of wages and all other unpaid vouchered items.

§ 10.761 *Miscellaneous accounts payable.* This account shall include outstanding drafts drawn by station agents, outstanding drafts drawn on the company in settlement of freight claims, conductors' refund and extra-fare checks not presented for redemption, deposits of affiliated companies subject to current settlement, taxes collected from employees and others for the account of taxing agencies, and other items of the nature of demand liabilities not covered by accounts 758, 759, 760, 762, and 763.

NOTE: The amount to be reported under this account is not the net balance between this account and account 715, "Miscellaneous accounts receivable."

§ 10.762 *Interest matured unpaid.* This account shall include the amount of matured and unpaid interest on funded debt, and other obligations of the accounting company for which provision has been made for current settlement.

Interest which matures on the first day following that for which the balance sheet is made shall be included in this account.

NOTE: Interest matured unpaid on nonnegotiable debt to affiliated companies, if not subject to current settlement, shall be included in account 757, "Amounts payable to affiliated companies."

§ 10.763 *Dividends matured unpaid.* This account shall include the amount of dividends payable on capital stock but unpaid, uncalled for, or unclaimed at the date of the balance sheet.

Dividends which become payable on the first day following that for which the balance sheet is made shall be included in this account.

§ 10.764 *Unmatured interest accrued.* This account shall include the amount of interest subject to current settlement accrued to the date the balance sheet is made but not payable until after the first day following that date on funded securities or obligations, debt in default, receivers' and trustees' securities, amounts payable to affiliated companies, notes payable and other indebtedness issued or assumed by the accounting company.

NOTE A: Interest accrued which is not paid when it matures shall be included in account 769½, "Interest in default," unless provision has been made for current settlement. Where interest is in default, subsequent accruals shall be credited direct to account 769½, "Interest in default."

NOTE B: Interest accrued on amounts recorded in account 757, "Amounts payable to affiliated companies," and not subject to current settlement, shall be included in that account.

§ 10.765 *Unmatured dividends declared.* This account shall include dividends declared on capital stock, but not payable until after the first day following the date of the balance sheet.

§ 10.766 *Accrued accounts payable.* This account shall include estimates of all unaudited items payable by the carrier to the date of the balance sheet, including those which are chargeable to revenue, expense, or income accounts in accordance with § 10.02–2 *Unaudited items affecting operating accounts,* and § 10.06–3 *Unaudited items.* (See also § 10.08–7 *Current assets.*)

Examples, without limitation, of items to be accrued:

Rents payable under leases due subsequent to the date of the balance sheet which are not includible in account 761, "Miscellaneous accounts payable."

Amounts payable to others for unreported interline traffic.

Amounts payable to others for use of facilities, including equipment, for which bills have not been rendered.

Amounts payable to others for services for which bills have not been rendered.

NOTE: Do not include in this account the carrier's estimate of liability in respect of injuries to persons and loss and damage claims. Such estimated liability shall be credited to account 778, "Other unadjusted credits."

[12 F. R. 4452, as amended at 12 F. R. 8348]

§ 10.767 *Taxes accrued.* This account shall be credited with the accruals of all taxes which have been concurrently charged to the appropriate income or other accounts for taxes. Such accruals may be based upon estimates, provided such estimates shall be adjusted so as to reflect in this account at all times the carrier's estimate of its unpaid liability for each of the several classes of taxes which have not been finally settled.

Vouchers for the current payment of taxes, including taxes for which accruals have not been made previously, shall be charged to this account. Taxes paid in advance shall also be charged to this account.

The records supporting the entries in this account shall be kept to show separately by classes of taxes the amount of the tax accruals for the current year and adjustments of accruals for prior years.

§ 10.768 *Other current liabilities.* There shall be included in this account the principal amount of unpresented bonds drawn for redemption through the operation of sinking and redemption fund agreements, also the principal amount of unpresented funded debt obligations, and receivers' and trustees' securities which have matured (for which provision has been made for current settlement), and other current liabilities not covered by accounts 758 to 767, inclusive.

§ 10.769 *Pension and welfare reserves.* This account shall include the credit balances representing the liability of the carrier for amounts provided by charges to operating expenses or by specific appropriations of income or surplus, including amounts contributed by employees, irrespective of whether carried in special funds or in the general funds of the carrier, for pensions, accident and death benefits, savings, relief, hospital, or other provident purposes.

Separate subaccounts shall be kept for each kind of reserve created, and the appropriate reserve shall be charged when payments are made to retired employees, or disbursements are made for the purposes for which the reserves were created.

§ 10.769½ *Interest in default.* This account shall include the amount of matured and unpaid interest (for which no provision has been made for current settlement) on all indebtedness issued or assumed by the accounting company except interest which is added to the principal of the debt on which incurred. Where interest is in default, subsequent accruals shall be credited direct to this account.

§ 10.770 *Other deferred liabilities.* This account shall include items of deferred liabilities not covered by accounts 769 and 769½ such as assessments for public improvements payable over a period longer than one year; retained percentages due contractors to be paid upon completion of contracts; deposits for construction of side tracks to be refunded on basis of an agreed portion of the earnings from the traffic handled over the tracks, and other similar items.

NOTE: The amount of assessments for public improvements, if payments are to be made within one year, shall be included in account 768, "Other current liabilities."

§ 10.772 *Premium on funded debt.* This account shall include the total of the net credit balances in the discount, expense, and premium accounts for the several sub-classes of funded debt. (See § 10.08–3 *Discount, expense, and premium on funded debt.*)

§ 10.773 *Insurance reserves.* This account shall include the net credit balance in the accounts to which are credited insurance premiums concurrently charged to operating expenses to cover self-carried risks on fire, fidelity, boiler, casualty, burglar, and other insurance, and to which are charged losses sustained on items protected by such insurance.

§ 10.773½ *Equalization reserves.* This account shall include ledger balances representing reserves created by charges to operating expenses for maintenance of road and equipment, in accordance with § 10.04–19 *Equalization of maintenance expenses.* The debit or credit balances in this account shall be closed at the end of each calendar year to the accounts through which they were created.

§ 10.774 *Maintenance reserves.* This account shall be credited with amounts systematically reserved by accruals to maintenance of way and structures and maintenance of equipment for deferred maintenance and major repairs to equipment in accordance with § 10.04–25 *Deferred maintenance, and major repairs to equipment.*

When the maintenance work for which provision was made has been performed, the cost of such repairs shall be charged, according to the nature of the repairs to the appropriate primary accounts under maintenance of way and structures and maintenance of equipment. Concurrently this account shall be cleared to the extent that provision has been made herein for such repairs through the accounts originally charged therewith.

NOTE: To the extent that provision is made in this account for deferred maintenance and major repairs to equipment an amount of cash equal thereto shall be deposited in a special account or invested in United States Treasury securities and included in account 704½, "Maintenance funds."

§ 10.778 *Other unadjusted credits.* This account shall include the amount of credit balances in suspense accounts that cannot be cleared and disposed of until additional information is received, such as amounts received from sales of mileage tickets, to be disposed of as mileage is honored; amounts received from sales of excess baggage script, to be disposed of as coupons are honored; interchangeable mileage credential ticket redemption funds; amounts collected from the sale of damaged, unclaimed and overfreight held pending claim; estimated liability for injuries to persons and loss and damage claims; credit balances in clearing accounts, such as "Shop expenses," "Store expenses," "Operating gravel pits," and "Operating quarries"; estimated revenue overcharges such as those covered by reclamation claims or by claims of Governmental departments for the application of land-grant rates instead of commercial rates; unadjusted credit items not otherwise provided for and similar items, the proper disposition of which is uncertain.

NOTE: With respect to injuries to persons and loss and damage claims, if the settlements when audited are charged to this account the balances for each year shall be kept separately until all items have been adjusted and cleared, but, if the settlements when audited are charged to the appropriate expense accounts the balance in this account shall be adjusted through the appropriate expense accounts so as to reflect the probable liability at the close of each year.

§ 10.779 *Accrued depreciation; leased property.* This account shall be credited with amounts concurrently charged to operating expenses or other accounts to cover the estimated accrued depreciation on leased road and equipment when settlements between the accounting company and the lessor are not made currently. (See § 10.05–2 *Leased road and equipment; depreciation.*) It shall also be credited with depreciation accrued on property the cost of which is included in account 702, "Improvements on leased property." When leased property for which accruals have been included in this account is retired from service, the entire service value of property the cost of which has been charged to account 702 by the lessee and the service value of property, the ledger value of which is carried in account 701, "Road and equipment property," by the lessor for which the lessee is liable to the lessor shall be charged to this account.

§ 10.784 *Unearned surplus.* This account shall include all surplus arising from sources other than those classable under profit and loss and earned surplus accounts or other balance sheet accounts for which specific provision is made. Subaccounts shall be maintained as follows:

§ 10.784–1 *Paid-in surplus.* This subaccount shall include such items as

amount of consent dividends on the accounting company's capital stock; surplus arising from donations by the accounting company's stockholders; amounts representing reduction of the par or recorded value of the accounting company's capital stock; amounts of forfeited subscriptions to the accounting company's capital stock; gain from the acquisition, retirement, or resale of reacquired shares of the accounting company's capital stock; and long-term debt of the accounting company forgiven by stockholders.

It shall be charged with amounts included herein when capitalized by stock dividends or otherwise with the approval of the Commission, and losses from retirement or resale of reacquired shares up to an amount not in excess of credits included herein applicable to the reacquired shares; and may be charged with the amortization of discount on capital stock to the extent of credits herein. (See § 10.08–2 *Discount, premium, and assessment on capital stock.*)

§ 10.784–2 *Other unearned surplus.* This subaccount shall include unearned surplus, as above defined, arising from sources other than those enumerated under subaccount 784.1.

§ 10.785 *Earned surplus; appropriated.* This account shall include the total of the net balances of appropriations of income and earned surplus for the acquisition of capital assets; the retirement of debt; sinking and redemption funds; and all other appropriations specifically set aside in the hands of trustees as well as appropriations held in general funds for which no specific investment or segregation of assets has been made. It shall also include accretions to the assets held in such special funds. (See income account 552, "Income applied to sinking and other reserve funds.")

A subdivision of this account shall be maintained by classes of appropriations, the titles of which shall indicate the purpose for which the appropriations were made.

§ 10.786 *Earned surplus; unappropriated.* This account shall include the net balance (debit or credit) of the amounts included in accounts 601 to 621, inclusive. It shall not include transfers either to or from account 784, "Unearned surplus," unless so authorized upon application to the Commission.

The balance of all profit and loss accounts (601 to 621, inclusive) shall be closed into this account at the end of each calendar year.

§ 10.790 *Form of general balance-sheet statement.* The classified form of general balance-sheet statement is designed to show the financial condition of the accounting company at any specified date.

ASSET SIDE

Investments:
- 701. Road and equipment property.
- 702. Improvements on leased property.
- 702½A. Acquisition adjustment.
- 702½B. Donations and grants.

Investment in transportation property.
- 702½C. Accrued depreciation—Road.
- 702½D. Accrued depreciation—Equipment.
- 702½E. Accrued amortization of defense projects—Road.

ASSETS SIDE—continued

Investments—Continued
- 702½F. Accrued amortization of defense projects—Equipment.

Investment in transportation property less recorded depreciation and amortization.
- 703. Sinking funds.
  - Total book assets at date (In short column.)
  - Carrier's own issues at date. (In short column.)
  - Other assets at date. (In long column.)
- 704. Capital and other reserve funds.
  - Total book assets at date. (In short column.)
  - Carrier's own issues at date. (In short column.)
  - Other assets at date. (In long column.)
- 704½. Maintenance funds.
- 705. Miscellaneous physical property.
- 705½. Accrued depreciation—Miscellaneous physical property.

Miscellaneous physical property less recorded depreciation.
- 706. Investments in affiliated companies—
  - (a) Stocks.
  - (b) Bonds.
  - (c) Other secured obligations.
  - (d) Unsecured notes.
  - (e) Investment advances.
- 707. Other investments—
  - (a) Stocks.
  - (b) Bonds.
  - (c) Other secured obligations
  - (d) Unsecured notes.
  - (e) Investment advances.
- 707½. Reserve for adjustment of investment in securities.
  - Total.

Current assets:
- 708. Cash.
- 709. Temporary cash investments.
- 711. Special deposits.
  - Total book assets at date. (In short column.)
  - Carrier's own issues at date. (In short column.)
  - Other assets at date. (In long column.)
- 712. Loans and bills receivable.
- 713. Traffic and car-service balances—Dr.
- 714. Net balance receivable from agents and conductors.
- 715. Miscellaneous accounts receivable.
- 716. Material and supplies.
- 717. Interest and dividends receivable.
- 718. Accrued accounts receivable.
- 719. Other current assets.
  - Total.

Deferred assets:
- 720. Working fund advances.
- 721. Insurance and other funds.
  - Total book assets at date. (In short column.)
  - Carrier's own issues at date. (In short column.)
  - Other assets at date. (In long column).
- 722. Other deferred assets.
  - Total.

Unadjusted debits:
- 723. Prepayments.
- 725. Discount on funded debt.
- 726. Property retired chargeable to operating expenses.
- 727. Other unadjusted debits.
- 728. Securities issued or assumed—Unpledged. (In short column only.)
- 729. Securities issued or assumed—Pledged. (In short column only.)
  - Total.

LIABILITY SIDE

Stock:
- 751. Capital stock—
  - Book liability at date. (In short column.)
  - Held by or for carrier at date. (In short column.)
  - Actually outstanding at date. (In long column.)

LIABILITY SIDE—continued

Stock—Continued
- 752. Stock liability for conversion.
- 753. Premiums and assessments on capital stock.
- 754. Discount on capital stock.
  - Total.

Long term debt:
- 755. Funded debt unmatured—
  - Book liability at date. (In short column.)
  - Held by or for carrier at date. (In short column.)
  - Actually outstanding at date. (In long column.)
- 755½. Debt in default.
- 756. Receivers' and trustees' securities.
- 756½. Equipment obligations.
- 757. Amounts payable to affiliated companies.
  - (a) Notes.
  - (b) Par value of matured funded debt of affiliated companies.
  - (c) Open accounts.
  - (d) Interest accrued on amounts included in this account.
  - Total.

Current liabilities:
- 758. Loans and bills payable.
- 759. Traffic and car-service balances—Cr.
- 760. Audited accounts and wages payable.
- 761. Miscellaneous accounts payable.
- 762. Interest matured unpaid.
- 763. Dividends matured unpaid.
- 764. Unmatured interest accrued.
- 765. Unmatured dividends declared.
- 766. Accrued accounts payable.
- 767. Taxes accrued.
- 768. Other current liabilities.
  - Total.

Deferred liabilities:
- 769. Pension and welfare reserves.
- 769½. Interest in default.
- 770. Other deferred liabilities.
  - Total.

Unadjusted credits:
- 772. Premium on funded debt.
- 773. Insurance reserves.
- 773½. Equalization reserves.
- 774. Maintenance reserves.
- 778. Other unadjusted credits.
- 779. Accrued depreciation—Leased property.
  - Total.

Surplus:
- 784. Unearned surplus. (In long column.)
  - 1. Paid-in surplus. (In short column only.)
  - 2. Other unearned surplus. (In short column only.)
- 785. Earned surplus—Appropriated.
- 786. Earned surplus—Unappropriated.

Total surplus.

TRAIN MILES

§ 10.800 *Rules and definitions.* (a) A train is a unit of equipment, or a combination of units of equipment (exclusive of light locomotives), in condition for movement over tracks by self-contained motor equipment. A locomotive is a self-propelled unit of equipment designed solely for moving other equipment. A light locomotive is a locomotive in condition for movement by its own motor equipment, uncoupled to cars, work equipment, or dead locomotives. A motor car is a self-propelled unit of equipment designed to carry freight or passenger traffic, and is not to be considered a locomotive.

(b) A train-mile is the movement of a train a distance of 1 mile.

(c) In computing train-miles, fractions representing less than one-half mile shall be disregarded and other fractions considered as 1 mile.

(d) Transportation service train-miles shall be based on the actual dis-

tance run between terminals and stations, and shall be computed from the official time-tables or distance tables.

(e) Work service train-miles shall be based on the actual distance run between terminals. When work trains are run between terminals and not ordered to work at some specified point or within specified working limits, the actual miles run shall be allowed to them, the same as to any other class of trains. When ordered to run to a certain point to work at that point or within specified working limits, the actual miles made while under running orders shall be allowed, and in addition an arbitrary mileage of 6 miles per hour for the time working at the point or within the working limits named. In computing such arbitrary mileage, fractions representing less than one-half hour shall be disregarded and other fractions considered as one hour. Constructive miles on the basis of 6 miles per hour shall be allowed trains run for the purpose of removing snow when the actual miles of such trains are less than the constructive miles. No record is required of work-train miles on new roads, road extensions, or portions of such roads or extensions, before the commencement of the regular operation of revenue service trains.

(f) Each train and each section of a train run by a separate train crew shall be considered a separate train, whether hauled by one or more locomotives either the whole distance or a part of the distance between the train terminals. There shall be nothing added to this distance to cover running of locomotives from enginehouses to terminals, doubling hills, running for water, switching, or other work at way stations, or for the service of helper or pusher locomotives or of extra locomotives on double-head or triple-head trains.

(g) When the carrier's trains, hauled by its locomotives and handled by its crews, are detoured over foreign roads, the miles shall be computed on the basis of the miles actually run, and classified by it in its train-miles in accordance with the service performed.

(h) Separate accounts of train-miles shall be kept for trains hauled by locomotives and for trains moved by motor cars.

Train-Mile Accounts

Transportation service [1]

§ 10.801 *Freight-train miles.* This account shall include miles run by all trains between terminals or stations for the transportation of revenue and company freight; also miles run by trains consisting of empty freight cars, and by trains consisting of a locomotive and caboose running light in connection with such service.

Trains which contain passenger-train cars shall be classed as freight trains whenever the number of freight-train cars is in excess of the number of passenger-train cars in them.

Freight-train miles shall be subdivided as follows:

Ordinary freight-train miles: Miles run by trains consisting of a locomotive, with or without caboose, with other equipment.

Light freight-train miles: Miles run by trains consisting of a locomotive and caboose, running light in connection with freight-train service.

§ 10.802 *Passenger-train miles.* This account shall include miles run by revenue service trains to transport passengers, baggage, mail, milk, express, or any combination of these; also miles run by trains consisting of deadhead passenger equipment.

Trains which contain freight-train cars shall be classed as passenger trains whenever the number of passenger-train cars is in excess of the number of freight-train cars in them.

Note: This account does not apply to trains run for the transportation of mail or milk upon the basis of authorized tariffs at rates based upon weight. The miles of such trains shall be classed as freight-train miles.

Work service

§ 10.805 *Work-train miles.* This account shall include miles run by trains engaged in company service, such as official, inspection, and pay trains; inspection trains for railway commissioners for which no revenue is received; trains running special with fire apparatus to save the carrier's property from destruction; trains run for transporting the carrier's employees to and from work when no transportation charge is made; wrecking trains; trains run for the purpose of ditching, filling embankments, and widening cuts; trains run for the purpose of removing snow; trains distributing ties, rails, other track material, ballast, bridge material, and other material and supplies for maintenance or for additions and betterments; trains run for picking up and concentrating such material; and trains run for distributing material and supplies for use in connection with operation.

Note B: The accounting for expenses of work-train service shall be in accordance with paragraph (c) of § 10.01–4 *Cost of construction* and paragraph (c) of § 10.04–3 *Cost of repairs*, and other requirements of the accounting regulations for operating expenses.

Note C: No record is required of the miles of construction trains on new roads or road extensions, or on portions of such roads or extensions, before the commencement of the regular operation of revenue service trains.

Locomotive Miles

§ 10.810 *Rules and definitions.* (a) A locomotive is a self-propelled unit of equipment designed solely for moving other equipment. A locomotive-mile is a movement of a locomotive a distance of 1 mile, under its own power.

(b) In computing locomotive-miles fractions representing less than one-half mile shall be disregarded, and other fractions considered as 1 mile.

(c) All locomotive-miles made in hauling transportation service trains shall be based upon the actual distance run between terminals or stations, and shall be computed from the official time-tables or distance tables as prescribed for train-miles.

(d) Light-locomotive miles shall be based on the actual distance locomotives run, except that no light-locomotive miles shall be allowed for terminal service where the distance in one direction is less than one-half mile.

(e) Miles of locomotives in helper service shall be computed on the basis of actual distance run in such service.

(f) Train switching locomotive-miles shall be computed at the rate of 6 miles per hour for the time actually engaged in such service. In computing such arbitrary mileage fractions representing less than one-half hour shall be disregarded and other fractions considered as one hour.

(g) Yard switching locomotive-miles shall be computed at the rate of 6 miles per hour for the time actually engaged in such service. In computing yard switching locomotive-miles, fractions representing less than one-half hour shall be disregarded, and other fractions considered as one hour.

(h) Work-train locomotive-miles shall be computed according to the rules prescribed for work-train miles. Miles of work locomotives employed in switching at shops for shop purposes, spotting cars in gravel pits, working with pile drivers, etc., shall be computed upon the basis of 6 miles per hour for the actual time in the service. In computing the time engaged fractions representing less than one-half hour shall be disregarded and other fractions considered one hour.

(i) The miles of new or generally repaired locomotives running light in breaking-in service shall not be included in the locomotive-mile accounts.

(j) No record is required of the miles of locomotives in construction service on new roads or road extensions, or on portions of such roads or extensions, before the commencement of the regular operation of revenue service trains.

(k) A separate record shall be kept for miles of steam locomotives and for miles of other locomotives.

(l) Miles of motor cars shall not be classed as locomotive-miles.

Locomotive-Mile Accounts

Transportation service; line [2]

§ 10.811 *Freight locomotive-miles.* This account shall include miles run by locomotives in freight-train service, the train-miles of which are includible in account 801, "Freight-train miles."

Principal freight locomotive-miles: Miles run by locomotives principal to the train, between terminals or stations, with freight trains; also miles run by locomotives between terminals or stations, with cabooses, going to or returning from such service; and miles run in hauling the sec-

[1] These accounts shall include the miles of all revenue service trains, including trains which incidentally carry employees or company freight. They shall also include the miles of trains which are operated between terminals or stations to transport company freight, when the service is similar to that connected with the transportation of commercial freight and statistics of ton-miles are kept.

The trains here referred to are those the locomotive and train expenses of operating which are includible in the locomotive and train expense accounts in § 10.370 *Transportation; rail line.*

[2] This account shall include the miles run by locomotives moving transportation service trains, and also miles run light in connection with such service.

ond cut of freight trains doubled over grades.

Helper freight locomotive-miles: Miles run by locomotives as helpers over the division or that portion covered by the run, or on important grades, including double-headers, triple-headers, and pushers, regardless of whether on the head end, in the middle, or on the rear of the train.

Light freight locomotive-miles: Miles run by locomotives light between terminals or stations in connection with freight-train service on account of unbalanced traffic; miles run light for hauling second cuts of trains doubled; miles run light between freight trains and next coaling station or water tank for coal or water; miles run light to pick up or assist freight trains between terminals; miles run light by grade helpers in returning from assisting freight trains as pushers or double-headers; and miles run light by locomotives coming from or going to enginehouses or turntables from freight-train service.

NOTE. No miles shall be allowed for light movements at terminals if the distance between enginehouses or turntables and freight-train terminals is less than one-half mile.

§ 10.812 *Passenger locomotive-miles.* This account shall include miles run by locomotives in passenger-train service, the train-miles of which are includible in account 802, "Passenger-train miles."

Principal passenger locomotive-miles: Miles run by locomotives principal to the train between terminals or stations, with passenger trains.

Helper passenger locomotive-miles: Miles run by locomotives as helpers over the division, or that portion covered by the run, or on important grades.

Light passenger locomotive-miles: Miles run by locomotives light between terminals or stations on account of unbalanced traffic, in connection with passenger-train service; miles run light between passenger trains and next coaling station or water tank for coal or water; miles run light to pick up or assist a passenger train between terminals; miles run light by grade helpers in returning from assisting passenger trains as pushers or double-headers; and miles run light by locomotives coming from or going to enginehouses or turntables from passenger-train service.

NOTE: No miles shall be allowed for light movements at terminals if the distance between enginehouses or turntables and passenger-train terminals is less than one-half mile.

TRANSPORTATION SERVICE; SWITCHING

§ 10.815 *Train switching locomotive-miles.* This account shall include miles allowed train locomotives for performing switching service at terminals and way stations. Include such items as switching at industry tracks, team tracks, freight house tracks, and interchange tracks; picking up or leaving cars en route; switching out bad order cars, weighing cars, making up or breaking up train at points where no yard service is maintained. No time should be included representing delays that may occur after yard switching has been completed such as waiting for a train order, held up account of meeting with a train in opposite direction, waiting for waybills or other time lost due to conditions other than actual train switching.

§ 10.816 *Yard switching locomotive-miles.* This account shall include miles allowed yard locomotives while switching in yards where regular switching service is maintained; also miles of switching locomotives running light between terminals and yards where regular switching service is mmintained in connection with switching service in such yards. This account shall be subdivided as follows:

Yard switching locomotive-miles; freight: Miles allowed yard locomotives in yards where regular switching service is maintained and in terminal switching and transfer service while engaged in switching cars in connection with the transportation of revenue freight; also miles allowed locomotives in such service while engaged incidentally in switching cars in connection with the transportation of company freight.

Yard switching locomotive-miles; passenger: Miles allowed yard locomotives while switching cars in connection with passenger-train service.

NOTE: Where yard switching is performed for both freight and passenger service by the same locomotive, or by locomotives assigned to one yard, a fair approximation of the mileage may be assigned to each service daily or monthly.

WORK SERVICE

§ 10.817 *Work service locomotive-miles.* This account shall include the actual miles run by locomotives in work-train service as defined in § 10.805; also miles of locomotives engaged solely in shop or material yard switching service.

NOTE A: Miles run by locomotives while engaged incidentally (in connection with regular yard switching service) in switching company material in company shop or material yards, or in switching equipment for repairs between yards and shops, shall be included in account 816, "Yard switching locomotive-miles."

NOTE B: Miles run by locomotives engaged in shop and material yard switching service, if operated by shop employees, shall not be included in this account.

CAR MILES

§ 10.820 *Rules and definitions.* (a) A car-mile is a movement of a unit of car equipment a distance of 1 mile.

(b) In computing car-miles, fractions representing less than one-half mile shall be disregarded, and other fractions considered as 1 mile.

(c) Separate accounts of car-miles shall be kept for the cars in trains hauled by locomotives and for the cars in trains moved by motor cars. The record of car-miles in trains moved by motor cars shall show separately the miles for motor cars and for cars not thus equipped.

CAR-MILE ACCOUNTS

TRANSPORTATION SERVICE

§ 10.821 *Freight-train car-miles.* (a) This account shall include the miles run by freight-train cars (including caboose cars) in transportation service. Such car-miles shall be subdivided as follows:

Loaded (run by loaded freight cars).
Empty (run by empty freight cars).
Caboose (run by caboose cars).

(b) This account shall be so kept as to show miles run in freight trains and in passenger trains separately.

§ 10.822 *Passenger-train car-miles.* (a) This account shall include the actual miles run by passenger-train cars in transportation service. It shall include miles of loaded cars and also of empty cars deadheaded in connection with the service, and shall be subdivided as follows:

(1) *Coaches.* Miles run by coaches and chair cars in which passengers are carried at regular tariff fares without extra charge for space occupied.

(2) *Combination coach cars.* Miles run by combination passenger and baggage, passenger and mail, and passenger and express cars in which passengers are carried at regular tariff fares without extra charge for space occupied.

(3) *Sleeping and parlor cars.* Miles run by sleeping, parlor, and other cars for which an extra fare is charged for space occupied.

(4) *Dining, club, lounge, and observation cars.* Miles run by dining, cafe, and other cars devoted exclusively to the serving of meals and other refreshments and by club, lounge, and observation cars without charge in excess of sleeping or parlor car fares.

(5) *Business cars.* Miles run by all railway business cars operated for the transportation of the carrier's officers and employees.

(6) *Other passenger-train cars.* Miles run by baggage, express, mail, milk, and postal cars, and by cars in which such services are combined. (This class includes no cars intended for the transportation of revenue passengers.)

(b) This account shall be so kept as to show miles run in freight trains and in passenger trains separately.

WORK SERVICE

§ 10.825 *Work service car-miles.* This account shall include miles run by cars in work trains, except by equipment which is designed exclusively for work service, such as snow plows, flangers, derricks, pile drivers, wrecking cranes, tool cars, and camp outfits. (For definition of work train see § 10.805.)

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TITLE 32—NATIONAL DEFENSE

Chapter V—Department of the Army

Subchapter B—Claims and Accounts

PART 536—CLAIMS AGAINST THE UNITED STATES

REIMBURSEMENT TO OWNERS AND TENANTS OF LAND ACQUIRED BY THE DEPARTMENT OF THE ARMY PURSUANT TO PUBLIC LAW 534, 82d CONGRESS

New §§ 536.100 through 536.107 are added to Part 536 as follows:

Sec.
536.100 Statutory provisions.
536.101 Definitions of terms as used in §§ 536.100-536.107.

Sec.
536.102 Scope.
536.103 Delegation.
536.104 Filing of application.
536.105 Limitation of amount of payment.
536.106 Conditions of reimbursements.
536.107 Payment.

AUTHORITY: §§ 536.100 to 536.107 issued under Pub. Law 534, 82d Cong.
SOURCE: Regs., September 26, 1952, ENGCM.

§ 536.100 *Statutory provisions.* The Secretary of the Army is authorized, to the extent he determines to be fair and reasonable, under regulations approved by the Secretary of Defense, to reimburse the owners and tenants of land to be acquired for any public works project of the Department of the Army for expenses and other losses and damages incurred by such owners and tenants, respectively, in the process and as a direct result of the moving of themselves and their families and possessions because of such acquisition of land, which reimbursement shall be in addition to, but not in duplication of, any payments in respect of such acquisition as may otherwise be authorized by law: *Provided*, That the total of such reimbursement to the owners and tenants of any parcel of land shall in no event exceed 25 per centum of the fair value of such parcel of land as determined by the Secretary of the Army. No payment in reimbursement shall be made unless application therefor, supported by an itemized statement of the expenses, losses, and damages so incurred, shall have been submitted to the Secretary of the Army within one year following the date of such acquisition. The authority for reimbursement of owners and tenants for moving costs conferred by section 401 (b) of the act shall be in addition to but not in duplication of authority contained in subsection 501 (b) of the act of September 28, 1951 (65 Stat. 365) (see §§ 536.90 to 536.97) for the reimbursement to owners and tenants of land acquired pursuant to authorization in said act.

§ 536.101 *Definitions of terms as used in §§ 536.100–536.107*—(a) *The act.* Public Law 534, 82d Congress, approved July 14, 1952.

(b) *Owner.* Any owner of land who moves himself, his family, or his possessions because of acquisition of his land for any public works project of the Department of the Army.

(c) *Tenant.* One who under proper authority uses or occupies land and who moves himself, his family, or his possessions because of acquisition of such land for any public works project of the Department of the Army.

(d) *Land to be acquired for any public works project.* Acquisition by the Department of the Army of any interest in land required for military, river and harbor or flood control purposes, except industrial installations not within the boundaries of an authorized multiple ownership project being acquired under circumstances similar to those involved in the normal acquisition of property for an airfield, camp or reservoir.

(e) *Industrial installations.* Any unit of real property which when acquired by the United States is being used or is useful for the production of matériel, munitions and supplies or for industrial research and development.

(f) *Date of acquisition.* The date on which title to land being acquired vests in the United States or the date on which the temporary term commences if a possessory interest only is being acquired.

(g) *Fair value.* The value of the land as determined in accordance with Department of the Army appraisal procedure.

§ 536.102 *Scope.* Pursuant to the provisions of the act, reimbursement may only be made to the extent determined fair and reasonable for items of expense and other losses and damages incurred by owners or tenants in the process and as a direct result of the moving of themselves and their families and possessions. The types of reimbursable items and non-reimbursable items hereinafter described are not intended to be exclusive.

(a) Types of reimbursable items:

(1) Moving expenses, such as costs of transportation, insurance, crating and uncrating.

(2) Temporary storage expenses.

(3) Expenditures for obtaining new site or land such as cost of appraisals, surveys, and title searches, where such expenses are normally borne by the purchaser. This does not include any part of the purchase price for the new site or any expenditures for the purpose of adding to the value or utility of the new site.

(b) Types of non-reimbursable items:

(1) Costs of conveying property to the Government.

(2) Consequential damages or losses, such as as loss of good will, loss of profits, loss of trained employees, or expenses of sales and losses because of such sales.

§ 536.103 *Delegation.* Authority is delegated to the Chief of Engineers, Department of the Army, and such of his officers or employees in the Office, Chief of Engineers, as he may designate and are approved by the Secretary of the Army to perform all functions and make all determinations which are authorized to be performed by the Secretary of the Army with respect to reimbursement under the provisions of section 401 (b), of the act.

§ 536.104 *Filing of application.* All applications for reimbursement will be filed with the appropriate Division or District Engineer, Corps of Engineers, Department of the Army, for forwarding to the Chief of Engineers for final action. Such applications must be delivered to or mailed to such Division or District Engineer within one year from the date of acquisition and must be supported by an itemized statement of the expenses, and the losses and damages incurred and for which reimbursement is requested.

§ 536.105 *Limitation of amount of payment.* The act provides that the total amount of reimbursement to all owners and tenants of any parcel of land shall not exceed 25 percent of the fair value of such parcel of land. In the event that the approved amount of reimbursement for all owners and tenants exceed 25 percent of the fair value of the land, each applicant will receive the same proportion of the 25 percent of the fair value as the approved amount for each application is of the total amount approved for all applications.

§ 536.106 *Conditions of reimbursement.* In determining whether reimbursement will be made and the extent and amount thereof, consideration will be given to the following:

(a) Reimbursement shall not be made unless and until reasonable proof of the expenses or other losses and damages incurred, in the form of receipts therefor or the next best evidence thereof when receipts are not available, have been submitted.

(b) Reimbursement shall not be made to the extent the applicant's negligence, or wrongful act has contributed to the amount of the expenses, losses or damages.

(c) Reimbursement shall not be made for expenses, losses or damages which were allowed in establishing the compensation paid or to be paid for the interest acquired in the land.

§ 536.107 *Payment.* Appropriate action will be taken to accomplish payment in accordance with prescribed procedure and regulations. Reimbursement will be made from funds appropriated to the Department of the Army pursuant to any act authorizing civil or military public works projects for the Department of the Army, to the extent available.

NOTE: The regulations contained in §§ 536.100–536.107 were approved by the Secretary of Defense on October 17, 1952.

[SEAL] WM. E. BERGIN,
Major General, U. S. Army,
The Adjutant General.

[F. R. Doc. 52-12057; Filed, Nov. 10, 1952; 8:53 a. m.]

Chapter VI—Department of the Navy

Subchapter C—Personnel

PART 723—BOARD FOR THE CORRECTION OF NAVAL RECORDS

Part 723 is revised to read as follows:

Sec.
723.1 General provisions.
723.2 Establishment, function, and jurisdiction of the Board.
723.3 Application for correction.
723.4 Entitlement to hearing; notice; counsel; witnesses; access to records.
723.5 Hearing.
723.6 Action by the Board.
723.7 Action by the Secretary.
723.8 Staff action.
723.9 Reconsideration.
723.10 Settlement of claims.
723.11 Miscellaneous.

AUTHORITY: §§ 723.1 to 723.11 issued under sec. 207, 60 Stat. 837 as amended, 65 Stat. 655; 5 U. S. C. 191a.

§ 723.1 *General provisions*—(a) *Purpose.* This part establishes procedures for making application, and the consideration of applications, for the correction of Navy and Marine Corps records (hereinafter referred to as naval rec-

ords) by the Secretary of the Navy acting through the Board for Correction of Naval Records (hereinafter referred to as the Board).

(b) *Authority.* Section 131 of the Legislative Reorganization Act of 1946 (60 Stat. 831) provides that no private bill or resolution, and no amendment to any bill or resolution, authorizing or directing the correction of military or naval records shall be received or considered in either the Senate of the House of Representatives. Section 207 of the same act, as amended (65 Stat. 655), provides:

(a) The Secretaries of the Army, Navy, and Air Force and the Secretary of the Treasury (with respect to the Coast Guard), respectively, under procedures set up by them, and acting through boards of civilian officers or employees of their respective Departments, are authorized to correct any military or naval record where in their judgment such action is necessary to correct an error or remove an injustice, and corrections so made shall be final and conclusive on all officers of the Government except when procured by means of fraud: *Provided*, That procedures set up by the Secretaries of the Army, Navy, and Air Force in accordance with this subsection shall be approved by the Secretary of Defense: *Provided further*, That no corrective action shall be taken under this subsection unless the request therefor be filed by claimant, his heirs at law, or legal representatives within three years after his or their discovery of the alleged error or injustice, or within ten years after the date of enactment of this act, whichever be the later: *Provided further*, That the failure to file the request by claimant, his heirs at law, or legal representative, within three years after his or their discovery of the alleged error or injustice may be excused by such board of civilian officers or employees of the respective Departments upon finding by it that it is in the interest of justice to excuse such failure to file within the prescribed time in which event action shall be taken in the same manner as if the request had been filed within the three years as prescribed herein.

(b) The Department concerned is authorized to pay, out of applicable current appropriations, claims of any persons, their heirs at law or legal representatives as hereinafter provided, of amounts paid as fines, forfeitures, or for losses of pay (including retired or retirement pay), allowances, compensation, emoluments, or other monetary benefits, as the case may be, which are found to be due on account of military or naval service as a result of the action heretofore taken pursuant to section 207 of the Legislative Reorganization Act of 1946, or hereafter taken pursuant to subsection (a) of this section: *Provided*, That in the case of deceased persons where no demand is presented by a duly appointed legal representative of the estate, payments otherwise due hereunder shall be made to the decedent's widow, widower, legal heirs, or beneficiaries, in the order of precedence or succession as may be prescribed by the applicable provisions of law relating to the kind of payment involved and when not otherwise so provided, in the order of precedence as set forth in the act of February 25, 1946 (60 Stat. 30), or as may be prescribed by the applicable provisions of law relating to the kind of payment involved.

(1) This subsection shall not be deemed to authorize the payment of any claim heretofore compensated by Congress through enactment of a private law.

(c) The acceptance by the claimant of any settlement made pursuant to subsection (b) of this section shall constitute a complete release by the claimant of any claim against the United States on account of such correction of record.

(d) Applicable current appropriations shall be available for payment of such sums as may be due for continuing the pay (including retired or retirement pay), allowances, compensation, emoluments, and other monetary benefits to persons who shall have received payment pursuant to the provisions of subsection (b) of this section and who may be entitled to such continuing payments as a result of the correction of their military or naval records: *Provided*, That continuing payments are authorized to be made to such personnel for not more than one year following the date of the correction or one year following the date of enactment of this Act, whichever be the later, without the necessity of reenlistment, appointment, or reappointment to the grade, rank, or office to which such pay (including retired or retirement pay), allowances, compensation, emoluments, and other monetary benefits are attached, and such reenlistments, appointments, and reappointments are hereby authorized by the Secretary concerned without regard to other qualifications.

(e) The Secretary of Defense and the Secretary of the Treasury, for their respective Departments, shall make semiannual reports to the Congress of all claims paid under this subsection during the period covered by each such report. Each such report shall include, with respect to each such claim, a statement of the amount paid, to whom, and a brief description of the claim.

(f) Nothing in this Act shall be construed to authorize the payment of any amount as compensation for any benefit to which the claimant might subsequently become entitled under the laws and regulations administered by the Administrator of Veterans' Affairs.

§ 723.2 *Establishment, function and jurisdiction of the Board.*—(a) *Establishment and composition.* (1) Pursuant to the provisions of section 207 of the Legislative Reorganization Act of 1946, as amended, the Board for Correction of Naval Records is established in the Office of the Secretary of the Navy.

(2) The Board will consist of civilian officers or employees of the Department of the Navy in such number, not less than three, as may be appointed by the Secretary of the Navy. Three members present shall constitute a quorum of the Board. The Secretary of the Navy will designate one member as the Chairman. In the event of absence or incapacity of the Chairman, an Acting Chairman chosen by the Board shall act as Chairman for all purposes.

(b) *Function.* The function of the Board is to consider all applications properly before it for the purpose of determining the existence of an error or an injustice and to make appropriate recommendations to the Secretary of the Navy.

(c) *Jurisdiction.* The Board shall have jurisdiction to review and determine all matters properly brought before it, consistent with existing law.

§ 723.3 *Application for correction.*—(a) *General requirements.* (1) The application for correction should be submitted on DD Form 149 (Application for Correction of Military or Naval Records) or exact facsimile thereof, and should be addressed to: The Secretary of the Navy (Board for Correction of Naval Records), Washington 25, D. C. Forms and explanatory matter may be obtained from: Board for Correction of Naval Records, Navy Department, Washington 25, D. C.

(2) Except as provided in subparagraph (3) of this paragraph, the application shall be signed by the person requesting corrective action with respect to his record and will either be sworn to or will contain a provision to the effect that the statements submitted in the application are made with full knowledge of the penalty provided by law for making a false statement or claim. (Title 18, U. S. Code, secs. 287, 1001).

(3) When the record in question is that of a person who is incapable of making application himself, or whose whereabouts is unknown, or when such person is deceased, for the purpose of bringing the matter before the Board the application may be made (except where compliance with the provisions of the law with respect to time limitations for filing an application may require otherwise) by such person as the Board shall determine to be competent and suitable and to have a proper interest therein, including but not limited to, a spouse, a parent, or relative. Such proof of suitability and proper interest shall be submitted as may be required by the Board.

(b) *Time limit for filing application.* The claimant, his heirs at law, or legal representatives, must file a request for correction of a record with the Secretary of the Navy prior to October 25, 1961, or within three years of discovery of the alleged error or injustice, whichever be the later. The failure to file such request within the time prescribed may be excused by the Board on its finding that it is in the interest of justice to do so.

(c) *Exhaustion of other remedies.* No application will be considered until the applicant has exhausted all effective administrative remedies afforded him by existing law or regulations, and such legal remedies as the Board shall determine are practical and appropriately available to the applicant.

(d) *Other proceedings not stayed.* The application to the Board for correction of a record shall not operate as a stay of any proceedings being taken with respect to the person involved.

(e) *Denial of application.* It shall be adequate ground for denial of any application that a sufficient basis for review has not been established or that effective relief cannot be granted.

§ 723.4 *Entitlement to hearing; notice; counsel; witnesses; access to records.*—(a) *Entitlement to hearing.* When an application has been found to be within the jurisdiction of the Board and sufficient evidence has been presented indicating probable error or injustice, the applicant will be entitled to a hearing before the Board either in person or by counsel of his own selection or in person with counsel.

(b) *Notice.* (1) In each case in which a hearing is authorized, the Board will transmit to the applicant and counsel, if any, a written notice stating the time and place of hearing. The notice will be mailed to the applicant and counsel, if any, at least thirty days prior to the date of hearing, except that an earlier date may be set where the appli-

cant waives his right to such notice in writing.

(2) Upon receipt of notice of hearing, the applicant will notify the Board in writing at least 15 days prior to the date set for hearing as to whether he will be present at the hearing and will indicate to the Board the name of counsel, if represented by counsel, and the names of such witnesses as he may intend to call in his behalf. Cases in which the applicant notifies the Board that he does not desire to be present at the hearing, will be considered in accordance with § 723.5 (b) (2).

(c) *Counsel, definition of.* As used in this part, the term "counsel" will be construed to include members in good standing of the Federal Bar or the Bar of any State, accredited representatives of veterans organizations recognized by the Veterans Administration under section 200 of the act of June 29, 1936 (38 U. S. C. 101), and such other persons who, in the opinion of the Board, are considered to be competent to present equitably and comprehensively the request of the applicant for correction, unless barred by law.

(d) *Witnesses.* The applicant will be permitted to present witnesses in his behalf at hearings before the Board. It will be the responsibility of the applicant to notify his witnesses and to arrange for their appearance at the time and place set for hearing.

(e) *Access to records.* (1) The applicant shall have access to such official records as are deemed necessary to an adequate presentation of his case. It will be the responsibility of the applicant to procure such evidence not contained in the official records of the Department of the Navy as he desires to present in support of his case.

(2) Classified or privileged matter shall not be disclosed or made available without express finding of the Chairman that such disclosure is required in the case and is not detrimental to the public interest. Such disclosure must be in accordance with law and departmental regulations concerning the security of classified material. When appropriate the applicant may be supplied only with a summary or extract of classified matter.

§ 723.5 *Hearing*—(a) *Convening of Board.* The Board will be convened at the call of the Chairman and will recess or adjourn at his order.

(b) *Conduct of hearing.* (1) The hearing shall be conducted by the Chairman, and shall be subject to his rulings so as to insure a full and fair hearing. The Board shall not be limited by legal rules of evidence but shall maintain reasonable bounds of competency, relevancy, and materiality.

(2) If the applicant, after being duly notified, has indicated to the Board that he does not desire to be present or to be represented by counsel at the hearing, the Board will consider the case on the basis of all the material before it, including, but not limited to, the application for correction filed by the applicant, any documentary evidence filed in support of such application, any brief submitted by or in behalf of the applicant, and all available pertinent records.

(3) If the applicant, after being duly notified, has indicated to the Board that he will be present or be represented by counsel at the hearing, and without good cause and timely notice to the Board, he or his representative fails to appear at the time and place set for the hearing, the Board may consider the case in accordance with the provisions of subparagraph (2) of this paragraph, or will make such other disposition of the case as is indicated under the circumstances.

(4) All testimony before the Board shall be given under oath or affirmation. The proceedings of the Board and the testimony given before it will be recorded verbatim.

(c) *Continuance.* The Board may continue a hearing on its own motion. A request for continuance by or in behalf of the applicant may be granted by the Board if a continuance appears necessary to insure a full and fair hearing.

§ 723.6 *Action by the Board*—(a) *Deliberations, findings, decisions, and recommendations.* (1) Only members of the Board and its staff shall be present during the deliberations of the Board.

(2) Whenever, during the course of its review of the case, it appears to the Board's satisfaction that the facts have not been fully and fairly disclosed by the records or by the testimony and other evidence before the Board, the Board may require the applicant to obtain, or the Board may obtain, such further information as it may consider essential to a complete and impartial determination of the facts and issues.

(3) Following a hearing, the Board will make written findings, decisions, and recommendations. A majority vote of the members present on any matter before the Board will constitute the action of the Board and shall be so recorded.

(4) Where the Board deems it necessary to submit comments or recommendations to the Secretary of the Navy as to matters arising from but not directly related to the issues of any case, such comments and recommendations shall be the subject of separate communication.

(b) *Minority report.* In case of a disagreement between members of the Board a minority report may be submitted, either as to the findings, decision, or the recommendations or to all, including the reasons therefor.

(c) *Record of proceedings.* When the Board has completed its proceedings, a record thereof shall be prepared. Such record shall indicate whether or not a quorum was present at the hearing and at the Board's deliberations. The record shall include the application for relief, a transcript of any testimony, affidavits, papers, and documents considered by the Board, briefs and written arguments filed in the case, the findings, decision and recommendations of the Board and all other papers, documents, and reports necessary to reflect a true and complete history of the proceedings. The record so prepared will be certified by the Chairman or his designee as being true and complete.

(d) *Withdrawal.* The Board may permit an applicant to withdraw his application without prejudice at any time before its proceedings are forwarded to the Secretary of the Navy.

§ 723.7 *Action by the Secretary.* The record of proceedings of the Board will be forwarded to the Secretary of the Navy who will direct such action in each case as he determines to be appropriate, which may include the return of the record to the Board for further consideration when deemed necessary.

§ 723.8 *Staff action.* (a) Upon final action by the Secretary of the Navy, the record of proceedings shall be returned to the Board for disposition. The Board shall transmit the decision previously submitted and approved by the Secretary of the Navy to the proper naval authority for appropriate action.

(b) The addresses of such decisions shall report compliance therewith to the Chairman of the Board.

(c) The Board shall transmit a copy of the record of proceedings to the proper naval authority for filing in the service record of the subject of the application except where the effect of such action would be to nullify the relief granted. In such cases no reference to the Board's decision shall be made in the service record or files of the applicant and all copies of the record of proceedings and any related papers shall be forwarded to the Board and by it retained in a confidential file maintained for the purpose. Access to such file shall be had only upon written order of the Secretary of the Navy.

(d) Upon receipt of the record of proceedings after final action by the Secretary of the Navy, the Board shall communicate the decision to the applicant and his counsel, if any.

(e) The applicant shall not be entitled to copies of the record of proceedings, but such record shall be made available for his inspection except where, in the discretion of the Chairman, it is detrimental to the public interest.

§ 723.9 *Reconsideration.* After final adjudication further hearing before the Board will be granted only upon presentation by the applicant of newly discovered relevant evidence not previously considered by the Board and then only upon recommendation of the Board and approval by the Secretary of the Navy.

§ 723.10 *Settlement of claims*—(a) *Authority.* (1) The Department of the Navy is authorized to settle and pay claims for amounts paid as fines or forfeitures or for losses of pay (including retired or retirement pay), allowances, compensation, emoluments, or other monetary benefits as the case may be which are found to be due, under applicable provisions of law, on account of naval service, and as the result of action heretofore or hereafter taken under section 207 of the Legislative Reorganization Act of 1946, as amended, except as provided in subparagraph (2) of this paragraph.

(2) The Department of the Navy is not authorized to pay any claim heretofore compensated by Congress through enactment of a private law, or to pay any amount as compensation for any benefit to which the claimant might subsequently become entitled under the laws and regulations administered by the Administrator of Veterans' Affairs.

(b) *Application for settlement.* (1) Settlement and payment of claims shall be made only upon a claim of the person whose record has been corrected or of his legal representative, his heirs at law, or his beneficiaries. Such claim for settlement and payment may be filed as a separate part of the application for correction of the record.

(2) In case the person whose record has been corrected is deceased, and where no demand is presented by a duly appointed legal representative of the estate, payments otherwise due shall be made to the decedent's widow, widower, legal heirs, or beneficiaries, in the order of precedence or succession as may be prescribed by the applicable provisions of law relating to the kind of payment involved and when not otherwise so provided, in the order of precedence as set forth in the act of February 25, 1946 (60 Stat. 30), or as may be prescribed by the applicable provisions of law relating to the kind of payment involved.

(3) Upon request, the applicant or applicants shall be required to furnish requisite information to determine their status as proper parties to the claim for purposes of payment under applicable provisions of law.

(c) *Settlement.* (1) Settlement of claims shall be upon the basis of the decision and recommendations of the Board, as approved by the Secretary of the Navy. Computation of the amounts due shall be made by the appropriate disbursing activity. In no case will the amount found due exceed the amount which would otherwise have been paid or have become due under applicable laws had no error or injustice occurred. To the extent authorized by law and regulations, amounts found due may be reduced by the amount of any existing indebtendess to the Government arising from naval service.

(2) Prior to or at the time of payment, the person or persons to whom payments are to be made shall be advised by the disbursing activity as to the nature and amount of the various benefits represented by the total settlement, and shall be advised further that acceptance of such settlement shall constitute a complete release by the claimants involved of any claim against the United States on account of the correction of the record.

(d) *Report of settlement.* (1) In every case where payment is made, the amount of such payment and the names of the payee or payees, shall be reported to the Chairman of the Board.

(2) The Chairman of the Board shall make a semi-annual report to the Secretary of the Navy of all claims paid during the period covered by the report, including a statement of the amount paid, the names of the payee or payees and a brief description of the claim in each case.

§ 723.11 *Miscellaneous*—(a) *Staff assistance.* The facilities of all bureaus; offices and boards of the Navy Department shall be made available to the Board to assist it in the performance of its function.

(b) *Expenses.* No expenses of any nature whatsoever voluntarily incurred by the applicant, his counsel, his witnesses, or by any other person in his behalf, will be paid by the Government.

(c) *Changes in procedures.* The Board may initiate recommendations for such changes in procedures as established herein as may be considered necessary for the proper functioning of the Board. Such changes will be subject to the approval of the Secretary of the Navy and of the Secretary of Defense.

The regulations contained in this part were approved by the Acting Secretary of Defense on September 29, 1952, and became effective on that date.

Dated: November 3, 1952.

[SEAL] DAN A. KIMBALL,
Secretary of the Navy.

[F. R. Doc. 52-12022; Filed, Nov. 10, 1952; 8:45 a. m.]

TITLE 32A—NATIONAL DEFENSE, APPENDIX

Chapter III—Office of Price Stabilization, Economic Stabilization Agency

[Ceiling Price Regulation 17, Supplementary Regulation 10, Interpretation 1]

CPR 17—GASOLINES, NAPHTHAS, FUEL OILS AND LIQUIFIED PETROLEUM PRODUCTS, NATURAL GAS, PETROLEUM GAS, CASINGHEAD GAS AND REFINERY GAS

SR 10—SPECIFIC CEILING PRICES FOR MIDDLE DISTILLATES ON THE EAST COAST

INT. 1—DETERMINATION OF PRICES AT TANK CAR AND OTHER LEVELS (SECTION 2)

Several questions have been raised as to the proper interpretation of the pricing provisions of Supplementary Regulation 10 to Ceiling Price Regulation 17.

Section 2 (a) of SR 10 establishes ceiling prices at East Coast ports for tank car or transport truck delivery for sale to resellers. The phrase "tank car or transport truck deliveries" refers to the level of sales as distinguished from the method of delivery. While the method of delivery is ordinarily determinative of the level of sale it is not necessarily so.

Section 2 (d) (2) permits the addition to the ceiling prices set forth in sections 2 (a), (b), and (c) of 0.15 cents per gallon on sales by operators of terminals or refineries and by bulk plant operators to others than bulk plant operators, but this 0.15 cents per gallon may not be added on sales to resellers at the tank car or transport truck level. The 0.15 cents per gallon cannot be added by either a terminal or refinery operator or a bulk plant operator on sales to a dealer who uses bulk storage in the regular conduct of his kerosene and fuel oil business, unless, despite such dealer's maintenance of storage facilities, his supplier has customarily classified and treated him from the standpoint of price as a purchaser at the tank wagon level as distinguished from a purchaser at the tank car or transport truck level. If the dealer's bulk plant is not used or is used for other purposes than storage and distribution he is not a bulk plant operator and may be charged the 0.15 cents per gallon.

Section 4 of Supplementary Regulation 10 requires the preservation of customary differentials, discounts and allowances in effect during the base period. If the ceiling price established under SR 10 properly includes the 0.15 cents per gallon allowable on sales to other than bulk plant operators, customary differentials, discounts and allowances must be made from that ceiling price. For example, if a reseller not operating a bulk plant and not taking in tank car or transport truck lots has customarily bought on the basis of tank car prices his supplier may add the 0.15 cents per gallon to his price. However, having done so, he must reduce the price by any differentials, discounts or allowances that were customarily granted that reseller.

Under section 2 (d) (1) resellers of products obtained from terminals and refineries may raise their prices to ultimate consumers by the amount of the increase allowable to their suppliers under SR 10 regardless of whether they have actually paid their suppliers that increase. In any case, the ceiling price on any sale to any ultimate consumer is the appropriate, specific ceiling set forth in sections 2 (a), 2 (b) or 2 (c) plus 0.15 cents per gallon.

(Sec. 704, 64 Stat. 816, as amended; 50 U. S. C. App. Sup. 2154)

HERBERT N. MALETZ,
Chief Counsel,
Office of Price Stabilization.

NOVEMBER 7, 1952.

[F. R. Doc. 52-12105; Filed, Nov. 7, 1952; 4:36 p. m.]

[Ceiling Price Regulation 34, Supplementary Regulation 8, Revision 1]

CPR 34—SERVICES

SR 8—POWER LAUNDRIES IN COOK COUNTY, ILLINOIS

Pursuant to the Defense Production Act of 1950, as amended, Executive Order 10161 (15 F. R. 6105), and Economic Stabilization Agency General Order No. 2 (16 F. R. 738), this Revision 1 to Supplementary Regulation 8 to Ceiling Price Regulation 34 is hereby issued.

STATEMENT OF CONSIDERATIONS

This revision of Supplementary Regulation 8 to Ceiling Price Regulation 34 permits power laundries in Cook County, Illinois, to increase by ten percent the ceiling prices of their power laundry services. This revised supplementary regulation does not permit the increase to be applied to diaper supply, linen supply and dry cleaning services of such laundries.

Because of a decrease in earnings due to sharply increased costs resulting from authorized wage increases, Supplementary Regulation 8 to Ceiling Price Regulation 34 which was issued November 21,

1951, authorized power laundries in Cook County, Illinois, to increase their ceiling prices by five percent. The adjustment was based on financial data for fiscal periods beginning in 1949 and ending June 1951. However, since the original issuance of Supplementary Regulation 8, despite some volume increases, further increases in costs arising out of additional wage increases are causing the power laundries in Cook County, Illinois, to show a loss for 1952 as against a profit for 1949.

Under the provisions of this revision the power laundries in Cook County, Illinois, are permitted to increase the ceiling prices which they established prior to the five percent increase, or sections 20 (a), 20 (b), or 20 (c) of Ceiling Price Regulation 34, by 10 percent.

In the judgment of the Director of Price Stabilization the price increases permitted by this revised supplementary regulation are the minimum needed to permit the continued supply of this service.

In the formulation of this revision, the Director has consulted insofar as practicable with representative suppliers of these services, including representatives of trade associations, and consideration has been given to their recommendations. In the judgment of the Director of Price Stabilization the increases permitted by this revision are generally fair and equitable and are necessary to effectuate the purposes of Title IV of the Defense Production Act of 1950, as amended.

REGULATORY PROVISIONS

Sec.
1. Purpose.
2. Relationship to Ceiling Price Regulation 34.
3. Ceiling prices.
4. Application of section 20 of Ceiling Price Regulation 34.
5. Definitions.

AUTHORITY: Sections 1 to 5 issued under sec. 704, 64 Stat. 816, as amended; 50 U. S. C. App. Sup. 2154. Interpret or apply Title IV, 64 Stat. 803, as amended; 50 U. S. C. App. Sup. 2101–2110, E. O. 10161, Sept. 9, 1950, 15 F. R. 6105; 3 CFR 1950 Supp.

SECTION 1. *Purpose.* This revised supplementary regulation permits power laundries in Cook County, Illinois, to increase by ten percent their charge for power laundry services, except diaper supply, linen supply, and dry cleaning services. This increase is in lieu of the increase previously permitted by Supplementary Regulation 8 of Ceiling Price Regulation 34, as amended, and is not in addition thereto.

SEC. 2. *Relationship to Ceiling Price Regulation 34.* All provisions of Ceiling Price Regulation 34, as amended, unless changed by the provisions of this revised supplementary regulation as provided in sections 3 and 4 of this regulation remain in effect.

SEC. 3. *Adjustment of ceiling prices.* You may, to the extent you supply power laundry services in Cook County, Illinois, increase your ceiling prices by ten percent for power laundry services, except diaper supply, linen supply and dry cleaning services thus supplied, by either of the following methods:

(a) You may apply such an adjustment to the total amount of each invoice rendered to the customer, provided you shall clearly write or stamp beside the adjustment on each such invoice the words "OPS permitted price increase." If you use this method of applying your price increase you need not make the supplementary filing required by section 18 (c) of Ceiling Price Regulation 34.

(b) You may, in lieu of the method provided in paragraph (a) of this section, increase by ten percent the flat prices of each power laundry services article, except a diaper supply, linen supply and dry cleaning service article. Within ten days after your prices are established under this paragraph, you must prepare and file with your district office of the Office of Price Stabilization a supplemental statement as required under section 18 of Ceiling Price Regulation 34. You may not price under paragraph (a) of this section once you have elected to price under this paragraph (b).

(c) If the increase computed in paragraphs (a) or (b) of this section results in a fraction of a cent, the ceiling price must be decreased to the next lower cent if the fractional cent is less than one-half cent, or may be increased to the next higher cent if the fraction is one-half cent or more.

SEC. 4. *Application of section 20 of Ceiling Price Regulation 34.* No seller of power laundry services subject to this revised supplementary regulation may, after the effective date of this regulation, obtain an increase in his ceiling prices for such power laundry services, except diaper supply, linen supply and dry cleaning services, under either section 20 (a), 20 (b) or 20 (c) of Ceiling Price Regulation 34. All orders establishing ceiling prices for any power laundry subject to this revised supplementary regulation issued under either section 20 (a), 20 (b) or 20 (c) of Ceiling Price Regulation 34 are hereby revoked, upon the effective date of this regulation.

SEC. 5. *Definitions.* (a) "Power laundry" or "power laundries" as used in this regulation are laundries which in the laundry trade are customarily known and designated as such, and do not include hand laundries, launderettes or laundries using home-type laundry equipment to supply laundry service.

Effective date. This revised supplementary regulation shall become effective November 7, 1952.

NOTE: The reporting requirements of this regulation have been approved by the Bureau of the Budget in accordance with the Federal Reports Act of 1942.

JOSEPH H. FREEHILL,
Acting Director of Price Stabilization.

NOVEMBER 7, 1952.

[F. R. Doc. 52-12091; Filed, Nov. 7, 1952; 4:00 p. m.]

[Ceiling Price Regulation 34, Amdt. 1 to Supplementary Regulation 10]

CPR 34—SERVICES

SR 10—LAUNDRIES IN DADE COUNTY, FLORIDA

CLARIFICATION

Pursuant to the Defense Production Act of 1950, as amended, Executive Order 10161, and Economic Stabilization Agency General Order No. 2, this Amendment to Supplementary Regulation 10 to Ceiling Price Regulation 34 is hereby issued.

STATEMENT OF CONSIDERATIONS

This Amendment 1 to Supplementary Regulation 10 to Ceiling Price Regulation 34 clarifies and adds to the list of definitions contained in section 4 of this supplementary regulation. In addition, it clearly sets forth the applicability of the supplementary regulation to the services performed by independent routemen and stores who are known in the laundry and dry cleaning industry as "bobtailers." These bobtailers deal directly with hotels in picking up hotel flat work items which are then processed by sellers of wholesale laundering services. The processed flat work is paid for by the bobtailer at a discount from the laundry's normal wholesale price. This customary discount is the differential established under section 16 of Ceiling Price Regulation 34 as amended. The bobtailer's selling price to the hotels is traditionally the same as the laundry's normal wholesale selling price for similar service to hotels. Some question has arisen as to whether sales to the hotels by these so-called bobtailers is within the coverage of Supplementary Regulation 10. To clarify this point a new sentence is added to section 1 specifically designating bobtailers as sellers of wholesale laundry service to hotels. This amendment will maintain traditional laundry and dry cleaning industry price relationships and is consistent with industry practice.

In addition, doubt has been expressed as to the meaning of the term "each pickup" contained in paragraph (a) of section 3 and subparagraph (a) (2) of section 4, some sellers contending that there was no limit placed on the number of pickups which could be made daily. In order to indicate that the additional charge for the first 50 pounds of each pickup of hotel flat work permitted by section 3 should be made on the basis of one pickup per day, an express limitation to that effect is included in that section. Corresponding changes have been made in the list of definitions contained in section 4.

Wholesale laundry service sellers remain subject to the provisions of Ceiling Price Regulation 34, including section 16 thereof, and their increased ceiling prices under this supplementary regulation must reflect their customary price differentials, including discounts to bobtail sellers.

In the formulation of this amendment there has been consultation with industry representatives, including trade as-

sociation representatives, to the extent practicable, and consideration has been given to their recommendations.

AMENDATORY PROVISIONS

Supplementary Regulation 10 to Ceiling Price Regulation 34 is amended in the following respects:

1. Section 1 is amended by adding at the end thereof a new sentence to read as follows: "For the purpose of this regulation bobtail sellers are considered to be sellers of wholesale laundering service."

2. Paragraph (a) of section 3 is amended by adding at the end thereof a new sentence to read as follows: "However, the 8¢ per initial 50 pounds charge is limited to the first 50 pounds of flat work picked up on any one day."

3. A new subparagraph (3) is added to paragraph (a) of section 4 to read as follows:

(3) "Bobtail sellers" means a separate class of purchaser and reseller of wholesale laundering services, consisting of independent routemen and stores, not employed or owned by a laundry furnishing wholesale services to hotels, which purchases such wholesale laundering services from a wholesale laundry service seller at a discount and resells these services to its own customers at the same prices that the wholesale laundry itself would have charged the same class of purchaser for the same services. Bobtail sellers do not ordinarily engage in processing operations.

(Sec. 704, 64 Stat. 816, as amended; 50 U. S. C. App. Sup. 2154)

Effective date. This amendment to Supplementary Regulation 10 to Ceiling Price Regulation 34 is effective November 10, 1952.

JOSEPH H. FREEHILL,
Acting Director of Price Stabilization.

NOVEMBER 10, 1952.

[F. R. Doc. 52-12130; Filed, Nov. 10, 1952; 11:13 a. m.]

[Ceiling Price Regulation 34, Supplementary Regulation 25]

CPR 34—SERVICES

SR 25—POWER LAUNDRIES IN PHILADELPHIA, PENNSYLVANIA

Pursuant to the Defense Production Act of 1950, as amended, Executive Order 10161 (15 F. R. 6105), and Economic Stabilization Agency General Order No. 2 (16 F. R. 738), this Supplementary Regulation 25 to Ceiling Price Regulation 34 is hereby issued.

STATEMENT OF CONSIDERATIONS

This Supplementary Regulation 25 to Ceiling Price Regulation 34 permits an increase in ceiling prices for certain power laundry services and dry cleaning services supplied by power laundries located in the City of Philadelphia, Pennsylvania. An increase in ceiling prices is also given to independent routemen and stores, known in the laundry and dry cleaning industry as "bobtailers", in order that customary differentials between classes of power laundry service purchasers may be maintained. This supplementary regulation does not permit the increase to be applied to the diaper supply and linen supply services of such laundries.

A study of the operating costs and profit margins of a representative number of the power laundries in the City of Philadelphia, which provide 90 percent of the total sales of services furnished by these laundries amounting to an estimated $16,300,000 in 1951, reveals that increased labor and material costs have impaired the pre-Korean earnings of such laundries. In addition, new wage contracts entered into with labor unions representing the employees of these laundries resulted in substantial wage increases to all classes of workers. These wage increases are all within the formula of Wage Stabilization Board regulations or have received Wage Stabilization Board approval, with the result that earnings of these laundries will be further impaired. The price increase granted herein has been determined to be the minimum necessary to maintain the financial stability of these laundries in order to assure a continued supply of these essential services. The uniform increase has been determined in accordance with the standards for individual adjustments under section 20 of Ceiling Price Regulation 34.

Under the provisions of this supplementary regulation, ceiling prices of such power laundries and bobtail sellers may be increased by 9 percent, such adjustment to be applied to the total amount of each invoice rendered to the customer and identified as the "OPS permitted price increase." If this method is used to apply the amount of the increase, the seller need not make the supplementary filing required by section 18 (c) of Ceiling Price Regulation 34. At the option of the individual laundry and bobtailer, however, the flat ceiling price for each article may be increased by 9 percent. Adjusted flat ceiling prices must, within ten days after their determination, be filed with the appropriate Office of Price Stabilization district office as required by section 18 as amended of Ceiling Price Regulation 34.

In the future, power laundries and bobtailers subject to this supplementary regulation may not obtain an adjustment of their ceiling prices for power laundry and dry cleaning services under section 20 of Ceiling Price Regulation 34. Any adjustment of ceiling prices under section 20 of Ceiling Price Regulation 34 heretofore granted is automatically revoked as of the effective date of this supplementary regulation.

In the formulation of this supplementary regulation, the Director has consulted insofar as practicable with representative suppliers of these services, including representatives of trade associations, and consideration has been given to their recommendations. In the judgment of the Director of Price Stabilization the increases permitted by this supplementary regulation are necessary to effectuate the purposes of Title IV of the Defense Production Act of 1950, as amended.

REGULATORY PROVISIONS

Sec.
1. Purpose.
2. Relationship to Ceiling Price Regulation 34.
3. Adjustment of ceiling prices.
4. Application of section 20 of Ceiling Price Regulation 34.
5. Definitions.

AUTHORITY: Sections 1 to 5 issued under sec. 704, 64 Stat. 816, as amended; 50 U. S. C. App. Sup. 2154. Interpret or apply Title IV, 64 Stat. 803, as amended; 50 U. S. C. App. Sup. 2101-2110, E. O. 10161, Sept. 9, 1950, 15 F. R. 6105, 3 CFR 1950 Supp.

SECTION 1. *Purpose.* This supplementary regulation permits power laundries whose plants are located in the City of Philadelphia, Pennsylvania, to increase their ceiling prices for power laundry and dry cleaning services by 9 percent. It also permits bob-tail sellers (see section 5—*Definitions*) who purchase power laundry and dry cleaning services from power laundries located in Philadelphia, Pennsylvania, for resale to ultimate consumers, to increase their ceiling prices for the resale of such services by 9 percent. This supplementary regulation does not apply to the sale of diaper supply and linen supply services by power laundries or bob-tail sellers.

SEC. 2. *Relationship to Ceiling Price Regulation 34.* All provisions of Ceiling Price Regulation 34, as amended, except as affected by the provisions of this supplementary regulation, shall remain in effect.

SEC. 3. *Adjustment of ceiling prices.* If you are subject to this supplementary regulation, you may, to the extent you sell power laundry and dry cleaning services supplied by power laundries located in Philadelphia, Pennsylvania, increase your ceiling prices by 9 percent for power laundry and dry cleaning services, except diaper supply and linen supply services, thus supplied by either of the following methods:

(a) You may apply such an adjustment to the total amount of each invoice rendered to the customer, provided you shall clearly write or stamp on each such invoice the words "OPS permitted price increase." If you use this method of applying your price increase, you need not make the supplementary filing required by section 18 (c) of Ceiling Price Regulation 34.

(b) You may, in lieu of the method provided in paragraph (a) of this section, increase by 9 percent the ceiling prices of each power laundry and dry cleaning service article, except a diaper supply and linen supply service article. Within ten days after your prices are established under this paragraph you must prepare and file with your district office of the Office of Price Stabilization a supplemental statement as required under section 18 as amended of Ceiling Price Regulation 34. You may not establish prices under paragraph (a) of this section once you have elected to establish prices under this paragraph.

(c) If the price increase computed in paragraphs (a) or (b) of this section results in a fraction of a cent, the price increase must be decreased to the next

lower cent if the fractional cent is less than one-half cent, or may be increased to the next higher cent if the fraction is one-half cent or more.

SEC. 4. *Application of section 20 of Ceiling Price Regulation 34.* No seller subject to this supplementary regulation may, after the effective date of this supplementary regulation, apply for an adjustment of any of his ceiling prices for power laundry and dry cleaning services except diaper supply and linen supply services under section 20 of Ceiling Price Regulation 34, as amended. All orders establishing ceiling prices for any power laundry subject to this supplementary regulation issued under either section 20 (a), (b), or (c) of Ceiling Price Regulation 34 are hereby revoked, upon the effective date of this regulation.

SEC. 5. *Definitions.* (a) (1) "Power laundry" or "power laundries" as used in this regulation are laundries which in the laundry trade are customarily known and designated as such, and do not include hand laundries, launderettes or laundries using home-type laundry equipment to supply laundry services.

(2) "Bobtail sellers" as used in this regulation means a separate class of purchaser of power laundry and dry cleaning services, consisting of independent route men and stores, not employed or owned by a power laundry, which purchases such power laundry and dry cleaning services from a power laundry at a discount and resells these services to its own customers at the same prices that the power laundry itself would have charged the same class of purchaser for the same services. Bobtail sellers do not ordinarily engage in processing operations.

Effective date. This supplementary regulation is effective November 10, 1952.

NOTE: The record-keeping and reporting requirements of this regulation have been approved by the Bureau of the Budget in accordance with the Federal Reports Act of 1942.

JOSEPH H. FREEHILL,
Acting Director of Price Stabilization.

NOVEMBER 10, 1952.

[F. R. Doc. 52-12131; Filed, Nov. 10, 1952; 11:13 a. m.]

[Ceiling Price Regulation 34, Supplementary Regulation 26]

CPR 34—SERVICES

SR 26—CEILING PRICES OF CERTAIN SELLERS OF AUTOMOTIVE AND FARM EQUIPMENT REPAIR SERVICES

Pursuant to the Defense Production Act of 1950, as amended, Executive Order 10161, and Economic Stabilization Agency General Order No. 2, this Supplementary Regulation to Ceiling Price Regulation 34 is hereby issued.

STATEMENT OF CONSIDERATIONS

This Supplementary Regulation to Ceiling Price Regulation 34 adapts ceiling price regulation of automotive and farm equipment repair services more closely to the operation of the automotive and farm equipment industry.

Many sellers of automotive and farm equipment repair services also sell the type of commodities they service. There is no uniformity within the industry, however, in allocating overhead costs between the services portion and the commodity portion of such businesses. Some manufacturers of these commodities recommend to their dealers a method of allocating most overhead costs, but these recommended methods differ from one manufacturer to another, and the dealers of any particular manufacturer may differ among themselves in their application of the recommended method. These differences in methods of allocation cause differences in reported earnings, which would be nearly the same if the same method of allocation had been used. The Director's experience in processing applications under section 20 (a) of CPR 34 is that where the seller is chiefly a seller of automotive and farm equipment, rather than primarily a seller of repair services on such commodities, the differences in methods of allocation cause distortions in the adjustments granted, and that a modification of section 20 (a), as applied to such sellers, is therefore required. This supplementary regulation provides such a modification.

Since there is no basis uniformly used throughout the automotive and farm equipment industry for determining the earnings of dealers from the services portion of their businesses, this supplementary regulation employs, as a method of determining hardship in respect of their sales of automotive and farm equipment repair services, a ratio of labor sales to labor costs. This method utilizes the same category of labor costs and income from labor sales for all such dealers for all periods without reference to the commodity aspects of their businesses. In general this supplementary regulation employs this ratio of labor sales and labor costs as a basis on which it will grant adjustment of these service prices when the dollar difference between the labor sales and labor cost, for the same volume, has declined but in determining the amount of adjustment, if any, that will be granted, OPS will consider all of the factors mentioned in section 20 (a) of Ceiling Price Regulation 34 which remains applicable to these service sellers except insofar as it is inconsistent with this supplementary regulation. The adjusted ceiling prices of sellers whose representative period ends later than June 30, 1951, may not exceed the prevailing level of prices.

Those sellers who were not in business before January 26, 1951 and have no representative experience that could serve as a basis of adjusting their ceiling prices, but who have been in business at least three months are given the prevailing level of prices. Generally such sellers will be new sellers who have already been given approximately this level of prices as their ceiling prices for their services, and it is not anticipated that this provision of this supplementary regulation will have wide application.

This supplementary regulation also authorizes the service sellers to whom it applies to redetermine their ceiling prices for factory warranty services, on the automotive or farm equipment they sell, to enable them to recover their approximate direct labor costs in supplying these services. Traditionally these services have been furnished on the basis of the direct labor costs involved in supplying them and it is, therefore, considered equitable to provide that these sellers shall be authorized to charge a ceiling price that will enable them to continue to recover these costs.

This supplementary regulation provides a new form of application for adjustment and provides that such applications must, in all cases, be filed in the OPS district offices.

In the formulation of this supplementary regulation, there has been consultation with industry representatives including trade association representatives, to the extent practicable, and consideration has been given to their recommendations. In the judgment of the Director of Price Stabilization the provisions of this supplementary regulation are generally fair and equitable and are necessary to effectuate the purposes of Title IV of the Defense Production Act of 1950, as amended.

REGULATORY PROVISIONS

Sec.
1. What this supplementary regulation does.
2. Relationship to Ceiling Price Regulation 34.
3. Applicability.
4. Ceiling Price Adjustments.
5. Redetermination of your ceiling prices for factory warranty services.
6. Interpretations.
7. Definitions and explanations.

AUTHORITY: Sections 1 to 7 issued under sec. 704, 64 Stat. 816, as amended; 50 U. S. C. App. Sup. 2154. Interpret or apply Title IV, 64 Stat. 803, as amended; 50 U. S. C. App. Sup. 2101-2110, E. O. 10161, Sept. 9, 1950, 15 F. R. 6105; 3 CFR 1950 Supp.

SECTION 1. *What this supplementary regulation does.* This supplementary regulation modifies the method of adjusting the ceiling prices of certain sellers for automotive and farm equipment repair services under section 20 (a) of Ceiling Price Regulation 34. It specifies a new form to be used in applying for such adjustments and now in all cases requires that such applications must be filed in the OPS district offices. It also provides a means whereby the sellers to whom it applies may redetermine their ceiling prices for factory warranty services.

SEC. 2. *Relationship to Ceiling Price Regulation 34.* Except for the changes made by this supplementary regulation, all provisions of Ceiling Price Regulation 34, as amended, including section 20 (a) remain in effect with respect to sellers subject to this supplementary regulation.

SEC. 3. *Applicability.* This supplementary regulation applies to sellers of automotive and farm equipment repair services who also sell automotive or farm equipment, and whose dollar volume of customers labor sales (see section 7) was less than 50 percent of the total dollar volume of sales of their entire business during a representative period (see section 7), or if they were not in business before January 26, 1951, and have no

representative period but have been in business more than three months, during the entire time they have been in business.

SEC. 4. *Ceiling price adjustments.* (a) If this supplementary regulation applies to you, OPS will adjust your ceiling prices for automotive and farm equipment repair services upon a showing that they impair, to such an extent as to threaten the effective operation of your service business, your gross profit on customers labor sales (see section 7) in a representative period. In general, the amount of adjustment granted will be the amount necessary to give you the same dollar gross profit on customers labor sales as you had on the same volume of such sales in your representative period. In determining, however, the extent of the adjustment, if any, that will be granted to you, OPS will consider the factors specified in section 20 (a) of Ceiling Price Regulation 34, as amended, insofar as they are applicable to your service business. If your representative period ends later than June 30, 1951, your adjusted ceiling prices may not exceed the prevailing level of ceiling prices for the same services sold by the most similar class of sellers.

(1) If you were not in business before January 26, 1951, and have no representative period (see section 7), but have been in business more than three months, OPS will adjust your ceiling prices for automotive and farm equipment repair services to the prevailing level of ceiling prices for the same services sold by the most similar class of sellers.

(b) You must file your application for adjustment on OPS Public Form No. 154 in the OPS District Office for the OPS district in which your place of business is located. If you render services at more than one place of business, each place of business is a separate seller under this supplementary regulation and a separate application must be filed for each location at which you want your ceiling prices adjusted. In addition to the information required of you by OPS Public Form No. 154, OPS may request such additional information as may be found necessary in considering your application. If paragraph (a) (1) applies to you, you must file your application as requested in this paragraph.

(c) If prior to November 12, 1952, you have filed an application for adjustment of your ceiling prices for automotive or farm equipment repair services on OPS Public Form No. 43, revised, and an adjustment order has not been issued to you prior to December 2, 1952, you must reapply under this supplementary regulation on OPS Public Form No. 154.

SEC. 5. *Redetermination of your ceiling prices for factory warranty services.* If you compute your ceiling prices for factory warranty services rendered on automotive or farm equipment, under CPR 34, as amended, by multiplying the actual time required to perform the work, or a time allowance specified in a flat rate manual, by a rate which is below the wage rate you pay your regular productive mechanics, you may use the current wage rate to redetermine your ceiling prices for such services. If you redetermine your ceiling prices for factory warranty services under this section of this supplementary regulation, you must file a statement to that effect, including the wage rate you use in making the computation, with your OPS District Office before using your increased prices.

SEC. 6. *Interpretations.* If you want an official interpretation of this supplementary regulation or of OPS Public Form No. 154, you should write to the District Counsel of your OPS District Office. Any action taken by you in reliance upon and in conformity with a written official interpretation will constitute action in good faith pursuant to this supplementary regulation. Further information on obtaining official interpretations is contained in Price Procedural Regulation 1, as revised.

SEC. 7. *Definitions and explanations.* (a) When used in this supplementary regulation:

(1) "Automotive equipment" means any self-propelled vehicle, except railroad equipment, operated on land as distinguished from on water or in the air.

(2) "Cost of customers labor sales" refers to the total wages you paid for the direct labor which produced the customers labor sales. It includes fringe benefits which are calculated as a percentage of payrolls and it may include certain supplies such as paint or grease which are consumed in producing the services sold to the customers. It does not include cost of parts; wages you paid for "come back" work for which you made no charge to your customers; wages paid to perform factory warranty work; wages paid for work on your own new or used automotive and farm equipment, buildings, or other property; or any wages you paid for any other purpose than to pay for direct labor involved in customers labor sales.

(3) "Customers labor sales" means your sales to customers of labor on automotive or farm equipment, excluding charges for parts, and including among other customers labor sales the following:

(i) Body repair, if the work was performed by your own employees;

(ii) Paint work, if the work was performed by your own employees;

(iii) Lubrication services (not including oil changes);

(iv) Washing and polishing;

(v) Tire service (not including tire sales);

(vi) Undercoating, if the work was performed by your own employees.

"Customers labor sales" does not include any amount for factory warranty work; for work on your own new or used automotive and farm equipment, buildings, or other property; or any amount that does not represent a change to a customer for work done for him by you or your employees on automotive or farm equipment.

(4) "Farm equipment" means any equipment with moving parts, drawn by animals or automotive vehicles, used on a farm.

(5) "Factory warranty services" means work performed for a manufacturer of automotive or farm equipment by one of his authorized dealers, to comply with the manufacturer's warranty on such equipment.

(6) "Gross profit on labor sales" means the difference between your customers labor sales and your cost of customers labor sales.

(7) "Productive mechanic" or "productive employee" means an employee whose direct labor is involved in customers labor sales.

(8) "Representative period" means the first twelve months after December 31, 1948, of the operation of a business that has been operating at least 24 months prior to the date you file your application for adjustment under this supplementary regulation, regardless of whether it was operated by you or your predecessor. If during the twelve month period your business was seriously affected by flood, strike, fire or some other unusual occurrence, OPS may determine that the period is not representative for your business in which case OPS will also determine what period, if any, is representative.

(9) "Sales of the entire business" means total sales of automotive and farm equipment commodities and services and all other commodities and services.

Effective date. This supplementary regulation shall become effective November 12, 1952.

NOTE: The record-keeping and reporting requirements of this supplementary regulation have been approved by the Bureau of the Budget in accordance with the Federal Reports Act of 1942.

TIGHE E. WOODS,
Director of Price Stabilization.

NOVEMBER 7, 1952.

[F. R. Doc. 52-12084; Filed, Nov. 7, 1952; 12:35 p. m.]

[Ceiling Price Regulation 34, Supplementary Regulation 27]

CPR 34—SERVICES

SR 27—DRY CLEANING IN MILWAUKEE COUNTY, WISCONSIN

Pursuant to the Defense Production Act of 1950, as amended, Executive Order 10161, and Economic Stabilization Agency General Order No. 2, this supplementary regulation to Ceiling Price Regulation 34 is hereby issued.

STATEMENT OF CONSIDERATIONS

This supplementary regulation to Ceiling Price Regulation 34 permits an increase in ceiling prices for dry cleaning services furnished at wholesale and retail by sellers located in Milwaukee County, Wisconsin. A previous ceiling price increase granted to power laundries in Milwaukee County did not include dry cleaning services.

An OPS study of the operating costs and profit margins of 25 firms doing approximately 90 percent of both the wholesale and retail dry cleaning business in Milwaukee County, Wisconsin, which amounted to $6,000,000 in 1951, reveals that increased labor and material costs incurred since the Ceiling Price

Regulation 34 base period (December 19, 1950, to January 25, 1951, inclusive) have impaired the pre-Korean earnings of such dry cleaning service sellers.

The action taken herein gives effect to the standards for individual price adjustment contained in section 20 (a) of Ceiling Price Regulation 34 and permits the minimum increase necessary to maintain the financial stability of these dry cleaning service sellers and assure continued supply of these essential services.

Under the provisions of this supplementary regulation, Ceiling Price Regulation 34 ceiling prices of sellers of dry cleaning services may be increased by a stated amount. Since OPS has the previous price filings of these sellers in its possession, the suplementary filing required by section 18 (c) of Ceiling Price Regulation 34 is not considered to be necessary and is therefore excused, thereby easing the administrative burden of these service sellers and of the OPS.

In the future, sellers subject to this supplementary regulation may not obtain an adjustment of their ceiling prices for dry cleaning services at wholesale and retail under section 20 of Ceiling Price Regulation 34. Any adjustment of ceiling prices under section 20 of Ceiling Price Regulation 34 heretofore granted is automatically revoked as of the effective date of this supplementary regulation.

In the formulation of this suplementary regulation, the Director has consulted insofar as practicable with representative suppliers of these services, including representatives of trade associations, and consideration has been given to their recommendations. In the judgment of the Director of Price Stabilization the increases permitted by this supplementary regulation are necessary to effectuate the purposes of Title IV of the Defense Production Act of 1950, as amended.

REGULATORY PROVISIONS

Sec.
1. Purpose.
2. Relationship to Ceiling Price Regulation 34.
3. Adjustment of ceiling prices.
4. Application of section 20 of Ceiling Price Regulation 34.
5. Definitions.

AUTHORITY: Sections 1 to 5 issued under sec. 704, 64 Stat. 816, as amended; 50 U. S. C. App. Sup. 2154. Interpret or apply Title IV, 64 Stat. 803, as amended; 50 U. S. C. App. Sup. 2101–2110, E. O. 10161, Sept. 9, 1950, 15 F. R. 6105, 3 CFR 1950 Supp.

SECTION 1. *Purpose.* This supplementary regulation permits sellers of dry cleaning services furnished at wholesale and retail located in Milwaukee County, Wisconsin, to increase their ceiling prices for wholesale and retail dry cleaning services in the manner provided in section 3.

SEC. 2. *Relationship to Ceiling Price Regulation 34.* All provisions of Ceiling Price Regulation 34, except as affected by the provisions of this supplementary regulation shall remain in effect. However, you need not make the supplementary filing required by section 18 (c) of Ceiling Price Regulation 34.

SEC. 3. *Adjustment of ceiling prices.* You may, to the extent you supply dry cleaning services at wholesale or retail from locations in Milwaukee County, Wisconsin, increase your ceiling prices for the dry cleaning services thus supplied as follows:

	Increase at wholesale	Increase at retail
Suits	$0.05	$0.10
Dresses	.05	.10
Ladies' coats	.05	.10
Topcoats	.05	.10

SEC. 4. *Application of section 20 of Ceiling Price Regulation 34.* No seller of dry cleaning services at wholesale or retail subject to this supplementary regulation may, after the effective date of this regulation, obtain an increase in his ceiling prices for such dry cleaning services under either section 20 (a), 20 (b) or 20 (c) of Ceiling Price Regulation 34. All orders establishing ceiling prices of any seller of dry cleaning services subject to this supplementary regulation issued under either section 20 (a), 20 (b) or 20 (c) of Ceiling Price Regulation 34 are hereby revoked, upon the effective date of this regulation.

SEC. 5. *Definitions.* (a) As used in this supplementary regulation the term:

(1) "Dry cleaning services" means services rendered in the cleaning of garments primarily with fluids other than water. When rendered at retail, dry cleaning services includes pressing or finishing the garment. When rendered at wholesale, finishing is usually specified if the garment is to be pressed.

(i) "Cleaning" means the dry cleaning of a garment or item, including the spotting thereof.

(ii) "Finishing" means the pressing of a garment or item.

(2) "Wholesale" refers to the sale for resale to the ultimate consumer of dry cleaning services to tailor shops, valets, hotels and retail outlets. It also includes sales to commercial, industrial, institutional or governmental users.

(3) "Retail" refers to the sale of dry cleaning services directly to the ultimate consumer except commercial, industrial, institutional and governmental users.

Effective date. This Supplementary Regulation 27 to Ceiling Price Regulation 34 shall become effective November 7, 1952.

JOSEPH H. FREEHILL,
Acting Director of Price Stabilization.

NOVEMBER 7, 1952.

[F. R. Doc. 52-12092; Filed, Nov. 7, 1952; 4:00 p. m.]

[Ceiling Price Regulation 34, Supplementary Regulation 28]

CPR 34—SERVICES

SR 28—DRY CLEANING IN COOK COUNTY, ILLINOIS

Pursuant to the Defense Production Act of 1950, as amended, Executive Order 10161, and Economic Stabilization Agency General Order No. 2, this supplementary regulation to Ceiling Price Regulation 34 is hereby issued.

STATEMENT OF CONSIDERATIONS

This Supplementary Regulation 28 to Ceiling Price Regulation 34 permits an increase in ceiling prices for dry cleaning services furnished at wholesale and retail by sellers located in Cook County, Illinois. A previous ceiling price increase granted to power laundries in Cook County did not include dry cleaning services.

An OPS study of the operating costs and profit margins of a representative number of dry cleaning service sellers in Cook County, Illinois, accounting for approximately 75 percent of the total volume of sales of these services, which amounted to $20,000,000 in 1951, reveals that increased labor and material costs incurred since the Ceiling Price Regulation 34 base period (December 19, 1950 to January 25, 1951, inclusive) have impaired the pre-Korean earnings of such dry cleaning service sellers.

The action taken herein gives effect to the Standards for individual price adjustment contained in section 20 (a) of Ceiling Price Regulation 34 and permits the minimum increase necessary to maintain the financial stability of these dry cleaning service sellers and assure continued supply of these essential services.

Under the provisions of this supplementary regulation, Ceiling Price Regulation 34 ceiling prices of sellers of dry cleaning services may be increased by a stated amount. Since OPS has the previous price filings of these sellers in its possession, the supplementary filing required by section 18 (c) of Ceiling Price Regulation 34 is not considered to be necessary and is therefore excused, thereby easing the administrative burden of these service sellers and of the OPS.

In the future, sellers subject to this supplementary regulation may not obtain an adjustment of their ceiling prices for dry cleaning services at wholesale and retail under section 20 of Ceiling Price Regulation 34. Any adjustment of ceiling prices under section 20 of Ceiling Price Regulation 34 heretofore granted is automatically revoked as of the effective date of this supplementary regulation.

In the formulation of this supplementary regulation, the Director has consulted insofar as practicable with representative suppliers of these services, including representatives of trade associations, and consideration has been given to their recommendations. In the judgment of the Director of Price Stabilization the increases permitted by this supplementary regulation are necessary to effectuate the purpose of Title IV of the Defense Production Act of 1950, as amended.

REGULATORY PROVISIONS

Sec.
1. Purpose.
2. Relationship to Ceiling Price Regulation 34.
3. Adjustment of ceiling prices.
4. Application of section 20 of Ceiling Price Regulation 34.
5. Definitions.

AUTHORITY: Sections 1 to 5 issued under sec. 704, 64 Stat. 816, as amended; 50 U. S. C. App. Sup. 2154. Interpret or apply Title IV, 64 Stat. 803, as amended; 50 U. S. C. App. Sup. 2101–2110, E. O. 10161, Sept. 9, 1950, 15 F. R. 6105, 3 CFR 1950 Supp.

SECTION 1. *Purpose.* This supplementary regulation permits sellers of dry cleaning services furnished at wholesale and retail located in Cook County, Illinois, to increase their ceiling prices for wholesale and retail dry cleaning services in the manner provided in section 3.

SEC. 2. *Relationship to Ceiling Price Regulation 34.* All provisions of Ceiling Price Regulation 34, except as affected by the provisions of this supplementary regulation shall remain in effect. However, you need not make the suplementary filing required by section 18 (c) of Ceiling Price Regulation 34.

SEC. 3. *Adjustment of ceiling prices.* You may, to the extent you supply dry cleaning services at wholesale or retail from locations in Cook County, Illinois, increase your ceiling prices for the dry cleaning services thus supplied as follows:

	Increase at wholesale	Increase at retail
Suits	$0.05	$0.10
Dresses	.05	.10
Ladies' coats	.05	.10
Trousers	.025	.05

SEC. 4. *Application of section 20 of Ceiling Price Regulation 34.* No seller of dry cleaning services at wholesale or retail subject to this supplementary regulation may, after the effective date of this regulation, obtain an increase in his ceiling prices for such dry cleaning services under either section 20 (a), 20 (b), or 20 (c) of Ceiling Price Regulation 34. All orders establishing ceiling prices of any seller of dry cleaning services subject to this supplementary regulation issued under either section 20 (a), 20 (b), or 20 (c) of Ceiling Price Regulation 34 are hereby revoked, upon the effective date of this regulation.

SEC. 5. *Definitions.* (a) As used in this supplementary regulation the term:

(1) "Dry cleaning services" means services rendered in the cleaning of garments primarily with fluids other than water. When rendered at retail, dry cleaning services includes pressing or finishing the garment. When rendered at wholesale, finishing is usually specified if the garment is to be pressed.

(i) "Cleaning" means the dry cleaning of a garment or item, including the spotting thereof.

(ii) "Finishing" means the pressing of a garment or item.

(2) "Wholesale" refers to the sale for resale to the ultimate consumer of dry cleaning services to tailor shops, valets, hotels and retail outlets. It also includes sales to commercial, industrial, institutional or governmental users.

(3) "Retail" refers to the sale of dry cleaning services directly to the ultimate consumer, except commercial, industrial, institutional and governmental users.

Effective date. This Supplementary Regulation 28 to Ceiling Price Regulation 34 shall become effective November 7, 1952.

JOSEPH H. FREEHILL,
Acting Director of Price Stabilization.

NOVEMBER 7, 1952.

[F. R. Doc. 52-12093; Filed, Nov. 7, 1952; 4:00 p. m.]

[Ceiling Price Regulation 118, Amdt. 1]

CPR 118—PRODUCERS OF BOLTS, NUTS, SCREWS AND RIVETS

UNIFORM INDUSTRY-WIDE METAL COST INCREASE ADJUSTMENTS

Pursuant to the Defense Production Act of 1950, as amended, Executive Order 10161, and Economic Stabilization Agency General Order No. 2, this amendment to Ceiling Price Regulation 118 is hereby issued.

STATEMENT OF CONSIDERATIONS

This amendment implements Supplementary Regulation 1 to General Overriding Regulation 35 which has been issued simultaneously herewith.

Supplementary Regulation 1 gives producers of bolts, nuts, screws, or rivets an option to use the following industry-wide increases instead of the increases calculated for each producer under General Overriding Regulation 35:

Screws: 1.6 percent.

Large rivets (steel): 25 cents per 100 pounds.

All other rivets: 2.2 percent.

Steel or aluminum bolts and nuts: 2.2 percent.

This amendment incorporates this option and the increases permitted thereunder into Ceiling Price Regulation 118 for purposes of information, consistency and clarity. The reasons for providing the option are set forth in detail in the Statement of Considerations to Supplementary Regulation 1 to GOR 35.

In the formulation of this amendment there has been consultation with industry representatives, including the Nut, Bolt and Rivet and the Screw Industry Advisory Committees and trade association representatives, and consideration has been given to their recommendations.

AMENDATORY PROVISIONS

Section 2 of Ceiling Price Regulation 118 is amended by addition of the following:

(e) *Optional industry-wide increases.* Rather than using the increases provided by GOR 35, you may, pursuant to the provisions of Supplementary Regulation 1 to GOR 35, at your option add to your ceiling prices as established by paragraphs (b), (c) and (d) of this section or pursuant to section 5 of this regulation an amount not to exceed the following:

(1) All stove bolts, machine screws, wood screws, tapping screws, stove bolt nuts, machine screw nuts, recessed head bolts and screws, preassembled lock washer stove bolts, preassembled lock washer screws, binding screws: 1.6 percent.

(2) Steel solid rivets ½" in diameter and larger: 25 cents per 100 pounds.

(3) All steel or aluminum machine bolts, carriage bolts, lag bolts, plow bolts, step bolts, elevator bolts, tap bolts, coupling bolts, tire bolts, cap screws, set screws, steel solid rivets less than ½" in diameter, aluminum rivets all diameters, American standard regular nuts, American standard heavy nuts, American standard light nuts, and also every similar industrial fastener manufactured by any process to any specification whatsoever: 2.2 percent.

(4) All steel or aluminum threaded studs of all types, socket head and blank bolts, track bolts, track bolts nuts, frog bolts, switch bolts, gage rods, screw spikes, lock nuts, speed nuts, wing nuts, thumb nuts, acorn nuts, cap nuts, clinch-nuts, split rivets, tubular rivets, blind rivets other than explosive, clevis pins, wire spokes, spoke nipples, all of the foregoing when manufactured by any process to any specification whatsoever: 2.2 percent.

(5) All steel or aluminum miscellaneous headed, threaded, punched, bent or cut off products when manufactured by a person who is otherwise a producer of bolts, nuts, screws or rivets by use of any machine customarily used in the manufacture of any headed or punched product mentioned in subparagraph (3) above: 2.2 percent.

Once you exercise this option with respect to any one of the above listed bolts, nuts, screws or rivets, you must thereafter use the appropriate industry-wide increase specified above exclusively in establishing your ceiling prices for all your sales of any of the above listed bolts, nuts, screws or rivets.

(Sec. 704, 64 Stat. 816, as amended; 50 U. S. C. App. Sup. 2154)

Effective date. This amendment to Ceiling Price Regulation 118 shall become effective November 12, 1952.

JOSEPH H. FREEHILL,
Acting Director of Price Stabilization.

NOVEMBER 7, 1952.

[F. R. Doc. 52-12085; Filed, Nov. 7, 1952; 12:35 p. m.]

[Ceiling Price Regulation 134, Amdt. 7]

CPR 134—CEILING PRICES FOR EATING AND DRINKING ESTABLISHMENTS

EXEMPTIONS

Pursuant to the Defense Production Act of 1950, as amended, Executive Order 10161, and Economic Stabilization Agency General Order No. 2, this Amendment 7 to Ceiling Price Regulation 134 is hereby issued.

STATEMENT OF CONSIDERATIONS

This amendment exempts from price control so-called in-plant feeding operations and those feeding facilities which are operated by a caterer on behalf of an educational institution.

1. As part of the increasing stress placed by employers on the maintenance of good relations with their employees, in-plant feeding operations have greatly expanded since the war. Because of the purpose of these operations, the prices charged in these types of eating and drinking establishments are generally lower than those the employees would pay at public eating places. Very often, if not in most cases, any operating losses are considered an expense of the plant or other business concern in which the feeding operation is conducted, whether

it is carried out by the owner of the plant or business or by a caterer or concessionaire. Despite the desire of many enterprises to cut the subsidy they have had to pay for support of low priced feeding facilities, it is the judgment of the Director of Price Stabilization that the demands of successful employer-employee relations will prevent unreasonable increases in prices. This amendment, therefore, exempts from price control dining rooms, cafeterias, snack bars, etc., which are not open to the general public and are operated by or on behalf of industrial or commercial concerns for the purpose of serving meals, food items and beverages to the employees of those concerns. However, if this type of eating and drinking establishment is operated by a caterer or other person on behalf of an industrial or commercial concern, the exemption applies only if the concern maintains control of the prices charged for meals, food items and beverages. Similarly, this amendment exempts from price control eating and drinking establishments which are not open to the general public and are operated by employee associations for the purpose of serving meals, food items and beverages to the members of those associations.

2. Under the present regulation, eating and drinking establishments which are not open to the general public and are operated by an educational institution, student fraternity, organization or association primarily for the convenience of students, faculty and guests, are exempt from price control. This amendment provides that when this type of eating and drinking establishment is operated by a caterer or other person, on behalf of the institution or association, it is also exempt from price control if the institution or association maintains control of the prices charged for meals, food items and beverages.

In the formulation of this amendment, there has been consultation to the extent practicable with industry representatives including trade association representatives, and consideration has been given to their recommendations. In the judgment of the Director of Price Stabilization, the provisions of this amendment are generally fair and equitable, are necessary to effectuate the purpose of Title IV of the Defense Production Act of 1950, as amended, and comply with all of the applicable standards of that act.

AMENDATORY PROVISIONS

Ceiling Price Regulation 134 is amended in the following respects:

1. Section 4 (a) (2) is amended to read as follows:

(2) Establishments which are not open to the general public and are operated by or on behalf of a school, college, university or other educational institution or a student fraternity or other student organization or association primarily for the convenience or accommodation of students, faculty and guests: *Provided*, That where an establishment of this kind is operated by a caterer or other person on behalf of such an institution, fraternity, organization or association, the latter maintains control of the prices charged for meals, food items and beverages.

2. Section 4 (a) is amended by adding subparagraphs (7) and (8) to read as follows:

(7) Establishments which are not open to the general public and are operated by employee associations for the purpose of serving meals, food items and beverages to the members of those associations.

(8) Establishments which are not open to the general public and are operated by or on behalf of industrial or commercial concerns for the purpose of serving meals, food items and beverages to the employees of those concerns: *Provided*, That where an establishment of this kind is operated by a caterer or other person on behalf of an industrial or commercial concern, the latter maintains control of the prices charged for meals, food items and beverages.

3. Section 18 is amended by adding a new paragraph (d) to read as follows:

(d) If your sales are exempt from the provisions of this regulation under section 4 you must nevertheless maintain and keep for inspection by the Office of Price Stabilization for the period specified the records listed under paragraphs (a) and (b) of this section which you were required to have at the time your sales became exempt. However, you need not prepare or preserve the records listed under paragraph (b) (2) or (3) which cover the period after your sales become exempt under section 4.

(Sec. 704, 64 Stat. 816, as amended; 50 U. S. C. App. Sup. 2154)

Effective date. This Amendment 7 to Ceiling Price Regulation 134 is effective November 7, 1952.

TIGHE E. WOODS,
Director of Price Stabilization.

NOVEMBER 7, 1952.

[F. R. Doc. 52-12086; Filed, Nov. 7, 1952; 12:35 p. m.]

[General Ceiling Price Regulation, Supplementary Regulation 63, Amdt. 6, to Area Milk Price Regulation 5]

GCPR, SR 63—AREA MILK PRICE ADJUSTMENTS

AMPR 5—CHICAGO MILK MARKETING AREA, STATE OF ILLINOIS

AUTOMATIC WITHDRAWAL OF INCREASE IN CEILING PRICES OF FLUID MILK PRODUCTS

Pursuant to the Defense Production Act of 1950, as amended, Executive Order 10161, and Economic Stabilization Agency General Order No. 2, and Delegation of Authority No. 41, this amendment to Area Milk Price Regulation 5, pursuant to Supplementary Regulation 63 to the General Ceiling Price Regulation is hereby issued.

STATEMENT OF CONSIDERATIONS

Amendment 5 to Area Milk Price Regulation 5 provided a ½ cent per sales point increase in the ceiling price of milk in Chicago. The Statement of Considerations to Amendment 5 to Area Milk Price Regulation 5 stated that:

A representative sample of Chicago dairies are being requested to submit additional data to the Agency within the next thirty days. After this information has been received, appropriate action will be taken in light of all the evidence available. This order will, therefore, be revoked after sixty days unless supported by the requested information.

The Office of Price Stabilization finds that an analysis of the data presently available to it reveals an inadequate basis either for revoking this increase or continuing it indefinitely. Accordingly, this order continues this increase until December 15, 1952. After December 15, 1952, this increase is automatically withdrawn. In the interim between the effective date of this amendment and December 15, 1952, it is believed that a conclusive answer can be reached. More data are presently being obtained to assist in this determination.

In the judgment of the Director, the provisions of this amendment to Area Milk Price Regulation No. 5 in Region VII are generally fair and equitable and are necessary to effectuate the purpose of Title IV of the Defense Production Act of 1950, as amended by the Defense Production Act amendments of 1951 and 1952.

The Director gave due consideration to the national effort to achieve the maximum production in furtherance of the objectives of the Defense Production Act of 1950, as amended; to prices prevailing during the period from May 24, 1950 to June 24, 1950, inclusive; and to all relevant factors of general applicability. In the formulation of this amendment, the Director has consulted industry representatives, including trade association representatives, to the fullest extent practicable and has given due consideration to their recommendations.

AMENDATORY PROVISIONS

Area Milk Price Regulation 5 issued under Supplementary Regulation 63 to the General Ceiling Price Regulation, is amended in the following respects:

1. Section 4 is amended to read as follows:

SEC. 4. *Ceiling prices for milk for fluid consumption*—(a) *Your ceiling prices up to and including December 15, 1952.* Up to and including December 15, 1952, your ceiling prices for any milk product for fluid consumption shall be your ceiling price determined under the provisions of the General Ceiling Price Regulation and in effect on November 15, 1951, plus (except for sales to vendors) one cent per sales point. Your ceiling ceiling price for any milk product for fluid consumption sold to vendors shall be your ceiling price determined under the provisions of the General Ceiling Price Regulation and in effect November 15, 1951, plus one-quarter cent per sales point.

(b) *Your ceiling prices after December 15, 1952.* After December 15, 1952, your ceiling prices for any milk product for fluid consumption shall be your ceiling price determined under the provisions of the General Ceiling Price Regulation and in effect on November 15,

1951, plus (except for sales to vendors) ½ cent per sales point. Your ceiling price for any milk product for fluid consumption sold to vendors shall be your ceiling price determined under the provisions of the General Ceiling Price Regulation and in effect November 15, 1951, plus one-quarter cent per sales point.

(c) *Sales points.* Each of the following categories shall be considered one sales point for the specified container size. To determine the sales point value for a container of another size in any category, divide the contents of that container size by the contents of the container size in the same category specified in this section:

(1) One quart of fluid milk products, such as regular milk, homogenized milk, vitamin D milk, special buttermilk, chocolate whole milk, and fluid milk or drinks specially treated or flavored with a butterfat content between 3½ and 6 percent.

(2) One-half gallon of fluid milk products such as skim milk with a butterfat content of less than 3½ percent.

(3) One-third of a quart of concentrated whole milk and allied products having a butterfat content of 10 percent or more.

(4) One pint of cream products having a butterfat content between 10 percent and 15 percent.

(5) One-half pint of cream products having a butterfat content of more than 15 percent.

(6) Sixteen ounces of cottage cheese products.

(7) Sixteen ounces or one pint of specialty products such as yogurt.

(Sec. 704, 64 Stat. 816, as amended; 50 U. S. C. App. Sup. 2154)

Effective date. This amendment 6 to Area Milk Price Regulation 5, pursuant to Supplementary Regulation 63 to the General Ceiling Price Regulation shall become effective November 7, 1952.

B. EMMET HARTNETT,
Acting Regional Director.

NOVEMBER 7, 1952.

[F. R. Doc. 52-12106; Filed, Nov. 7, 1952; 4:36 p. m.]

[General Overriding Regulation 35, Supplementary Regulation 1]

GOR 35—PASS THROUGH FOR STEEL, PIG IRON, COPPER AND ALUMINUM COST INCREASES

ADJUSTMENTS FOR BOLTS, NUTS, SCREWS AND RIVETS

Pursuant to the Defense Production Act of 1950, as amended, Executive Order 10161, and Economic Stabilization Agency General Order No. 2, this Supplementary Regulation 1 to General Overriding Regulation 35 is hereby issued.

STATEMENT OF CONSIDERATIONS

This supplementary regulation gives producers of bolts, nuts, screws or rivets an option to use the following industry-wide increases instead of the "pass-through" as otherwise calculated for each producer individually under General Overriding Regulation (GOR) 35.

Screws: 1.6 percent.
Large rivets: 25 cents per 100 pounds.
All other rivets: 2.2 percent.
Steel or aluminum bolts and nuts: 2.2 percent.

Furthermore, it permits persons employing bolts, nuts, screws or rivets as manufacturing materials to use these industry-wide increases as the amounts they may reflect for bolts, nuts, screws and rivets in adjusting their own ceiling prices under GOR 35, if they wish. However, such persons who buy from resellers rather than the manufacturers of these products use the industry-wide increases.

This supplementary regulation is issued pursuant to section 18 of GOR 35 which provides for the issuance of supplementary regulations where the pass-through increase procedure provided for by GOR 35 is not appropriate for a particular industry. The GOR 35 procedure is found not to be appropriate for producers of bolts, nuts, screws or rivets.

Some 400,000 different items are manufactured by these producers and they are sold to thousands of different customers. The notification requirements of GOR 35, accordingly, appear not only burdensome for the producers, but also unduly complicate the calculations of the ceiling prices of the products in which bolts, nuts, screws or rivets are used. Furthermore, it has been determined that the application of GOR 35 would result in variations in the prices among producers of the same bolts, nuts, screws or rivets. These items have historically been priced on an "in-line" basis and the disturbed price relationships would result in confusion for the purchasers of these products.

To afford a medium for eliminating the confusion and complications mentioned, this supplementary regulation provides the producers of these items with an option to use the uniform increases listed above. The increases of 2.2 percent for bolts, nuts, and small rivets, and the 1.6 percent for screws is arrived at by taking the lowest increase calculated under GOR 35 for each of these product lines which was reported by individual members of the Industry Advisory Committees for the Bolt, Nut and Rivet Industry and for the Screw Industry. In each instance the members of the Advisory Committees represented the bulk of the production in each of the two industries. In the case of each industry the lowest increase was only slightly less than the weighted average of the reporting members.

An exception is made in the case of large rivets. The reason for this exception is that there are only a few manufacturers of this particular product and the metal cost represents the predominant part of the cost of production. Accordingly, the uniform increases provided for products involving a much smaller proportionate metal cost result in price increases for large rivets which fall by substantial amounts to cover the metal cost increase. Producers of these items demonstrated the desirability of providing a pass-through equivalent to the $5.00 a ton increase in the price of the steel bars from which these items are processed. This increase is reflected in the supplementary regulation by permission to use 25¢ per 100 pounds as the pass-through for this product.

The only bolt, nut, screw and rivet items not covered by the option are nonferrous bolts and nuts. These are manufactured by only three or four companies and are highly special products. The production costs of these items vary sharply between the producers who each specialize not only in types of non-ferrous bolts and nuts produced, but also in methods of marketing. Accordingly, the provisions of GOR 35 are appropriate to these particular items and no option is provided for them.

Producers who exercise the option to use the uniform price increases provided for by this supplementary regulation are exempted from the notification procedures of section 13 of GOR 35 and purchasers who are entitled to calculate increases under GOR 35 are, in turn, permitted to use automatically the industry-wide pass-through increases provided for herein when figuring their own ceiling prices under GOR 35. The reason for this is that it is presumed that these products have been selling at ceilings and that the producers of these items will in most cases increase their prices by the industry-wide increases permitted by this supplementary regulation.

Where a producer does not exercise the option and calculates his increases pursuant to GOR 35, persons purchasing from him may use such GOR 35 pass-through increases in calculating their own ceiling prices (provided, of course, they receive due notification in accordance with section 13 of GOR 35) or they may choose to use the uniform industry-wide increases. In a few cases, producers of nuts, bolts, screws or rivets have already given notice of price increases calculated on an individual basis under GOR 35. Such producers may substitute the uniform industry-wide increases provided in this supplementary regulation by giving notice to their customers of the change.

Of course, in order to accomplish the purposes of this supplementary regulation, a producer who adopts the uniform increase provided for a category of nuts, bolts, screws or rivets, must use the appropriate uniform adjustment for all of his sales of nuts, bolts, screws or rivets.

No provision is made for distributors, warehouses and mill supply houses who purchase bolts, nuts, screws and rivets, since they are entitled to reflect the amount of the increases in figuring their own ceiling prices under the provisions of Supplementary Regulation 29 to the General Ceiling Price Regulation. However, persons purchasing from these sources who are entitled to use the GOR 35 increases are to reflect the industry-wide increases provided for herein in calculating their own ceiling prices under GOR 35.

Ceiling Price Regulation 118 has been amended simultaneously herewith to reflect the option privilege established by this supplementary regulation.

In the formulation of this regulation there has been consultation with industry representatives, including the Nut, Bolt and Rivet and the Screw Industry Advisory Committees, and trade association representatives, to the extent practicable, and consideration has been given to their recommendations.

In the opinion of the Director of Price Stabilization, the provisions of this regulation are generally fair and equitable, comply with all applicable provisions of the Defense Production Act of 1950, as amended, and are necessary to effectuate the purposes of that act.

REGULATORY PROVISIONS

Sec.
1. What this regulation does.
2. Optional industry-wide increases.
3. Exemption from section 13 of GOR 35.
4. Purchasers of bolts, nuts, screws or rivets.

AUTHORITY: Sections 1 to 4 issued under sec. 704, 64 Stat. 816, as amended; 50 U. S. C. App. Sup. 2154. Interpret or apply Title IV, 64 Stat. 803, as amended; 50 U. S. C. App. Sup. 2101–2110; E. O. 10161, Sept. 9, 1950, 15 F. R. 6105; 3 CFR, 1950 Supp.

SECTION 1. *What this regulation does.* This regulation does the following:

(a) It gives producers of bolts, nuts, screws or rivets an option to use the industry-wide increases listed in section 2 of this regulation, rather than the increases calculated for each producer under GOR 35.

(b) It permits persons (other than purchasers from resellers rather than manufacturers) authorized by GOR 35 to pass through metal cost increases, to use either the amounts listed in section 2 of this regulation for bolts, nuts, screws and rivets or the individual increases calculated under GOR 35 as the amounts to be reflected for these items in calculating their ceiling prices under GOR 35. However, purchasers of bolts, nuts, screws or rivets from resellers use the amounts listed in section 2.

(c) It relieves producers who exercise the option in section 2 of this regulation of the necessity of complying with the notification provisions of section 13 of GOR 35 with respect to the bolts, nuts, screws or rivets listed in section 2 of this regulation.

SEC. 2. *Optional industry-wide increases.* If you are a producer of bolts, nuts, screws or rivets, instead of using the increases provided by GOR 35, you may, at your option, add to your ceiling prices as established by paragraphs (b), (c) and (d) of this section or pursuant to section 5 of Ceiling Price Regulation 118, an amount not to exceed the following:

(a) All stove bolts, machine screws, wood screws, tapping screws, stove bolt nuts, machine screw nuts, recessed head bolts and screws, preassembled lock washer screws, binding screws: 1.6 percent.

(b) Steel solid rivets ½" in diameter and larger: 25 cents per 100 pounds.

(c) All steel or aluminum machine bolts, carriage bolts, lag bolts, plow bolts, step bolts, elevator bolts, tap bolts, coupling bolts, tire bolts, cap screws, set screws, steel solid rivets, less than ½" in diameter, aluminum rivets all diameters, American standard regular nuts, American standard heavy nuts, American standard light nuts, and also every similar industrial fastener manufactured by any process to any specification whatsoever: 2.2 percent.

(d) All steel or aluminum threaded studs of all types, socket head and blank bolts, track bolts, track bolt nuts, frog bolts, switch bolts, gage rods, screw spikes, lock nuts, speed nuts, wing nuts, thumb nuts, acorn nuts, cap nuts, clinch-nuts, split rivets, tubular rivets, blind rivets other than explosive, clevis pins, wire spokes, spoke nipples, all of the foregoing when manufactured by any process to any specification whatsoever: 2.2 percent.

(e) All steel or aluminum miscellaneous headed, threaded, punched, bent or cut off products when manufactured by a person who is otherwise a producer of bolts, nuts, screws or rivets by use of any machine customarily used in the manufacture of any headed or punched product mentioned in paragraph (c) above: 2.2 percent.

Once you exercise this option with respect to any one of the above-listed bolts, nuts, screws or rivets, you must thereafter use the appropriate industry-wide increase specified above in establishing your ceiling prices for all sales of any of the above-listed bolts, nuts, screws or rivets.

SEC. 3. *Exemption from section 13 of GOR 35.* If you adjust your ceiling prices by using the uniform industry-wide increases set forth in section 2 of this regulation and you have not previously notified your customers of some other adjustment figure, you need not give the notice to your customers required by section 13 of GOR 35.

SEC. 4. *Purchasers of bolts, nuts, screws or rivets.* (a) If you are a purchaser of bolts, nuts, screws or rivets who is authorized by GOR 35 to pass through metal cost increases, and, prior to effective date of this regulation, you have not received from the producer selling you such products notice of an increase in his ceiling prices under GOR 35, you may use the increase amounts listed in section 2 of this regulation for any bolts, nuts, screws or rivets listed in that section 2 as the amounts which you reflect for these items in calculating your own ceiling prices under GOR 35. You are limited to these amounts for such bolts, nuts, screws or rivets unless, on or after the effective date of this supplementary regulation, you are notified, pursuant to section 13 of GOR 35, by the selling producer that he is using the pass-through increases calculated under GOR 35 rather than the industry-wide increases listed in section 2 of this regulation. Where such notification is given, you may use the increases set forth therein or the increases set forth in section 2 above in adjusting your ceiling prices under GOR 35.

(b) If you are a purchaser of bolts, nuts, screws or rivets and, prior to the effective date of this regulation, you have received from the producer selling you such products notice of an increase in his ceiling prices under GOR 35 which does not correspond with the amounts listed in section 2 of this regulation, you may continue to use the figure contained in that notice or you may use the appropriate figure specified in section 2 above.

(c) Once you have made the choice, permitted under paragraphs (a) and (b) of this section 4, of using either the industry-wide increases provided in section 2 or the increases calculated under GOR 35, you may not thereafter change to the other method of adjusting your ceiling prices.

(d) If you are a purchaser of bolts, nuts, screws or rivets who is authorized by GOR 35 to pass through metal cost increases, and you buy any of the products listed in section 2 above not from the producer but from a reseller, in making the adjustments in your ceiling prices under GOR 35, you use the appropriate figure set out in that section 2.

Effective date. This supplementary regulation to General Overriding Regulation 35 is effective November 12, 1952.

JOSEPH H. FREEHILL,
Acting Director of Price Stabilization.

NOVEMBER 7, 1952.

[F. R. Doc. 52-12087; Filed, Nov. 7, 1952; 12:35 p. m.]

Chapter VI—National Production Authority, Department of Commerce

[NPA Order M-73 as amended November 7, 1952]

M-73—MAINTENANCE, REPAIR, INSTALLATION, AND OPERATING SUPPLIES AND MINOR CAPITAL ADDITIONS, FOR RAIL TRANSPORTATION SYSTEMS

This order, as amended, is found necessary and appropriate to promote the national defense and is issued pursuant to the authority granted by the Defense Production Act of 1950, as amended. In the formulation of this amended order, there has been consultation with industry representatives, including trade association representatives, and consideration has been given to their recommendations.

EXPLANATORY

This order as amended affects NPA Order M-73 as amended April 16, 1952, in the following respects, among others: In section 2, it changes the definitions of "operating supplies" (paragraph (e)) and "installations" (paragraph (h)). In section 3, it authorizes the acquisition and use of used steel and foreign steel without an allotment. In section 8, operators of rail transportation systems are permitted to obtain rail and track accessories without regard to calendar-day inventory limitations, provided such acquisitions do not exceed allotments and advance allotments issued under the order.

REGULATORY PROVISIONS

Sec.
1. What this order does.
2. Definitions.
3. Statements of requirements.
4. Use of allotment number U-3 and rating DO-U3.
5. Limitations on use of allotment number and rating.
6. Exceptions due to emergency conditions.
7. Rail transportation systems whose requirements are not in excess of $25,000 per quarter.
8. Inventory limitations.
9. Request for adjustment or exception.
10. Records and reports.
11. Communications.
12. Violations.

AUTHORITY: Sections 1 to 12 issued under sec. 704, 64 Stat. 816, Pub. Law 429, 82d Cong.; 50 U. S. C. App. Sup. 2154. Interpret or apply sec. 101, 64 Stat. 799, Pub. Law 429, 82d Cong.; 50 U. S. C. App. Sup. 2071; sec. 101, E. O. 10161, Sept. 9, 1950, 15 F. R. 6105; 3 CFR, 1950 Supp.; sec. 2, E. O. 10200, Jan. 3, 1951, 16 F. R. 61; 3 CFR, 1951 Supp.; secs. 402, 405, E. O. 10281, Aug. 28, 1951, 16 F. R. 8789; 3 CFR, 1951 Supp.

SECTION 1. *What this order does.* The purpose of this order is to provide a uniform procedure under the Controlled Materials Plan by which rail transportation systems may obtain controlled materials and products or materials other than controlled materials for maintenance, repair, and operating supplies (hereinafter collectively referred to as "MRO"), installation, and minor capital additions. Except as otherwise provided, it requires each operator of a rail transportation system to report to NPA his total quarterly requirements for MRO, installation, and minor capital additions, and it explains how he may obtain the materials or products authorized by NPA after a review of such requirements. It also contains special provisions with respect to inventories of rail and track accessories.

SEC. 2. *Definitions.* For purposes of this order:

(a) "Rail transportation system" means and includes the following types of transportation facilities in the United States: A common carrier railroad, a terminal railroad, a switching railroad, a private car line company, a rapid transit system (including a subway and elevated railroad), and a street railway system (including a trolley coach system).

(b) "Operator" means any person to the extent that he owns or operates a private car line company or is engaged in the business of transporting passengers or property over a rail transportation system.

(c) "Person" means any individual, corporation, partnership, association, or any other organized group of persons, and includes any agency of the United States Government or any other government.

(d) "Maintenance" means the minimum upkeep necessary to continue any plant, facility, or equipment in sound working condition, and "repair" means the restoration of any plant, facility, or equipment to sound working condition when it has been rendered unsafe or unfit for service by wear and tear, damage, failure of parts, or the like. "Maintenance" and "repair" include the replacement of any equipment (other than rail motive power and rolling stock) regardless of its accounting classification, but neither "maintenance" nor "repair" includes additions to plant or improvement of any plant, facility, or equipment by replacing materials or products which are in sound working condition. In routine maintenance, repair, and operations, the application of a superior part or a part of superior quality shall not be considered a capital addition, although under established accounting practices such application results in a charge to a capital account.

(e) "Operating supplies" means any kind of material carried by a rail transportation system as operating supplies according to its established accounting practice. Neither the term "operating supplies" nor any other provision of this order includes or applies to any item contained in List A of NPA Reg. 2.

(f) "MRO" means maintenance, repair, and operating supplies, as defined in this section, but does not include installation or minor capital additions.

(g) "Minor capital additions" means any improvement or addition where the total cost of materials or products required does not exceed $2,500 for any one complete capital addition. The term "one complete capital addition" includes all items entering into the improvement or addition as part of a single project or plan whether or not installed or completed at the same time, and the cost of all such items is to be included in figuring the total cost of the addition. No capital addition shall be subdivided for the purpose of bringing it or any part of it within the foregoing definitions.

(h) "Installation" means the setting up or relocation of machinery, fixtures, or equipment in position for service, and the connection thereof to existing service facilities, where such setting up or relocation is not and does not occur in conjunction with construction, as defined in Revised CMP Regulation No. 6. Where such installation occurs in a building, structure, or project which has been completed for less than 1 year and is part of the construction "project," as defined in Revised CMP Regulation No. 6, it shall not be considered installation for the purposes of this regulation.

(i) "Controlled materials" means steel, copper, and aluminum, in the forms and shapes indicated in CMP Regulation No. 1.

(j) "Authorized controlled material order" means any delivery order for any controlled material (as distinct from a product containing controlled material) which is placed pursuant to an allotment of controlled materials as provided in this order.

(k) "Delivery order" means any purchase order, contract, shipping, or other instruction, calling for delivery of any material or product on a particular date or dates or within specified periods of time.

(l) "NPA" means the National Production Authority.

SEC. 3. *Statements of requirements.* (a) An operator of a rail transportation system who wishes to operate under the provisions of this order shall file an application with NPA on Form NPAF-105 for a quarterly allotment of controlled materials and a quota of products or materials other than controlled materials for MRO, installation, and minor capital additions. He shall state on Form NPAF-105, in the manner prescribed therein, his actual quarterly requirements for such materials and products and shall file such form on a date specified by NPA prior to the beginning of the calendar quarter in which delivery is required.

(b) Where NPA has approved an application wholly or in part, the authorization returned to the applicant shall constitute an allotment of controlled materials in the quantities and in the forms and shapes specified therein and will establish a quota of products or materials other than controlled materials which the applicant is authorized to acquire for MRO, installation, and minor capital additions. NPA may from time to time issue advance allotments and quotas.

(c) No operator of a rail transportation system shall order controlled materials or products or materials other than controlled materials for MRO, minor capital additions, or installations in the absence or in excess of an allotment or quota issued as prescribed in this section, except as provided in sections 6 and 7 of this order and except that he may obtain foreign steel and used steel without placing an authorized controlled material order therefor and without making a corresponding charge against his allotment.

SEC. 4. *Use of allotment number U-3 and rating DO-U3*—(a) *Authorized controlled material orders.* Each operator of a rail transportation system who receives an allotment of controlled materials pursuant to this order may place delivery orders for such controlled materials not exceeding the quantities specified in the allotment. He shall place on each such order, or on a separate piece of paper attached thereto, the allotment number U-3, together with the abbreviated designation of the calendar quarter and year for which the allotment is valid, such as U-3-3Q52. Each delivery order shall bear the following certification:

Certified under NPA Order M-73

Such an order shall constitute an authorized controlled material order within the meaning of CMP regulations issued by NPA when signed as provided in section 8 of NPA Reg. 2. The certification shall serve as a representation to the supplier and to NPA that the operator of the rail transportation system is authorized under the provisions of this order to obtain the controlled materials covered by the authorized controlled material order.

(b) *Delivery orders for products or materials other than controlled materials.* Each operator of a rail transportation system who receives an authorization covering products or materials other than controlled materials may place on each delivery order therefor, the rating DO-U3, together with the words "Certified under NPA Order M-73." Such certification shall be signed as provided in section 8 of NPA Reg. 2. This certification shall constitute a representation to the supplier and to NPA that the operator of the transportation system is authorized under the provisions of this order to obtain the products or materials other than controlled materials covered by the delivery order.

(c) *Delivery orders pursuant to CMP Regulation No. 5.* No operator of a rail transportation system shall place orders pursuant to CMP Regulation No. 5 except as provided in section 7 of this order.

SEC. 5. *Limitations on use of allotment number and rating.* Neither the allot-

ment number assigned in paragraph (a) of section 4 nor the rating assigned in paragraph (b) thereof shall be applied or extended to obtain any item listed in Schedules I or II of CMP Regulation No. 5. However, an operator of a rail transportation system may obtain such listed items in any calendar quarter without the use of such number or rating to the extent authorized each quarter by NPA pursuant to this order. The limitations of this paragraph do not apply to railroad safety and traffic control signs and markers.

SEC. 6. *Exceptions due to emergency conditions.* An operator of a rail transportation system may at any time use the allotment number U-3 or the rating DO-U3 assigned in section 4 of this order, whichever is applicable, to order for delivery controlled materials and products or materials other than controlled materials necessary for the maintenance or repair of property or equipment damaged or destroyed by extraordinary cause, such as explosion, fire, sabotage, acts of the public enemy, flood, storm, or similar emergency condition: *Provided, however,* That if an operator of a rail transportation system exceeds an allotment or quota issued by NPA for any calendar quarter by virtue of placing a delivery order for any such purpose, the controlled materials or the products or materials other than controlled materials so ordered shall be reported to NPA within 10 calendar days from the date of such delivery order on Form NPAF-105, which shall be accompanied by a statement of the reasons therefor.

SEC. 7. *Rail transportation systems whose requirements are not in excess of $25,000 per quarter.* An operator of a rail transportation system whose aggregate requirements for MRO, installation, and minor capital additions for any calendar quarter are not in excess of $25,000 shall obtain such requirements in accordance with the provisions of CMP Regulation No. 5, unless an election was made prior to July 28, 1951, to operate under the provisions of this order. If an operator's requirements for MRO, installation, and minor capital additions in any particular quarter are in excess of $25,000, such operator shall, for purposes of that quarter, operate under the provisions of this order. No advance allotment or quota will be issued to such person, however.

SEC. 8. *Inventory limitations.* (a) Nothing in this order shall he deemed to authorize an operator of a rail transportation system to order or receive any controlled materials or products or materials other than controlled materials if acceptance thereof would increase his inventory above the limit fixed in any applicable order or regulation of NPA except that (1) an operator of a rail transportation system may maintain minimum stocks of controlled materials and products or materials other than controlled materials for emergency use, and (2) an operator may acquire reasonable stocks of ties and lumber for seasoning in accordance with the provisions of this order, and (3) an operator who normally stocks rails, joint bars (track), tie plates (track), and track spikes in advance of the season of use, may accept, within the allotments or advance allotments authorized to him under this order, advance delivery of such items for his seasonal requirements to the extent that the deliveries accepted will be no greater than, and no further in advance than those that he would normally accept in the ordinary course of his operations to meet reasonably anticipated seasonal requirements.

(b) An operator of a rail transportation system may resell products or materials acquired under this order (1) to any other operator; or (2) to another person when such products or materials are to be physically incorporated in repairs of equipment which is used in the maintenance, repair, or operations of the operator's own property: *Provided,* That such products or materials could have been used by the operator in making his own repairs without violation of any of the provisions of this order; or (3) to the operator's own rail transportation system subsidiaries for the maintenance of track or equipment not owned but either customarily maintained by the operator or his subsidiaries, or for which materials are customarily furnished.

SEC. 9. *Request for adjustment or exception.* Any operator of a rail transportation system affected by any provision of this order may file a request for adjustment or exception upon the ground that such provision works an undue or exceptional hardship upon him not suffered generally by others in the same trade or industry, or that its enforcement against him would not be in the interest of the national defense or in the public interest. In examining requests for adjustment or exception claiming that the public interest is prejudiced by the application of any provision of this order, consideration will be given to the requirements of the public health and safety, civilian defense, and dislocation of labor and resulting unemployment that would impair the defense program. Each request shall be in writing, by letter in triplicate, and shall set forth all pertinent facts, the nature of the relief sought, and the justification therefor.

SEC. 10. *Records and reports.* (a) Each person participating in any transaction covered by this order shall make and preserve, for at least 3 years thereafter, accurate and complete records of receipts, deliveries, inventories, production, and use, in sufficient detail to permit the determination, after audit, whether each transaction complies with the provisions of this order. This order does not specify any particular accounting method and does not require alteration of the system of records customarily used, provided such records supply an adequate basis for audit. Records may be retained in the form of microfilm or other photographic copies instead of the originals by those persons who, at the time such microfilm or other photographic records are made, maintain such copies of records in the regular and usual course of business.

(b) All records required by this order shall be made available for inspection and audit by duly authorized representatives of the National Production Authority, at the usual place of business where maintained.

(c) Persons subject to this order shall make such records and submit such reports to NPA as it shall require, subject to the terms of the Federal Reports Act of 1942 (5 U. S. C. 139-139F).

SEC. 11. *Communications.* All communications concerning this order shall be addressed to the National Production Authority, Washington 25, D. C., Ref: NPA Order M-73.

SEC. 12. *Violations.* Any person who wilfully violates any provision of this order, or any other order or regulation of NPA, or who wilfully furnishes false information or conceals any material fact in the course of operation under this order, is guilty of a crime and upon conviction may be punished by fine or imprisonment or both. In addition, administrative action may be taken against any such person to suspend his privilege of making or receiving further deliveries of materials or using facilities under priority or allocation control and to deprive him of further priorities assistance.

NOTE: All reporting and record-keeping requirements of this order have been approved by the Bureau of the Budget in accordance with the Federal Reports Act of 1942.

This order as amended shall take effect November 7, 1952.

NATIONAL PRODUCTION AUTHORITY,
By GEORGE W. AUXIER,
Executive Secretary.

[F. R. Doc. 52-12097; Filed, Nov. 7, 1952; 3:05 p. m.]

[NPA Order M-79, as amended November 7, 1952]

M-79—MAINTENANCE, REPAIR, AND OPERATING SUPPLIES FOR EXPORT

This order as amended is found necessary and appropriate to promote the national defense and is issued pursuant to the Defense Production Act of 1950, as amended. In the formulation of this order as amended, there has been consultation with industry representatives, including trade association representatives, and consideration has been given to their recommendations. However, because the order as amended affects many exporters in a wide variety of industries, it has been impracticable to consult with representatives of all affected trades and industries.

EXPLANATORY

This amended order revises NPA Order M-79, as amended March 6, 1952, by adding provisions to sections 8 and 9 to permit manufacturers to accept and fill non-rated export orders in excess of their MRO export quotas.

REGULATORY PROVISIONS

Sec.
1. What this order does.
2. Items subject to this order.
3. Items excluded from this order.
4. Manufacturers' MRO export quotas.

Sec.
5. Manufacturers' reports to OIT.
6. Availability of MRO for export.
7. Priorities assistance for nonmanufacturing exporters.
8. Manufacturers' quotas not to be exceeded.
9. Rating of MRO export orders by manufacturers.
10. Limitations on use of rating.
11. Status of orders rated DO-97.
12. Exports requiring validated licenses.
13. Relation to other NPA orders and regulations.
14. Records and reports.
15. Applications for adjustment or exception.
16. Applications for inclusion under this order.
17. Communications.
18. Violations.

AUTHORITY: Sections 1 to 18 issued under sec. 704, 64 Stat. 816, Pub. Law 429, 82d Cong.; 50 U. S. C. App. Sup. 2154. Interpret or apply sec. 101, 64 Stat. 799, Pub. Law 429, 82d Cong.; 50 U. S. C. App. Sup. 2071; sec. 101, E. O. 10161, Sept. 9, 1950, 15 F. R. 6105; 3 CFR, 1950 Supp.; sec. 2, E. O. 10200, Jan. 3, 1951, 16 F. R. 61; 3 CFR, 1951 Supp.; secs. 402, 405, E. O. 10281, Aug. 28, 1951, 16 F. R. 8789; 3 CFR, 1951 Supp.

SECTION 1. *What this order does.* This order sets up a procedure to meet essential foreign requirements for maintenance, repair, and operating supplies of specified types and in limited quantities. It provides quarterly MRO export quotas for manufacturers and explains how they and other exporters may draw on these quotas. It also makes provision whereby manufacturers may apply the DO-MRO rating to export orders and whereby nonmanufacturing exporters may secure the right to apply such rating to export orders.

SEC. 2. *Items subject to this order.* The only items to which this order applies, and the only items included in "MRO" as that term is used in this order, are the following:

(a) Replacement parts for machinery or equipment which is employed in other than personal or household uses; and

(b) Those items (whether for replacement or not) listed below which are to be employed in other than personal or household uses:

Hand tools, whether hand-operated or power-driven, including appliances such as grease guns, jacks, pumps, and the like.
Chucks (all types), die heads, grinding wheels, and cutting tools (all types, including drills, taps, reamers, and the like), designed for use with machine tools.
Electrodes and anodes.
Welding rods.
Rope, chain, and cable.
Sizing.
Laboratory supplies, instruments, and equipment, with an export sales price f. a. s. not exceeding $1,000 for any one item.
Pole line, transmission, and distribution hardware, and electrical porcelain (dry process and wet process).

SEC. 3. *Items excluded from this order.* The following items are specifically excluded from the operation of this order:

(a) Materials included in List A of NPA Reg. 2, or in Appendix A of Direction 3 to NPA Reg. 2, as they may be amended or supplemented from time to time;

(b) Materials included in Schedule I of CMP Regulation No. 5, as such schedule may be amended or supplemented from time to time;

(c) Controlled materials as defined in section 2 (c) of CMP Regulation No. 1, as such regulation may be amended or supplemented from time to time;

(d) Farm equipment;

(e) Parts and accessories for aircraft or for ground equipment for servicing aircraft, and any component of either;

(f) Repair and replacement parts for construction machinery included in List A of NPA Order M-43, as such list may be amended or supplemented from time to time;

(g) Parts, assemblies of parts, and accessories, for automotive vehicles, including all passenger carriers, trucks (on- or off-the-highway), truck trailers, and motorized fire equipment; and

(h) Items made wholly of rubber, leather, textiles, or any combination of such materials.

SEC. 4. *Manufacturers' MRO export quotas.* Every manufacturer who, in the calendar year 1950 or in his fiscal year described in paragraph (b) of this section, delivered for export (i. e., exported directly or through others or delivered to others for export), to any country other than Canada and those countries in Subgroup A, as defined in the export control regulations issued by the Office of International Trade, a quantity of those items of his own manufacture which are subject to this order and had an aggregate export sales value in excess of $10,000, is hereby assigned, and is hereby directed to compute and establish (subject to revision in accordance with section 5 of this order), a quarterly MRO export quota as follows:

(a) Unless he otherwise elects, in accordance with the subsequent paragraphs of this section, each such manufacturer's standard quarterly MRO export quota is 30 percent of the aggregate export sales value of all such MRO items delivered by him for export in the calendar year 1950.

(b) Any manufacturer who operated on a fiscal year basis prior to March 1, 1951, may elect to compute his quarterly MRO export quota on the basis of his last fiscal year ending prior to that date instead of on a calendar year basis.

(c) Any manufacturer may elect to figure his quota on a seasonal basis. If he so elects, his quarterly MRO export quota for any quarter is 120 percent of the aggregate export sales value of all MRO items which he delivered for export in the corresponding quarter of the year 1950 (or of his fiscal year).

(d) Any manufacturer of replacement parts for machine tools may, instead of computing his quarterly MRO export quota under paragraphs (a), (b), or (c) of this section, elect to compute such quota as 50 percent of the aggregate export sales value of all MRO items (as specified in section 2 of this order) delivered by him for export in the last 6 months of the calendar year 1951.

(e) A manufacturer may elect to figure export sales value on either an f. a. s. or on a c. i. f. basis, but he must figure all items on the same basis.

(f) A manufacturer who makes any election under this section may not thereafter change his election without prior written approval of the Office of International Trade.

SEC. 5. *Manufacturers' reports to OIT.* On or before September 1, 1951, or within 30 days after this order is amended so as first to bring him under it, or within 30 days after this order or any other NPA regulation or order mentioned in section 3 is amended or otherwise modified so as to change the MRO items thereafter to be included in computing his MRO export quota, each manufacturer for whom a quarterly MRO export quota is established by section 4 of this order shall prepare and submit to the Office of International Trade a signed report in duplicate, on Form IT-833, showing the export sales value of all MRO items of his own manufacture which he delivered in his base year (1950 calendar or fiscal, or, in the case of a machine tool part manufacturer so electing under section 4 (d) of this order, the last 6 months of the calendar year 1951) for export (i. e., directly or to or through others) to countries other than Canada and Subgroup A countries as defined in the export control regulations issued by the Office of International Trade. The report must be broken down into categories as specified on the form and must state whether the manufacturer is reporting on an f. a. s. or on a c. i. f. basis. In computing his 1950 deliveries for export (or, in the case of a machine tool part manufacturer so electing under section 4 (d) of this order, his deliveries for export in the last 6 months of the calendar year 1951) pursuant to section 4 of this order, and in preparing his report pursuant to this section, the manufacturer must not (to the best of his information and belief) include any items delivered for use abroad for personal or household purposes or, insofar as replacement parts are concerned, any items delivered for use abroad for other than replacement purposes. Where precise knowledge as to foreign end use is lacking, estimates may be made, but in such cases the manufacturer must include in his report a statement showing what estimates he has made, what were his total sales for export of the category in question, and the basis upon which his estimates are made. The Office of International Trade, if it finds that any such estimates are unreasonable or that such report is erroneous in any respect, may reduce the manufacturer's quarterly MRO export quota as may be appropriate, and the manufacturer, upon being notified of any such reduction, shall adjust his quota accordingly.

SEC. 6. *Availability of MRO for export.* (a) Each manufacturer for whom a quarterly MRO export quota is established by section 4 of this order shall make available for export (as required) during each calendar quarter, the full amount of such quota, out of his production of such MRO items. The method by which he does this (e. g., whether by making direct export sales, by selling through one or more designated export sales representatives, by selling to nonmanufacturing exporters, or by combining two or more of these methods), is left to his own choice but subject to existing

contracts. It is anticipated, however, that his customary pattern of distribution will be followed insofar as practicable. No such manufacturer need accept orders for delivery of MRO items for export in any 1 month aggregating more then 40 percent of his MRO export quota for that quarter.

(b) In cases where a manufacturer is required to establish or recalculate his quarterly MRO export quota, as the result of amendment or other modification of this order or one of the NPA regulations or orders mentioned in section 3 of this order, he must make available for export during the then current calendar quarter and also during each subsequent calendar quarter the amount of his quota as so established or recalculated. In other words, where he has already accepted export orders calling for delivery in any such calendar quarter of items included in the quota thus newly established or recalculated, he must deduct the amount of such orders from his newly established or recalculated quota for that calendar quarter, the difference being the amount of his quota remaining available for that calendar quarter.

SEC. 7. *Priorities assistance for nonmanufacturing exporters.* Any nonmanufacturing exporters who, having obtained an order from a foreign customer for an MRO item which is demonstrably needed for other than personal or household purposes, finds that he is unable without a rating to secure such item from sources available to him may apply to the Office of International Trade for priorities assistance. In proper cases such exporter will be assigned the right to apply the DO–MRO rating to obtain such item from his appropriate source of supply. In the event that such a right is granted, the rating shall be applied by the exporter by placing on his order to his supplier, or on a separate paper attached to the order or clearly identifying it, the symbol "DO–MRO," together with the words:

Certified under NPA Order M–79

This certification shall be signed as provided in NPA Reg. 2 and shall constitute a representation to the supplier and to NPA that the purchaser is authorized to use the rating under the provisions of this order to obtain the materials ordered. The person upon whom such a rated order is served, or to whom the rating is extended, must accept the order, unless he is a manufacturer whose applicable MRO export quota has already been exhausted through acceptance of export orders calling for delivery in the applicable period or unless he is entitled to reject the order for other proper grounds as provided in NPA Reg. 2.

SEC. 8. *Manufacturers' quotas not to be exceeded.* A manufacturer for whom an MRO export quota is established by section 4 of this order must charge against such quota, in the dollar amount of their export sales value, all MRO items of his own manufacture (which are chargeable against his quota) for which he accepts export orders which are rated pursuant to either section 7 or section 9 of this order, for shipment to countries other than Canada and Subgroup A countries, as defined in the export control regulations issued by the Office of International Trade. He may not accept orders rated pursuant to either section 7 or section 9 of this order for delivery in any quarter (for items chargeable against his quota) having an aggregate export sales value in excess of his quota for that quarter. Charges are in all cases to be made against quotas for the quarter in which delivery is to be made by the manufacturer. Shipments made on unrated orders need not be charged to quotas.

SEC. 9. *Rating of MRO export orders by manufacturers.* Any manufacturer who has filed his report as required by section 5 of this order may apply the DO–MRO rating to any MRO export order which he accepts, regardless of whether it comes to him directly from the foreign customer or from a person in this country: *Provided, however,* That the export orders which he so rates, together with the export orders which he accepts as orders rated pursuant to section 7 of this order, shall not exceed in the aggregate his MRO export quota for the applicable quarter. Any rating so applied shall have the same status and effect as a rating carried by a rated MRO export order placed with the manufacturer by a nonmanufacturing exporter. An order bearing the rating DO–MRO shall constitute a rated order with an allotment symbol for the purpose of all NPA regulations and orders.

SEC. 10. *Limitations on use of rating.* The rating DO–MRO may not be applied or extended by any person to obtain any of the materials described in section 3 of this order. No manufacturer may extend the DO–MRO rating to obtain any Class A or Class B product (as those products are defined in CMP Regulation No. 1) or any production material for the manufacture of any Class A or Class B product. Such products and materials must be obtained in accordance with CMP Regulations Nos. 1 and 3, as such regulations may be amended or supplemented from time to time. The DO–MRO rating may be extended by a manufacturer, however, to obtain other products and materials as provided in NPA Reg. 2. In extending the rating, the manufacturer must place on his order the words:

Certified under NPA Order M–79

This certification shall be signed as provided in NPA Reg. 2 and shall constitute a representation to the supplier and to NPA that the purchaser is authorized to use the rating under the provisions of this order to obtain the materials ordered.

SEC. 11. *Status of orders rated DO–97.* Any order rated DO–97 under Direction 2 to NPA Reg. 4, calling for delivery in the third quarter of 1951, is hereby converted into a DO–MRO rated order. Any such DO–97 rated order calling for delivery after the third quarter of 1951, must be converted into a DO–MRO rated order on or before September 1, 1951, by action of the person placing the order, or it will become an unrated order. Any MRO order rated DO–97 or DO–MRO under Direction 2 to NPA Reg. 4, calling for delivery after August 1, 1951, must be charged against the manufacturer's MRO export quota for the quarter in which delivery is ordered, regardless of whether converted or not.

SEC. 12. *Exports requiring validated licenses.* The authority granted by this order to apply the DO–MRO rating to any item requiring a validated license for its export does not imply assurance that such a license will be issued.

SEC. 13. *Relation to other NPA orders and regulations.* The provisions of all other NPA regulations and orders which are not in conflict with this order remain in full force and effect. Nothing in this order shall be construed as applicable to any material under allocation or as relieving any person from the obligation of complying with such limitations on acquisition or use of materials or such other provisions as may be contained in any applicable regulation or order of NPA or with any order of any other competent authority.

SEC. 14. *Records and reports.* (a) Every manufacturer and every nonmanufacturing exporter subject to this order shall make and preserve at his regular place of business for at least 2 years accurate and complete records showing, with respect to each manufacturer, what his MRO export quotas are, how he computed them, their factual justification, what revisions or adjustments he has made in them and for what reasons, any elections made as to use of seasonal quotas, methods of figuring quotas and charges against them, or other options exercised and, with respect to each manufacturer and each nonmanufacturing exporter, all receipts, deliveries, and inventories of MRO items for export with or without rating, in sufficient detail to permit an audit that determines for each transaction that the provisions of this order have been met. This requirement does not specify any particular accounting method and does not require alteration of the system of records customarily maintained, provided such records disclose the above data and supply an adequate basis for audit. Records may be retained in the form of microfilm or other photographic copies instead of the originals.

(b) All records required by this order shall be made available at the usual place of business where maintained for inspection and audit by duly authorized representatives of NPA.

(c) Persons subject to this order shall maintain such further records and submit such reports to NPA as it shall require, subject to the terms of the Federal Reports Act of 1942 (5 U. S. C. 139–139F).

SEC. 15. *Applications for adjustment or exception.* Any person affected by any provision of this order may file a request for adjustment or exception upon the ground that such provision works an undue or exceptional hardship upon him not suffered generally by others in the same trade or industry, or that its enforcement against him would not be in the interest of the national defense or in the public interest.

In examining requests for adjustment claiming that the public interest is prejudiced by the application of any provision of this order, consideration will be given to the requirements of the public health and safety, civilian defense, and dislocation of labor and resulting unemployment that would impair the defense program. Each request shall be submitted in writing, in triplicate, shall set forth all pertinent facts and the nature of the relief sought, and shall state the justification therefor.

SEC. 16. *Applications for inclusion under this order.* Any manufacturer excluded from this order by reason of the fact that his deliveries for export as specified in section 4 of this order were not in excess of $10,000 in 1950 (calendar or fiscal) may nevertheless, upon his request submitted in writing in triplicate, be granted the privilege of operating under the order.

SEC. 17. *Communications.* All communications concerning this order shall be addressed to the Office of International Trade, Washington 25, D. C., Ref: M-79.

SEC. 18. *Violations.* Any person who wilfully violates any provision of this order or who wilfully conceals a material fact or furnishes false information in the course of operation under this order is guilty of a crime and, upon conviction, may be punished by fine or imprisonment or both. In addition, administrative action may be taken against any such person to suspend his privilege of making or receiving further deliveries of materials or using facilities under priority or allocation control and to deprive him of further priorities assistance.

NOTE: All reporting and record-keeping requirements of this order have been approved by the Bureau of the Budget in accordance with the Federal Reports Act of 1942.

This order as amended shall take effect November 7, 1952.

NATIONAL PRODUCTION AUTHORITY,
BY GEORGE W. AUXIER,
Executive Secretary.

[F. R. Doc. 52-12098; Filed, Nov. 7, 1952; 3:05 p. m.]

[NPA Reg. 1, Amendment 1 of November 7, 1952]

REG. 1—INVENTORY CONTROL

This amendment to NPA Reg. 1 is found necessary and appropriate to promote the national defense and is issued pursuant to the Defense Production Act of 1950, as amended. In the formulation of this amendment, consultation was had with representatives of the sulfur industry and consideration was given to their recommendations. Since there is no trade association in this industry consultation with trade association representatives was not possible.

NPA Reg. 1, as amended September 9, 1952, is hereby further amended as follows:

1. The following item in Table IA of NPA Reg. 1, under the heading of "Chemicals" is deleted:

Sulfur

2. The following item in Table II of NPA Reg. 1 is deleted:

Sulfur ---------- M-69

(Sec. 704, 64 Stat. 816, Pub. Law 429, 82d Cong.; 50 U. S. C. App. Sup. 2154)

This amendment shall take effect November 7, 1952.

NATIONAL PRODUCTION AUTHORITY,
BY GEORGE W. AUXIER,
Executive Secretary.

[F. R. Doc. 52-12096; Filed, Nov. 7, 1952; 3:05 p. m.]

Chapter XXI—Office of Rent Stabilization, Economic Stabilization Agency

[Rent Regulation 1, Amdt. 22 to Schedule B]
[Rent Regulation 2, Amdt. 23 to Schedule B]

RR 1—HOUSING

RR 2—ROOMS IN ROOMING HOUSES AND OTHER ESTABLISHMENTS

SCHEDULE B—SPECIFIC PROVISIONS RELATING TO INDIVIDUAL DEFENSE-RENTAL AREAS OR PORTIONS THEREOF

KANSAS CITY AND CLEVELAND DEFENSE-RENTAL AREAS

Effective November 10, 1952, Rent Regulation 1 and Rent Regulation 2 are amended as set forth below.

(Sec. 204, 61 Stat. 197, as amended; 50 U. S. C. App. Sup. 1894)

Issued this 7th day of November 1952.

JAMES MCI. HENDERSON,
Director of Rent Stabilization.

1. Item 68 is added to Schedule B of Rent Regulation 1—Housing, reading as follows:

68. *Provisions relating to the Kansas City Defense-Rental Area (Item 170 of Schedule A):*

With respect to housing accommodations in the Kansas City Defense-Rental Area, section 141 of this regulation is changed to read as follows:

SEC. 141. *Alternate adjustment for increases in costs and prices.* The housing accommodation had a maximum rent in effect on November 10, 1952, and the present maximum rent for the housing accommodation does not equal (1) 130 percent of the maximum rent for the housing accommoda-130 percent of the maximum rent for comparable housing accommodations on June 30, 1947, if no maximum rent was in effect on that date; (2) plus or minus any increases or decreases in maximum rent ordered after June 30, 1947, under this regulation for major capital improvements or increases or decreases in living space, services, furniture, furnishings or equipment or substantial deterioration. The adjustment under this section shall be in an amount sufficient to cause the maximum rent to equal (1) 130 percent of the maximum rent in effect on June 30, 1947, for the housing accommodations or comparable housing accommodations, whichever is applicable; (2) plus or minus appropriate increases or decreases in rental value, if any, as specified herein: *Provided, however,* That the Director shall give appropriate consideration to orders issued under sections 157 or 162 decreasing maximum rents which were in effect on June 30, 1947. Adjustments under this section shall be effective automatically upon the filing of the petition if a maximum rent was in effect on June 30, 1947. In all other cases, they shall not be effective until the order is issued by the Director. All provisions of this regulation insofar as they are applicable to the Kansas City Defense-Rental Area are amended to the extent necessary to carry into effect the provisions of this Item 68 of Schedule B.

2. Item 74 is added to Schedule B of Rent Regulation 2—Rooms, reading as follows:

74. *Provisions relating to the Kansas City Defense-Rental Area (Item 170 of Schedule A):*

With respect to housing accommodations in the Kansas City Defense-Rental Area, section 138 is added to read as follows:

SEC. 138. *Alternate adjustment for increases in costs and prices.* The room had a maximum rent in effect on November 10, 1952, and the present maximum rent for the room does not equal (1) 130 percent of the maximum rent in effect on June 30, 1947, or 130 percent of the maximum rent for comparable rooms on June 30, 1947, if no maximum rent was in effect on that date; (2) plus or minus any increases or decreases in maximum rent ordered after June 30, 1947, under this regulation for major capital improvements or increases or decreases in living space, services, furniture, furnishings or equipment or substantial deterioration. The adjustment under this section shall be in an amount sufficient to cause the maximum rent to equal (1) 130 percent of the maximum rent in effect on June 30, 1947, for the room or comparable rooms, whichever is applicable; (2) plus or minus appropriate increases or decreases in rental value, if any, as specified herein: *Provided, however,* That the Director shall give appropriate consideration to orders issued under sections 157 or 160 decreasing maximum rents which were in effect on June 30, 1947. Adjustments under this section shall be effective automatically upon the filing of the petition if a maximum rent was in effect on June 30, 1947. In all other cases, they shall not be effective until the order is issued by the Director. All provisions of this regulation insofar as they are applicable to the Kansas City Defense-Rental Area are amended to the extent necessary to carry into effect the provisions of this Item 74 of Schedule B.

3. Item 69 is added to Schedule B of Rent Regulation 1—Housing, reading as follows:

69. *Provisions relating to the Cleveland Defense-Rental Area (Item 228 of Schedule A):*

With respect to housing accommodations in the Cleveland Defense-Rental Area, section 141 of this regulation is changed to read as follows:

SEC. 141. *Alternate adjustment for increases in costs and prices.* The present maximum rent for the housing accommodation does not equal (1) 130 percent of the maximum rent in effect on June 30, 1947, or 130 percent of the maximum rent for comparable housing accommodations on June 30, 1947, if no maximum rent was in effect on that date; (2) plus or minus any increases or decreases in maximum rent ordered after June 30, 1947, under this regulation, for major capital improvements or increases or decreases in living space, services, furniture, furnishings or equipment or substantial deterioration. The adjustment under this section shall be in an amount sufficient to cause the maximum rent to equal (1) 130 percent of the maximum rent in effect on June 30, 1947 for the housing accommodation or comparable housing accommodations, whichever is applicable; (2) plus or minus appropriate increases or de-

creases in rental value, if any, as specified herein: *Provided, however,* That the Director shall give appropriate consideration to orders issued under sections 157 or 162 decreasing maximum rents which were in effect on June 30, 1947. Adjustments under this section shall be effective automatically upon the filing of the petition if a maximum rent was in effect on June 30, 1947. In all other cases, they shall not be effective until the order is issued by the Director. All provisions of this regulation insofar as they are applicable to the Cleveland Defense-Rental Area are amended to the extent necessary to carry into effect the provisions of this Item 69 of Schedule B.

4. Item 75 is added to Schedule B of Rent Regulation 2—Rooms, reading as follows:

75. Provisions relating to the Cleveland Defense-Rental Area (Item 228 of Schedule A):

With respect to housing accommodations in the Cleveland Defense-Rental Area, section 138 is added to this regulation to read as follows:

SEC. 138. *Alternate adjustment for increases in costs and prices.* The present maximum rent for the room does not equal (1) 130 percent of the maximum rent in effect on June 30, 1947, or 130 percent of the maximum rent for comparable rooms on June 30, 1947, if no maximum rent was in effect on that date; (2) plus or minus any increases or decreases in maximum rent ordered after June 30, 1947, under this regulation, for major capital improvements or increases or decreases in living space, services, furniture, furnishings or equipment or substantial deterioration. The adjustment under this section shall be in an amount sufficient to cause the maximum rent to equal (1) 130 percent of the maximum rent in effect on June 30, 1947 for the room or comparable rooms, whichever is applicable; (2) plus or minus appropriate increases or decreases in rental value, if any, as specified herein: Provided, however, That the Director shall give appropriate consideration to orders issued under section 157 or 160 decreasing maximum rents which were in affect on June 30, 1947. Adjustments under this section shall be effective automatically upon the filing of the petition if a maximum rent was in effect on June 30, 1947. In all other cases, they shall not be effective until the order is issued by the Director. All provisions of this regulation insofar as they are applicable to the Cleveland Defense-Rental Area are amended to the extent necessary to carry into effect the provisions of this Item 75 of Schedule B.

[F. R. Doc. 52-12095; Filed, Nov. 10, 1952; 8:54 a. m.]

TITLE 33—NAVIGATION AND NAVIGABLE WATERS

Chapter II—Corps of Engineers, Department of the Army

PART 203—BRIDGE REGULATIONS

MISCELLANEOUS AMENDMENTS

Pursuant to the provisions of section 5 of the River and Harbor Act of August 18, 1894 (28 Stat. 362; 33 U. S. C. 499), § 203.225 (f) is hereby amended by adding a new subparagraph (4-a), Shrewsbury River (South Branch), and § 203.714 (c) (1-a) and (f) governing the operation of drawbridges across the San Joaquin River and its tributaries, is hereby revised, as follows:

§ 203.225 *Navigable waters of the State of New Jersey; bridges where constant attendance of draw tenders is not required.* * * *

(f) The bridges to which this section applies, and the regulations applicable in each case, are as follows:

* * * * *

(4-a) Shrewsbury River (South Branch) at junction of Parker Creek and Oceanport Creek; Monmouth County Gooseneck Highway Bridge. From November 1 to April 30, inclusive, at least four hours' advance notice required. At all other times and in all other respects the regulations contained in § 203.215 shall govern the operation of this bridge.

* * * * *

§ 203.714 *San Joaquin River and its tributaries, Calif.* * * *

(c) *Middle River.* * * *

(1-a) *The Atchison, Topeka and Santa Fe Railway Company bridge near Middle River Station.* At least 12 hours' advance notice required, to be given the railway company's agent at Stockton, California, except that if, during crop moving seasons, 20 or more passages through the bridge in any 30-day period are contemplated and 15 days' notice is given of the proposed traffic the owner will be required to keep the draw tender in constant attendance for the duration of such period.

* * * * *

(f) *Honker Cut; San Joaquin County highway bridge between Empire Tract and King Island.* At least 12 hours' advance notice required, to be given to the County Surveyor of San Joaquin County, Stockton, California, except during crop moving seasons when, in the opinion of District Engineer the constant attendance of a draw tender is warranted, and the operators of vessels engaged in the crop moving operations give 15 days' written notice to the District Engineer of the contemplated traffic.

* * * * *

[Regs., Oct. 21, 1952, 823.01-ENGWO] (28 Stat. 362; 33 U. S. C. 499)

[SEAL] WM. E. BERGIN,
Major General, U. S. Army,
The Adjutant General.

[F. R. Doc. 52-12056; Filed, Nov. 10, 1952; 8:52 a. m.]

TITLE 43—PUBLIC LANDS: INTERIOR

Chapter I—Bureau of Land Management, Department of the Interior

Appendix—Public Land Orders

[Public Land Order 871]

ALASKA

PARTIAL REVOCATION OF EXECUTIVE ORDER NO. 9114 OF MARCH 28, 1942; WITHDRAWING RELEASED LAND FOR TOWN SITE PURPOSES

By virtue of the authority vested in the President by section 2380 of the Revised Statutes (43 U. S. C. 711), and otherwise, and pursuant to Executive Order No. 10355 of May 26, 1952, it is ordered as follows:

SECTION 1. Executive Order No. 9114 of March 28, 1942, reserving public lands for the War Department for military purposes, is hereby revoked so far as it affects the following-described land lying entirely within Tract No. 1 as described in that order:

Beginning at corner No. 6, U. S. Survey No. 225, identical with corner No. 2, U. S. Survey No. 226, thence
N. 42° 00' W., 3,091.50 feet to the ½ mile monument on line 2-3, U. S. Survey No. 1763;
S. 64° 56' W., 2,640.00 feet to corner No. 2, U. S. S. 1763;
Southeasterly, along the mean high tide line Sitka Sound to corner No. 4, U. S. S. 500;
N. 33° 00' E., 514.80 feet to corner No. 3, U. S. S. 500;
S. 57° 00' W., 514.80 feet to corner No. 2, U. S. S. 500;
S. 33° 00' W., to corner No. 1 U. S. S. 500;
Southeasterly, along the mean high tide line Sitka Sound to corner No. 4, U. S. S. 225;
N. 55° 30' E., 1,124.64 feet to corner No. 5, U. S. S. 225;
N. 74° 30' E., 739.20 feet to point of beginning.

The tract described contains approximately 140 acres.

SEC. 2. The land described in section 1 of this order is hereby withdrawn from all forms of appropriation under the public-land laws, including the mining and mineral-leasing laws, and reserved for town site purposes, to be hereafter disposed of under applicable town site laws.

JOEL D. WOLFSOHN,
Acting Secretary of the Interior.

NOVEMBER 5, 1952.

[F. R. Doc. 52-12021; Filed, Nov. 10, 1952; 8:45 a. m.]

[Public Land Order 872]

ALASKA

RESERVING LANDS FOR THE USE OF THE ALASKA RAILROAD

By virtue of the authority contained in section 1 of the act of March 12, 1914, 38 Stat. 305, 307 (48 U. S. C. 303, 304, 307) and pursuant to Executive Order No. 10355 of May 26, 1952 (17 F. R. 4831) it is ordered as follows:

Subject to valid existing rights, the following-described public lands are hereby withdrawn from sale or other disposal and reserved for the use of the Alaska Railroad, Department of the Interior, for railroad purposes:

ANCHORAGE TOWN SITE

Block 1, lots 1 to 5, inclusive, and lots 8 to 11, inclusive;
Block 4, lots 7 and 8;
Block 5, lot 1;
Block 12, lots 1, 2, 10, 11, and 12;
Block 15, lot 5;
Block 21, lots 1 to 6, inclusive, and lots 9 and 10;
Block 120, lots 1 to 6, inclusive;
Block 121, lots 1 to 6, inclusive,

all as shown on plat of survey of Anchorage Town Site with South, East and Third Additions thereto, approved October 1, 1917.

JOEL D. WOLFSOHN,
Acting Secretary of the Interior.

NOVEMBER 5, 1952.

[F. R. Doc. 52-12031; Filed, Nov. 10, 1952; 8:48 a. m.]

PROPOSED RULE MAKING

DEPARTMENT OF THE TREASURY

Bureau of Internal Revenue

[26 CFR Parts 19, 29]

INCOME TAX; TAXABLE YEARS BEGINNING AFTER DECEMBER 31, 1941

TAXATION OF EMPLOYEE BENEFICIARIES OF CERTAIN TRUSTS AND TREATMENT OF FULL-TIME LIFE INSURANCE SALESMEN AS EMPLOYEES FOR CERTAIN PURPOSES

Notice is hereby given, pursuant to the Administrative Procedure Act, approved June 11, 1946, that the regulations set forth below in tentative form are proposed to be prescribed by the Commissioner of Internal Revenue, with the approval of the Secretary of the Treasury. Prior to the final adoption of such regulations, consideration will be given to any data, views, or arguments pertaining thereto which are submitted in writing in duplicate to the Commissioner of Internal Revenue, Washington 25, D. C., within the period of 30 days from the date of publication of this notice in the FEDERAL REGISTER. The proposed regulations are to be issued under the authority contained in sections 62 and 3791 of the Internal Revenue Code (53 Stat. 32, 467; 26 U. S. C. 62, 3791).

[SEAL] JOHN B. DUNLAP,
Commissioner of Internal Revenue.

In order to conform Regulations 111 (26 CFR Part 29) to section 335 of the Revenue Act of 1951 and Public Law 589 (82d Congress), approved July 17, 1952, relating to taxation of beneficiaries of certain trusts exempt under section 165 (a) of the Internal Revenue Code and to section 343 of the Revenue Act of 1951, relating to treatment of full-time life insurance salesmen as employees for certain purposes, such regulations are amended as follows:

PARAGRAPH 1. Section 29.22 (b) (2)–5, as amended by Treasury Decision 5853, approved August 29, 1951, is further amended by adding at the end thereof the following undesignated paragraph:

As to inclusion of full-time life insurance salesmen within the class of persons considered to be employees, see section 3797 (a) (20), as added by section 343 of the Revenue Act of 1951, set forth immediately preceding § 29.3797–1.

PAR. 2. Section 29.23 (p)–1, as amended by Treasury Decision 5666, approved November 2, 1948 is further amended by adding immediately after the second sentence of paragraph (a) the following new sentence: "(As to inclusion of full-time life insurance salesmen within the class of persons considered to be employees, see section 3797 (a) (20), as added by section 343 of the Revenue Act of 1951, set forth immediately preceding § 29.3797–1.)"

PAR. 3. There is inserted immediately preceding § 29.165–1 the following:

SEC. 335. EMPLOYEES' TRUSTS (REVENUE ACT OF 1951, APPROVED OCTOBER 20, 1951).

(a) *Amendment of section 165* (b). Section 165 (b) (relating to taxability of beneficiary on distributions from an employees' trust) is hereby amended by adding at the end thereof the following new sentence: "Where such total distributions include securities of the employer corporation, there shall be excluded from such excess the net unrealized appreciation attributable to that part of the total distributions which consists of the securities of the employer corporation so distributed. The amount of such net unrealized appreciation and the resulting adjustments to basis of the securities of the employer corporation so distributed shall be determined in accordance with regulations which shall be prescribed by the Secretary. For purposes of this subsection, the term 'securities' means only shares of stock and bonds or debentures issued by a corporation with interest coupons or in registered form, and the term 'securities of the employer corporation' includes securities of a parent or subsidiary corporation (as defined in section 130A (d) (2) and (3)) of the employer corporation."

(b) *Effective date.* The amendment made by this section shall be applicable with respect to distributions made after December 31, 1950.

PUBLIC LAW 589 (EIGHTY-SECOND CONGRESS, SECOND SESSION), APPROVED JULY 17, 1952

Be it enacted by the Senate and House of Representatives of the United States of America in Congress assembled, That section 165 (b) of the Internal Revenue Code (relating to employee stock purchase plans) is hereby amended by adding at the end thereof the following: "In no event shall the amount actually distributed or made available to any distributee include net unrealized appreciation in securities of the employer corporation attributable to the amount contributed by the employee. Such net unrealized appreciation and the resulting adjustments to basis of such securities shall also be determined in accordance with regulations which shall be prescribed by the Secretary."

SEC. 2. The amendment made by this Act shall be applicable with respect to taxable years beginning after December 31, 1951.

PAR. 4. Section 29.165–1, as amended by Treasury Decision 5422, approved December 13, 1944, is further amended by adding after the second sentence of paragraph (a) (1) the new sentence. "As to inclusion of full-time life insurance salesmen within the class of persons considered to be employees, see section 3797 (a) (20), as added by section 343 of the Revenue Act of 1951, set forth immediately preceding § 29.3797–1."

PAR. 5. Section 29.165–6, as amended by Treasury Decision 5853, is further amended as follows:

(A) By inserting a headnote to paragraph (a) to read: *"In general"* and by redesignating present paragraphs (b), (c) and (d) as subparagraphs (1), (2) and (3) of paragraph (a).

(B) By inserting immediately after the second sentence of paragraph (a) the following new sentence: "(For rules providing for exclusion from income in the year of distribution of amounts representing unrealized appreciation in the value of securities of the employer corporation, see paragraph (b) of this section.)"

(C) By inserting immediately preceding the last sentence of such section the following: "See, however, paragraph (b) of this section for rules relating to exclusion from such excess of amounts representing net unrealized appreciation in the value of securities of the employer corporation distributed after December 31, 1950."

(D) By adding at the end of such section the following paragraph (b):

(b) *Distributions including securities of the employer corporation*—(1) *In general.* If a trust exempt under section 165 (a) makes a distribution to a distributee, and such distribution includes securities of the employer corporation, there shall be excluded for purposes of computing the amount of such distribution includible in the distributee's income in the year of distribution net unrealized appreciation in such securities to the following extent:

(i) If the distribution is made after December 31, 1950, and constitutes a total distribution to which the rules of paragraph (a) (3) of this section are applicable, the amount to be excluded is the entire net unrealized appreciation attributable to that part of the total distribution which consists of securities of the employer corporation; and

(ii) If the distribution is made in a taxable year of the distributee beginning after December 31, 1951, and is other than a total distribution to which paragraph (a) (3) of this section is applicable, the amount to be excluded is that portion of the net unrealized appreciation in the securities of the employer corporation which is attributable to the amount considered to be contributed by the employee to the purchase of such securities.

The amount of net unrealized appreciation which is excludible under the rules of subdivisions (i) and (ii) of this subparagraph shall not be included in the basis of the securities in the hands of the distributee at the time of distribution for purposes of determining gain or loss on subsequent disposition.

For purposes of section 165 (b) and of this section, the term "securities" means only shares of stock and bonds or debentures issued by a corporation with interest coupons or in registered form, and the term "securities of the employer corporation" includes securities of a parent or subsidiary corporation (as defined in section 130A (d) (2) and (3), relating to employee stock options) of the employer corporation.

(2) *Determination of net unrealized appreciation.* The amount of net unrealized appreciation in securities of the employer corporation which are distributed by the trust is to be determined by reference to the cost or other basis to the trust of such securities and by reference to the market value of such securities at the time of distribution. Thus,

if a distribution consists in part of securities which have appreciated in value and in part of securities which have depreciated in value, the net unrealized appreciation shall be considered to consist of the net increase in value of all of the securities included in the distribution. For this purpose, two or more distributions made by a trust to a distributee in a single taxable year of the distributee shall be treated as a single distribution.

The determination of the cost or other basis to the trust of a distributed security of the employer corporation, for purposes of determining net unrealized appreciation thereon, shall be made in accordance with the following rules:

(i) If a security was, at the time of purchase by, or contribution to, the trust, earmarked for the account of a particular employee so that the cost or other basis of such security to the trust is reflected in the account of such employee, such cost or other basis shall be used.

(ii) In all other cases, there shall be used the average cost (or other basis) to the trust of all securities of the employer corporation of the type distributed to the distributee which the trust has on hand at the time of the distribution, or which the trust had on hand on a specified inventory date which date does not precede the date of distribution by more than twelve calendar months. If a distribution includes securities of the employer corporation of more than one type, the average cost (or other basis) to the trust of each type of security distributed shall be determined. The application of this rule is illustrated by the following example:

Example. A, a distributee who makes his income tax returns on the basis of a calendar year, receives on August 1, 1952, in a total distribution, to which paragraph (a) (3) of this section is applicable, ten shares of class D stock of the employer corporation. The trust inventory of July 1, 1952 (the specified inventory date of the trust) discloses the following with respect to class D stock:

Shares	Purchase date	Cost per share	Total cost
20	Jan. 19, 1948	$95	$1,900
40	Dec. 1, 1949	102	4,080
20	Aug. 5, 1950	101	2,020
80			8,000

The average cost of each share of class D stock on hand on the last specified inventory date is $100, and such cost is to be used in determining the amount of unrealized appreciation in each such share at the time of distribution.

For purposes of section 117, relating to capital gains and losses, the period for which the distributee has held securities of the employer corporation which have been distributed or made available to him will begin with and include the day on which such securities were distributed or made available to him.

(3) *Unrealized appreciation attributable to employee contributions.* In any case in which it is necessary to determine the amount of net unrealized appreciation in securities of the employer corporation which is attributable to contributions made by an employee:

(i) The cost or other basis of the securities to the trust and the amount of net unrealized appreciation shall first be determined in accordance with the rules in subparagraph (2) of this paragraph;

(ii) The amount contributed by the employee to the purchase of the securities shall be solely the portion of his actual contributions to the trust properly allocable to such securities, and shall not include any part of the increment in the trust fund expended in the purchase of the securities;

(iii) The amount of net unrealized appreciation in the securities distributed which is attributable to the contributions of the employee shall be that proportion of the net unrealized appreciation determined under the rules of subparagraph (2) of this paragraph which the contributions of the employee properly allocable to such securities bears to the cost or other basis to the trust of the securities;

(iv) If a distribution consists solely of securities of the employer corporation, the contributions of the employee expended in the purchase of such securities shall be allocated to the securities distributed in a manner consistent with the principles set forth in subparagraph (2) (i) or (ii) of this paragraph, whichever is applicable, that is, the amount of the employee's contribution which can be identified as having been expended in the purchase of a particular security shall be allocated to such security, and the amount of such contribution which cannot be so identified shall be allocated ratably among the securities distributed. If a distribution consists in part of securities of the employer corporation and in part of cash or other property, appropriate allocation of a portion of the employee's contribution to such cash or other property shall be made unless such allocation is inconsistent with the terms of the plan or trust.

Example. A trust distributes ten shares of stock issued by the employer corporation each of which was purchased by the trust for $100, consisting of employee contributions in the amount of $60 and employer contributions in the amount of $40, and on the date of distribution has a fair market value of $180. The portion of the net unrealized appreciation attributable to the contributions of the employee with respect to each of the shares of stock is $48 computed as follows:

(1)	Value of one share of stock on distribution date	$180
(2)	Employee contributions	$60
(3)	Employer contributions	40
(4)	Total contributions	100
(5)	Net unrealized appreciation	80
(6)	Portion of net unrealized appreciation attributable to employee contributions, 60/100 (amount of employee contributions (item 2) over total contributions (item 4)) of $80 (item 5)	48

For the purpose of determining gain or loss to the distributee in the year or years in which any share of stock referred to in the preceding example is sold or otherwise disposed of in a taxable transaction, the basis of each such share in the hands of the distributee at the time of the distribution by the trust will be $132 computed as follows:

(a)	Employee contributions	$60
(b)	Employer contributions	40
(c)	Portion of net unrealized appreciation attributable to employer contributions (item (5) minus item (6))	32
(d)	Basis of stock	132

(4) *Change in exempt status of trust.* For principles applicable in making appropriate adjustments if the trust was not exempt for one or more years prior to the year of distribution, see paragraph (a) of this section.

PAR. 6. There is inserted immediately preceding § 29.3797–1 the following:

SEC. 343. DEFINITION OF EMPLOYEE (REVENUE ACT OF 1951, APPROVED OCTOBER 20, 1951).

(a) *Amendment of section 3797 (a).* Section 3797 (a) is amended by adding at the end thereof the following new paragraph:

(20) *Employee.* For the purpose of applying the provisions of chapter 1 with respect to contributions to or under a stock bonus, pension, profit-sharing, or annuity plan, and with respect to distributions under such a plan or by a trust forming part of such a plan, the term "employee" shall include a full-time life insurance salesman who is considered an employee for the purpose of subchapter A of chapter 9, or, in the case of services performed before January 1, 1951, who would be considered an employee if his services were performed during 1951.

(b) *Effective date.* The amendment made by this section shall be applicable with respect to taxable years beginning after December 31, 1938.

The amendments made to Regulations 111 (26 CFR Part 29) by paragraphs 1, 2, 4 and 6 are hereby made applicable to taxable years beginning after December 31, 1938, and before January 1, 1942, such years being covered by Regulations 103 (26 CFR Part 19).

[F. R. Doc. 52–12055; Filed, Nov. 10, 1952; 8:52 a. m.]

[26 CFR Part 29]

INCOME TAX; TAXABLE YEARS AFFECTED BY AN EXCHANGE OR DISTRIBUTION MADE AFTER DECEMBER 31, 1947

NOTICE OF PROPOSED RULE MAKING

Notice is hereby given, pursuant to the Administrative Procedure Act, approved June 11, 1946, that the regulations set forth below in tentative form are proposed to be prescribed by the Commissioner of Internal Revenue, with the approval of the Secretary of the Treasury. Prior to the final adoption of such regulations, consideration will be given to any data, views, or arguments pertaining thereto which are submitted in writing in duplicate to the Commissioner of Internal Revenue, Washington 25, D. C., within the period of 30 days from the date of publication of this notice in the FEDERAL REGISTER. The proposed regulations are to be issued under the authority contained in section 62 of the Internal Revenue Code (53 Stat. 32; 26 U. S. C. 62).

[SEAL] JUSTIN F. WINKLE,
Acting Commissioner of Internal Revenue.

In order to conform Regulations 111 (26 CFR Part 29) to section 338 of the Revenue Act of 1951, approved October 20, 1951, such regulations are amended as follows:

PARAGRAPH 1. There is inserted immediately preceding § 29.373–1 the following:

SEC. 338. EXCHANGES AND DISTRIBUTIONS IN OBEDIENCE TO ORDERS OF SECURITIES AND EXCHANGE COMMISSION (REVENUE ACT OF 1951, APPROVED OCTOBER 20,1951).

(a) *Definition of system group.* Section 373 (d) (1) (relating to the definition of the term "system group") is hereby amended to read as follows:

(1) At least 90 per centum of each class of the stock (other than (A) stock which is preferred as to both dividends and assets, and (B) stock which is limited and preferred as to dividends but which is not preferred as to assets but only if the total value of such stock is less than 1 per centum of the aggregate value of all classes of stock which are not preferred as to both dividends and assets) of each of the corporations (except the common parent corporation) is owned directly by one or more of the other corporations; and.

(b) *Effective date.* The amendment made by subsection (a) shall be applicable with respect to taxable years affected by an exchange or distribution made after December 31, 1947.

PAR. 2. Section 29.373–1 (d) is amended as follows:

(A) By designating the present text thereof as subparagraph (1) *Taxable years affected by an exchange or distribution made before January 1, 1948.*

(B) By striking from the first sentence thereof "The term 'system group' is defined" and inserting in lieu thereof: "For taxable years affected by an exchange or distribution made before January 1, 1948, the term 'system group' is defined".

(C) By adding at the end thereof the following subparagraph (2):

(2) *Taxable years affected by an exchange or distribution made after December 31, 1947.* For taxable years affected by an exchange or distribution made after December 31, 1947, the term "system group" is defined in section 373 (d) to mean one or more chains of corporations connected through stock ownership with a common parent corporation, if at least 90 percent of each class of stock (other than (A) stock which is preferred as to both dividends and assets, and (B) stock which is limited and preferred as to dividends but which is not preferred as to assets but only if the total value of such stock is less than 1 percent of the aggregate value of all classes of stock which are not preferred as to both dividends and assets) of each of the corporations (except the common parent corporation) is owned directly by one or more of the other corporations, and if the common parent corporation owns directly at least 90 percent of each class of stock (other than stock preferred as to both dividends and assets) of at least one of the other corporations; but no corporation is a member of a system group unless it is either a registered holding company or a majority-owned subsidiary company. While the type of stock which must, for the purpose of this definition, be at least 90 percent owned may be different from the voting stock which must be more than 50 percent owned for the purpose of the definition of a majority-owned subsidiary company under section 373 (c), as a general rule both types of ownership tests must be met under section 373 (d), since a corporation, in order to be a member of a system group, must also be a registered holding company or a majority-owned subsidiary company.

[F. R. Doc. 52–12054; Filed, Nov. 10, 1952; 8:52 a. m.]

United States Coast Guard

[33 CFR Part 123]

[CGFR 52–54]

SECURITY OF VESSELS; CONTROL OVER MOVEMENT OF VESSELS IN WATERFRONT AREAS

MERCHANT MARINE COUNCIL PUBLIC HEARING

1. The Merchant Marine Council will hold a public hearing on December 2, 1952, commencing at 9:30 a. m., in Room 4120, Coast Guard Headquarters, Thirteenth and E Streets NW., Washington, D. C., for the purpose of receiving comments, views, and data on proposed regulations regarding control over movement of vessels in waterfront areas, as set forth in detail in paragraph 6 below.

2. The proposed regulations together with the authority therefor are set forth in paragraph 6. Copies of the proposed regulations have been mailed to persons and organizations who have expressed an active interest in the subject under discussion. Copies of the proposed regulations may be obtained from the Commandant (CMC), Coast Guard Headquarters, Washington 25, D. C., so long as they are available.

3. The President of the United States has found, as stated in Executive Order 10173, as amended by Executive Orders 10277 and 10352, that the security of the United States is endangered by reason of subversive activities. The activities of water taxis, junk boats, sludge barges, and garbage disposal boats, as defined in the proposed regulations below, are of particular danger to the security interests of the United States due to the pattern of their waterfront operations which involves their frequent contact with vessels and continual passage among all waterfront areas, including sensitive areas of importance to the national defense, and as the casual and unobserved pattern of their activity, particularly after dark, gives them unusual opportunity to conduct activities inimical to the security interests of the United States.

4. The Commandant, United States Coast Guard, has been assigned certain duties under the provisions of Executive Order 10173, as amended, regarding the security of vessels and waterfront facilities. Pursuant to the authority of 33 CFR Subpart 6.04 in Executive Order 10173, as amended, the Commandant may supervise and control the movements of any vessel whenever necessary to prevent damage or injury to any vessel or waterfront facility or to carry out the other objectives of the Executive Order 10173, as amended, and may inspect and search any vessel at any time.

5. Comments on the proposed regulations are invited. All persons who desire to submit written comments, data, and views prior to the hearing for consideration in connection with the proposed changes should submit them in writing for receipt prior to December 1, 1952, by the Commandant (CMC), Coast Guard Headquarters, Washington 25, D. C., or comments, data, and views may be presented orally or in writing at the hearing. In order to insure consideration of comments and to facilitate checking and recording, it is essential that each comment regarding a section or paragraph of the proposed regulations shall be submitted on Form CG–3287, showing the section number, the proposed change, the reason or basis (if any), and the name, business firm or organization (if any), and the address of the submitter. A small quantity of this Form CG–3287 may be obtained upon request from the Commandant (CMC), or from any Coast Guard District Commander. Oral comments may be submitted before the Merchant Marine Council on December 2, 1952. At the public hearing the proposed regulations will be considered in the sequence set forth below.

6. It is proposed to establish a new Part 123 in Subchapter K (Security of Vessels) in Chapter I of 33 CFR. This part will set forth requirements regarding control over movement of certain vessels in waterfront areas in accordance with Executive Order 10173, as amended. The proposed regulations read as follows:

PART 123—CONTROL OVER MOVEMENT OF VESSELS IN WATERFRONT AREAS

Sec.

123.01 General definitions.
123.05 Water taxi.
123.10 Junk boat.
123.15 Garbage disposal boat.
123.20 Sludge barge.
123.25 Applicability of regulations.
123.30 Excluded vessels.
123.35 Movement license.
123.40 Identification credentials.
123.45 Water taxis.
123.50 Junk boats.
123.55 Garbage disposal boats.
123.60 Sludge barges.
123.65 Denial of license.
123.70 Revocation of license.
123.75 Right of appeal.
123.80 Restoration of license.
123.85 Daily logs.

AUTHORITY: §§ 123.01 to 123.85 issued under E. O. 10173, Oct. 15, 1950, 15 F. R. 7005, 3 CFR 1950 Supp., E. O. 10277, Aug. 1, 1951, 16 F. R. 7537, 3 CFR 1951 Supp., E. O. 10352, May 19, 1952, 17 F. R. 4607. Interpret or apply 40 Stat. 220, as amended, 50 U. S. C. 191.

§ 123.01 *General definitions.* The terms "Commandant," "District Commander," "Captain of the Port," and "Waterfront facility" when used in this part shall have the meaning set forth in §§ 6.01–1, 6.01–2, 6.01–3, and 6.01–4 of this chapter (15 F. R. 7005; E. O. 10173, as amended, 3 CFR 1950 Supp., p. 140).

§ 123.05 *Water taxi.* The term "water taxi" shall mean any small vessel which is operated primarily for the purpose of transporting persons or things to and from points, places, or vessels within a port area, either on scheduled or unscheduled trips.

§ 123.10 *Junk boat.* The term "junk boat" shall mean any boat which is operated for the purpose of collecting junk from vessels within a port area or waterfront facilities.

§ 123.15 *Garbage disposal boat.* The term "garbage disposal boat" shall mean any vessel operated for the purpose of collecting garbage from vessels in a port area.

§ 123.20 *Sludge barge.* The term "sludge barge" shall mean any barge or boat including tender operated for the purpose of taking bilge water, contaminated oil, etc., from the bilges or double bottom of vessels in a port area.

§ 123.25 *Applicability of regulations.* (a) The regulations in this part shall apply to all ports or places in the United States, its territories or possessions (not including the Panama Canal Zone).

(b) The District Commander may, whenever he deems such action advisable, suspend or restore the applicability of the regulations in this part to ports or places within his jurisdiction. The District Commander shall give the public full and adequate notice of such actions. Such notice should be also published in the local notices to mariners.

§123.30 *Excluded vessels.* The term "water taxi," "junk boat," "sludge barge," or "garbage disposal boat," shall not include tugs, barges, or lighters in regular commercial use; ferryboats; sightseeing boats; fishing party boats; boats operated by persons, companies, or corporations, for the purpose of transporting their own employees to and from work; or boats operated by an agency of the federal, or state, or local government.

§ 123.35 *Movement license.* No water taxi, junk boat, sludge barge, or garbage disposal boat shall be operated until the owner, agent, operator, or person in charge has obtained a movement license from the Captain of the Port for such operation, which license shall be renewed annually or upon change of owner, agent, operator or person in charge. Either the original or a signed or certified copy of the license shall be carried on such vessels and shall be produced for inspection upon the demand of any officer charged with the enforcement of the regulations in this chapter.

§ 123.40 *Identification credentials.* All persons employed on water taxis, junk boats, sludge barges, and garbage disposal boats shall be in possession of one of the credentials listed in § 125.11 of this chapter.

§ 123.45 *Water taxis.* (a) The license issued by the Captain of the Port for the movements of a water taxi shall contain the names of the owner or owners and person, or persons, who are authorized to operate the boat and shall specify that the boat may be operated only under the following conditions:

(1) That the water taxi shall be operated only on a specified route or in a specified area. The license shall specify the routes or areas authorized.

(2) That the operator or person in charge shall maintain a daily log showing the time and the name or official number of all vessels contacted, and an identification of all waterfront facilities contacted, and the points between which passengers were transferred.

(3) That persons or things may not be embarked or loaded, disembarked or discharged, at shore points other than the shore points which shall be specified in the license except in case of emergency or when prior approval has been obtained from the Captain of the Port.

(4) That the water taxi shall be operated in conformity with all applicable federal laws and regulations.

§ 123.50 *Junk boats.* (a) The license issued by the Captain of the Port for the movement of a junk boat shall contain the names of the owner or owners and person or persons who are authorized to operate the boat and shall specify that the boat may be operated only under the following conditions:

(1) That the boat shall be operated during daylight only, that is, from one-half hour before sunrise to one-half hour after sunset.

(2) That the operator or person in charge shall maintain a daily log showing the time and name or official number of all vessels contacted and the time and an identification of all waterfront facilities contacted.

(3) That the junk collected may be discharged only at a point or points specified in the license.

(4) That the boat shall be operated in conformity with all applicable federal laws and regulations.

§ 123.55 *Garbage disposal boats.* (a) The license issued by the Captain of the Port for the movements of a garbage disposal boat shall contain the name of the owner or owners and person or persons who are authorized to operate the boat and shall specify that the boat may be operated only under the following conditions:

(1) That the boat shall be operated only in the area specified in the license.

(2) That the operator or person in charge shall maintain a daily log showing the time and name or official number of all vessels contacted and the time and an identification of all waterfront facilities contacted.

(3) That the garbage collected may be discharged only at a point or points specified in the license.

§ 123.60 *Sludge barges.* (a) The license issued by the Captain of the Port for the movement of a sludge barge shall contain the name of the owner or owners and person or persons who are authorized to operate the boat and shall specify that the boat may be operated only under the following conditions:

(1) That the boat shall be operated only in the area specified in the license.

(2) That the operator or person in charge shall maintain a daily log showing the time and name or official number of all vessels contacted and the time and identification of all waterfront facilities contacted.

(3) That the sludge may be discharged only at a point or points specified in the license.

§ 123.65 *Denial of license.* The Captain of the Port may deny issuing a license to a water taxi, junk boat, sludge barge, or garbage disposal boat whenever he finds that the issuance of such a license is or may be inimical to the security interests of the United States.

§ 123.70 *Revocation of license.* The Captain of the Port, after adequate notice and an opportunity for a full and fair hearing to the licensee, may revoke the license issued to a water taxi, junk boat, sludge barge, or garbage disposal boat whenever he finds that any one or more of the specified conditions have been violated, or when he finds that the operations of the boat are, or have been subsequent to the issuance of the license, inimical to the security interests of the United States.

§ 123.75 *Right of appeal.* The owner, agent, master, or person in charge of a water taxi, junk boat, sludge barge, or garbage disposal boat may appeal from the decision of the Captain of the Port denying issuance of a license or from an order of revocation to the District Commander having jurisdiction. If the appeal is denied by the District Commander, a further appeal may be made to the Commandant whose decision shall be final. An appeal shall not operate to stay the effectiveness of the Captain of the Port's decision or order during the consideration of such appeal.

§ 123.80 *Restoration of license.* The Captain of the Port may issue or reissue a license upon proper showing by the owner, agent, master, or person in charge of a water taxi, junk boat, sludge barge, or garbage disposal boat that its operations are not or will no longer be in violation of the regulations in this part or inimical to the security interests of the United States.

§ 123.85 *Daily logs.* (a) The daily logs maintained by water taxis, junk boats, sludge barges, and garbage disposal boats shall be kept in bound books, each book containing the daily log for calendar month.

(b) The log books shall be kept on file, either on board the vessel or at the office or place of business of the owner or operator, for six months, and shall be produced for inspection upon the demand of any officer charged with the enforcement of the regulations in this chapter.

Dated: November 3, 1952.

[SEAL] A. C. RICHMOND,
Rear Admiral, U. S. Coast Guard,
Acting Commandant.

[F. R. Doc. 52-12051; Filed, Nov. 10, 1952; 8:51 a. m.]

DEPARTMENT OF AGRICULTURE

Production and Marketing Administration

[7 CFR Part 51]

INSPECTION, CERTIFICATION, AND STANDARDS FOR FRESH FRUITS, VEGETABLES AND OTHER PRODUCTS

U. S. STANDARDS FOR CAULIFLOWER

Notice is hereby given that the United States Department of Agriculture is considering the issuance of revised United States Standards for Cauliflower under the authority contained in the Agricultural Marketing Act of 1946 (60 Stat. 1087; 7 U. S. C. 1621 et seq.) and the Department of Agriculture Appropriation Act, 1953 (Pub. Law 451; 82d Cong., approved July 5, 1952) to supersede United States Standards for Cauliflower (13 F. R. 2249) effective May 27, 1948.

All persons who desire to submit written data, views or arguments for consideration in connection with the proposed standards should file the same with M. W. Baker, Deputy Director, Fruit and Vegetable Branch, Production and Marketing Administration, United States Department of Agriculture, South Building, Washington 25, D. C., not later than 5:30 p. m., e. s. t. on the fifteenth (15) day after the date of publication of this notice in the FEDERAL REGISTER.

The proposed standards are as follows:

§ 51.171 *Standards for cauliflower*—(a) *Grades*—(1) *U. S. No. 1.* U. S. No. 1 consists of compact heads of cauliflowers which are not discolored, or over-mature, and which are free from soft or wet decay and are free from damage caused by wilting, fuzziness, riciness, enlarged bracts, bruises, hollow stems, dirt or other foreign matter, disease, insects, or mechanical or other means. Unless otherwise specified, the heads shall be not less than 4 inches in diameter. Jacket leaves shall be fresh, green, and free from damage caused by disease and free from serious damage by any other cause. Unless otherwise specified, jacket leaves shall be well trimmed.

(i) In order to allow for variations, other than for size, incident to proper grading and handling, not more than a total of 10 percent, by count, of the cauliflower in any lot may fail to meet the requirements of this grade but not more than one-tenth of this amount, or 1 percent, may be affected by soft rot or wet decay affecting the curd. In addition, not more than 5 percent, by count, of the heads in any lot may be smaller than the specified minimum size.

(b) *Unclassified.* Unclassified consists of cauliflower which has not been classified in accordance with the foregoing grade. The term "unclassified" is not a grade within the meaning of these standards but is provided as a designation to show that no definite grade has been applied to the lot.

(c) *Application of tolerances.* (1) The contents of individual packages in the lot, based on sample inspection, are subject to the following limitations: *Provided,* That the averages for the entire lot are within the tolerances specified for the grade.

(i) For a tolerance of 10 percent or more, individual packages in any lot may contain not more than one and one-half times the tolerance specified, except that when the package contains 15 specimens or less, individual packages may contain not more than double the tolerance specified.

(ii) For a tolerance of less than 10 percent, individual packages in any lot may contain not more than double the tolerance specified, except that at least one defective and two off-sized specimens may be permitted in any package.

(d) *Definitions.* (1) "Compact" means that the flower clusters are closely united and the head feels solid.

(2) "Discolored" means that the head is of some abnormal color.

(3) "Over-mature" means a stage of growth which is beyond that of a compact, properly developed head. An over-mature head usually is loose or open and ordinarily is turning yellow.

(4) "Damage" means any defect which materially affects the appearance, or the edible or shipping quality of the curd, or any disease which materially affects the appearance, or the shipping quality of the jacket leaves. Any one of the following defects, or any combination of defects, the seriousness of which exceeds the maximum allowed for any one defect, shall be considered as damage:

(i) Fuzziness which gives the head a distinctly fuzzy appearance on more than one-half of the head;

(ii) Riciness, when the appearance of the head is materially injured by a very abnormal rough or granular surface on the curd;

(iii) Enlarged bracts, when the appearance of the head is materially injured by leaves (bracts) growing up through and extending above the curd; and,

(iv) Mold which causes the flesh of the curd to disintegrate or which exceeds ⅜ inch in diameter in the aggregate, or any single spot of mold which exceeds ⅛ inch in diameter.

(5) "Diameter" means the average diameter of the head exclusive of the jacket leaves.

(6) "Serious damage" means any injury to the jacket leaves which seriously affects their appearance.

(7) "Well trimmed" means that the jacket leaves shall be limited to the number and length necessary to protect the head. No jacket leaves are required on heads which are individually wrapped, or packed with cushions, partitions or other means which protect the head from bruising.

Done at Washington, D. C., this 5th day of November 1952.

[SEAL] GEORGE A. DICE,
Acting Assistant Administrator, Production and Marketing Administration.

[F. R. Doc. 52-12043; Filed, Nov. 10, 1952; 8:51 a. m.]

[7 CFR Ch. IX]

[Docket No. AO-242]

HANDLING OF MILK IN NORTH CENTRAL TRI-STATE MARKETING AREA

NOTICE OF HEARING ON PROPOSED MARKETING AGREEMENT AND ORDER

Pursuant to the Agricultural Marketing Agreement Act of 1937, as amended (7 U. S. C., 601 et seq.), and in accordance with the applicable rules of practice and procedure, as amended (7 CFR Part 900), notice is hereby given of a public hearing to be held in the Council Chamber, City Hall, Rochester, Minnesota, beginning at 10:00 a. m., c. s. t., on December 9, 1952.

The public hearing is for the purpose of receiving evidence with respect to economic and marketing conditions which relate to the handling of milk for the North Central Tri-State marketing area and to the issuance of a marketing agreement and order regulating the handling of milk in the said marketing area. The proposed marketing agreement and order proposals set forth below have not received the approval of the Secretary of Agriculture, and at the hearing evidence will be received relative to all aspects of the marketing conditions which are dealt with by the proposals or any modifications thereof.

Marketing agreement and order proposed by the Tri-State Grade A Council:

DEFINITIONS

1. *Act.* "Act" means Public Act No. 10, 73d Congress, as amended and as reenacted and amended by the Agricultural Marketing Agreement Act of 1937, as amended (7 U. S. C. 601 et seq.).

2. *Secretary.* "Secretary" means the Secretary of Agriculture or such other officer or employee of the United States as may be authorized to exercise the powers or to perform the duties of the said Secretary of Agriculture.

3. *Department.* "Department" means the United States Department of Agriculture or such other Federal agency as may be authorized to perform the price reporting functions of the United States Department of Agriculture.

4. *Person.* "Person" means any individual, partnership, corporation, association, or any other business unit.

5. *Delivery period.* "Delivery period" means the calendar month or the total portion thereof during which this subpart is in effect.

6. *Cooperative association.* "Cooperative association" means any cooperative marketing association of producers which the Secretary determines (a) is qualified under the provisions of the act of Congress of February 11, 1922, as amended, known as the "Capper-Volstead Act"; (b) has full authority in the sale of milk of its members, and (c) is engaged in making collective sales of or marketing milk or its products for its members.

7. *Marketing area.* The North Central Tri-State Marketing Area comprises the following districts which include the designated counties:

(a) *LaCrosse District.* Monroe (including Camp McCoy), Vernon, La-

Crosse, and Jackson in Wisconsin; the Townships of Caledonia, Wilmington, Jefferson, Winnebago, Mayville, Crooked Creek, Union, Brownsville, Mound Prairie, Hokah and LaCrescent in Houston, and the Townships of Dresbach and New Hartford in Winona in Minnesota.

(b) *Southeastern Minnesota District.* Trempealeau, Buffalo, and Pepin Counties in Wisconsin; Winona (except the Township of Dresbach and New Hartford), Houston (except the Townships of Caledonia, Wilmington, Jefferson, Winnebago, Mayville, Crooked Creek, Union, Brownsville, Mound Prairie, Hokah and LaCrescent), Olmsted, Wabasha, Goodhue, Dodge, Fillmore, Steele, Waseca (except the Townships of Janesville, Alton, Freedom and Vivian), Mower, Freeborn, and the Townships of Shieldsville, Wells, Cannon, Wheeling, Morristown, Warsaw, Walcott and Richland in Rice in Minnesota; Howard and Winneshiek in Iowa.

(c) *Mankato District.* Le Sueur, Nicollet, Brown, Watonwan, Martin, Faribault, Blue Earth and the Townships of Janesville, Alton, Freedom and Vivian in Waseca in Minnesota.

(d) *Mason City District.* Worth, Cerro Gordo, Floyd, Winnebago, Hancock, Wright and Mitchell in Iowa.

8. *Handler.* "Handler" means:

(a) Any person engaged in the handling of milk in his capacity as the operator of a fluid milk plant, a country plant, or any other plant from which milk in any of the forms specified in section 41 (a) is disposed of to any place or establishment within the marketing area other than a plant; and

(b) Any cooperative association which is not a handler pursuant to paragraph (a) of this section, with respect to producer milk caused to be diverted for the account of such cooperative association from a fluid milk plant or a country plant to a nonpool plant.

9. *Pool plant.* A "pool plant" is either:

(a) *Fluid milk plant.* "Fluid milk plant" means any plant located in the marketing area which is approved by any health authority having jurisdiction in the marketing area as a plant from which milk may be distributed for consumption as fluid milk in the marketing area, and from which during the month Class I milk pursuant to section 41 (a) is disposed of (including sales at such plant, plant store or eating place) within the marketing area; or

(b) *Country plant.* "Country plant" menas any plant, other than a fluid milk plant, which is approved by any health authority having jurisdiction within the marketing area for the receiving of milk qualified for consumption as fluid milk within the marketing area (but excluding that portion of any plant used to receive or process milk or milk products required by applicable health authority regulations to be kept physically separate from milk so qualified): *Provided,* That any plant (either fluid or country) shall not be a pool plant if the percentage of either butterfat or skim milk in milk so qualified which is received at the plant from dairy farmers and moved in fluid form as milk to a fluid milk plant, or disposed of within the marketing area as Class I milk pursuant to section 41 (a) is less than:

(1) 60 percent in the current month during the period August through November;

(2) 25 percent in the current month during the period December through July, except that if the percentage was more than 60 percent for the entire period of August through November immediately preceding no percentage shall be required for such months of December through July.

10. *Nonpool plant.* "Nonpool plant" means any plant other than a fluid milk plant or a country plant.

11. *Producer.* "Producer" means any dairy farmer, other than a producer-handler, who produces milk qualified by any health authority having jurisdiction in the marketing area for consumption as fluid milk in the marketing area.

12. *Producer-handler.* "Producer-handler" means any person who is both a producer and a handler and who receives no milk directly from the farms of other producers: *Provided,* That the maintenance, care, and management of the dairy animals and other resources necessary to produce the milk and the processing, packaging, and distribution of the milk are the personal enterprise and the personal risk of such person.

13. *Producer milk.* "Producer milk" means all skim milk and butterfat which is produced by a producer, other than a produce-handler, and which is received by a handler either directly from producers or from other handlers.

14. *Other source milk.* "Other source milk" means all skim milk and butterfat except that contained in producer milk.

15. *Base milk.* "Base milk" means a quantity of milk determined for each producer pursuant to section 75.

16. *Excess milk.* "Excess milk" means milk delivered by a producer in excess of base milk.

MARKET ADMINISTRATOR

20. *Designation.* The agency for the administration of this subpart shall be a market administrator who shall be a person selected by the Secretary. Such person shall be entitled to such compensation as may be determined by, and shall be subject to removal at the discretion of, the Secretary.

21. *Powers.* The market administrator shall have power to:

(a) Administer the terms and provisions of this subpart;

(b) Make rules and regulations to effectuate the terms and provisions of this subpart;

(c) Receive, investigate, and report to the Secretary complaints of violations of the terms and provisions of this subpart; and

(d) Recommend to the Secretary amendments to this subpart.

22. *Duties.* The market administrator shall perform all duties necessary to administer the terms and provisions of this subpart including but not limited to the following:

(a) Within 30 days following the date on which he enters upon his duties, or such lesser period as may be prescribed by the Secretary, execute and deliver to the Secretary a bond conditioned upon the faithful performance of such duties, in an amount and with surety thereon satisfactory to the Secretary;

(b) Employ and fix the compensation of such persons as may be necessary to enable him to administer the terms and provisions of this subpart;

(c) Obtain a bond in a reasonable amount and with reasonable surety thereon covering each employee who handles funds entrusted to the market administrator;

(d) Pay out of the funds provided by section 80, the cost of his bond and the bonds of his employees, his own compensation, and all other expenses, except those incurred under section 81, necessarily incurred by him in the maintenance and functioning of his office and in the performance of his duties;

(e) Keep such books and records as will clearly reflect the transactions provided for in this subpart and upon request by the Secretary surrender the same to such other person as the Secretary may designate;

(f) Submit his books and records to examination by the Secretary and furnish such information and reports as may be requested by the Secretary;

(g) Publicly announce unless otherwise directed by the Secretary, by posting in a conspicuous place in his office and by such other means as he deems appropriate, the name of any person who within 10 days after the date upon which he is required to perform such acts, has not made (1) reports pursuant to sections 30 and 31, or (2) payments pursuant to sections 65, 69, and 71;

(h) Audit each handler's records and payments by inspection of such handler's records and the records of any person upon whose utilization the classification of skim milk and butterfat for such handler depends;

(i) On or before the 10th day after the end of each delivery period report to each cooperative association which so requests the utilization of the milk caused to be delivered to each handler by such cooperative association. For this purpose such milk shall be prorated to each class in the same proportion that the total receipts of producer milk by such handler were used in each class;

(j) Publicly announce, by posting in a conspicuous place in his office and by such other means as he deems appropriate the prices determined for each delivery period as follows:

(1) On or before the 5th day of each delivery period, (i) the minimum price for Class I milk computed pursuant to section 50 and the butterfat differential computed pursuant to section 52, both for the current delivery period, and (ii) the minimum prices for Class II milk computed pursuant to section 50 and the butterfat differentials computed pursuant to section 52; and

(2) On or before the 10th day after the end of each delivery period, the uniform price computed pursuant to section 61 and the butterfat differential computed pursuant to section 66; and

(k) Prepare and disseminate to the public such statistics and information as

he deems advisable and as do not reveal confidential information.

REPORTS, RECORDS AND FACILITIES

30. *Delivery period reports.* On or before the 7th day after the end of each delivery period, each handler, except a producer-handler, shall report to the market administrator in the detail and on the forms prescribed by the market administrator:

(a) The quantities of butterfat and skim milk in milk received from producers;

(b) The quantities of skim milk and butterfat contained in (or used in the production of) receipts from any other handler;

(c) The quantities of skim milk and butterfat contained in receipts of other source milk (except nonfluid milk products disposed of in the form in which received without further processing or packaging by the handler);

(d) The utilization of all receipts required to be reported pursuant to this section; and

(e) Such other information with respect to receipts and utilization as the market administrator may prescribe.

31. *Other reports.* (a) Each producer-handler shall make reports to the market administrator at such time and in such manner as the market administrator may prescribe.

(b) On or before the 20th day of each delivery period each handler shall submit to the market administrator such handler's producer payroll for the preceding delivery period which shall show:

(1) The total pounds of milk received from each producer and cooperative association and the total pounds of butterfat contained in such milk;

(2) The amount of payment to each producer and cooperative association; and

(3) The nature and amount of any deductions involved in such payments.

32. *Records and facilities.* Each handler shall maintain and make available to the market administrator or to his representative during the usual hours of business such accounts and records of his operations and such facilities as are necessary for the market administrator to verify or to establish the correct data with respect to:

(a) The receipts and utilization in whatever form of all skim milk and butterfat received, including nonfluid milk products disposed of in the form in which received without further processing;

(b) The weights and tests for butterfat and other content of all milk, skim milk, cream and milk products handled;

(c) Payment to producers and cooperative associations; and

(d) The pounds of skim milk and butterfat contained in or represented by all milk, skim milk, cream, and milk products on hand at the beginning and end of each delivery period.

33. *Retention of records.* All books and records required under this subpart to be made available to the market administrator shall be retained by the handler for a period of three years to begin at the end of the calendar month to which such books and records pertain: *Provided,* That if, within such three-year period the market administrator notifies the handler in writing that the retention of such books and records or of specified books and records, is necessary in connection with a proceeding under section 8c (15) (A) of the act or a court action specified in such notice, the handler shall retain such books and records, or specified books and records, until further written notification from the market administrator. In either case the market administrator shall give further written notification to the handler promptly upon the termination of the litigation or when the records are no longer necessary in connection therewith.

CLASSIFICATION

40. *Skim milk and butterfat to be classified.* All skim milk and butterfat received within the month by a handler and which is required to be reported pursuant to section 30 shall be classified by the market administrator pursuant to the provisions of sections 41 to 45, inclusive.

41. *Classes of utilization.* Subject to the conditions set forth in sections 42 and 43, the classes of utilization shall be as follows:

(a) Class I milk shall be all skim milk (including reconstituted skim milk) and butterfat (1) disposed of in the form of milk, skim milk, buttermilk, flavored milk drinks, cream, cultured sour cream, any mixture (except eggnog and bulk ice cream and frozen dairy product mixes) of cream and milk or skim milk, (2) used to produce concentrated (including frozen) milk, flavored milk, or flavored milk drinks disposed of for fluid consumption neither sterilized nor in hermetically sealed cans, and (3) all other skim milk and butterfat not specifically acccounted for as Class II milk;

(b) Class II milk shall be all skim milk and butterfat;

(1) Used to produce any product other than those specified in paragraph (a) of this section;

(2) Disposed of for livestock feed; or

(3) In inventory variations of milk, skim milk, cream, or any product specified in paragraph (a) of this section.

42. *Responsibility of handlers and reclassification of milk.* (a) All skim milk and butterfat shall be Class I milk unless the handler who first receives such skim milk or butterfat can prove to the market administrator that such skim milk or butterfat should be classified otherwise.

(b) Any skim milk or butterfat shall be reclassified if verification by the market administrator discloses that the original classification was incorrect.

43. *Transfers.* Skim milk or butterfat disposed of by a handler either by transfer or diversion shall be classified:

(a) As Class I milk if transferred or diverted in the form of milk, skim milk or cream, to the approved plant of another handler (except a producer-handler), unless utilization in Class II is mutually indicated in writing to the market administrator by both handlers on or before the 7th day after the end of the month within which such transaction occurred: *Provided,* That if either or both handlers have received other source milk the skim milk or butterfat so transferred or diverted shall be classified at both plants so as to allocate the greatest possible Class I utilization to producer milk.

(b) As Class I milk, if transferred or diverted to a producer-handler in the form of milk, skim milk, or cream.

(c) As Class I milk, if transferred or diverted in the form of milk or skim milk from an approved plant to an unapproved plant more than 200 miles distant by the shortest highway distance as determined by the market administrator.

(d) As Class I milk, if transferred in the form of cream under Grade A certification from an approved plant to an unapproved plant located more than 200 miles distant and as Class II milk if so transferred without Grade A certification.

(e) As Class I milk if transferred or diverted in the form of milk, skim milk or cream from an approved plant to an unapproved plant located not more than 200 miles distant by shortest highway distance as determined by the market administrator, unless:

(1) The handler claims classification as Class II milk on the basis of a utilization mutually indicated in writing to the market administrator by both the operator of the unapproved plant and the handler on or before the 7th day after the end of the month within which such transfer occurred; and

(2) The operator of the unapproved plant maintains books and records showing the receipts and utilization of all skim milk and butterfat at such plant which are made available if requested by the market administrator for the purpose of verification: *Provided,* That if the Class I utilization of skim milk and butterfat in such plant exceeds receipts at such plant of skim milk and butterfat, respectively, in milk direct from dairy farmers who the market administrator determines constitutes the regular source of supply for fluid usage of such unapproved plant in markets supplied by it, an amount of skim milk and butterfat equal to such excess shall be classified as Class I milk.

44. *Computation of the skim milk and butterfat in each class.* For each month, the market administrator shall correct for mathematical and for other obvious errors the monthly report submitted by each handler and shall compute the pounds of skim milk and butterfat in Class I milk and Class II milk for such handler.

45. *Allocation of skim milk and butterfat classified.* After making the computations pursuant to section 44, the market administrator shall determine the classification of milk received from producers as follows:

(a) Skim milk shall be allocated in the following manner:

(1) Subtract from the total pounds of skim milk in Class II the pounds of skim milk determined pursuant to section 41 (b) (3).

(2) Subtract from the remaining pounds of skim milk in Class II the pounds of skim milk in other source milk: *Provided,* That if the receipts of skim milk in other source milk are

greater than the remaining pounds of skim milk in Class II, an amount equal to the difference shall be subtracted from the pounds of skim milk in Class I;

(3) Subtract from the remaining pounds of skim milk in each class the skim milk received from other handlers according to its classification as determined pursuant to section 43 (a);

(4) Add to the remaining pounds of skim milk in Class II the pounds of skim milk subtracted pursuant to subparagraph (1) of this paragraph; and

(5) If the remaining pounds of skim milk in both classes exceed the pounds of skim milk received from producers, subtract such excess from the remaining pounds of skim milk in series beginning with Class II milk. Any amount so subtracted shall be called "overage."

(b) Butterfat shall be allocated in accordance with the same procedure outlined for skim milk in paragraph (a) of this section.

(c) Determine the weighted average butterfat content of Class I and Class II milk computed pursuant to paragraphs (a) and (b) of this section.

MINIMUM PRICES

50. *Class prices.* Subject to the provisions of sections 52 and 53 the minimum prices per hundredweight to be paid by each handler for milk received from producers at a pool plant during the delivery period shall be as follows:

(a) *Class I milk.* The price shall be the basic price determined pursuant to section 51 for the preceding delivery period plus $0.55 during May and June; plus $1.05 during July, August, September, October and November; and plus $0.75 in all other delivery periods: *Provided,* That such Class I price differentials shall be increased or decreased by application of the supply-demand adjustment established under § 941.52 (a) of Order No. 41, as amended, regulating the handling of milk in the Chicago, Illinois, marketing area for the same delivery period: *And provided further,* That milk transferred to other plants outside of the marketing area shall be priced $0.20 higher than otherwise computed during the September-November period, and $0.20 lower during the January–April period.

(b) *Class II milk.* The price shall be that determined by the market administrator as follows:

(1) Multiply by 4.24 the simple average, as computed by the market administrator, of the daily wholesale selling prices (using the midpoint of any price range as one price) of Grade AA (93-score) bulk creamery butter per pound at Chicago, as reported by the United States Department of Agriculture, during the delivery period: *Provided,* That if no price is reported for Grade AA (93-score) butter, the highest of the prices reported for Grade A (92-score) butter for that day shall be used in lieu of the price for Grade AA (93-score) butter;

(2) Multiplying by 8.2 the weighted average of carlot prices per pound for spray process nonfat dry milk solids for human consumption f. o. b. manufacturing plants in the Chicago area, as published for the period from the 26th day of the immediately preceding delivery period through the 25th day of the current delivery period, by the United States Department of Agriculture; and

(3) From the sum of the results arrived at under subparagraphs (1) and (2) of this paragraph subtract 75.2 cents.

51. *Basic prices.* The basic price to be used in determining the price per hundredweight of Class I milk shall be the price for Class II milk computed pursuant to section 50 (b) or that derived from either of the formulas set forth in paragraphs (a) and (b) of this section, whichever is the highest.

(a) The average of the basic or field prices ascertained to have been paid for milk of 3.5 percent butterfat content received during the delivery period at the following plants or places for which prices are reported to the market administrator by the listed companies or by the Department of Agriculture;

Companies and Locations

Borden Co., Mount Pleasant, Mich.
Carnation Co., Sparta, Mich.
Pet Milk Co., Wayland, Mich.
Pet Milk Co., Coopersville, Mich.
Borden Co., Black Creek, Wis.
Borden Co., Greenville, Wis.
Borden Co., Orfordville, Wis.
Borden Co., New London, Wis.
Carnation Co., Chilton, Wis.
Carnation Co., Berlin, Wis.
Carnation Co., Richland Center, Wis.
Carnation Co., Oconomowoc, Wis.
Carnation Co., Jefferson, Wis.
Pet Milk Co., New Glarus, Wis.
Pet Milk Co., Belleville, Wis.
White House Milk Co., Manitowoc, Wis.
White House Milk Co., West Bend, Wis.
Pet Milk Co., Hudson, Mich.

(b) (1) Multiply the average wholesale price per pound of 93-score butter at Chicago for said delivery period as reported by the Department of Agriculture by 6; (2) add 2.4 times the weekly prevailing price of "Cheddars" during said delivery period on the Wisconsin Cheese Exchange at Plymouth, Wisconsin, as reported by the Department of Agriculture; (3) divide the resulting sum by seven (7); (4) add 30 percent thereof; and (5) multiply the resulting sum by 3.5.

52. *Butterfat differentials to handlers.* If the average butterfat content of the milk of any handler allocated to any class pursuant to section 46 is more or less than 3.5 percent, there shall be added to the respective class prices computed pursuant to section 50 for each 1 tenth of 1 percent that the average butterfat content of such milk is above 3.5 percent or subtracted for each 1 tenth of 1 percent that the average butterfat content of such milk is below 3.5 percent, an amount equal to the butterfat differential computed as follows:

(a) *Class I milk.* Multiply by 1.3 the price of 93 score butter at Chicago and divide by 10.

(b) *Class II milk.* Multiply by 1.2114 the price of 93 score butter at Chicago and divide by 10.

53. *District supply-demand differentials to handlers.* (a) If total receipts of producer milk in any district are less than 100 percent of Class I sales[1] in any month, the price for Class I shall be raised 5 cents per hundredweight for the following month, and if total receipts of producer milk in any district during the period of August through November averages less than 100 percent of Class I sales,[1] the price for Class I shall continue to be 5 cents higher through the next August.

(b) If total receipts of producer milk in any district are in excess of 130 percent of Class I sales[1] during any month during the August–November period, the Class I price shall be lowered 5 cents per hundredweight for the following month; and if such receipts should average in excess of 130 percent of Class I sales[1] during the entire August–November period, the 5-cent decrease shall remain effective through the following August.

APPLICATION OF PROVISIONS

55. *Producer-handler.* Sections 41 through 52 and 60 through 76 shall not apply to a producer-handler.

56. *Handlers subject to other Federal orders.* In the case of any handler who the Secretary determines, disposes of a greater portion of his milk as Class I milk in another marketing area regulated by another milk marketing agreement or order issued pursuant to the act, the provisions of this subpart shall not apply except as follows:

(a) The handler shall with respect to his total receipts of skim milk and butterfat make reports to the market administrator at such time and in such manner as the market administrator may require and allow verification of such reports by the market administrator.

(b) If the price which such handler is required to pay, under the other Federal order to which he is subject, for skim milk and butterfat which would be classified as Class I milk under this subpart is less than the price provided by this subpart, such handler shall pay to the market administrator for deposit into the producer-settlement fund (with respect to all skim milk and butterfat disposed of as Class I milk within the marketing area) an amount equal to the difference between the value of such skim milk or butterfat as computed pursuant to this subpart and its value as determined pursuant to the other order to which he is subject.

57. *Handlers who operate non-pool plants.* Handlers who operate non-pool plants shall, not later than the 12th day after the end of the delivery period, make payment to the market administrator for deposit into the producer settlement fund an amount equal to the difference between the Class I and Class II price with respect to all milk disposed of as Class I milk within the marketing area from such non-pool plant: *Provided,* That approved plants which have a non-pool status because of low utilization shall be exempt from this provision on satisfactory proof of payment of minimum class prices.

DETERMINATION OF UNIFORM PRICE

60. *Computation of value of milk.* The value of milk received during each delivery period by each handler from producers shall be a sum of money com-

[1] Class I sales here are defined as those excluding those outside of a 100-mile radius from the market area boundary.

puted by the market administrator by multiplying the pounds of such milk in each class by the applicable class prices and adding together the resulting amounts: *Provided*, That if the handler had overage of either skim milk or butterfat there shall be added to the above values an amount computed by multiplying the pounds of overage by the applicable class prices.

61. *Computation of uniform price.* (a) Paragraphs (b) and (c) of this section and sections 62, 65, 68, 69, 70 and 71 shall be applied separately to (1) producer milk received at, or diverted by a cooperative association from plants in the LaCrosse District, and (2) producer milk received at, or diverted by a cooperative association from, plants in the Marketing Area other than the LaCrosse District.

(b) During the months of August through November, the market administrator shall compute a uniform price for milk purchased or received from producers by each handler at his pool plants as follows:

(1) Combine into one total the values computed pursuant to section 60 for all handlers who made the reports prescribed by section 30 and who made the payments pursuant to section 65 for the preceding delivery period;

(2) Add not less than one half of the cash balance on hand in the producer-settlement fund less the amount of the contingent obligations to handlers pursuant to section 67;

(3) Subtract if the average butterfat content of the milk included in these computations is greater than 3.5 percent or add if such butterfat content is less than 3.5 percent an amount equal to the total value of the producer butterfat differential applicable pursuant to section 66.

(4) Add or subtract the appropriate amounts equal to the values of the district supply-demand differentials computed pursuant to section 67 (a);

(5) Add an amount equal to the total value of the location differentials computed pursuant to section 67 (b);

(6) Divide the resulting amount by the total hundredweight of milk included in these computations; and

(7) Subtract not less than 4 cents nor more than 5 cents. The resulting amount shall be known as the uniform price for milk of 3.5 percent butterfat received from producers during the months of August through November.

(c) *Computation of uniform prices for base milk and excess milk.* For each of the months of December through July, inclusive, the market administrator shall compute the uniform prices per hundredweight for base milk and for excess milk, each of 3.5 percent butterfat content, received from producers at an approved plant as follows:

(1) Compute the value of all producer milk as prescribed in section 61 (b) (1–5).

(2) Compute the value of all excess milk by multiplying the volume in each class by the appropriate class price.

(3) Compute the value of all base milk by subtracting the value found in subparagraph (2) from that found in subparagraph (1) of this paragraph.

(4) Compute the uniform price of excess milk by dividing the value obtained in subparagraph (2) by the excess volume.

(5) Compute the uniform price of base milk by dividing the value found in subparagraph (3) by the base volume.

(6) Subtract not less than 4 cents nor more than 5 cents from prices obtained in subparagraphs (4) and (5). The resulting amounts shall be the uniform prices for 3.5 percent excess and base milk, respectively.

62. *Notification of handlers.* On or before the 10th day after the end of each delivery period, the market administrator shall mail to each handler who operates a pool plant at his last known address, a statement showing:

(a) The classification and value of the milk received from producers by such handler at his pool plant.

(b) The applicable class prices and the uniform price for all milk during the months of August through November, or the uniform prices for base milk and for milk in excess of base during the months of December through July.

(c) The amount due such handler or the amount to be paid by such handler pursuant to sections 68 and 69.

PAYMENTS FOR MILK

65. *Time and method of payment.* Each handler shall, subject to the butterfat and location differentials prescribed in sections 66 and 67, make payment for milk received at a pool plant as follows:

(a) On or before the 15th day after the end of the delivery period during which the milk was received to each producer for milk, except that for which payment is made to a cooperative association pursuant to paragraph (b) of this section, (1) during the months of August through November at not less than the uniform price computed pursuant to section 61 (a), (2) during the months of December through July at not less than the uniform prices for base and excess milk computed pursuant to section 61 (b).

(b) On or before the 12th day after the end of the delivery period during which the milk was received, to a cooperative association for milk caused to be delivered to such handlers from producers by the cooperative association if the cooperative association is authorized to collect payment for such milk and if it so requests, an amount equal to not less than the sum of the individual amounts otherwise payable to such producers.

66. *Producer butterfat differential.* In making payments to producers pursuant to section 65 there shall be added to or subtracted from the uniform price for each 1 tenth of 1 percent that the average butterfat content of such milk is above or below 3.5 percent the following amounts:

(a) During August through November—an amount equal to the weighted average value of the butterfat allocated to each class pursuant to section 45.

(b) During December through July—(1) with respect to milk not in excess of base an amount computed by multiplying by 1.30 the price of 93-score butter at Chicago and dividing the results by 10, and (2) with respect to milk delivered in excess of base an amount computed by multiplying by 1.15 the price of 93-score butter at Chicago and dividing the result by 10.

67. (a) *District supply-demand.* In making payment to producers pursuant to section 65 for milk received at pool plants, each handler shall be governed by the provisions of section 53.

(b) *Location differential to producers.* In making payments to producers pursuant to section 65 for milk delivered to pool plants outside the city limits of towns of over 5,000 population each such handler shall subtract from the payment on all milk the following amounts according to distance from city limit:

	Cents
1–3 miles	3
4 miles	4
5 miles or over	5

These amounts are to be paid by the handlers directly to the producer-settlement fund.

68. *Producer-settlement fund.* The market administrator shall establish and maintain a separate fund known as the producer-settlement fund into which he shall deposit all payments made by handlers pursuant to section 69 and out of which he shall make all payments to handlers pursuant to section 70.

69. *Payments to the producer-settlement fund.* On or before the 12th day after the end of each delivery period, each handler shall pay to the market administrator the amount by which the utilization value of the milk received by such handler from producers during such delivery period is greater than the amount required to be paid producers by such handler pursuant to section 65.

70. *Payments out of the producer-settlement fund.* On or before the 12th day after the end of each delivery period, the market administrator shall pay to each handler the amount by which the utilization value of the milk received by such handler from producers during the delivery period is less than the amount required to be paid producers by such handler pursuant to section 65: *Provided*, That if the balance in the producer-settlement fund is insufficient to make all payments pursuant to this paragraph, the market administrator shall reduce uniformly the payments to all handlers and shall complete such payments as soon as the necessary funds are available. No handler who has not received the balance of such payments from the market administrator shall be considered in violation of section 65 if he reduces his payments to producers by not more than the amount of the reduction in payment from the producer-settlement fund.

71. *Adjustment of accounts.* Whenever audit by the market administrator of any handler's reports, books, records or accounts discloses errors resulting in moneys due (a) the market administrator from such handler, (b) such handler from the market administrator, or (c) any producer or cooperative association from such handler, the market administrator shall promptly notify such handler of any amount so due, and payment thereof shall be made on or before the next date for making payment set

forth in the provision under which such error occurred.

72. *Termination of obligations.* The provisions of this section shall apply to any obligation under this subpart for the payment of money irrespective of when such obligation arose.

(a) The obligation of any handler to pay money required to be paid under the terms of this subpart shall, except as provided in paragraphs (b) and (c) of this section, terminate two years after the last day of the calendar month during which the market administrator receives the handler's utilization report on the milk involved in such obligation, unless within such two-year period the market administrator notifies the handler in writing that such money is due and payable. Service of such notice shall be complete upon mailing to the handler's last known address, and it shall contain, but need not be limited to, the following information:

(1) The amount of the obligation;

(2) The delivery period(s) during which the milk with respect to which the obligation exists was received for handled; and

(3) If the obligation is payable to one or more producers or to a cooperative association, the name of such producer(s) or cooperative association, or if the obligation is payable to the market administrator, the account for which it is to be paid.

(b) If a handler fails or refuses, with respect to any obligation under this subpart, to make available to the market administrator all books and records required by this subpart to be made available, the market administrator may, within the two year period provided for in paragraph (a) of this section, notify the handler in writing of such failure or refusal. If the market administrator so notifies a handler, the said two year period with respect to such obligation shall not begin to run until the first day of the calendar month following the delivery period during which all such books and records pertaining to such obligations are made available to the market administrator.

(c) Notwithstanding the provisions of paragraphs (a) and (b) of this section, a handler's obligation under this subpart to pay money shall not be terminated with respect to any transactions involving fraud or willful concealment of a fact, material to the obligation on the part of the handler against whom the obligation is sought to be imposed.

(d) Any obligation on the part of the market administrator to pay a handler any money which such handler claims to be due him under the terms of this subpart shall terminate two years after the end of the calendar month, during which the milk involved in the claim was received if an underpayment is claimed, or two years after the end of the calendar month during which the payment (including deduction or set-off by the market administrator) was made by the handler if a refund on such payment is claimed unless the handler, within the applicable period of time, pursuant to section 8c (15) (A) of the act, files a petition claiming such money.

BASE PLAN

75. (a) Bases are established August through November and apply the following December through July.

(b) Any producer who is not eligible to receive a base as computed above shall have a base computed by applying the appropriate percentage on the following table to his deliveries to handlers:

December	75	June	35
January	60	July	70
February	50	August	100
March	40	September	100
April	40	October	100
May	35	November	100

76. *Base rules.* The following rules shall be observed in the determination of bases:

(a) A base may be transferred during the period of December through July upon written notice to the market administrator on or before the last day of the month of transfer, but only under the following circumstances:

(1) Upon the death, retirement or entry into military service of a producer, the entire base may be transferred to a member (or members) of his immediate family who continues to supply producer milk from the same farm.

(2) If a base is held jointly and such joint holding is terminated the entire base may be transferred as a unit to one of the joint holders or to another producer.

(b) A producer who ceases deliveries to a fluid milk plant or country plant for more than 45 days shall lose his base if computed pursuant to section 75 (a) and if he resumes deliveries to such a plant he shall be paid on a base determined pursuant to section 75 (b) until he can establish a new base under section 75 (a) to begin the next December 1.

(c) By notifying the market administrator prior to the last day of any month in the period December through July, inclusive, a producer having a base established pursuant to section 75 (a) may relinquish such base by cancellation, and effective from the first day of the month in which notice is received by the market administrator until the end of such eight-month period such producer's base shall be computed in the manner provided by section 75 (b).

(d) As soon as bases computed by the market administrator are allotted, notice of the amount of each producer's base shall be given by the market administrator to the handler receiving such producer's milk and to the cooperative association of which the producer is a member. Each handler, following receipt of such notice, shall promptly post in a conspicuous place at each of his plants a list or lists showing the base of each producer whose milk is received at such plant.

(e) If a producer operates more than one farm he shall establish a separate base with respect to producer milk delivered from each such farm.

OTHER PAYMENTS

80. *Expense of administration.* As his prorata share of the expense of administration of this part each handler, with respect to all milk purchased or received directly from producers' farms (including such handler's own production) and which is disposed of as Class I milk during the delivery period, shall pay to the market administrator, on or before the 12th day after the end of such delivery period, 4–6 cents per hundredweight or such lesser amount as the Secretary from time to time may prescribe.

81. *Marketing services.* (a) Except as set forth in paragraph (b) of this section each handler, in making payments to producers (other than himself) pursuant to section 65 shall deduct 5 cents per hundredweight or such lesser amount as the Secretary from time to time may prescribe, and shall pay such deductions to the market administrator on or before the 12th day after the end of such delivery period. Such moneys shall be used by the market administrator to check weights of, sample, and test milk received from producers and to provide producers with market information.

(b) In the case of producers for whom a cooperative association is actually performing the services set forth in paragraph (a) of this section, each handler shall make, in lieu of the deductions specified in paragraph (a) of this section, such deductions from the payments to be made to such producers as may be authorized by the membership agreement or marketing contract between such cooperative association and such producers and on or before the 12th day after the end of such delivery period pay such deductions to the cooperative association rendering such services.

EFFECTIVE TIME, SUSPENSION OR TERMINATION

85. *Effective time.* The provisions of this subpart, or any amendment to this subpart, shall become effective at such time as the Secretary may declare and shall continue in force until suspended or terminated.

86. *Suspension or termination.* The Secretary shall, whenever he finds that, this subpart, or any provision of this subpart obstructs or does not tend to effectuate the declared policy of the act, terminate or suspend the operation of this subpart or any such provisions of this subpart.

87. *Continuing obligations.* If upon the suspension or termination of any or all provisions of this subpart, there are any obligations under this subpart the final accrual or ascertainment of which requires further acts by any person (including the market administrator), such further acts shall be performed notwithstanding such suspension or termination.

88. *Liquidation.* Upon the suspension or termination of the provisions of this subpart, except this section, the liquidating agent shall, if so directed by the Secretary, liquidate the business of the market administrator's office, dispose of all property in his possession or control, including accounts receivable, and execute and deliver all assignments or other instruments necessary or appropriate to effectuate any such disposition. If a liquidating agent is so designated all assets, books and records of the market administrator shall be transferred promptly to such liquidating agent. If upon such liquidation, the funds on hand

exceed the amounts required to pay outstanding obligations of the office of the market administrator and to pay necessary expenses of liquidation and distribution, such excess shall be distributed to contributing handlers and producers in an equitable manner.

MISCELLANEOUS PROVISIONS

90. *Agents.* The secretary may, by designation in writing, name any officer or employee of the United States to act as his agent or representative in connection with any of the provisions of this subpart.

91. *Separability of provisions.* If any provision of this subpart or its application to any person or circumstance, is held invalid, the application of such provision and of the remaining provisions of this subpart, to other persons or circumstances shall not be affected thereby.

Proposed by the Borden Company:

1. Include Eau Claire County, Wisconsin, within the proposed marketing area.

2. Provide that a "handler" shall include anyone who operates a plant within or without the marketing area, from which fluid milk is distributed in the marketing areas and that, regardless of any other provision in the marketing order as to whether the plant shall be a "pool plant" or a "nonpool plan," the handler shall be required to pay not less than the minimum class prices for all milk.

3. Include as a separate class (Class I–A) all skim milk and butterfat disposed of in the form of cream or fluid products containing over 6 percent butterfat; and provide a minimum price therefor which shall be less than the price for skim milk and butterfat utilized as Class I milk.

4. Provide that the prices for Class I and Class I–A milk shall be increased and decreased on the basis of the operation of the formula, but only in specific units per hundredweight under the so-called "bracket schedule" of changing the price. In the case of Class I the unit of change shall be 22¢ per hundredweight.

Copies of this notice of hearing may be procured from the Hearing Clerk, Room 1353, South Building, United States Department of Agriculture, Washington 25, D. C. or may be there inspected.

Dated: November 6, 1952, at Washington, D. C.

[SEAL] ROY W. LENNARTSON,
Assistant Administrator.

[F. R. Doc. 52-12061; Filed, Nov. 10, 1952; 8:53 a. m.]

[7 CFR Part 994]

HANDLING OF PECANS GROWN IN GEORGIA, ALABAMA, FLORIDA, MISSISSIPPI AND SOUTH CAROLINA

EXPENSES OF PECAN ADMINISTRATIVE COMMITTEE AND RATE OF ASSESSMENT FOR FISCAL PERIOD BEGINNING OCTOBER 1, 1952

Notice is hereby given that the Department is considering the issuance of the proposed administrative rule herein set forth pursuant to the provisions of Marketing Agreement No. 111 and Order No. 94 (7 CFR Part 994), regulating the handling of pecans grown in Georgia, Alabama, Florida, Mississippi, and South Carolina, effective under the Agricultural Marketing Agreement Act of 1937, as amended (7 U. S. C. 601 et seq.).

Prior to the final issuance of such rule, consideration will be given to data, views, or arguments pertaining thereto which are submitted in writing to the Director, Fruit and Vegetable Branch, Production and Marketing Administration, United States Department of Agriculture, Washington, D. C., and which are received not later than the close of business on the tenth day after publication of this notice in the FEDERAL REGISTER, except that if such tenth day after publication should fall on a Saturday, Sunday, or holiday, such submission may be received by the Director not later than the close of business on the next following work day.

Pursuant to the provisions of said agreement and order, the Pecan Administrative Committee at its meeting in Albany, Georgia, on October 2, 1952, unanimously recommended a budget of expenses of $30,800 and an assessment rate of 22 cents per hundred pounds of pecans handled for the fiscal period beginning October 1, 1952. In making the foregoing recommendation, the Committee took into consideration its estimate that 14,000,000 pounds of pecans will be handled for distribution as unshelled pecans during the aforesaid fiscal period. The proposed rate of assessment of 22 cents per hundred pounds of pecans handled, when applied to this estimated quantity, will provide sufficient funds to cover the proposed expenses of $30,800, and such expenses and rate of assessment appear to be reasonable. The proposed budget of expenses and rate of assessment are the same as were approved for the fiscal period beginning October 1, 1951.

The proposed rule is as follows:

§ 994.303 *Expenses for the fiscal period beginning October 1, 1952, and rate of assessment*—(a) *Expenses.* Expenses in the amount of $30,800 are reasonable and likely to be incurred by the Pecan Administrative Committee for its maintenance and functioning during the fiscal period beginning October 1, 1952; and

(b) *Rate of assessment.* The rate of assessment to be paid, in accordance with the applicable provisions of said marketing agreement and order, by each handler who first handles unshelled pecans shall be 22 cents per hundred pounds of assessable unshelled pecans handled by him as the first handler thereof during the fiscal period beginning October 1, 1952.

Issued at Washington, D. C., this 5th day of November 1952.

[SEAL] S. R. SMITH,
Director,
Fruit and Vegetable Branch.

[F. R. Doc. 52-12042; Filed, Nov. 10, 1952; 8:51 a. m.]

NOTICES

ECONOMIC STABILIZATION AGENCY

Office of Price Stabilization

[Delegation of Authority 79]

DIRECTORS OF THE REGIONAL OFFICES, REGION XII, SAN FRANCISCO, CALIFORNIA, AND REGION XIII, SEATTLE, WASHINGTON

DELEGATION OF AUTHORITY TO ACT UNDER SECTION 4 OF SUPPLEMENTARY REGULATION 11 TO CEILING PRICE REGULATION 17

By virtue of the authority vested in me as Director of the Office of Price Stabilization, pursuant to the Defense Production Act of 1950, as amended (64 Stat. 798, 803; 65 Stat. 131; 66 Stat. 296), Executive Order 10161 (15 F. R. 6105), and Economic Stabilization Agency General Order No. 2, as amended (16 F. R. 738, 11626), this delegation of authority is hereby issued.

1. *Authority to act under section 4 of Supplementary Regulation 11 of Ceiling Price Regulation 17.* Authority is hereby delegated to the Director of Region 12, San Francisco, California, and the Director of Region 13, Seattle, Washington, to disapprove or modify by order ceiling prices filed pursuant to section 4 of Supplementary Regulation 11 to Ceiling Price Regulation 17. Authority is also delegated to these Directors to request further information concerning filings made under this section.

2. *Redelegation of authority.* The authority herein delegated may be redelegated to the Directors of the District Offices of the Office of Price Stabilization.

This delegation of authority shall take effect on November 8, 1952.

JOSEPH H. FREEHILL,
Acting Director of Price Stabilization.

NOVEMBER 7, 1952.

[F. R. Doc. 52-12088; Filed, Nov. 7, 1952; 12:35 p. m.]

REGION VI

LIST OF COMMUNITY CEILING PRICE ORDERS

The following orders under General Overriding Regulation were filed with the Division of the Federal Register on October 31, 1952.

REGION VI

Cleveland Order 1-G4-1, Amendment 3, changes and deletes certain food items for retail sales in the Northeastern Ohio area, filed 3:48 p. m.

Copies of any of these orders may be obtained in any OPS Office in the designated city.

JOSEPH L. DWYER,
Recording Secretary.

[F. R. Doc. 52-12050; Filed, Nov. 6, 1952; 11:49 a. m.]

REGION IX

LIST OF COMMUNITY CEILING PRICE ORDERS

The following orders under General Overriding Regulation were filed with the Division of the Federal Register on October 20, 1952.

REGION IX

Omaha Order 1-G2-1, Amendment 2, changes certain food items for retail sales in the Omaha area, filed 4:41 p. m.

Omaha Order 1-G4-1, Amendment 2, changes certain food items for retail sales in the Omaha area, filed 4:41 p. m.

Copies of any of these orders may be obtained in any OPS Office in the designated city.

JOSEPH L. DWYER,
Recording Secretary.

[F. R. Doc. 52-12049; Filed, Nov. 6, 1952; 11:49 a. m.]

FEDERAL POWER COMMISSION

[Docket No. E-6392]

LUZ Y FUERZA DE REYNOSA, S. A., AND CENTRAL POWER AND LIGHT CO.

NOTICE OF ORDER AUTHORIZING TRANSMISSION OF ELECTRIC ENERGY AND RELEASING PERMIT

NOVEMBER 5, 1952.

Notice is hereby given that on November 5, 1952, the Federal Power Commission issued its order entered October 30, 1952, in the above-entitled matter, authorizing transmission of electric energy to Mexico, and releasing Presidential Permit in Docket No. E-6393.

[SEAL] LEON M. FUQUAY,
Secretary.

[F. R. Doc. 52-12024; Filed, Nov. 10, 1952; 8:46 a. m.]

[Docket No. E-6454]

CITY OF CENTRALIA, WASHINGTON

NOTICE OF DECLARATION OF INTENTION

NOVEMBER 5, 1952.

Public notice is hereby given that the City of Centralia, State of Washington on August 29, 1952, filed with this Commission its declaration of intention pursuant to the provisions of the Federal Power Act (49 Stat. 838) (16 U. S. C. 818) and the rules and regulations of this Commission in such matters made and provided. The Declarant states that it intends to construct, operate and maintain certain hydroelectric generating project works, which are specifically described in the said declaration, across, along, over and in the Nisqually River approximately 6 miles Southeasterly from the Town of Yelm, Washington, where it has an existing hydroelectric power plant. The Declarant proposes to enlarge the dam across the said river, to improve the canal by cleaning it out, to construct a penstock and an addition to the power house to accomodate a turbine of 7,500 hp with the directly connected generator of 6,250 kva 80 percent power factor, and to construct and install all other necessary appurtenances. The plant will be manually operated and controlled. A power interconnection now exists with Bonneville Power Administration and no additional interconnection is contemplated at this time.

Declarant states that the proposed project will have no effect on present or proposed navigation; also that it is entitled to divert up to 1,050 cubic feet of water per second of the natural flow of Nisqually River when its power plant is fully developed thus increasing the amount of the flow from its present volume by 700 to 720 cfs.

The Commission will investigate the project and determine whether a license under the Federal Power Act is required or whether the project may be constructed upon compliance with the State laws only.

Any objection or comments concerning this matter should be communicated or submitted within 30 days from the date of publication of this notice to the Federal Power Commission, Washington 25, D. C.

[SEAL] LEON M. FUQUAY,
Secretary.

[F. R. Doc. 52-12023; Filed, Nov. 10, 1952; 8:46 a. m.]

[Docket Nos. ID-1099, ID-1183, ID-1184]

HERBERT P. FABER ET AL.

NOTICE OF ORDERS AUTHORIZING APPLICANTS TO HOLD CERTAIN POSITIONS

NOVEMBER 5, 1952.

In the matters of Herbert P. Faber, Docket No. ID-1099; Richard F. Alexander, Docket No. ID-1183; Frank L. Jones, Jr., Docket No. ID-1184.

Notice is hereby given that on November 4, 1952, the Federal Power Commission issued its orders entered October 30, 1952, authorizing applicants to hold certain positions pursuant to section 305 (b) of the Federal Power Act in the above-entitled matters.

[SEAL] LEON M. FUQUAY,
Secretary.

[F. R. Doc. 52-12025; Filed, Nov. 10, 1952; 8:46 a. m.]

[Docket No. IT-5983]

CENTRAL POWER AND LIGHT CO. AND COMISION NACIONAL DE IRRIGACION

NOTICE OF ORDER TERMINATING AUTHORIZATION TO TRANSMIT ELECTRIC ENERGY AND ACCEPTING SURRENDER OF PERMIT

NOVEMBER 5, 1952.

Notice is hereby given that on November 5, 1952, the Federal Power Commission issued its order entered October 30, 1952, in the above-entitled matter, terminating authorization to transmit electric energy to Mexico and accepting surrender of Presidential Permit in Docket No. IT-5982.

[SEAL] LEON M. FUQUAY,
Secretary.

[F. R. Doc. 52-12026; Filed, Nov. 10, 1952; 8:46 a. m.]

[Project No. 2039]

DELAWARE RIVER DEVELOPMENT CORP.

NOTICE OF ORDER EXTENDING PERIOD OF PRELIMINARY PERMIT

NOVEMBER 5, 1952.

Notice is hereby given that on November 3, 1952, the Federal Power Commission issued its order entered October 30, 1952, in the above-entitled matter, extending period of preliminary permit from June 30, 1951, to and including June 30, 1953.

[SEAL] LEON M. FUQUAY,
Secretary.

[F. R. Doc. 52-12027; Filed, Nov. 10, 1952; 8:46 a. m.]

SECURITIES AND EXCHANGE COMMISSION

[File No. 70-2950]

COLUMBIA GAS SYSTEM, INC., AND CUMBERLAND AND ALLEGHENY GAS CO.

NOTICE REGARDING THE ISSUANCE AND SALE OF SHARES OF COMMON STOCK AND INSTALLMENT PROMISSORY NOTES BY SUBSIDIARY AND THE ACQUISITION THEREOF BY PARENT COMPANY

NOVEMBER 5, 1952.

Notice is hereby given that a joint application has been filed with this Commission by the Columbia Gas System, Inc. ("Columbia"), a registered holding company, and Cumberland and Allegheny Gas Company ("Cumberland"), a subsidiary company of Columbia, pursuant to the Public Utility Holding Company Act of 1935. Sections 6 (b), 9 and 10 of the act have been designated as being applicable to the proposed transactions.

All interested persons are referred to said joint application which is on file in the offices of the Commission for a statement of the transactions therein proposed, which are summarized as follows:

Cumberland proposes to issue and sell and Columbia proposes to acquire 10,000 shares of common stock, par value $25

per share ($250,000), and a maximum of $300,000 principal amount of 3⅝ percent Installment Promissory Notes. Cumberland represents that the proceeds in the amount of $550,000 to be derived from Columbia would be used to finance the remainder of its 1952 construction program. Columbia states that it would first purchase common stock when and as funds are required up to a maximum amount of 10,000 shares, and thereafter it would purchase 3⅝ percent Notes as funds are needed, up to a maximum principal amount of $300,000. It is further stated that Cumberland would not issue or sell any such common stock or 3⅝ percent Notes subsequent to March 31, 1953.

The 3⅝ percent Notes to be issued by Cumberland would be registered and the principal amounts thereof would be payable in twenty-five equal annual installments on February 15 of each of the years 1954 to 1978, inclusive. Interest on the unpaid principal amount of said Notes will be payable semi-annually on February 15 and August 15.

The issuance and sale of the common stock and Notes by Cumberland are stated to be subject to the jurisdiction of the Public Service Commission of the State of West Virginia.

Notice is further given that any interested person may, not later than November 15, 1952, at 5:30 p. m., e. s. t., request the Commission in writing that a hearing be held on such matter, stating the nature of his interest, the reasons for such request, and the issues of fact or law, if any, raised by the said joint application which he desires to controvert, or may request that he be notified if the Commission should order a hearing thereon. Any such request should be addressed: Secretary, Securities and Exchange Commission, 425 Second Street NW., Washington 25, D. C. At any time after November 15, 1952, said joint application, as filed or as amended, may be granted as provided in Rule U-23 of the rules and regulations promulgated under the act, or the Commission may exempt such transactions as provided in Rule U-20 (a) and Rule U-100 thereof.

By the Commission.

[SEAL] ORVAL L. DUBOIS, *Secretary.*

[F. R. Doc. 52-12028; Filed, Nov. 10, 1952; 8:47 a. m.]

[File No. 70-2953]

COLUMBIA GAS SYSTEM, INC., AND NATURAL GAS COMPANY OF WEST VIRGINIA

NOTICE REGARDING THE ISSUANCE AND SALE OF SHARES OF COMMON STOCK AND INSTALLMENT PROMISSORY NOTES BY SUBSIDIARY AND THE ACQUISITION THEREOF BY PARENT COMPANY

NOVEMBER 5, 1952.

Notice is hereby given that a joint application has been filed with this Commission by the Columbia Gas System, Inc. ("Columbia"), a registered holding company, and Natural Gas Company of West Virginia ("Natural Gas"), a subsidiary company of Columbia, pursuant to the Public Utility Holding Company Act of 1935. Sections 6 (b), 9 and 10 of of the act are designated as being applicable to the proposed transactions.

All interested persons are referred to said joint application which is on file in the offices of the Commission for a statement of the transactions therein proposed, which are summarized as follows:

Natural Gas proposes to issue and sell and Columbia proposes to acquire, at par, 1,500 shares of common stock, par value $100 per share, ($150,000), and a maximum of $200,000 principal amount of 3⅝ percent Installment Promissory Notes. Natural Gas represents that the proceeds in the amount of $350,000 to be derived from Columbia would be used to finance the remainder of its 1952 construction program. Columbia states that it would first purchase common stock when and as funds are required up to a maximum amount of 10,000 shares and thereafter it would purchase 3⅝ percent Notes as funds are needed, up to a maximum principal amount of $200,000. It is further stated that Natural Gas would not issue or sell any such common stock or 3⅝ percent Notes subsequent to March 31, 1953.

It is further stated that the 3⅝ percent Notes proposed to be issued by Natural Gas would be payable in twenty-five equal annual installments on February 15 of each of the years 1954 to 1978, inclusive. Interest on the unpaid principal amount thereof would be payable semiannually on February 15 and August 15.

The issuance and sale of the common stock and Notes by Natural Gas is stated to be subject to the jurisdiction of the Public Utilities Commission of the State of Ohio.

Notice is further given that any interested person may, not later than November 15, 1952, at 5:30 p. m., e. s. t., request the Commission in writing that a hearing be held on such matter, stating the nature of his interest, the reasons for such request, and the issues of fact or law, if any, raised by the said joint application which he desires to controvert, or may request that he be notified if the Commission should order a hearing thereon. Any such request should be addressed: Secretary, Securities and Exchange Commission, 425 Second Street NW., Washington 25, D. C. At any time after November 15, 1952, said joint application, as filed or as amended, may be granted as provided in Rule U-23 of the rules and regulations promulgated under the act, or the Commission may exempt such transactions as provided in Rule U-20 (a) and Rule U-100 thereof.

By the Commission.

[SEAL] ORVAL L. DUBOIS, *Secretary.*

[F. R. Doc. 52-12029; Filed, Nov. 10, 1952; 8:48 a. m.]

[File No. 70-2954]

PHILADELPHIA CO. ET AL.

NOTICE REGARDING PROPOSED TAX AGREEMENTS AMONG PARENT AND SUBSIDIARIES

NOVEMBER 5, 1952.

In the matter of Philadelphia Company, Duquesne Light Company, Allegheny County Steam Heating Company, Cheswick and Harmar Railroad Company; File No. 70-2954.

Notice is hereby given that a joint declaration has been filed with this Commission by Philadelphia Company ("Philadelphia"), a registered holding company and a subsidiary of Standard Gas and Electric Company ("Standard"), also a registered holding company, by Duquesne Light Company ("Duquesne"), a public utility subsidiary of Philadelphia, and by Allegheny County Steam Heating Company ("Allegheny") and Cheswick and Harmar Railroad Company ("Cheswick"), non-utility subsidiaries of Duquesne. Declarants have designated section 12 (f) of the act and Rule U-45 promulgated thereunder as applicable to the proposed transactions which are summarized as follows:

On October 1, 1952, the Commission approved Steps I and I-A of a plan of liquidation of Standard, filed pursuant to section 11 (e) of the act. (Holding Company Act Release No. 11510). Step I involves the retirement of the Prior Preference Stock of Standard through the distribution of portfolio stocks of Standard, including common stock of Duquesne. Step I-A involves the settlement of various intercompany claims between Standard and its parent Standard Power and Light Corporation ("Power"), also a registered holding company, and provides, among other things, for the transfer of 31,000 shares of the common stock of Duquesne by Standard to Power. An application by the Commission for enforcement of Steps I and I-A is now pending in the United States District Court for the District of Delaware.

It is also proposed under Step I of the aforementioned plan that Philadelphia will enter into separate agreements with Duquesne and its subsidiaries Allegheny and Cheswick with respect to the apportionment of Federal income and excess profits taxes, and refunds thereof, if any, covering the period from 1942 through 1950 during which such companies joined with Standard in the filing of consolidated tax returns. The agreement with Duquesne provides in substance that (a) Duquesne will pay its share (as determined under previous agreements) of any additional Federal income and excess profits taxes, on a consolidated tax return basis, for all years through 1950 up to an aggregate of (i) $8,117,571, the amount accrued on its books for such taxes as of July 3, 1952, (ii) $2,000,000, representing the estimated possible additional liability for such taxes, and (iii) its share of any interim refunds of such income and excess profits taxes received after July 3, 1952; (b) that Philadelphia will assume all liability for such taxes for the years through 1950 in excess of such aggregate amount; and (c) that if the share of Duquesne of the net aggregate of the taxes finally determined to be payable is less than the amount of such taxes paid by Duquesne prior to July 3, 1952, Philadelphia will be entitled to the resulting net refunds and interest thereon.

The agreements with Allegheny and Cheswick provide in substance that (a)

Allegheny and Cheswick will pay their share of any additional Federal income and excess profits taxes on a consolidated tax return basis, for all years through 1950 up to an aggregate of (i) the respective amounts accrued therefor on their books as of July 3, 1952 ($57,031.52 in the case of Allegheny and $6,412.16 in the case of Cheswick), and (ii) their respective shares of interim refunds received after July 3, 1952; and (b) that Philadelphia will assume all liability for such taxes for the years through 1950 in excess of such respective aggregate amounts and will be entitled to receive all net refunds and interest thereon for such years.

In its findings and opinion approving Step I of the aforesaid Standard plan, this Commission found that the proposed agreements would be fair and equitable to Standard's security holders and to Philadelphia, Duquesne, Allegheny and Cheswick. In the present declaration specific approval is sought as to the execution of the proposed agreements since Duquesne, Allegheny and Cheswick were not parties to the proceeding involving Step I of the Standard plan.

The declarants estimate that their expenses will not exceed $100 and state that services of counsel are not to be separated from their general services in connection with Step I of the Standard plan, for which compensation will be sought in connection with the reorganization of Standard.

The declaration indicates that no State or Federal Commission, other than this Commission, has jurisdiction over the proposed transactions.

Declarants request that the Commission's order herein become effective upon issuance.

Notice is further given that any interested person may, not later than November 17, 1952, at 5:30 p. m. request the Commission in writing that a hearing be held on such matter, stating the reasons for such request, the nature of his interest and the issues of fact or law raised by said declaration which he desires to controvert, or may request that he be notified if the Commission should order a hearing thereon. Any such request should be addressed: Secretary, Securities and Exchange Commission, 425 Second Street NW., Washington 25, D. C. At any time thereafter said declaration, as filed or as amended, may be permitted to become effective as provided in Rule U-23 of the rules and regulations promulgated under the act or the Commission may exempt such transactions as provided in Rule U-20 (a) and U-100 thereof.

By the Commission.

[SEAL] ORVAL L. DUBOIS, *Secretary.*

[F. R. Doc. 52-12030; Filed, Nov. 10, 1952; 8:48 a. m.]

DEPARTMENT OF COMMERCE

National Production Authority

[Suspension Order 40; Docket No. 53]

REBO MANUFACTURING CORP. AND JOSEPH REICHERT

SUSPENSION ORDER

A hearing having been held in the above-entitled matter on the 24th day of October 1952, before Warren A. Seavey, a hearing commissioner of the National Production Authority, on a statement of charges made by the General Counsel, National Production Authority, in accordance with the National Production Authority's General Administrative Order 16-06 (16 F. R. 8628) dated July 21, 1951, and Rules of Practice 1, Revised (17 F. R. 8156); and

The respondents Rebo Manufacturing Corp. and Joseph Reichert were duly apprised of the specific violation charged, and informed of the rules and procedures which govern these proceedings and the administrative action which may be taken.

The respondents appeared by their attorneys, Harold Rosenwald and Edward Schneider, of Boston, Mass., the National Production Authority being represented by James E. Agnew of its Boston Regional Office and Joseph J. Saunders of its Office of General Counsel.

The charges: The respondents were charged with having violated section 3 (c) of CMP Regulation No. 1, May 3, 1951 (16 F. R. 4127), as amended November 23, 1951 (16 F. R. 11860), with having produced 84,967 pounds of automobile exhaust extensions from carbon steel controlled materials without having received an authorized production schedule, this in the period between April 1, 1952, and September 11, 1952.

By an amendment consented to by the attorneys for the respondents, the charge was changed from the charge of having produced Class B products to one of having produced Class A products.

Facts: By agreement between the counsel for the National Production Authority, for the Rebo Manufacturing Corporation and by Joseph Reichert, individual respondent controlling the Rebo Manufacturing Corporation, it was agreed: That the Rebo Manufacturing Corporation had produced Class A products without having a production schedule to the amount of approximately 84,000 pounds between April 1, 1952, and September 11, 1952; that this was done upon purchase orders on the Hub Auto Supply Company of Boston as a subcontractor, which had represented that it had an authorized production schedule which it could extend to the respondents; that the respondents had a right to rely upon the validity of these representations until notice from the National Production Authority that it was not so authorized; that on the 21st of August a letter was sent by the National Production Authority to the Rebo Manufacturing Corporation (made a part of the stipulation) in effect warning the Rebo Manufacturing Corporation that it might be violating the rules in manufacturing for the Hub Auto Supply Company, also known as the Wilson Company, that the letter was received in course of post but was not opened by the Rebo Manufacturing Corporation until September 11, when the inspector from the National Production Authority visited the plant of the company; that thereupon, September 11th, all production of controlled material ceased.

Counsel for the respondents moved for dismissal of the charges. Upon this being refused, evidence was taken as to the occurrences between August 22 when the notification was deposited at the place of business of the Rebo Manufacturing Corporation, and September 11, when knowledge as distinct from notice was brought home to the company. Counsel for the National Production Authority disclaimed any intent to charge violation prior to August 22.

Summarizing the evidence thus orally presented, I find the following facts: That the Rebo Manufacturing Corporation is a very small concern, consisting of Rebo, his son, an assistant and a once-a-month bookkeeper; that its assets consist of a few machines in an area of approximately 3,000 feet; that a large percentage of its business has been performed for the Hub Auto Supply Company and consists of stamping and bending steel to form tail pieces and baffles for use in automobiles. On August 22d, the date of the delivery of the above mentioned letter, there was a considerable quantity of material both stamped and unstamped on hand and between August 22 and September 11, from the pieces already stamped and useful only when shaped, there were made 1,400 tail pieces, having a gross weight of approximately 500 pounds, this being the sole violation remaining of the original charges.

The reason for the nondiscovery of the notification of August 22 was the careless way in which the correspondence of the company was carried on. There was, however, no knowledge of the possible content of the letter and there was no indication that the respondent Reichert intended to flout the National Production Authority. His carelessness was directed rather to the general business affairs of the concern than to any disposition not to obey governmental orders.

It was also brought out that previous to August 22 an inspector from the Boston office of the National Production Authority had several times visited the plant and had been referred by Reichert to the Hub or Wilson Company for further information, but it was not until just before August 22 that the National Production Authority came to believe that the Hub or Wilson Company was not privileged to authorize the respondent to manufacture for it. When the respondents learned that they were violating the orders of the National Production Authority, they stopped the improper use of controlled materials.

I find further that since the respondents did not use any materials after August 22 which could be used for any purpose other than that for which they used them, and since they had not drawn

fresh supplies of controlled materials after August 22, their technical violation resulting from the careless failure to read received mail did not in any way affect the national economy with reference to controlled materials.

Conclusions: I find that the respondents were acting throughout in good faith; that they made every attempt upon learning the facts to comply with governmental orders; that the affair has been a minor disaster for them; that they will not be able to operate sufficiently to support themselves if they are unable to secure and work upon controlled materials; that public policy requires that this small enterprise should not be destroyed and that the national economy should not be deprived of the use of the materials and machines belonging to the company, which it would if the respondents' business were to be stopped for a substantial period.

On the other hand, it is desirable that more care should be used in relation to controlled materials and for the purpose of correcting the unauthorized use of controlled materials occasioned by the technical violation and in order to prevent future violation of National Production Authority orders and regulations by the respondents, and because no other remedy is open to the National Production Authority, it is accordingly ordered:

1. That all priority assistance, allocations and allotments of controlled material be withdrawn and withheld from Rebo Manufacturing Corp., its successors and assigns, and Joseph Reichert for a period of 2 weeks commencing with the date of this order.

2. That Rebo Manufacturing Corp., its successors and assigns, and Joseph Reichert be prohibited from acquiring, using, or disposing of any materials under the control of the National Production Authority for a period of 2 weeks commencing with the date of this order.

3. That all privileges of self-certification, self-authorization, and automatic allotment granted or authorized by the National Production Authority with respect to controlled materials and materials under the control of the National Production Authority be withdrawn and withheld from Rebo Manufacturing Corp., its successors and assigns, and Joseph Reichert for a period of 2 weeks commencing with the date of this order.

Issued this 27th day of October 1952.

NATIONAL PRODUCTION AUTHORITY,
By WARREN A. SEAVEY,
Hearing Commissioner.

[F. R. Doc. 52-12099; Filed, Nov. 7, 1952; 3:06 p. m.]

INTERSTATE COMMERCE COMMISSION

[4th Sec. Application 27519]

CRUDE OIL FROM WATFORD CITY, N. DAK., TO WISCONSIN, IOWA, AND ILLINOIS

APPLICATION FOR RELIEF

NOVEMBER 6, 1952.

The Commission is in receipt of the above-entitled and numbered application for relief from the long-and-short-haul provision of section 4 (1) of the Interstate Commerce Act.

Filed by: The Great Northern Railway Company for itself and on behalf of carriers parties to its tariff I. C. C. No. A-8051.

Commodities involved: Crude Petroleum oil, in tank-car loads.

From: Watford City, N. Dak.

To: Appleton and Milwaukee, Wis., Waterloo and Cedar Falls, Iowa, Manhattan and Chicago, Ill., and points in the Chicago district.

Grounds for relief: Competition with rail carriers, market competition, and cross-country competition.

Schedules filed containing proposed rates: G. N. Ry. tariff I. C. C. No. A-8051, Supp. 207.

Any interested person desiring the Commission to hold a hearing upon such application shall request the Commission in writing so to do within 15 days from the date of this notice. As provided by the general rules of practice of the Commission, Rule 73, persons other than applicants should fairly disclose their interest, and the position they intend to take at the hearing with respect to the application. Otherwise the Commission, in its discretion, may proceed to investigate and determine the matters involved in such application without further or formal hearing. If because of an emergency a grant of temporary relief is found to be necessary before the expiration of the 15-day period, a hearing, upon a request filed within that period, may be held subsequently.

By the Commission, Division 2.

[SEAL] GEORGE W. LAIRD,
Acting Secretary.

[F. R. Doc. 52-12032; Filed, Nov. 10, 1952; 8:49 a. m.]

[4th Sec. Application 27520]

CLAY FROM DRY BRANCH, PIKES PEAK, GORDON, AND MACON, GA., TO WILMINGTON, N. C.

APPLICATION FOR RELIEF

NOVEMBER 6, 1952.

The Commission is in receipt of the above-entitled and numbered application for relief from the long-and-short-haul provision of section 4 (1) of the Interstate Commerce Act.

Filed by: R. E. Boyle, Jr., Agent, for carriers parties to Agent C. A. Spaninger's tariff I. C. C. No. 809.

Commodities involved: Clay, in carloads.

From: Dry Branch, Pikes Peak, Gordon, and Macon, Ga.

To: Wilmington, N. C.

Grounds for relief: Rail competition, circuitous routes, grouping, and to apply rates constructed on the basis of the short line distance formula.

Schedules filed containing proposed rates: C. A. Spaninger, Agent, I. C. C. No. 809, Supp. 205.

Any interested person desiring the Commission to hold a hearing upon such application shall request the Commission in writing so to do within 15 days from the date of this notice. As provided by the general rules of practice of the Commission, Rule 73, persons other than applicants should fairly disclose their interest, and the position they intend to take at the hearing with respect to the application. Otherwise the Commission, in its discretion, may proceed to investigate and determine the matters involved in such application without further or formal hearing. If because of an emergency a grant of temporary relief is found to be necessary before the expiration of the 15-day period, a hearing, upon a request filed within that period, may be held subsequently.

By the Commission, Division 2.

[SEAL] GEORGE W. LAIRD,
Acting Secretary.

[F. R. Doc. 52-12033; Filed, Nov. 10, 1952; 8:49 a. m.]

[4th Sec. Application 27521]

CAUSTIC SODA FROM LAKE CHARLES AND WEST LAKE CHARLES, LA., TO ST. LOUIS, MO.

APPLICATION FOR RELIEF

NOVEMBER 6, 1952.

The Commission is in receipt of the above-entitled and numbered application for relief from the long-and-short-haul provision of section 4 (1) of the Interstate Commerce Act.

Filed by: F. C. Kratzmeir, Agent, for the Chicago, Rock Island and Pacific Railroad Company and The Kansas City Southern Railway Company.

Commodities involved: Liquid caustic soda, in tank-car loads.

From: Lake Charles and West Lake Charles, La.

To: St. Louis, Mo.

Grounds for relief: Competition with rail carriers and circuitous routes.

Schedules filed containing proposed rates: F. C. Kratzmeir, Agent, I. C. C. No. 3906, Supp. 153.

Any interested person desiring the Commission to hold a hearing upon such application shall request the Commission in writing so to do within 15 days from the date of this notice. As provided by the general rules of practice of the Commission, Rule 73, persons other than applicants should fairly disclose their interest, and the position they intend to take at the hearing with respect to the application. Otherwise the Commission, in its discretion, may proceed to investigate and determine the matters involved in such application without further or formal hearing. If because of an emergency a grant of temporary relief is found to be necessary before the expiration of the 15-day period, a hearing, upon a request filed within that period, may be held subsequently.

By the Commission, Division 2.

[SEAL] GEORGE W. LAIRD,
Acting Secretary.

[F. R. Doc. 52-12034; Filed, Nov. 10, 1952; 8:49 a. m.]